Lupin Ltd. (LUPIN)

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Call: Aug 2022

August 9, 2022
0sE Limited
Department of Corporate Services,
P. J. Towers,
Dalal Street,
MUMBAI· 400 001.
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex ,
Bandra (East),
Mumbai -400 051.
Dear Sir/Madam,
Transcript of Ql FY2023 Earnings Conference Call. LUPIN
Pursuant to Regulation 30(2} read with Schedule Ill Part A Para A(15} (b} of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed is a copy of the Transcript of the Q 1 FY2023 Earnings Conference Call held on Thursday, August 4, 2022.
The above is for your information and dissemination.
Thanking you,
For LUPIN LIMITED
R. V. SATAM
COMPANY SECRETARY
(ACS -11973)
Encl.: a/a
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"Lupin Limited Q1 FY202 3 Earnings Conference Call"

August 04, 202 2

MANAGEMENT:
• DR. KAMAL SHARMA – VICE CHAIRMAN, LUPIN LIMITED
• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTO R, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN - EXECUTIVE DIRECTOR, GLOBAL CFO AND HEAD CORPORATE AFFAIRS, LUPIN LIMITED

Moderator : Hello, and welcome to Lupin Limited Q1 FY23 Earnings Conference Call. Please note that all participants' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded .

I now hand the conference over to the management. Thank you, and over to you, sir.

Kamal S harma : Hello, good evening. My name is Kamal Sharma. Welcome you all to thi s earnings call for Lupin Limited. You already have seen the results, but as a comment on the outset, I'd like to say that, measures to improve overall operational e■ciency and imp rove on our business structure have been in full swing. I'm aware that the n umbers don't re■ect them as yet, but team is absolutely con■dent that from next quarter onward s, we would de■nitely see positive re■ection of the e■orts that are being put in by the team.

With those few opening remarks, I would now hand over to our CFO, Mr.

Swaminathan, who will walk you through the details of the ■nancial results.
Thank you, and over to you, Ramesh.

Ramesh Swaminathan : Thank you, Dr Sharma. Friends, in our previous investor call, after the Q4 results, we did guide for a fact that the results for th e first two or three quarters could be a little muted, so in line with that, the a ctual results for the quarter were in line with expectat ions in that sense.

Sales for Q1 FY23 are at INR 3,604 crores as compared to INR 3,864 crores in Q4 FY22. It's a 6.7% quar ter-on-quarter decline and year -on-year basis, also declined by 14.9 % as com pared to Q1 FY22. Our sales excluding the US revenues wer e higher by 5.9% sequentially and 2.5% year -on-year. When it comes to the US business, during the quarter, the US sales too k a signifi cant dip of 33% from $181 million in Q4 FY 22 to $121 million in Q 1 FY23 as the company took certain strategic decisions to pave the way for building sustainable and profi table business in the US.

Firstly, the last few years we have been experiencing huge stock returns on account of higher inventory levels in the trade. During the quarter, we ensured that the inventory levels across our key products are brought down at normalized levels, creating a signifi cant impact in the quarterly sales. The pricing erosion in FY22 has brought down the margins of certain products to single digit to negative territory. The company decided to discontinue some of these products with low and negative margins, which impacted our sales. However, it equally gave us an opportunity to optimize workforce in manufacturing plant in India, the bene fits of which will start to fl ow in the next quarter.

We continue to witness double -digit price erosion in this quarter as well coupled with shelf stock adjustment on the higher trade inventory creating a

dent to the quarter numbers. While surprising eros ion can be off set through new launches which we expect t o come through in H2 FY23, the fi rst two initiatives have impacted the quarter, but will help us to build focus on building a strong and profi table portfolio in the long run. We continue to build albuterol market share, which improved to 23.2% in Q1 vis-a-vis 22.8% in the previous quarter.

Turning to the India business, India branded formulations business posted a growth of 9.9% in Q1 FY23 versus Q4 FY22 though declined on year -on-year basis by 2.9%, given FY22 Q1 had a positive impact on COVID wave 2 in India.

API, recovery in API sales in Q1 quarter -on-quarter sales growth at 15.8%. On year -on-year basis, business posted a growth of 3. 7%. EMEA year -on-year growth of 2 7.6% with strong perfo rmance by NaMuscula, Luforbec, etanercept sales to Mylan. NaMuscu la growth is about 91% versus the previous year, qu a

rter one that is. Sales for Q1 FY23 sales was INR 24.5 crores.
In South Africa, Efferflu C holds 48% market share, up from 31% held pre - COVID.

When you talk about the growth markets, Philippines year -on-year b asis growth 20% with TB kit s sales impacting about 9% approximately, better performance in Furic and Lupimet. In Australia, sales grew by 22.4% quarter - on-quarter and year -on-year by 49%, mainly due to the acquisition by Southern Cross. In Mexico, sales gr ew by 15.9% quarter -on-quarter and year - on-year growth was 30% as ophthal business continues to grow at 26%. In Brazil, quarter -on-quarter declined by 9.5%, year -on-year declined by 8.5%. Azithr omycin and Dipimed grew well.

When you c ome to the gross margins, Q1 FY 23 is 55.3% as compared to the previous quarter, which is 57.8%. This is mainly due to a price erosion in America to create inventory normalization that I just spoke about and of cour se the shelf stock adjustment. T here is of course impact of cost infl ation also, which is actually there in the gross margin line.

When you talk about employee benefi ts, Q1 FY23 is INR 778 crores vis -a-vis INR 703 crores in the previous quarter, and this is essentially because the previ ous quarter also had an adjustment in terms of taking some part of the expenditure in other expenses. There is of course the impact of increments which were rolled out in FY23 which came in the quarter one. There is of cours e workforce planning at the plan t level which impacted about 14% of the workforce and there would be savings fr om there, which should start flowing from Q2.

On an ongoing basis , we expect employee cost to be in the range of 18% to 18.5%. On the EBITDA fro nt, operating EBITDA excluding FX and other income is 4.5% in Q1, a decline in EBITDA by 140 basis points, led by drop in sales due

to trade inventory normalization, shelf stock adjustment in the US, price erosion, and on account of discontinuing products during the quarter.

R&D expenditure is about INR 348 crores vis -a-vis 342 crores in the previous quarter. The ETR is expected to be around 35% as few subsidiaries are still making losses. In terms of the working capital, it's increased to 147 days from 140. However, we are workin g on this and we would like to bring it down in the quarters to come.

With the shor t commentary, may I open the fl oor for discussions.

Moderator: Thank you very much. We will now begin the question -and-answer session. First ques tion is from Neha .

Neha Manpuria : Thank you for taking my question. Ramesh, could you just help us understand the quantum of the one -off impacts that you mentioned in your opening remarks, out of the ~ US$60 million quarter -on-quarter decline that we ha ve seen? Just wanted to understand what actually our base business in the US was from second quarter onwards?

Ramesh Swaminathan: So the way we would like to portray it is that things should normalize from the second quarter onwards and we expect it to be upward of $150 million, somewhere in the range of $150 million to $160 million. So , if that were to be the normal, you could expect this to be considered to be a le vel. Essentially, that's a diff erence that we have taken this quarter.

Neha Manpuria : Understood. So that would mean quarter -on-quarter we've still seen a fair bit of erosion in the business or does this also include some amount of discontinued products? And what would be the quantum of that discontinued products, please?

Ramesh Swaminathan: Insofar as the pr ice erosion is concerned, it's in double digits. It's close to about 10% and there is of course an element of discontinuing products which have been discontinued as well which flowed into the results .

Neha Manpuria : Okay, understood. And from a margin per spective, if I were to adjust the number that

you've seen, going forward from second quarter onwards, should we start seeing margin improvement or that would entirely depend on our launches coming through in the second half?

Ramesh Swamin athan : The dro p in sales kind of mask the eff orts that we have taken. So you would expect things to kind of normalize from a sales perspective. That obviously would add to the overall margins. But there is of course a host of initiatives that we have been working on. All of those will actually start bearing fruit. For example, we spoke about the workforce planning at the factory level and in other areas as well. So benefi ts of programs like that will certainly fl ow on from the second quarter onwards. So margins will certai nly would go up, it

could substantially from this particular quarter and towards the end of the year would reach a fairly decent level.

Neha Manpuria : Thank you so much.

Moderator : Thank you. Next question is from Aditya Khemka .

Aditya K hemka : Yes, hi. Thanks for the opportunity. Ramesh, you mentioned that the India business grew YoY because in the base quarter you had some COVID -related sales. Could you elaborate on that a bit? I thought we did not have any COVID -related sales, at least your commentary on the previous quarter did not indicate any COVID -related sales in the base quarter.

Ramesh Swaminathan: Nilesh, w ould you like to take this?

Nilesh Gupta : I can take it. So it's not the core COVID product itself, but it's products like enoxaparin and the like which had very large sales in Q1 last year. So if you adjust for those products, which went up, so a lot of them were respiratory products. Then the growth would have been 5.6%.

Aditya Khemka : Understood, Nilesh. Nilesh, AIO CD data indicates that excluding COVID related sales, the market itself in the quarter of June grew about 13% whereas our growth is in the neighborhood of 6. So are we losing market share? If yes, what are we doing about it and why are we losing it?

Nilesh Gupta : It's quite the opposite actually. As per our data, our market share has actually gone up 10 basis points. So , we are actually gaining share. So , I think what has happened is, our core chronic therapy areas, so inhalation, cardiac, diabetes have degrown, and while they degrew minus 3.1%, we actually degrew minus 2.6%. So we actually did better than the market on that count. But because of the degrowth that's the reason why it looks like degrowth. We believe that this will bounce back. And obviously from Q2 onwards, we hope to get back to that double -digit kind of growth.

Aditya Khemka : Understood. Just two more questions, if I may. The decline QoQ also to my understanding happens every time from fourth quarter to fi rst quarter due to seasonality of certain cephalosporin products. So do you have guess estimate as to how much of this sequential decline is due to the seasonality of our business in the US and how much of it is actually your product rationalization and price erosion?

Vinita Gupta : The majority of it is product rationalization and getting the trade inventories at the right level. There was some impact also on the cephalosporins, though, Aditya. They were down for sure, Q4 to Q1.

Aditya Khemka : Got it, Vinita. Thanks for that. Ramesh, last questi on for you. The debt seems to have gone up. W hat is confusing is that your working capital has gone up while your rationalized products in the US, my understanding was US is the

highest working capital geography we have. So ideally with the US sales coming down, the working capital on the US side should have come down and your debt has gone up this quarter, sub -standard debt.

Ramesh Swaminathan : The debt has gone up principally because we had an acquisition at the beginning of this quarter, essentially A

ng lo French drugs that we bought. So that was the reason for that. There is of course an increase in the operating days in terms of working capital. It has gone up from 141 days to 147 days,

principally on account of inventories whilst there i s a reduction o n the
accounts receivable front.

Aditya Khemka : How much inventory of the raw material are we keeping, the API raw material because there is cost infl ationary environment? So I'm sure we are keeping some stock to ensure continuous production. So what woul d be the inventory levels?

Ramesh Swaminathan : That's exactly the point. So , we have got some st rategic inventory build -up in order to off-set any potential price increase. So we've been pretty strategic about it.

Aditya Khemka : Yes. But could you quanti fy as to how much inventory it is, 60, 90, 120 days ?

Ramesh Swaminathan : It really depends on individual materials, but overall there has been an increase on the inventories front.

Aditya Khemka : Okay, thanks a lot and all the be st.

Moderator : Thank you . Next question is from Anubhav Agarwal.

Anubhav Agarwal : Hi, fi rst question is on the US market. Just trying to understand the decline. So, three elements you guys talked about. One, shelf stock adjustment. Second is some inventory write -down would have come and not at the sales level, I hope. So sales level fi rst, would it be fair to assume shelf stock adjustment would be a single digit number, I mean something like less than $10 million? That would be a fair statement to understand?

Ramesh Swaminathan : Yeah. In a general sense, we don't disclose the individua l components of this, but suffi ce to state that it has actually had a n impact of reducing the overall sales f or the fi rst quarter and I would like to repeat the fact that there would be a bounce bac k from the second quarter onwards.

Anubhav Agarwal : But just trying to understand, the numbers are so large , ■rst of all to build it. One is, we can believe you guys, but just try ing to understand what has happened in the quarter. Shelf stock adju stment t ypically will be on one or two products and that's why I was saying that, should we just work with an assumption that the way I'm trying to understand this is that, is there a comp onent that we were stocking very high inventory at the customer level and th erefore the primary sales in this quarter? So, one is the discontinued

products that we didn't want to sell more. So that's one component. Is there some component that this quarter we had primarily lower sales of certain products, which will come back in t he next quarter?

Ramesh Swaminathan : As I said, the overall, the erosion in prices is close to about 10%. So it obviously insofar as stocks with the trade itself is concerned, we would have given them a shelf stock adjustment. And besides that, of course , we wanted to make sure the total inven tories buildup at that level is going to be reduced. And for that reason we sold lower to the trade. It's a combination of both that has impacted the quarter.

Anubhav Agarwal : And when you talk about, Ramesh, 150 plus next quarter, this will include Suprep as well. So e■ectively we're talking about roughly 135, 140 the level that we were doing earlier. Would that be a right understanding?

Ramesh Swaminathan : Sorry.

Nilesh Gupta: So even without Suprep, I think the bounce back is expected even without Suprep. Suprep only comes in late in the second quarter.

Ramesh Swaminathan : Third quarter.

Nilesh Gupta : In the end of the qu arter.

Anubhav Agarwal : But it comes end of the quarter, but you will have at least a good amount of month or two months of sales at least of Suprep right ?

Vinita Gupta: So, authorized generic is already launched on Suprep . So we will see how much of inventory trade has if we get the opportunity to sup ply we will

definitely get some upsid e in September for sure.

Anubhav Agarwal : I think fair to say that we expect the bounce back even without Suprep.

Vinita Gupta: Yes, without Suprep. And we basically haven't sold to pare down the levels of inventory. We haven't sold a couple of weeks' worth products to the trade.

Anubhav Agarwal : Okay. And Vinita, on Spiriva, can you just give us a clarity, where is this product stuck. Last time you mentioned that your Germany supplier had inspection. I don't know whether you had a reinspection on your facility again or is the FDA still having the query on the product?

Vinita Gupta : No. So, we don't believe the product is stuck, Anubhav , and in fact, since the last quarter meeting, our device manufacturer was inspected by the agency and we believe the inspection went pretty well . Privy to all of the observations and the responses as well and we have been going back and forth with the agency on document review and have answered all their questions so far in the last few weeks. They have already inspected Pithampur Unit 3 in the past for Tiotropium. So, of course, I mean, if the agency decides to reinspect, that's

their prerogative and we'll be ready to host the ir inspection. But at this po int in time, we believe that we have responded to agency's question s fully and are hoping that we'll get the approval soon, so that we can launch in Q4. We have launch preparations going in full swing at present.

Anubhav Agarwal : Thanks. Just one clarity, Ramesh. You talked about personnel cost reducing as a percentage n ext quarter, but can you talk about an absolute quantum how much saving we are talking about?

Ramesh Swaminathan : Yes, so as I said, about 14% of the workforce at the factory level has been brought down. So you could expect about on a quarterly basis abou t 20 crores reduction .

Anubhav Agarwal : Okay, Thank you.

Moderator : Thank you. Next question is from Palak Shah.

Palak Shah : Hi. Thank you taking my question. Firstly, on the Spiriva, you had earlier mentioned a TAD date of August '22, does not change, especially after the inspection at the device facility?

Vinita Gupta: No, our goal date is still Aug 17th.

Palak Shah : Got it. Secondly, in the US business, you mentioned that there is shelf stock adjustment as well as price erosion and rationalization, part of this, as you mentioned, you have sold lesser by two weeks this quarter and that should be made up in ensuing quarters, is the unde rstanding right?

Vinita Gupta: Yes.

Palak Shah : But then, it will again lead to the same point. Your inventory wil l again inch up in the ensuring quarters then.

Vinita Gupta: No, it shouldn't, right? If we try to pare down the inventories because we saw excess inventory in the trade. So it's a one -time correction from a trade perspective to get the inventories to a n ormalized level.

Palak Shah : Got it. Lastly , on the working capital side, we are looking to actually pare it down again from 147 to 130 - 140 days. Is that understanding right?

Ramesh Swaminathan : Yes. And then go back to the way we evolved over time, it used to be 100 days, so it's not as though we can get to that levels immediately. It's going to be over time. But we are addressing certainly the inventory situation. Some of it is strategic buying at this stage, but with the situation improving, we'll certainly bring it down.

Palak Shah : Got it. And just lastly on the Somerset facility, given that you have been stuck with this facility on warning letter for quite some time, are we inclined

towards actually exiting this facility and just stopping this functions altogether there?

Vinita Gupt a: Well, actually we have positive momentum at the facility now, with the clearance of the warning letter. Last month, we cleared the

warning letter,
which was a record for us. Within three months, we went from 13 obser vation s to clearance of t he warning letter. So, actually it gives rise to new opportunities for us. We had couple of products stuck that we were tech transferring into other sites and we expect these products to get approved in the near term.

So apart f rom Suprep, we think that couple of the other niche products like we have diazepam gel, that is small but nice niche product that we likely can get approval for in the next six months. Likewise, we have a nasal spray where we are first to file Na scobal. It doesn't help us this fiscal year, but it's June next fiscal year. And we have exclusive fi rst to file on that one, so we will likely get approval for that one as well. So , we have positive momentum there on new product launches that we can really do with to help grow our business. While we have Tiotropium, we also want additional products that can help us grow the business.

Palak Shah : But if I look at the cost of operating the facility versus the revenue trajectory from these two products, can they actua lly, the facility be breakeven or cash breakeven itself?

Vinita Gupta: Yes, it will. I mean we have optimized the site quite a bit and we'll continue to optimize and really manufacture products only that makes sense at the site.

Palak Shah : Got it. Thank s, Vinita. Thanks, Ramesh and Nilesh.

Moderator: Thank you. Next question is from Surya Patra.

Surya Patra : Thanks for the opportunity. First of all, you have clarifi ed obviously about the kind of margin profi le and all that, but, see, we have been in th e cost rationalization mode since I think over a year or now. We have this quarter also seen kind of a multiple adjustment at the inventory level and all that. So, still the gross margin level, it is not that erosion YoY i f they see, but the major dent at the EBITDA level what we are seeing it is because of the other expenses and the staff cost, R&D and all that. So , sequentially what would really change here and how should we go back to whatever guidance that we're giving, the exit rate of 17%, 18% for the full year?

Ramesh Swaminathan : Let me tackle that question. So , you would appreciate that the drop this time around is essentially because of the one-time what we spoke about on the sales front in America. But as we transition to out of the legacy OS D bu siness, which we think is actually on a weaker footing at this stage in America on to more complex generics, you would expect the margin profi le, the realizations to be much better , the margin pro file to increase . We are also stepping out of

our O AI status across the plants, so to the extent our ability to come out of the products is certainly going to be much better. We have invested ahead of the curve when it comes to a lot of factories and t he like and we are doing what it takes to kind of rationa lize on the workforce front, on the footprint front and the like.

There is, of cours e, over the last couple of years, last few years, I would say, we've been building up a culture of cost conscious ness, including digital roadmap. All of this will actuall y come to bear fruit. And there is of course progress across various other geographies. We have Luforbec, better products in UK, Europe. We have NaMuscula. Things are looking much better in other geographies as well. So I think it's a combined impact of al l of this which will actually improve the profi le for us. India is continuing to do strongly whilst of course in America, we just enumerated the various products that we could bring to the market and so on. So our confidence levels actually fl ow from this.

Surya Patra : Okay. Sir, but sequentially whether even the albuterol has witnessed a signifi cant kind of a price erosion? And that is one of the key

reason also for
the sequential decline in the US business. And also, is it possible to quantify what is th e kind of inventory adjustment that you have built in this quarter?

Ramesh Swaminathan : When it comes to price erosion, it has been across various products, so there has been some drop of course on Brovana itself and a slight decline comes to albuterol. O verall, we spoke about 10% for the portfolio overall. The levels of inventories that we see, I think we are comfortable with it and it's commensurate with the kind of in drop in sales that we forc ed assets to take for that reason.

Surya Patra : Okay. Just a related question further. I think, see, this more than 10% kind of price erosion what we have been talking about so that's been there even in the previous quarter. So , there is no sequentially enhanced kind of erosion that we have witnessed in that and w e have exited out of the few of the product basket. If you tell the number that is also useful. And simultaneously, so what is the model that we are trying to build for the US business. So are we thinking that, okay, going ahead, whatever that is going to happen, it is relatively more complex and may not be specialty or specialty kind of and we will move out of all the kind of old and commodity nature product completely? So what is the model that ultimately that we are trying to achieve there in t he US? Because whatever the product basket that we have created, it is not fetching us the right result.

Vinita Gupta : Yes. So we are transitioning the portfolio from the simple genetics, the oral solids to complex and that has started with albuterol, Bro vana, will be further strengthened with Spiriva and we have a nasal spray product I mentioned Nascobal, the injectable products, the biosimilars , that pegfi lgrastim that we have the opportunity to get into the market. I mean we will not vacate the space of oral soli ds. I mean, oral solids still the bread and butter, but the kind

of price erosion one has witnessed on the oral solid side, we decided that it made sense to rationalize the portfolio that does not make sense. Wheth er it's negative margin or low margin, it makes sense to really take the overhead out of our P&L to improve profi tability. We are taking those steps.

So we'll continue to optimize on the oral solids. And at the end of the day, we want to also man ufacture oral solids very profitably. So continues effort in reducing cost of goods on the oral solid front from the optimization on the API front or external vendor development or the like, but wherever we see no real value to our network and P&L, we are getting out of those. It doesn't make sense to real ly carry loss leaders in the portfoli o. So our eff ort is really to transform the portfolio, transition it to complex generics. It started with inhalation products at 25% of our revenues last year and we ho pe in the next year or two, with the pipeline that we have coming, we get closer to 35%, 40% in the years to come. And at the end of the day, we feel like there is more sustainable higher margin opportunity in the complex products .

Surya Patra : Okay, just last quick question, ma'am on the overall R&D spen d, which was expected to be reduced through the hiring of the core basic research activities. What is the update there and also if you can just give an update about the progress of etanercept in the Europe?

Vinita Gupta : So we are in active discussions wi th companies right now to monetize our oncology pipeline and hope in the next couple of quarters, we'll have some positive results there, but we are in active dialog right now on the oncology pipelin e. On etanercept, the product is progressing with Mylan, Viatris and we continue to get approvals in new countries and look at launching it in new countries as well.

Surya Patra : So is it like

more than $10 million kind of a level it has restart ed or it is yet to achieve that ma'am?

Vinita Gupta: Yeah, it is a bove $10 million already.

Surya Patra : Sure. Okay, thank you.

Moderator : Thank you. Next question is from Sameer Baisiwala . Sameer, please unmute yourself.

Sameer Baisiwala : Yes, good ev ening, everyone. So the question is, in next couple of quarters, say, by December, what's the margin potential of the core business without any large US approval, et cetera, beca use we are running a very profi table India and other markets? So, you can just discuss that.

Ramesh Swaminat han: Yeah. So as you correctly put it , it's basically the American business which is actually undergoing , they are shifting sands out there. We are trying to move out of, in fact, the more commoditizing oral solid business into more complex

ones, but the core portfolio is of course from a pri ce erosion perspective it is suffering a bit, quite a bit and that's common across the industry as you have recognized. So whilst we are transitioning, we are also trying to build that. So it takes us on regulatory pathway for bringing those approvals in a nd introducing it in the market. So it has its own evolution time, s o to speak.

Sameer Baisiwala : Ramesh, specifically on the margin, right, what's the core margin without the upside from new products and the like?

Ramesh Swaminathan : It is really a fu nction of the kind of write -offs that we have taken on inventories and all of that.

Nilesh Gupta : Just specifi cally, we will get to the double -digit even for the core business from before we layer on anything out of new products or the like.

Sameer Baisiwa la: Yeah, Nilesh, that's very helpful. That's what we were looking for. I mean, see, business like yours should have 15%, 20% operating margin as things stand. So is that something that you thing is possible or is there some structural cost heads that you have, which is different from others?

Nilesh Gupta : So maybe I can go and then Ramesh can add. The oral solid, I think we were over -indexed on the oral solids compared to anybody else on the generic side.

Vinita Gupta: Sorry, Sameer, you are asking abo ut the company, rig ht?

Nilesh Gupta : Yes.

Vinita Gupta: Overall?

Nilesh Gupta : I'm getting there.

Sameer Baisiwala : Which is your core business.

Nilesh Gupta : So the oral solid, we are paring down part of that. The idea is to rationalize the foot pri nt associated with that label, so the oral solid gets to a sustainable profitable level, which is not at this point of time, especially in the US. Some layered on th at would come the complex products and the like over time. India business obviously is high ly profitable. So I don't think there is anything structurally different compared to other companies, but I think as the over - indexing, firstly, on the US primarily on oral solids, the lack of new product introductions in the recent years, I think all of t hese have been compounding factors which have led to just that regular pipeline of products not coming to market.

We're starting to see that come now. So , we see t he inhalation production, we see some of the complex products coming as well. We do want t o optimize

the oral solid part, so that it makes money standalone. It is only then that sustainability for the earnings. I think that's it only comes in at that point of time. And I think we will get there. I think we're close. We have done the optimizatio n measures for the most part and I think you'll start seeing from Q2 that bounce back happening .

Sameer Baisiwala : Okay. Great, thanks. And just one fi nal question is on the 14% workforce in the plant. I'm just wondering, when your volumes go back up agai n, then what happens? I mean, were there redundancies, so if y

ou can just talk about that?

Nilesh Gupta : I think we were very cognizant on that. We hate doing stuff like this. I think the idea was to just optimize it to the right kind of level. So , part o f that has been, I would say, like delayering and the like, just optimizing spans of control. In some plants , where volumes have gone down and we're seeing that n ew products would also not come, reducing number of people out of that as well. So I think we' ll be able to handle volumes as they go up. We certainly have, at this point, more capacity than we need. And the future pipeline even on the oral solids is not e xtremely high volume from a new introduction perspective.

Ramesh Swaminathan : Just to add to what Nilesh was saying, so I've said this in the past to you also, Sameer. There have been a number of ineffi ciencies that have crept into the system of over a period of time and we are in the process of kind of ironing it out. Specifi cally, for example, we have this investing ahead of the curve and we are just addressing it through workforce planning. We are also looking at a footprint at some point of time, a redu ction there. There are ineffi ciencies when it comes to, for example, on the failure to supply penalties that we spoke about in the past. So , we've addressed that signifi cantly during the course of the CR and going forward there is certainly going to be impa ct on that.

They always will be focusing on in fact a host of initiatives when it comes to the gross margins in terms of routes, synthesis or operational excellence and the like. Apart from that, there have been ineffi ciencies because of OA I status itself w hen it comes to employing or deploying air freighting for moving our products out, there h as been a considerable increase in that over time and that we are again reducing. Apart from that, there has been of course unfortunately recalls of d ifferent kind. A nd we think that whilst we can't of course crystal gaze into the future and say how much i t is going to be, we have been working on in fact overall reduction in terms of strategies around FTS in India, in terms of batch sizes and the like in other parts lo oking at other ways of actually controlling it. So , all of these measures I think total up to up a fairly decent amount w hich you think when we work on and actually get the full outcomes of all of this, but helpin g bring up the EBITDA margins and of course shoring up the overall core business of the past.

Sameer Baisiwala : Okay, great. Thank y ou so much.

Moderator : Thank you. Next question is from Madhav.

Madhav : Yeah. My question is, the products that we're rationalizing in the oral solid . Hello.

Nilesh Gupta : Go ahead .

Vinita Gupta: We can hear you.

Madhav : Yeah. My question is, the prod ucts that we are rationalizing in the oral solid portfolio, the existing players who continue to supply these products in the US market, are they at a better cost structure than us that they continue to supply or they are okay making negative profits or ma ybe zero profi ts in that portfolio? Like, people who continue to drive down prices, how are they able to sustain or do you think prices eventually must bounce back here for supply to continue in the US market for some of these products?

Vinita Gupta : So, I think it's a combination and some products we are not vertically integrated or we don't have a good cost position. Obviously, someone else has advant age over us and if we can't gain that advantage in a reasonable period of time, it obviously does not mak e sense for us to beat a dead horse. On the other hand, in other cases it's surprising to see folks really undercut pricing against a vertically integr ated player, where we have strong cost position. So , it all depends upon dynamics around the product. So , the product -by-product analysis to d

etermine is it a short -term price event or a long -term dynamic that we're dealing with and to decide what to get out of and what not to get out of. I mean, we don't easily get out of anything. We like to really be the l ast person standing in the marketplace, but when the pricing comes down to a level and costs are going up, you have to be rational about it from a mar gin perspective .

Madhav : How much probability would you assign to a situation where prices for some of th ese products at least stabilize if not recover. So that supplies are more stable or do you think that there are still some players who know that rationale and prices are going to remain low for a long time?

Vinita Gupta: So, when you look at the number of approvals that companies have had in the last couple of years, the oral solids have had the maximum number of approvals. So , new competitors getting in has exacerbated the situation as well. So , it's hard to really predict, I mean, is there going to be a price increase. I think one would want to really be in a position where if there is a price increase on strategic products, we are able to take advantage of that. We are able to take additional volume in the marketplace when others have issues. But those w ill be around strategic products, not around small products .

Nilesh Gupta : So, the drop should be the marginal products where we d on't necessarily have fantastic cost position, we don't have great volumes and which really don't move the needle beyond a po int. So , I think those are the kind of products that have been the part of the cut at this point of time. And I don't think we can c ount on serendipity to make up for these kind of products. If something structurally changes, obviously, we can go back to some of these products.

Madhav : Understood. Thank you so much.

Moderator : Thank you. Next question is from Nikhil Mathur .

Nikhil Mathur : Hi, good evening. Am I audible?

Moderator : Yes.

Nikhil Mathur : Yes, sure. So my fi rst question is on the other expe nse. If I look at on a quarter -on-quarter basis, there other expense is down almost INR 160 crores. In this, R&D is stable. Can you help me if there is any benefi t from restructuring initiatives been sitting in this Q on Q number, because I believe there w ould be some lower direct costs as well attached to sales not realized i n the US? So any restructuring benefi ts sitting in this number in this quarter?

Ramesh Swaminathan : Yes. So, the last time around, there were some one -time expenditure s. We had Solose c litigation expenses and the like. There was of course this FTS elem ent which are also being considered out there. So , those you would recognize really one times that we took i n. So , that obviously is signifi cantly low. It's not there in this quarter and hence the reduction.

Nikhil Mathur : So, in the coming quarters, how should we look at other expenses on an absolute basis? Is it likely to be stable and only the sales growth in ‘24, ‘25 would lead to some bit of operating leverage or on the other expense side also, there are some traders that will potentiall y be visible in Q2 onwards ?

Ramesh Swaminathan : So, as we said, so there are number of things that we are actually looking at for cost reduction in a general sense. So , the one -time items are really o ne-time. So we don't expect that to kind of crop up again . So, as a percentage of sales, I think these will be lower as the sales go up and as absolute numbers go, they would be more or less in the same vicinity.

Nikhil Mathur : Okay. So , if I look at FY22 , the other expense was INR 4,500 crores. I think 220 odd crores was related to supply; I could see in the annual report. Sorry, INR 4,500 crores is after taking out the impact of failure to supply, so what is the like-for-like number are we working wi

th i n FY23 versus FY 22 on the other expense side?

Ramesh Swaminathan : In absolute n umbers, we could take this offl ine for sure. So , this is really to be taken on a full year basis, because what you're comparing is against tha t. So , I would rather take It offl ine. But for sure there are several measures that we

have been working on. So , if you were to knock off the one -times which will not appear again, you'd see the numbers coming down over time .

Nikhil Mathur : Okay, got it. And, Nilesh, one question for you. I heard you in the media in the morning, kind of indicat ing that India should be ba ck to double -digit growth from Q2 onwards. Now, is it something visible or is it a hope that because the market should grow, Lupin should be at par with the market? Because the way I am seeing the India business is, there are certain headwinds to Lupin's India business in certain in -license products. You don't have a product, which has been sold out to someone else. So , I'm not able to figure out how double -digit growt h for the company be back from Q2 onwards?

Nilesh Gupta : Like w e said, we will adjust it for COVID. The growth was 5.6% in Q1. So that's kind of the base that we're working from in any case. And you're absolutely right. There are some effects on the cardiac spa ce, obviously we lost a brand, in the diabetes space, there is competition from generic products coming to some of the other in -license products. Otherwise respiratory has been slow to grow. We're still seeing slightly lighter doctor footfall t han what we would have expected. That's what we would expect to normalize and we are still holding on. Again, all of this was expected. So, Q1 was expected the way that it is. And future quarters are expected to go back to the double -digit. Will we be at 8 % or 9% in Q 2 before we get to double -digit in Q3? Maybe. But in general, we're going to be in double -digits for the balance nine months.

Nikhil Mathur : Okay. And one fi nal question on gross margins. Now, couple of years back, when there was this expectat ion of albut erol coming in, even then it was widely expected that Lupin gross margins will improve and also they were talking about procurement effi ciencies being realized. Even then the gross margins have only deepened, they haven't improved. Can you help us how the gross margin will improve over the next two years? I mean, Spiriva will come, but you have the base business which will erode as well. So some more sense on how the gross margin can improve, I think that would be very helpful.

Ramesh Swaminath an: In some parts if you're comparing the recent past, it's also because of the fact that we are the salience of partnered products had gone up. But as we bring in products from our own stable, we would expect that salience weightage to come down. And of course the va rious initiatives that we have been following or even adopting in terms of procurement excellence and also synthesis and all of this will come to bear fruit. So you would expect better products coming, the gross margins will simply go up.

Nikhil Mathur : Sure. Thanks a lot and all the best.

Moderator : Thank you. Next question is from Chirag Dagli.

Nilesh Gupta : Chirag, you might be go ahead.

Chirag Dagli : Yes, Hi. So , three questions. First is, how should we think about the QoQ dip of $50 million in the US, the impact of that on EBITDA? Any thoughts there?

Ramesh Swaminathan : It's actually fl own through, right. So essentially the EBITDA, it's impact on the over all EBITDA margins, the absol ute number goes down and the fi xed out base being what it is, it b rings down the margin. So once the turnover goes up, which is what we say what happened between second and fourth quarter, we would expect things to be much better.

Chirag Dagli :

Ramesh, you're saying had this not been the case, EBITDA would have been higher by $50 million?

Nilesh Gupta: The gross margin, for sure.

Ramesh Swaminathan : The gross margin portion of that.

Chirag Dagli : Gross margin. Understood. Okay. Fair point. Secondly, we've talked about INR 500 crores annualized kind of cost savings fro m the second quarter onwards is what you indicated last quarter, does that still stand? Has there been a change there? Has it increased, reduced?

Ramesh Swaminathan : There are a number of initiatives. So to be very exact, we h ave got about seven or eight initiatives going. There is an initiative a nd we just spoke about the fact that we carried down this workforce planning at the factory and other places as well. There has been a 15% reduction on the manpower front. There are initiatives to kind of address the footprint itself because we recognize that it kind of eviscerated the curve, I spoke about in fact the airfreighting, I spoke about in fact reducing FDS. I spoke about actually dropping negative margin products and the like. All of these are work in pr ogress. Some parts of it is completed, the other parts which will actually play off during the course of this year and that's during the early part of next year as well. So it's basically an approach and it's a philosophy that we will continue. And for sur e it will bring in more than the INR 500 crores that you're talking about.

Chirag Dagli : Ramesh, c an you be a little more specifi c, because clearly numbers are substantially lower. Can you just give us a sense of the glide path of how the bounce back or i mprovement will probably progress over the next few quarters? And this is more near -term . I understand it's not right to put you guys through this, but just given the kind of disappointment we've seen, a glide path would really help in terms of how to thin k about this near -term.

Ramesh Swaminathan : It will be very unfair to kind of spell out what will be the outcomes from individual initiatives. That will be very unfair on your part to expect the company to spell it out, but cumulatively in aggregate the t otal quantum could be in excess of the INR 500 crores. It's actually between INR 500 crores

to INR 750 crores. And this is exactly what we are setting out to kind of achieve and this will happen during the course of the next four to fi ve quarters .

Chirag Dagli : Understood. And you indicated on television that you will exit Q4 with 18% margin, did we understand this right?

Ramesh Swaminathan : Yeah. So it is aided by the fact that a lot of these initiatives would pay dividends, the fact that we would also h ave products being introduced in the market and of course rupee depreciation, which also helps in terms of the overall realizations itself. But you should also not forget the fact tha t there has been a secular infl ation which is impacting this industry as it is impacting other industries. And there we have a fair sense about where it is going. But having said that, there could always be moving parts that we cannot kind of anticipate .

Chirag Dagli : Understood. Okay, sir. Thank you so much. Best of luck.

Moderator : Thank you. As we have limited time, we request to keep two questions at a time. Next question is from Sonal Gupta. Sonal, please unmute yourself.

Sonal Gupta : Yes, hello.

Moderator : Yes, please go ahead.

Sonal Gupta : Yes. Thank you. Sorry abou t that. So just a couple of small questions. One is, can you share the size of the partnered product portfolio for the US? I mean, like what percentage of your US sales comes from that?

Ramesh Swaminathan : Going forward it will certainly be much lower. I could talk about the individual products per se, for exa mple, last time we had Brovana, 15% to 16% is what we kind of have got in that bucket.

So

nal Gupta : Got it. And just, I mean, like the correction in the whole US sales, what sort of reduction or corr ection are you looking in the US sales and SG&A infrastructure, could you shed some light on that, just trying to understand? Is it being right sized? Sorry.

Vinita Gupta : So we have been optimizing the P&L end to end. So right from SG&A at the commercial end in the US to manufacturing cost. Like Ramesh , highlighted with workforce reduction in our plants to reduce cost of goods, as well as optimization of the R&D spent. We brought R&D spend down 25% from Q4 to Q1 and intend to optimize fur ther while not mi ssing out on material opportunities, in particular, in the complex generic front and exclusive oral solids. So it's really end -to-end P&L that we have optimized and we continue to optimize.

Sonal Gupta : Got it. I mean, just trying to get a sense, like the US SG&A would be running at like 15%,20% of US sales, is that where it would be right now?

Ramesh Swaminathan : Yeah. Actually still ahead of that, yeah, about 20%, 24% is what we have as total SG&A spends relating to the US.

Vinita Gupta : End to end.

Ramesh Swaminathan : End to end, including the cost which is allocated to the US.

Vinita Gupta : Yes.

Sonal Gupta : Got it. O kay, so that includes R&D as well, or, no, that is separate, right?

Vinita Gupta : No, just the SG&A.

Sonal Gupta : So that needs to substantially come down right , if the US has to be profi table?

Ramesh Swaminathan : If we are going to actually go down the path of products being introduced, which will actually take up the turnover, it will be fair to kind of say that it should obviousl y optimized wherever we can, and cutting down to what we think is absolutely necessary, but what we think to the extent that we think is necessary, we would keep it there.

Sonal Gupta: Got it. Great. Thank you so much.

Moderator : Thank you. Next question is from a Anubhav Agarwal.

Anubhav Agarwal : Yes, hi. Couple of questions. One is, on the gross margin this quarter, we had two impacts. One is from shelf stock adjustment, second benefi t from discontinuation of low -margin products. If you were to normali ze this 55.3%, what would have been a normalized gross margin this quarter?

Nilesh Gupta : So couple of percent more, right?

Ram esh Swaminathan : Yes. Couple of percentage points more.

Nilesh Gupta : Which is what was Q4, right, so there was no material ch ange from that, but some price erosion.

Anubhav Agarwal : Okay, thank you. That's helpful. Second among the di■erent cost saving areas, Ramesh, you highlighted seven, eight areas. If you want to pick one, and which is low -hanging fruit, which can be impl emented this year with some good bene■t coming, I'm not talking about how much bene■t, which will be that one area that you will pinpoint?

Ramesh Swaminathan : So these are di■erent buckets and all of them have their own nuances really. So we have gone dow n the path of manpower reduction at the factory level. There are of course still capacities that we had invested in that we think we should address in some ways. There is of course the FTS element which we have also addressed this year.
Nilesh Gupta : I think the F TS is what we've ■xed, right, in the sense w e did a catch -up that we needed to clean up in the past. And now we'v e got it at a pretty clean thought. The inventory is pretty optimized. Our OTIF levels are way up as well. So, obviously I think the FTS is something that we would expect to keep in control now.

Anubhav Agarwal : So that's already done, Nilesh .

Nilesh Gupta : But you asked for low -hanging fruit, right?

Anubhav Agarwal : Yes, that you can do incrementally from here.

Nilesh Gupta : So, I thin k stu■ like freight we
will bank on. Obviously, freight is coming down.
Again as we've been able to normalize inventories, we are back to ocean rather than sending stu■ by air as well. I think it's going to be a multitude of stu■ thereafter.

Anubhav Agarw al: What's your mix, Nilesh, right now , sea versus air?

Nilesh Gupta : I think we'll have to get that to you. I don't have it o■ine.

Ramesh Swaminathan : It is close to about 34%.
Nilesh Gupta : 34% by air.

Ramesh Swaminathan : By air.

Anubhav Agarwal : And normal will be what, 20%?

Ramesh Swaminathan : It will go back to 20%, 15%. It was zero. So I don't think we'll get down to that level, but we obviously have target to bring it down.

Anubhav Agarwal : Okay. And just one more, sorry, Vinita, this is to yo u that when I say Lupin versus your peers, I see very over -dependence or very skewed pro■le of very high US as well as the high India. And I see EM being a very small portion of our overall revenues. Of course, the company now has problem where the pro■ts are not very high. But at some point of time, how to t hink about the past we haven't , we had Japan, which we exited. But EM as a portion how you're thinking about it as an area that you want to develop? Second, would you agree that right now is not the time because you want to contain and

bring back the margi n, but when things are okay, how are you thinking about EM as a category?

Nilesh Gupta : Yeah. Sorry, can you repeat that question? We actually lost power for a split second.

Anubhav Agarwal : Yeah. I was just talking about emerging markets as a category. Lupin versus peers seems to have a pro■le where US and India are very signi■cant portion of the revenues and pro■ts. Lupin doesn't seem as diversi■ed as some of the other large cap peers are. So right now may not be the best time because we are l ooking to contain margins, but at some point of time, how are you thinking about diversifying into emerging markets as an area?

Vinita Gupta : So if you look at our emerging market business right now, if you add Latin America, South Africa, Philippines, i t's a nic e sizable business. I mean, last year it was $200 million in revenues at 18% EBITDA. And it grows double -digit year -on-year. I mean, the only place where we are still trying to really get it to the right level of pro■tability is Brazil, but the ot her count ries are all pretty high margin countries. And while they are growing organically and have a very rich pipeline, we are looking at small bolt -ons into the emerging markets to be able to grow it beyond the 15%, 20% level in the next four to ■ve yea rs to get to between $400 million to $500 million in revenues.

And there is tremendous potential in Latin America itself beyond Mexico, Brazil. And also in Africa, I mean, we have started the e■orts of getting from South Africa to Sub -Saharan Africa. We h ave start ed registering the products to be able to grow into the region. So , certainly have plans to really grow our emerging market business. Likewise, we are truly under indexed in Europe. I mean, if you look at most of our peers and you look at also the global ge neric companies, they typically have a much larger presence in Europe. We're probably one of the smallest. And we have significant potential there as well. In particular, now with the complex generics with inhalation products, with the injectables coming, w e have tremendous potential there to grow the business. So continue to look at small bolt -ons to be able to effectively commercialize our products in Europe as well.

Anubhav Agarwal : Thank you.

Nilesh Gupta : I know we are over time, but we'll take 10 minu tes more since there is a bunch of questions still pending.

Moderator : Thank you. Next question is from Mr. Sand eep.

Sand eep: Hello. Am I audible?

Moderator : Yes.

Sand

eep: Yes, hi. This question is to Nilesh and Vinita. It seems the problems ov er the last couple of quarters or couple of years have been both internal and external which is pricing -led, et cetera, but seem more internal to the organization. So , what are the strategic changes which are required, especially at orga nizational level, lea dership level to really get the organization back to winning this, because an aspiration of 17%, 18% margins is good, but that's still average. So , do you think there are lot more strategic choices needed or a product pipeline coming through will get us bac k to where Lupin should be?

Vinita Gupta : Yes. So from my perspective and then agreed that there have been both challenges external as well as internal. External, certainly from a market perspective, internal from the standpo int of delivery, certainly wit h the GMP challenges that we had that hampered the ability to really get the right number of products into the m arket that really help offset a lot of the external challenges. We have done a number of things to try to address t hese challenges, as Nilesh spo ke. I mean, we have clear focus on the GMP front, have really taken it to a different level to ensure that all of our sites are meet and exceed FTS expectations out of the five sites that were in trouble, we have cleared two and are confident of clearing the other three as well while keep ing the rest of the sites compliant and that's crucial. That's the backbone of the business to help us deliver every product that we file from a R&D perspective.

So, really getting the new produc t launch engine fixed is a big part of our focus. It's a comb ination of people as well as processes that we have booked upon and we are fairly confident with the changes that we have made, aided by the GMP status changing. Now , we should be able to really kic k start the new product engine effectively from this year onward. So, I mean, for a generic drug company, I mean, it's crucial to get new products. Good number of meaningful new products to launch. So , that's just one of them.

I mean, there are many areas w here we talked about issues wi th FTS, back orders that plagued quarters in the last fiscal year. We have done a number of things to streamline our supply chain. We have implemented integrated business planning in the company last year. That has changed the visibility that our team has e nd to end, the alignment our team has to ensure that we maximize on the products that we have in the market. We minimize, mitigate any failure to supply penalties and back orders. And we are in a much, much different place toda y than we were 12 months ago. I mean, the numbers don't show that as of yet, but we are confident that you will see it in the quarters to come.

Sand eep: If I may just sort of follow on this, Vinita, if you look back at the performance
and think about these internal sort of issues, wh en you ■x responsibility, is it
more new talent required in the organization? That really is the question,
because back■ll of order, air freighting et cetera. Nothing to do with the GMP

or markets. There are lots of is sues, so does the organization require new
talent, because organization is made of people who have to execute?

Vinita Gupta : I think it's a combination of both talent as well as process ■x. And we found
that the process ■x went the long way to give everyb ody visibility end to end
in terms of w hat is needed. But I mean, there are talent lapse as well, I would
say, and we're in the process of ■lling them.

Nilesh Gupta : We made several changes as well, changes in the procurement function,
changes in the supp ly chain function, changes in some of t he technical
operations roles as well, including in quality even.

Vinita Gupta : Right.

Nilesh Gupta: I think we just need to execute versus the plan that we have. I think we have

a plan that we are going to right size the footprint for the oral solids. W e will
execute on the complex generics. Vinita talked about some of the other
markets. From my perspective, we would double down on India, which is
something that we only started in the last fe w years. And in India it's not just
pure pharmaceuticals. It's the broader healthcare space, with some of the
stu■ that we're doing. We just have to stay at this now.

Sand eep: Got it. Thank you.

Modera tor: Thank you.

Nilesh Gupta : Maybe last two questi ons.

Moderator : Yes. We'll take last two questions. Next quest ion is from Prakash Agarwal.

Prakash Agarwal : Yes. Hi, good evening. Am I audible?

Moderator: Yes.

Prakash Agarwal : Yes, hi, thanks for the opportunity. Good evening. Question again on the US
side. I heard you saying that the sales and the margins are g oing to bounce
back, but the clarity here would help. Pare down inventory, shelf stock
adjustment impact and price erosion, so when you talk about these three
pieces, out of these three, t he ■rst two are one -time. So are you saying that
from Q3, you will b e back to 170, 180 or you said something lower? And if
these are one -time why aren't we coming back to 170 , 180 and why are we
calling it 150 odd?

Nilesh Gupta : So, I think with the erosio n, it comes to the 150, 160 kind of number at this
point of time, an d that has to be supplemented only by more sales in the in -
line products. If we do that or otherwise, we've got to be conscious.

Prakash Agarwal : No. But , this base was already 200 and we' ve been seeing price erosion every
quarter. What I'm trying to under stand, did we see another round of 10%
price erosion on the base portfolio?

Nilesh Gupta : That seems to happen at this point of time it already.

Vinita Gupta : That's right. I mean, and our average was 180 in terms of the base last year. We saw a 10% eros ion, especially on products where we had signi■cant additional competitors like Brovana, for example, which is the reason why the base comes down.

Prakash Agarwal : Okay. And with the approvals and the launches that you're seeing from the facility cleared recently, Goa had few launches. How do you see Somerset shaping up? Do you have some chunky launches, approvals, which can in the near to medium term, say, one, two, three quarters ou t can they start? Do we see double -digit launch for the year or how do we see that?

Vinita Gupta : Yeah. So , we are expecting 10 launches, 10 plus launches in the year. But so far we have launched one product Restasis, which was authorized generic from AbbV ie in the ■rst quarter. And we expect Suprep coming through in September and in full launch prep there. Now that Somerset is cleared, we are expecting couple more products out of Somerset, six or so. But the meaningful ones are diazepam gel that I mentione d which could really help in the ■scal year and next ■scal year or early next ■scal year, we have Nascobal where we have ■rst to ■le. We expect that approval out of Somerset in the next six, eight months. So , those are the ones out of Somerset in the near term, Prakash.

Prakash Agarwal : Perfect. Then just a follow -up on this. S o, the US$150m base, what is a more downside to that? I mean, obviously I mean it's di■cult to predict 10% quarter -on-quarter price huge, but is there a more downside to that?

Vinita Gupta : I don't think so. I mean, Brovana in particular we had really strong marke t share. We still have a good market share, but the pricing has come down with the number of the additional competitors. So , it's hard to predict pricing in the US market, but we do be lieve that this should be the base on which we're adding new products.

Prakash Agarwal : Perfect . And second one is on the respiratory pipeline. If you could throw some color there, given that you obviously have talked abou

t couple of
coming this year, but how does i t look for ‘24 and ‘25?

Vinita Gupta : So, Spiriva obviously wi ll be the biggest one for us in the near term. And then Nascobal out of Somerset. We expect a ramp up of Spiriva also in other countries, UK, Europe, Australia, Canada. We have a litt le bit of work to do on Dulera, but we have good correspondence with the FDA on that one. That product is also relevant for us for Canada, so that's in the works. And then we

have a product like the Fostair product we just got noti■ed about the high - streng th approval. We plan to launch that later this year in UK and Europe early in the next calendar year. And have a full pipeline beyond that. Ultibro and the Ellipta franchise, the Respimat franchise, we're m aking progress on the pipeline on all the material products.

Prakash Agarwal: Okay. And your margin guidance of 17%, 18% include all these kind of product launch probabilities?

Vinita Gupta : Well, I mean, it's really this year, 17%, 18% I said with Spiriva coming in and as we get full impact of Spiriva next year, as we get other products, we should be at that 20% plus.

Ram esh Swaminathan : True. Absolutely.

Prakash Agarwal : Okay, perfect. Makes sense. And all the best to you.

Vinita Gupta: Thank you.

Moderator: Thank you. We'll ju st take the last question from Sameer Baisiwala.

Sameer Baisiwala : Hi, thank you so much. A couple of questions. One, Vinita, are you expecting an authorized generic on Spiriva?

Vinita Gupta : It's hard to predict, Sameer. We are planning both ways. I mea n, from a ■nancial perspective, we have plan for an authorized generic to be in. But from a supply planning standpoint, we're ready to take on the market 100%.

Sameer Baisiwala : Okay, great. And the second question is, just curious, what's the sort of backward integration that you have for the US business? Just some broad range and how does it stack up versus the industry?

Vinita Gupta : I think we're fairly backward integrated when it comes to the oral solids. In the complex generics, it's not as impor tant to be backward integrated, it's more technology. But on the oral solids we're fairly bac kward integrated. I would say like maybe 70% of our portfolio.

Sameer Baisiwala : Okay, because I was coming from one of the previous participant that how importa nt it is to be backward integrated to really survive and do well in US or it is the inflectio n point in the industry structure that even the low cost producer s from India need to exit because there are such thin margins.

Vinita Gupta: Please go ahead. Complete your question .

Sameer Baisiwala : So, I guess, there is still more time before the i ndustry in■ex, is that the way we should read about it?

Vinita Gupta : I think there is for the oral solids backward integration and getting the right cost for backward integration is key to survive.

Nilesh Gupta : In fact, it's not just backward integrati on. It's backward integration and operational skill.

Vinita Gupta : Yes, both.

Nilesh Gupta : You could be backward integrated. If you don't have skill in cost of goods. So that won't work either.

Vinita Gupta : Yeah. But I think there will be a shakeout i n the oral solids as we see it and the products where we are backwar d integrated on and the products that are strategic to us, we will be anchored in there to gain additional share if the opportunity arises. At the same time products where we don't have a great cost position, we're not going to hold on to it, to no end.

Sameer Baisiwala : Okay. Vinita, with that logic, if you don't mind, then for the 70% that you are backward integrated and you have scale, I mean, over time you should be gaining market shar e and there should be shake out in those products as well.

Vinita G upta : Well, hopefully if

others are willing to give up space.

Sameer Baisiwala : Okay. And one ■nal question, how many ■lings have you done for the large value inhalers and complex injecta bles, where are you in the pipeline?

Vinita Gupta : I'd say that thr ee or four so far.

Nilesh Gupta : But several others in advanced stages of development.

Vinita Gupta : Yes.

Sameer Baisiwala : Okay, ■ne. Thank you so much.

Vinita Gupta : Thank you.

Mode rator: Thank you. I now hand the conference over to the management for the closing comments.

Kamal Sharma : Thank you very much for your participation and hope you had answers to most of your questions. Look over to seeing you next quarter and in the meant ime take care of yourselves and look after yourselves. T hank you very much. Bye for now.

Moderator: Thank you. On behalf of Lupin Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines and exit the webinar.

Call: Nov 2022

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November 16, 2022

■BSE Limited
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P. J. Towers,
Dalal Street,
MUMBAI - 400 001.

National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051.

Dear Sir/Madam,

Transcript of Q2 FY2023 Earnings Conference Call.

Pursuant to Regulation 30(2) read with Schedule Ill Part A Para A(15)(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed is a copy of the Transcript of the Q2 FY2023 Earnings Conference Call held on Thursday, November 10, 2022.

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

R. V. SATAM
COMPANY SECRETARY
(ACS - 11973)

Encl: a/a

"Lupin Limited Q2 FY202 3 Earnings Conference Call"

November 10 , 202 2

MANAGEMENT:
• MS. VINITA GUPTA – CEO, LUPIN LIMITED

Moderator : Welcome to Lupin Limited Q2 FY23 Earnings Conference Call. Please note that all participants' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded .

I now hand the conference over to the management. Thank you, and over to you, sir.

Vinita Gupta : Hi, everyone. This is Vinita Gupta here. A very warm welcome to our Q2 earnings call. I have with me our Managing Director, Nilesh, as well as our CFO, Ramesh and members of our Finance and Investor Relations teams. Trust you all have seen our numbers for the quarter, and Ramesh will share a deeper analysis of our performance.

As you would have noted, our business has improved. Revenue growth was driven by the bounce back of our U.S. business along with continued growth in our India business, and also gro wth across all other geographies. On the margin front, we see the benefit of our optimization measures in addition to the revenue growth in the business. We are focused on sustaining this positive momentum for the rest of the year.

I would like to share some of the business highlights with you. On the U.S. front, we have continued to evolve our business with optimization of oral solids, driving growth of complex generics, respiratory franchise, in particular and executing on our new product launches. Duri ng the quarter, our respiratory franchise contribution increased, and we executed on a couple of new product launches in particular Suprep that will help growth in Q3 and Q4. It had some contribution in Q2, but since it was launched in September, more to come in Q3 and Q4.

In addition, we closed our acquisition of the Sunovion brands, Brovana and Xopenex that will enable us to enhance our respiratory position in the U.S., while contributing to revenue as well as profitability growth. As we look at the qua rters ahead, we have new product launches like Spiriva, Diazepam Gel, Nascobal Nasal Spray and Darunavir, multiple products where we have exclusivity or first -to-market position that will enable us to grow our U.S. business in a profitable manner.

On Spi riva, while we had hoped to get an approval by now, we are close. We have responded t o all the queries the agency had raised and are working closely with the FDA to get approval by our eligible launch date. We will know more in the next few weeks, and we'l l share what we learn with all of you. In any case, we see this as a substantial contributor for fiscal year '24 and will definitely have a significant runway based on the competitive position at present.

Switching to India, the largest part of our busin ess, while our growth in the quarter and the first half has been below market, this is primarily due to the loss of Cidmus from our cardiovascular portfolio and generalisation in the gliptins. But for the diabetes portfolio, our India business grew ahead o f the market. Also, the diabetes franchise, while impacted in the near term, we expect growth in the mid - to long term given the continued growth in diagnosis and increased affordability with generics coming to the market, and our own generics.

In our to p therapy areas, respiratory and cardiac growth was in line with the market and therapeutic areas that we are trying to build like GI and women's health were well above the market. We expect the second half of the year to be better than H1 from a growth pe rspective and are committed to get our India business back to double -digit growth in the quarters and years to come.

All other markets continued to grow and perform as per expectations, in particular, we saw a really strong local currency growth in Mexico and strong double -digit growth across Australia, Germany, Canada and U.K., our

other
developed markets.

On the marg in front, we have seen significant efforts that we have had underway in the last 12 to 18 months' payoff, our margins did improve, and we expect to see this benefit continue in the quarters to come despite inflationary pressures. A word on the compliance front, we have made progress this past year with the clearance of Goa and Somerset warning letters and successful inspection of Ankleshwar and Nagpur. However, the warning letter at Tarapur certainly was disappointing for us. We have clarified with the agen cy that it is only specific products that we have discontinued over the last couple of years from the site and we continue to manufacture a number of key products with a clear commitment to meet the FDA's concerns on nitrosamine and cross -contamination tha t they highlighted to us during the inspection and in the warning letter.

Overall, we are moving in the right direction, as you can see from what we have delivered in the quarter and are really committed to grow both revenues and profitability in the qua rters to come, while executing on our strategic plan.

With this, I will hand it over to Ramesh for a deeper analysis of our performance .

Ramesh Swaminathan : Thank you, Vinita. Sales for Q2 FY '23 are INR 4,091 crores as compared to INR 3,604 crores in t he previous quarter, a growth of about 13.5% quarter -on-quarter. Year -on year basis, it was about 2.2% as compared to Q2 FY '22 sales of INR 4,003 crores. I would just go on to the margins a bit. FY '23 Q2 gross margin was 58.1% as compared to Q1 of 55.3%. This is mainly due to one -time shelf stock adjustment in the previous quarter, and in this quarter, we also

had optimization of freight costs, both mix and rate and other write -offs and better product mix as well.

There was, of course, some price erosio n, which was well contained though. On the employee benefit bit, Q2 FY '23 is INR 771 crores vis -a-vis INR 778 crores in the previous quarter. Manufacturing expenses, very well contained again, FY '23 was INR 1,226 crores vis -a-vis INR 1,191 crores in line with the sales development itself. EBITDA, operating EBITDA, excluding FX and other income, is 10.6% in Q2 FY '23. Quarter -on-quarter g rowth in EBITDA is about 610 basis points, which is led by expansion of gross margins over Q1 and higher sales growth, w hich is again reported across va rious regions. R&D is flat as compared to Q2 FY '22 at 8.3%.

ETR, normalized ETR is expected to be between 31% and 34% as few subsidiaries like LI, LOI, Digital and Healthcare continue to make losses. Operating working cap ital days improved to about 140 days in Q2, visa -vis 147 days in Q1 of FY '23, a reduction in inventory despite delivering higher sales.

And with this, may I open the floor for discussions .

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from Neha .

Neha Manpuria : Ramesh, on the operating cost in the quarter, last quarter we had indicated a fair bit of cost optimization e fforts that you know we were expecting. Well you've seen gross margin improvement or operating cost, especially employee cost, other expenses, hasn't seen the reduction, we had also indicated closure of fac ility. So, could you put some give us some color there please?

Ramesh Swaminathan: Yes. Sure, Neha. There are several initiatives that we have been carrying on, and also we have been focusing on gross margins apart from what we are doing on the top line front itself and as we looked on alternate vendor development in terms of routes to s ynthesis et cetera for the gross margins bit.

In terms of the manpower itself, yes, we did go through, in fact, with the workforce planning at the factory level. There was a reduction, and you'll find a lot more coming up in Q3 and Q4 as well. I think the re is

a shift between
lines, essentially that's the reason why you're actually found it to be a little flattish when it comes to the manpower lines itself, but believe me that there has been overall reduction, which has come through.

On the SG&A front, t here is a lot more of sales promotion in line with the overall sales development itself, and that's across various regions, including India. But despite all of that, you would see that the overall margins have

actually gone up, and so that's in line with t he development of the gross margins front as well as the evolution on the sales front.

Neha Manpuria : Are we sticking to the guidance that we gave last quarter of exit margins?

Ramesh Swaminathan: It really depends on the product top line profile really. So if we do get the kind of products that we were anticipating, then you would look at an exit rate, which is more in line with our overall anticipation for the future.

Neha Manpuria : Okay, which would be the number that we had mentioned before in the last quarter?

Ramesh Swaminathan : Yes, around that.

Neha Manpuria : Okay, Got it. Vinita, on the U.S. business, given we had a lot of one -off and moving parts in the last quarter, if I were to look at the bas e business, how has the pricing erosion been in the base? And have we been able to regain some of the lost share in the existing products or was all of the improvement driven by new launches?

Vinita Gupta : No, so Neha, part of the improvement was just the fact that we had the one - time c orrection, right, in Q1 so, and we had a normalized quarter in Q2. In our in line products, the bulk of the oral solid portfolio, we had a reasonable price erosion, not double digit, so definitely price erosion was more measured.

On the respiratory franc hise, actually we have seen a good improvement. It's become a larger part of our business, so that contributed nicely to revenue growth as well as profitability growth. And the new product launches, we had 3, and Suprep was material, but also Suprep was in the last, the end of the quarter in September, so we got a little bit of contribution in Q2, we'll have more to come in Q3 and Q4. So, majority of the revenue growth was the existing portfolio, both oral solids as well as respiratory.

Neha Manpuria : Got it. And last question if I may, we added the 2 brands that we've acquired in the current quarter. Given we already have generic, the thought process of acquiring these brands?

Vinita Gupta : Yes, so one, it enhances our respiratory portfolio. We have added Xopenex as

a product in our respiratory offering, which certainly enhances our position in
the respiratory front. On the Brovana front, we were already a partner,
authorized generic partner, and we had a percentage, so we obviously have
syne rgies there and have the end -to-end P&L on the Brovana front, which is
attractive to us. So, we will continue to maximize the 2 products and look at
ways and means of, one, stabilizing the revenues of Xopenex and potentially
building synergies on both prod ucts given our manufacturing capability across
both MDIs as well as refills.

Moderator : The next question is from Saion Mukherjee .

Saion Mukherjee : This is Saion from Nomura. Vinita, just to carry on Xopenex and Brovana, can
you share the size that you're looking at for these 2 products? And you
mentioned about stabilizing sales, so what is the dynamics on Xopenex here?
And on Brovana, I understand brands still has around 13%, 14% market share,
so is that what you'd be continuing selling? So, if you can give just some
indication on the size? And also, the $75 million, how would you sort of
amortize it? What's the time frame for that? .

Vinita Gupta : I'm just taking that $75 million first, I mean the franchise is accretive in year
1. So we were very p leased to b

e able to transact at the level that we closed.
I can't share product -specific details because as you know Brovana is part of
our generic portfolio, the authorized generic is part of our generic portfolio. I
mean, you can look at the IMS dollars of both products as well as the
authorized generic, so it's substantial from IMS dollars.

But needless to say, the products have been accretive, will be accretive in the
current fiscal year and provide synergies both in Brovana as well as obviously,
incremental revenues and profitability of the residual brand. It gives us a
residual brand revenue line and potential synergies on our cost of goods going
forward ?

Saion Mukherjee : And when you say accretive, you are meaning EPS accretive, and that's why I
was asking how we amortize the $75 million .

Vinita Gupta : Yes, EPS accretive .

Saion Mukherjee : And you should be amortizing it over what period, the $75 million?

Ramesh Swaminathan : So, insofar as Brovana is concerned, it's going to be a much lower period. For
that it's going to be more in terms of what we think is an appropriate period,
but the accounting rules doesn't provide for anything more than 10 years, so
it's going to be shorter than that?

Vinita Gupta : It's much shorter than that too. Yes.

Saion Mukherjee : Okay. And Vinita can you share like which one is a bigger franchise now,
Xopenex or Brovana. I mean, I know you can't share the exact revenue
number? And in terms of dynamics, do you expect competition in Xopenex at
some point or you exp ect it to be sort of a stable brand?

Vinita Gupta : Yes, we expect it to be a stable brand. Between the 2 products, they are kind
of equal, right now in terms of revenue, but Brovana obviously has got
multiple generic competitors. So, we expect it to come down, while still
having some residual revenues in t he brand. While Xopenex we see as a stable
opportunity in the foreseeable future just given the scale of the product, the

size of the product and the fact that one would have to do a clinical study to be able to get a generic version approved and the like .

Moderator : The next question is from Prakash Agarwal .

Prakash Agarwa l: Hello, am I audible?

Ramesh Swaminathan : Yes.

Prakash Agarwal : Just a quick update on Spiriva, where are we? Last time you said you had query on the products, so what is the timeframe, and have we replied and when are we expecting?

Vinita Gupta : Yes, Prakash, so we have responded to the queries fully within October, and have filed also for priority review, which we are working with the agency. We'll know in the next couple of weeks the status of our request, but are working closely with the agency to get approval on eligible launch date later this fiscal year ?

Prakash Agarwal : Okay. And eligible launch date is in Q3 or Q4, it was Q3, right?

Vinita Gupta : No, it was the second half, end of second half ?

Prakash Agarwal : Okay. And just was checking, I mean how is the flu season, has it started, hearing that it can be a flu season this year, so are we hopeful of the Tamiflu we had in the past or that is now much generi cized?

Vinita Gupta: No, so the first time after a couple of years, we are seeing some impact of the flu season, so we've seen an uptick in anti -infectives as well as Tamiflu, a little bit in Q2, but we're expecting a strong flu season, if all of the predictions in the U.S. I mean, they're talking about a strong flu season, COVID as well as RSV, a combination of multiple issues. We're also seeing the flu season impact on our purchase orders on the API front, on the cephalosporins. So, both the U.S. indicators as well as API for ecast suggests that the flu season right now seems to be picking up.

Prakash Agarwal : Okay. Perfect. And lastly, you made the acquisition of these 2 brands. Going forward, I mean, it was just opportunistic or

that could be a strategy going forward and th at too specifically in respiratory or it could be any therapy?

Vinita Gupta : Yes, so it wasn't opportunistic, it was actually strategic. We had told our team that we want to grow our respiratory franchise with e stablished brands. We didn’t have multiple opportunities on new pipeline programs, but didn't want to get into dilutive assets. So we had looked at multiple opportunities, and really focused on this one to look at what we can do from a synergy perspective. Certainly, had synergies on Brov ana, but as we looked at Xopenex as well, we really liked the product, we liked the product profile. It hasn't been promoted in multiple years, so we will evaluate the potential of

promoting the product with a small -scale investment, and also look at lever aging our manufacturing capability to improve the margin profile of the product. Right now, it's contract manufactured, and we'll certainly continue the relationships in the next couple of years. But as we look at maximizing value from the opportunity, we'l l look at also bringing in synergies from a manufacturing capability.

Prakash Agarwal : Okay. And lastly on the margin outlook, the margin outlook was around 15%, 16%, correct me if I'm wrong, and this is without the Spiriva opportunity exit rate of Q4?

Ramesh Swaminathan : No. I would say that it really is a function of the kind of products that we bring. So if we have Spiriva coming in fourth quarter, it will certainly have its bearing on the margin there. So the guidance that I spoke about was essential ly based again on Spiriva coming in.

Vinita Gupta: Yes. I think it's fair to say that you will see continued improvement on margin quarter after quarter.

Ramesh Swaminathan: That's true.

Vinita Gupta: But really to get to that 16% level plus, which we are working towards, we need material launches like Spiriva. And we have a good few products coming with Spiriva hopefully in Q4, and soon after that products like Darunavir, where we have exclusivity , plus Nascobal Nasal Spray a little bit later in Q1 next year, Diazepam Gel.

So we have a couple of new product approvals that we are chasing, hopefully in the next couple of months we'll have a better idea of the launch timelines of each. There is a very strong focus on trying to bring them to market at present. But as we launch these material products and particular products like Spiriva and Darunavir, we expect the margins to improve to that 16% plus level.

Prakash Agarwal: Okay. Thank you. And all the best.

Mod erator : Thank you. The next question is from Kunal.

Kunal: Thank you for taking my question. So I think at some point, we were expecting plant inspection related to Spiriva approval, is it still the case or we still don't have clarity on that?

Vinita D. Gupta: We actually had reco rd review, plant record review. We have also gone through an assessment on PK and PD satisfactorily. So we believe that we have given the agency everything that they've asked for. But again, it's their

prerogative to come and inspect if they wanted to. We' ll find out in the next couple of weeks where our priority review request stands, and that will give us a good idea, if there will be any plant inspection.

Kunal: Do we have any TA D date as of now?

Vinita Gupta: Like I said we just filed for a priority review, and we'll have a TA D date in November for the request, in the next couple of weeks.

Kunal: So you will get TA D date in November, you have TA D?

Vinita Gupta: Yes.

Kunal: Okay. And the second question on the acquisition, I think our press release mentioned that we'll also have whatever infrastructure is required for this product. Does it include any kind of manufacturing line or something?

Vinita Gupta: No, it's just an asset

acquisition. No manufacturing, we have the manufacturing c apability.

Kunal: So currently it is manufactured by someone else, you would bring it to our own plant, is it?

Vinita Gupta: Over time, some Brovana sooner than Xop enex, but we have opportunity, the potential to bring it back in -house.

Kunal: Okay. And let's say, one last question on the cost initiative, I think we were very sure that th ere will be INR 20 crores savings in the employee cost line item in quarter 2. So what has change d? Why it has not materialized, or it has materialized and there is s ome cost inflation that is coming in the quarter 2?

Ramesh Swaminathan: It has certainly very well materialized. There is, of course, our savings there. But there has been a shift between lines. It shifted from impact on parallel lines for cert ain in centi ves et cetera to the salesman, which is coming to the sales figure, to the salaries, employee figure.

Vinita D. Gupta: Employee figure so for India.

Ramesh Swaminathan: Yes, in India.

Vinita Gupta: So there have been savings on the workforce planning that we did in the last quar ter, but offset by additional

Ramesh Swaminathan : Shift in lines.

Vinita Gupta : Yes.

Kunal: Okay. And if I may ask just a last one, in terms of the FT, failure to supply penalty , what would be that number for this quarter?

Vinita Gupta: It was marginal actually. It's come down significantly. Actually, there was a good amount of savings both in failure to supply penalties as well as freight cost as Ramesh mentioned as well.

Kunal: Okay. So, last quarter it was $4 million and this quarter is almost 0?

Vinita D. Gupta : It's under $2 million.

Ramesh Swaminathan : Yes, it's marginal actually.

Mod erator : Thank you. The next question is from Vinay.

Bino Pathiparampil : Am I audible? Hello?

Mod erator : Yes.

Bino Pathiparampil : Congrats on a great improvement and thanks for taking my question. Vinita, just a couple of clarifications, for Darunavir, did you say Q1 FY '24?

Vinita Gupta: That's right.

Bino Pathiparampil : Okay. Just a couple of other product queries, any update on Dulera filing?

Vinita Gupta : Yes, Dulera we had a CRL that we responded to the agency very recently.

Bino Pathiparampil : Okay. So, do you expect to hear anything in the next 6 or 12 months?

Vinita Gupta : Yes, we e xpect in the next couple of months to find out if the agency is satisfied with our response or we need to do more work on the product.

Bino Pathiparampil : Okay. And so, where does this product generally move, in which you will have a final approval, any timeline s for the launch?

Vinita Gupta : I don't know exactly when the launch stage is for that product. The near -term products as I mentioned are Spiriva, Darunavir, Diazepam and Nascobal, where we have exclusivity as well. But beyond that, products like Varenicline, will be material next year as well. And then injectable products, based on our inspection of our biotech plant, we would expect pegfilgrastim approval based on the inspection of our Nagpur facility recently. We expect products like glucagon to be approved and the like.

Bino Pathiparampil : Understood. Great. My final question to Ramesh, the tax rate is running around 31% to 34%, which is much higher than the corporate tax rates in

India. So how do you see this panning out over the next couple of years , and do you have a plan in place to bring it down?

Ramesh Swaminathan: Yes, so, whilst, if you look at, in fact, standalone results, the absolute numbers in India and the percentage would be lower. It's only the presence of in fact some loss making subs idiaries in various part s that is actually causing this number to deteriorate. And the first quarter, of course, there was this anomaly, be cause

of lower sales in America caused because of the stock situation being what a buzz.

But we are very much conscious of this and for the full year actually you would see it going down for the year end, and the fourth quarter, for example, it could be very much in line with normal rates. In the next 2 to 3 years, we expect the tax rates to come down for sure, for sure in India, but we also expect profitability to come back to in a lot of other regions, so that could potentially bring down the overall effective tax rate for the company.

Bino Pathiparampil : Thank you very much and best of luck.

Mod erator : Thank you. The next question is from Damayanti.

Damayanti Kerai: Hello, am I audible?

Moderator : Yes.

Damayanti Kerai: Thanks. Ramesh, you have been mentioning about some cost initiative, results of which will be hopefully visible in the coming quarters. Can you a bit elaborate like which are the areas where we are expecting si gnificant cost benefits to come in, where you have bee n working for say the last few quarters?

Ramesh Swaminathan: We have been working on a number of initiatives, and as I've said a few minut es ago, we have been working on actually on the direct cost also in terms of alternate vendor development, in terms of routes to synthesis. Apart from that, we have been working on optimizing the workforce at the factory level, addressing the footprint to reducing the overall idle time. We're looking at the footprint rationalization also.

Apart f rom that optimization of the workforce at the R&D level, and a host of other measures to ramp up the productivity o f the sales force and the like. And apart from that, there is, of course, freight, in terms of the mode of transportation to America. The FTS issues that we were facing in the past, then, of course, the stock returns. So how do we actually make sure that the returns were also kind of brought down, the quantum of returns in America itself.

So, all of this is actually moving in the right direct ion. There has been tremendous progress in this, and over the next in a year , you would see all of this certainly contribute to the EBITDA margin improvement that I'm speaking about.

Damayanti Kerai: So, say like Spiriva comes by end of this fiscal, and a ll these initiatives start yielding results. You're hopeful that by next year, your margin should be definitely better than 16% or so, maybe like moving to high teens?

Ramesh Swaminathan: Yes, that's absolutely true.

Damayanti Kerai: Okay. And just a question on the marketing team in the U.S. So right now you do n ot have any team for promotion, right? And if required, you might build a small team for the acquisition, which you did recently?

Vinita Gupta: Yes, at present, we haven't planned to build a team to promote the products. They haven't been promoted for couple of years. So we expect to continue to deliver the revenues that we have pla nned without an investment, but we will assess if it makes sense to invest into sales promotion.

Damayan ti Kerai: Okay. So, after Solosec team disintegration, right now you do not have any specialty team in the U.S. right, if my understanding is correct?

Vinita Gupta: We don't have a specialty sales force. We promote Solosec through a partner, through Exelt is, and likewise have the option of promoting also Xopenex through a partner if we wanted to.

Damayanti Kerai: Okay. Good to hear that. My second question is on respiratory franchise. So obviously you have done very well in the Albuterol franchise. Can yo u talk a bit about your progress in Fostair, like what has been pick up on the European market, if you can quantify any number there in terms of sales or how you have moved in?

Vinita Gupta: Yes. So, it has ramped up. It's still, compared to the Albuterol contribution, it is relatively speaki

ng very small given that the U.K. market itself is a fraction of the overall Fostair market, but our market share has ramped up to double - digit at this point and continues to ramp up week -after -week. We expect to launch the product into other markets in the last quarter of the fiscal year based on our launch date agreement. So we would expect to expand our position with Fostair beyond U.K. into other markets in the quarters to come, that will also help us reall y access larger part of the market. But the product continues to be a very good contributor to the U.K. market, the U.K. business grew significantly on a small base, but primarily on the back of Fostair.

Damayanti Kerai: Okay. And my last question is, how do you see R&D moving from here on? And what are your priority segments?

Nilesh Gupta : Yes, the R&D number is pretty stable, and we expect it to continue more or less at this level. Obviously, the high investment areas are areas like inhalation, injectab les, then some biosimilars, and obviously a steady portfolio of the oral solids, ophthalmic kind of products as well. Over the period of the last few years, we've obviously changed from focusing primarily on oral solids to these differentiated dosage forms and our intention would be to continu e that. I think the budget is pretty well set as you've seen, I think last couple of years we basically stayed at this kind of number, including the number that we reported this quarter as well. We feel that this is a really good number for us to be able to work with.

Damayanti Kerai: Thanks, that’s helpful.

Mod erator : The next question is from Sameer.

Sameer Baisiwala: Hi, G ood evening everyone. Ramesh, if I'm not wrong, I thought the exit EBITDA margin for fiscal '23 you had earlier guided to 18%. I think they are very different numbers being spoken off in this call.

Ramesh Swaminathan: If there's going to be a function of larger products, Sameer, so it could be anywhere between 16% to 18% range, at the lowest, it could be 16%, at the highest level, it could be 18%, which would be the exit run rate in the fourth quarter.

Sameer Baisiwala : Okay, this is fine. And this follow -up to that is, what's the expectation for fiscal '24, both on the top line growth , excluding Spiriva and margins, including everything, if you can just help with that?

Ramesh Swaminathan : So as I said, Spiriva, is certainly going to be a very important addition to our overall portfolio. So, the overall evolution on the margin plant wo uld certainly be dependent on that. Whilst we make progress on various initiatives that we just spoke about, getting the top line moving is going to be extremely important.

Sameer Baisiwala: Ramesh, the question is excluding Spiriva, what could be the top line growth for fiscal '24? I mean is it going to be mid-teens or any guidance on that?

Ramesh Swaminathan : It would be difficult to kind of estimate a t this stage because there are several moving parts in America, including, in fact, the OSD business be ing what it is and so on. I would say that there is secular growth across various oth er geographies. But the 1 factor, which is very difficult to kind of estimate is indeed America. We have seen in the recent past at least that there has been a lot of surprises coming in. So, Spiriva is going to be a very important factor, whilst we are, of course, working on rationalizing our overall portfolio itself, make sure that there is optimization on the cost associated with the running our American business.

Sameer Baisiwala: And just on Suprep, Vinita, if my number is correct, I mean, is it a $30 million, $35 million kind of opportunity over a 6-month period? And after that, then it gets very competitive?

Vinita Gupta : Yes. So, I'm going to stay away from a

p roduct -specific guidance, but it is a nice size product. And right now, it looks like we share the market, of course, with the brand. They preemptively lau nched an authorized generic. B ut we've got close to 50% share from customers that we have locked down with the product, the market share that we have got from a customer's perspective. We also think that the exclusivity might be a little bit longer based on what we have learned from a supply perspective, we believe that some of our competitors might be de layed, and we might have the product the runway a little bit longer than 6 months .

Sameer Baisiwala: And one final question with your permission, given that Spiriva is so important, anything on the supply chain, different components, anything that you think can make a difference? Or are you thinking it's more or less streamlined?

Vinita Gupta: No, we have been working pretty much for the last couple of months ensuring that we have adequate supply of everything that we need, whether it's the capsules an d the devices and all of it to ensure an effective launch. So, we are well into launch mode from a supply perspective.

Sameer Baisiwala: Okay, G reat. Good luck.

Mod erator : Thank you. The next question is from Kunal.

Kunal: Hi, Good evening. Vinita, just one clarification on the Tarapur API warning letter. I think the warning letter states that you're suspending production of drugs for the U.S. market. But I think you mentioned on the media that I think the supplies are continuing. So, just a little bit of a confusion here. If you can just clarify that?

Vinita D. Gupta: Yes, I'll let Nilesh take that question.

Nilesh Gupta : Yes. So, we've clarified to the FDA. Basically, there is a misunderstanding basis what we had shared with FDA. There were certain products that we had suspended in the past. And the misunderstanding was that we are suspending supplies from the plant altogether. So, we've clarified and we have FDA's acknowledgment on the clarification as well. We obviously continue supplying multiple products, many products. Tarapur is pretty important in the U.S. scheme of things. And we also don't anticipate any disruption of supply from that facility.

Kunal: So, of your outstanding filings, how dependent would you be on Tarapur?

Nilesh Gupta : Nothing really. There's no meaningful pending approval from Tarapur.

Kunal: Okay, got it. And second question is on again Spiriva, now I think the Spiriva prescriptions, I believe, have been falling over the years. And after the introduction of Respimat I think they have gone down even f urther because I think Respimat has taken 50% or so of the market. So, just wondering what's the covered market t hat you are actually targeting? Would it be around $500 million and maybe you're asp iring for 20%, 22% kind of market share?

Vinita Gupta : No. So, I think you can take a look at the IMS revenues and we target the entire m arket when we look at the brand pricing and what price we launch at. When you look at the net sales after the rebates for a brand that's more relevant for the brand than it is for generic. So I mean, the IMS revenues are still $1 billion or close to $1 billion product, it's a material product where we expect to be a sole generic with maybe an authorized generic in the nea r term future. We'll see what happens when the product goes generic. We have seen in cases like this where brand has shifted the franchise to a new dosage form that sometimes a lower -priced product is able to take some of the share back. So, we'll wait to see that. But it continues to be a sizable opportunity for us in the next couple of years.

Kunal: And if I can squeeze in just 1 more. On the biosimilar front, I think you have a couple of products in the U.S. market, pegfilgrastim and ranibizumab, which is still under, I think,

clin ical trials. I mean the market might be set up by the time you enter, just wondering how we should sort of look at these opportunities?

Vinita Gupta : Yes. So, ranibizumab is, of course, in development and pegfilgrastim, the PFS is what we were expected for by the FDA in the last couple of weeks. So, we're actively looking at ways and means of leveraging that product once we get approved in the marketplace, whether it is through institutional sales force or through a partner, we have both options, and we are actively looking at both opportunities based on, again, the investment in commercial infrastructure versus the upside.

Kunal: And you still think it could be meaningful opportunity for yo u because the price erosion has been very steep in biosimilars in products like pegfilgrastim in the U.S?

Vinita Gupta : Yes, so we're tracking the pricing very closely. Obviously, both on pegfilgrastim and r anibizumab as well as other products. And as the market uptake has improved, competitive intensity has increased. We have certainly seen significant price erosion. That's why we are weighing options. Like I said, we have options of both partnering or leveraging our institutional infrastructure that w e will have in place for inject ables to be able to gain market share with the products. I mean it's a different situation that pegfilgrastim and ranibizumab, ranibizumab is a few years away, pegfilgrastim is in the next 6 to 12 months. So also, we will wei gh the launch of the next product after pegfilgrastim to determine what makes sense for us.

Mod erator : Thank you. Next question is from Surya .

Surya Patra : First que stion is on the R&D spend . So, you had indicated about hiving of your NCE research and he nce, to some extent in using our R&D spend on the basic research front. Any update on that?

Nilesh Gupta: Yes. So, we've been try ing, of course. So in essence, we've been looking at multiple options there. I think the first option was to spin out oncology altogether, transition the entire engine into an engine that produces oncology assets. It's obviously been a tough financial market at this point in time. And so we decided to focus primarily on the development assets that we have. We have 5 development assets pretty much all in the oncology space. Those are the ones that we're taking ahead. And in the meanwhile, we've scaled down the NCE team. So, we've reduced the burn very significantly. And the primary burn going f orward will be the investment into the clinical development of these 5 assets.

Surya Patra : But that will not have any meaningful spike in the overall R&D spend then?

Nilesh Gupta : No. So, we see a reduction right now, first of all, because the last quar ter, it was actually there in the numbers. So in Q3, Q4, we will see a reduction in the R&D line on count of that small, but it will happen. We don't see a material increase. So, I don't think we were going to get into a deep global clinical development on these yet. So, in any case, these are really Phase I assets. So, they will go through that process, they'll go through certain clinical trials before meaningful investment will come up.

Surya Patra : And secondly on the diagnostic investment , so we have not spoken much about this diagnostic foray. But we have already created a kind of price raise in that business space. So could you share that, what is the kind of cost that we are currently incurring on that side? And to what extent margins a re suppressed because of that?

Nilesh Gupta : Yes. So , the business is small right now, and that's the reason why we've not been talking about it. We said we'll let it go to critical mass before we really talk about it. The investment is also not heavy and it's already fully baked into the numbers. We don't see really an increase in the burn t

hat will happen
than what is already captured in the numbers. We'll really let the business grow for the next 1, 1.5 year before we talk about it. It is perfo rming well ahead of our expectations, well ahead of their own business plan as well. But I think we need to let it grow for some more time before we really start talking about it.

Surya Patra : Sure. Just 1 more question on the, let's say, the India busine ss, which has been kind of, let's say, sub -par in terms of growth. That is one. And the other emerging market and ROW market in the Europe and all those are kind of doing relatively better in terms of growth. So on this market, how do you see that, okay, w hen you are expecting there is a profitable progress for your company as a whole, the role of these market and your aspirations in these markets and your strategy. So, in what manner these markets are going to contribute to your profit and progress of Lupin?

Vinita D. Gupta: So, I think we talked a little bit about it. But when you look at other emerging markets, it's roughly 11% of our revenues. You look at the other developed markets, roughly 10% of our revenues, both growing extremely well. The emer ging markets, whether it's Latin America, South Africa, Philippines, grew double -digit and it's a profitable business at an EBITDA margin well above the company average, and we continue to drive growth in the emerging markets, look at opportunities opportu nistically again, look at wh at we can help grow them faster.

But are looking to find ways and means of growing their emerging markets, other emerging markets of the entire pie. Likewise, the developed markets are roughly 10% of our revenues, and that's C anada, Australia and Europe. Out of which Australia is the largest now. I mean done extremely well. I think that region probably was the fastest growth part of our business in this first quarter.

And one, because we had the integration of Southern Cross in Australia. Two , we had products like Fostair growing the U.K. business and the like. And our Canadian German business also performed pretty well. I mean, the developed markets, I think, really have really good growth drivers that have a synergy with our U.S. market.

So, when you look at the inhalation pipeline, when you look at the complex injectables pipeline, when you look at our biosimilars pipeline, there's significant potential in all developed markets. So, our inhalation plans are global, especia lly for the developed markets, it's material opportunity. Likewise, the injectables and biosimilars. So, we expect the other developed markets to grow very nicely in the years to come as we evolve our pipeline and bring these complex platforms effectively to market.

Nilesh Gupta : And if I can just add on India, that's obviously our largest market at this point of time. And we're very aggressive about our growth prospects in India. We're substantially adding to the sales force. At this point of time, we are obviously launching multiple new products and new divisions as well. So, that double down on India will continue. Yes. Surya, you might be on mute .

Surya Patra : On Enbrel, if you can t ell us whether it has reached some size of $10 -odd million kind of size or isn't that. Some sense on that would be useful.

Vinita Gupta : Well beyond the $10 million plus size at this point.

Moderator : The next question is from Tushar.

Tushar Manudhane : Just on Xopenex, if you could just help understand the kind of market share this would be having in levalbuterol as a molecule?

Vinita Gupta : It's 100% of the levalbuterol market. Xopenex is levalbuterol.

Tushar Manudhane : Secondly, on the Spiriva, like any particular reason that after addressing the queries there is to be again refiled as a priority product, refiling. I pr

esume
this would have already done earlier and that would have what triggered inspections and the other regulatory actions by the U.S?

Vinita D. Gupta : Yes, whenever you fil e a response to a CRL you'll to get priority review, you have to file for priority review.

Tushar Manudhane : I thought it would have been more from the U.S. FDA side to determine whether the product would be taken on t he priority basis or not, so that's a question.

Vinita Gupta : No. I mean, you have to file with a request and then they'll respond.

Tushar Manudhane : Thank you .

Mod erator : The next question is from Vivek.

Vivek Agrawal : My question is on Darunavir. Can you play share some light on the product because there are multiple forms, tablets, suspension, et cetera. So, what exactly we'll be launching? And will you be having sole exclusivity on this product? Or is it going to be shared with some ot hers also?

Vinita D. Gupta: Yes. So it's a material product. It's a tablet dosage form that we will be launching. And we have exclusivity. I believe you have assumed that there'll be an authorized generic in the marketplace. But needless to say, it's a material opportunity.

Vivek Agrawal: Would you like to highlight what is the addressable market size?

Vinita Gupta : I think it's around $300 million, if I'm not mistaken.

Vivek Agrawal : Second question is on the respiratory pipeline as well as some of the complex injectable products. Can you talk a bit more there? Are these products in terms of planning, how long for example, these products are away from filing etcetera?

Vinita Gupta : Yes. So, we have multiple products in the pipeline on the respiratory front, on the MDIs, DPI and soft -mist inhaler. At the forefront will be products like the DPIs, Ellipta franchise and the soft -mist inhaler, the Respimat franchise. And we are in different stages of development, in some case, pilot PK studies a nd in other cases, earlier stage.

But I would expect that we will start filing the DPI and SMI products in the next, I think you'd see 1 filing in the next year and then a couple more the year after. We also have a few MDI products that we are pursuing. And you will see those also will be filed in the next couple of years. So, I'd say a number of these, we have 9 or 10 products in the pipeline that are all in active development to be filed in the next 2 to 3 years.

Vivek Agrawal : And on some of depot pro ducts that you were developing, how far these products in terms of filing?

Vinita Gupta : Yes. So we made significant progress actually on the depot front with the first one Risperdal Consta out of our Netherlands platform facility. We have got a positive endpoint study, PD study that we completed successfully earlier this year in the last couple of months and are expecting to file that this year, end of this fiscal year.

Vivek Agrawal : Last question, if I can squeeze. So, India this year has been impacted because significant competition in some of the products, especially in diabetes, how we see the growth next year? I t is possible to grow in double digit. Any color would be helpful.

Nilesh Gupta : Yes, we should be back to the double -digit growth next year. So, I think diabetes will still continue to be suppressed even next year, but on the back of growth on the other chronic areas like respiratory, on the cardiac segment itself, even other segments like GI and the like, we certainly would get back to double -digit growth.

Vivek Agrawal : Thanks.

Mod erator : The next question is from Krishnendu.

Nilesh Gupta : Krishnendu, I think you are in mute.

Krishnendu Saha : Hello, can you hear me?

Nilesh Gupta : Yes.

Krishnendu Saha : Hello?

Nilesh Gupta : Go ahead.

Krishnendu Saha : Do you hear me?

Nilesh Gupta : Yes.

Kr

ishnendu Saha : Hello, can you hear me?

Vinita Gupta : Yes, we can hear you.

Nilesh Gupta : Maybe we go on to the next one.

Mod erator : The next question is from Bharat.

Bharat Sheth : Hi, thanks for the opportunity. So sir, just wanted to understand, partly on the cost containmen t measures, in last quarter, we outlined that we are going to save around INR 500 crores to INR 700 crores in the ensuing years. However, whatever we have detai led out in terms of the things which we are working out to contain the cost, doesn't seem to add up to save around INR 500 crores, INR 700 crores. So, what is the exact reason? Because just changing the vendor or something will not lead to a INR 500 crores of savings. So, what exactly we are doing to do that, achieve that number?

Ramesh Swaminathan : The savings are across various buckets. So, there is a portion which is actually going into the gross margins also because of the various initiatives that we have taken. So, whilst we actually started outlining in fact, our other cost measures below that line and we spoke about several things, including idle time, work -force planning, we spoke about trade, we spoke about stock returns, FTS a nd the like. Action on all of those have actually been going through that over the last several months, so to speak. Some of these have actually started flowing into the various lines, and there will be more to come in the days to come as well for sure.

And there have been some offsets. Essentially, as I was saying, whilst the workforce planning, for example, there has been a reduction on the salaries, on the manpower cost. There has been shifts from potentially from some other lines, that doesn't actually kind of reveal what kind of savings that we have been able to bring about. But I'm sure that the overall target is very much within our reach, and we believe that it will come out when all of this will actually pave the way for potentially the opt imization that we spoke about .

Bharat Sheth : So, in your assessment, how much we have already achieved and by when we can achieve this exit INR 500 crore to INR 700 crores? Whether it is something which will be achieved towards the end of next year or how it is?

Ramesh Swaminathan : So, we went about wanting to achieve close to about INR 750 odd crores. And by the end of this fiscal, we think close to about INR 400 odd crores would be achieved.

Nilesh Gupta : But Ramesh, I think the point that you're making is that there are inflationary price increases, there are sale price reductions that happened. Obviously, some of the delivery that's happening right now on the numbers is happening because of that optimization, but a good part of that gets eaten aw ay by inflationary measures as well.

Ramesh Swaminathan : On the gross margin front for sure and other parts as well. Yes.

Bharat Sheth : Nilesh, last quarter, actually, you mentioned that we'll be clocking double - digit margin irrespective of the new launc hes. So, how do you see that comment paving out for us?

Nilesh Gupta : Yes, unfortunately, didn't work out that way, right? So we very clearly thought that we'll get that bounce back in both the cardiac space and the diabetes space. Cardiac has improved a little bit. I think pretty much back to 10 -odd percent. Diabetes continues basically at 2 percentage points growth for us.

Bharat Sheth : I'm sorry, actually I was referring from the margin perspective.

Nilesh Gupta : I'm sorry.

Vinita D. Gupta : Double digit margin .

Nilesh Gupta : I think we've said this many times over, right? I think for getting back to double -digit margin, we are, first of all, already there. We're going to have a sequential increase in the quarters on the margin as well. To get back to that 18%, 20%, certainly, we see that happening next year, but we see it on the back of the new launches, and we at least see 3 interesting products that we will be launching in the U.S. in the next year. So obviously, next year, we get back to that 18%, 20% kind of number. We're hoping that it happens in Q1. But if not in Q1, I think likely, at this point of time, Q2 onwards, we should be at significantly higher margin numbers.

Bharat Sheth : So, I just wanted to understand, without ne w launches, can we go back to margins like 12% or 13 -odd percent or it will be all delivered by the new launches. So, I just wanted to understand.

Nilesh Gupta: So, I think when we talk about sequential improvement in Q3, Q4, we'll get to those kind of nu mbers without the new launches.

Bharat Sheth : That’s it. And on the part of India expansion, so what sort of sales force expansion, which we are doing? So, how many sales force we have and how many we are adding?

Nilesh Gupta : So we have about 6,000 repr esentatives right now, about 7,200 people in all. And this year , we will add another 850 representatives by the end of the fiscal.

Bharat Sheth : And what sort of cost escalation that will lead to overall?

Nilesh Gupta : I think it's baked into the numbers that we have planned. I don't have the number off -hand because basically, it's really getting those people ready for the next fiscal. In the last 2 years, we've obviously not added much to the representatives. In the top 10 companies we're possibly the second smallest in terms of sales force size. So, I think there's significant room for expansion that we see. So, there wi ll be at least 4 more divisions that we'll be launching with this new sales force addition.

Vinita Gupta : So, it's fair to say t hat we will continue to improve our margins in the next 2 quarters despite this investment and we believe this investment is material for us to get the India business back to the double -digit growth.

Bharat Sheth : And before I move back to the queue, I just wanted to clarify one thing. When we said that we are going to get back to 12%, 13% margin in the third quarter and fourth quarter, here we are including Suprep , right?

Vinita Gupta: Yes, we are. Okay. I think we're on time.

Nilesh Gupta : I think we're out of time. Maybe one last question.

Mod erator : Yes. The last question is from Krishnendu.

Krishnendu Saha : Can you hear me?

Vinita Gupta: Yes, we can.

Krishnendu Saha : Just a couple of understanding. The flu season is on in the U.S., it's better than the average for the last whatever historic. Just trying to if you can give us a flavor as to how it would look like in the past, some on the historic basis, how much it could add in the coming, say, year or so? And how long does it last? That is one.

Number two , I believe 20% to 25% of our Indian revenue is on in -licensing basis. So, how much of it would come for repricing or rebidding like we lost Cidmus to Dr. Reddy, if you can let me know that? And Dulera inhaler, which you said is '24, just to clarify how big is the market? Those are 3 questions.

Vinita Gupta : Yes. So, the first question on the flu season, it's hard to predict given that 3 years we've had no flu season. But it's fair to say that we have started to see some pickup, both in the U.S. as well as what we're hearing from our team on the API side. They're seeing the Cephalosporin business pick up. It's hard to really put a scale and around it. But it's fair to say that we should be able to do better than the pa st couple of years. And this season will really establish what it looks like going forward. Usually, the flu season lasts from October

onwards till April - May. So, it varies from season to season. So, we'll see where we end up. But we are looking forward to a strong flu season and serving patients in a strong flu season.

Kris

hnendu Saha : Is that number baked in when we speak about margins or the top line in the U.S? Is that a number we take into account or we just as usual, we take in the last 2 years' figures?

Vinita Gupta : Yes, we have. Albuterol, Cidmus and the in -license product.

Ramesh Swaminathan : You said 25%. It's not true. It's actually 16% at this stage. You will see this progressively coming down too much lower numbers because there is going to be loss of exclusivity coming up over the next couple of years also.

Krishnendu Saha : So, the 4 divisions which we launch and 2 more would take care of the falls, which would happen in the coming years?

Ramesh Swaminathan : Yes. And also we expect, in fact, the growth from our newer product that we are speaking about as well as the in -line portfolio to kind of take care of that.

Krishnendu Saha : And if you could, sorry, the third question was

Vinita Gupta: It was on Dulera, the market size, $200 million or thereabouts.

Krishnendu Saha : So, if I can just line of reduction, like it will be like Spiriva, Du lera and the HIV drug, which is going to get launched. When does that go to get launched?

Vinita Gupta: Well, we talked about Spiriva and Darunavir.

Krishnendu Saha : Darunavir, the product is launched. Sorry, I didn't get that, part, so I'm repeating the question.

Vinita Gupta : Yes, it's going to be Q1 of next fiscal is when we expect Darunavir to launch, we've already got appr oval, and we are first to file on the tablet dosage form.

So, I expect to launch it in time. We are getting launch ready for that product as well. And then we have Diazepam Gel, which is a smaller product, but again, a significant amount of complexity. So, we expect that to be a nice launch for us in the next 3 to 6 months. And then we have Nascobal, where we are first to file out of Somerset that we hope to launch in either the first or the second quarter of next fiscal year.

Krishnendu Sah a: And so Somerset is still on with us. So, we will keep the plant running and we'll keep it working just the way it was in the past?

Vinita Gupta : Actually, it is a very efficient plant now. I mean we had a lot of failure to supply out of there as well b ecause of the compliance issues. Now that the compliance issues are behind us, the team there has done a great job in

getting the service levels up to the 98% plus, the same as India. That is what has really got our FTS, failure to supply penalties down si gnificantly that we talked about in the last hour. And so the eff iciency from the plant has gone up significantly and the new product launches will just add to what the plant can contribute to the business.

Krishnendu Saha : I'll just ask 1 last question. On Tarapur , the API plant, it doesn't have anything to do with the growth in the Goa plant? When do we see that coming through? How do we tie those things up?

Ramesh Swaminathan : So, they're unconnected. So, Goa, we'd already cleared the 483 and warning letter issues, right? In Tarapur, it's an API plant with no meaningful pending approvals. And like we've already clarified, the continuity, supply continuity remains as is.

Krishne ndu Saha : So, Goa plant is not very much dependent on.

Vinita D. Gupta : Okay. So with that, we will wrap it up. I hope you have got answers to all your questions. As you can see, we are committed to deliver continuous improvement on our business as we exe cute on our strategic plan. This quarter certainly was a turnaround for us and we will continue to build upon this, build on the momentum in the next 2 quarters.

There were a number of questions around cost improvement measures. Some we have got significant benefit and will continue to do so in the quarters to come. And some of it will show in the margin improvement. Some will go to offset the inflationary pressures that

we see. But needless to say, as we get into a period of getting approvals for some of our bigger products like Spiriva and Darunavir and the like, we expect to get to a very strong double -digit margin, 16%, 18% plus in the next fiscal year.

So, we look forward to connecting with you again and look forward to sharing updates on ou r business in the next couple of months. Thank you.

Mod erator : Thank you. That concludes today's conference. You may now disconnect your lines.

Call: Feb 2023

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February 16, 2023

■BSE Limited
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National Stock Exchange of India Limited
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Dear Sir/Madam,

Transcript of Q3 FY2023 Earnings Conference Call.

Pursuant to Regulation 30(2) read with Schedule Ill Part A Para A(15)(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed is a copy of the Transcript of the Q3 FY2023 Earnings Conference Call held on Friday, February 10, 2023.

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

R. V. SATAM
COMPANY SECRETARY
(ACS - 11973)

Encl: a/a

“Lupin Limited Q3 FY2023 Earnings Conference Call”

February 10, 2023

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN - EXECUTIVE DIRECTOR, GLOBAL CFO AND HEAD CORPORATE AFFAIRS, LUPIN LIMITED

Moderator: Welcome to Lupin Limited Q3 FY23 Earnings Conference Call. Please note that all participant lines will be in listen -only mode. And there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded.
I now hand the conference over to the management. Thank you, and over to you.
Vinita Gupta: Thank you. Good afternoon, friends. I'm very p leased to welcome you to our Q3 earnings call. I have with me our Managing Director, Nilesh as well as our CFO, Ramesh. As you would have noted, we have continued to build on our momentum in Q3, both on revenues and in particular, on margins. I'm very plea sed that in Q3 , our US business performed well, India business growth improved, and API business rebounded as well.
On the margin front, we saw the bene■t of NPLs in the US, seasonal product upside as well, and continued savings from our optimization measu res. We are focused on sustaining this positive momentum, in particular as material new product launches start and our recent investment in our sales force expansion in India starts yielding results.
I will let Ramesh talk through the performance in deeper detail. I would like to share some of the business highlights.
In the US, we have continued to evolve our business with optimization of oral solids, driving growth of complex generics, respiratory franchise in particular,
and executing on our new product launches. During the quarter, our in -line business was almost ■at with slight decline due to exit from low -margin products, o■set almost completely by seasonal products.
New product launches in the year contributed well in the quarter, with Suprep ramping up, Perforomist generic successful launch and then Pennsaid
authorized generic launch. Our respiratory franchise strengthened with albuterol continued strong performance, addition of Brovana and Xopenex brands as well as generics launch.
As we look at the quarters ahead, we expect new product launches like gSpiriva, gDiazepam Gel, g Nascobal Nasal Spray and gDarunavir, all products where we have either exclusivity or ■rst to market position , which will drive growth of our US business in a pro■table manner. O n Spiriva, we continue to make progress and have received priority review from the FDA for a target action date in April, without inspection , or July , with inspection. In the
meantime, we are getting ready with launch preparedness. We continue to see Tiotr opium as a substantial opportunity for ■scal year '24 with a signi■cant runway, given the competitive dynamics.
Products like g Diazepam Gel and gNascobal, we now hope to see approval soon given the recent successful Somerset audit. Our US generics business has come a long way in calendar year '22, still a long way to go. However, with the

new product launches coming in, continued optimization e■orts, focused e■orts on building a niche inhalation, as well as injectables pipeline, we are optimistic that we wi ll grow our US business in the next couple of years.
Switching to India, the largest part of our business, while our growth in the quarter and ■rst half has been below market, this is primarily due to loss of Cidmus from a cardiovascular portfolio and gene ricization in the diabetes segment in the gliptins. But for the diabetes portfolio, our growth in Q3 was in line with market, with therapeutic areas like cardiac, GI, respiratory, all delivering double -digit growth. Our gynaecology and GI have actually bee n the
fastest growth therapeutic areas for us. This quarter, we have added close to a 1,000 reps, created six new divisions to expand our reach and share of

wallets. We expect the investments to get us to above market growth in the
quarters ahead. We are c ommitted to growing our India business to double -
digit growth in the quarters ahead.
Other t

han India and the US, our API business recovered with the growth in cephalosporins and other countries like UK on the back of Fostair generic and Germany due to NaM uscula grew as well quarter- over -quarter. On the margin front, we expect continued improvement in particular as we execute on new product launches and our recent investment in the sales force in India starts yielding results. Likewise, we continue to focus on cost optimization e■orts. While we have been successful in optimizing our manpower costs, we have been very disciplined in getting out of low margin products that has not allowed us to optimize our idle costs. Nevertheless, we are con■dent with the e■orts that we have underway , we should be able to move the needle on this front in the quarters to come as well.
On the compliance front, we have made progress with positive outcomes on sites like Ankleshwar, Nagpur injectables and Somerset. We've also made substantial progress on our remediation e■orts in Tarapur and Mandideep. The recent approval of our injectables facility will enable us to start building our organic injectables portfolio in full earnest. Overall, we are moving in the right direction. We e xpect the pace to get better , as we execute on our
material new product launches in the quarters ahead.
With this, I will hand it over to Ramesh for deeper analysis of our performance.
Ramesh Swaminathan: Thank you, Vinita, and good afternoon, friends. Sales for the current quarter were INR4,244 crores as compared to INR4,091 crores in Q2 FY23, a growth of 3.7%. On a year on year basis, the growth was 3.8% while the previous year
sales was INR4,087 crores.
The US business -- in the quarter, the US business registered a 11.2% growth in local currency terms on quarter- on-quarter basis with new product launches in the US generics business and brands acquired from Sunovion. On a year -on-year basis, revenue declined by 12.3% in local terms with price erosion in top brands like Brovana, Albuterol and Famotidine . We launched four new

products : Perforomist, Pennsaid, Rufinamide , and Paliperidone ER tablets in Q3 FY23, bringing the total NPLs to 8 for the year. NPLs contributed $20 million in Q3 revenue.
India branded formulations business declined by 3.4% in Q3 versus Q2, whilst on year -on-year basis, sales grew by 2.6%. The overall market growth during Q3 was 10%, whilst Lupin grew by 7.5%. Loss of exclusivity and g enericization in the anti -diabetic 's portfolio has impacted growth rate of Lupin . Inlicensed portfolio held by Lupin in the anti-diabetes is close to 55% of the portfolio for anti-diabetes portfolio. As you would know, our top three TAs are cardiovascular, diabetes, and respiratory. Apart from that, gynaecology, and GI, we are also doing very well. And they are growing , in the case of gynaecology by 19.7% and GI by 16.1%. API business sales grew by 12.7% quarter on quarter as core cephalosporins API sales recovered during the quarter. Year- on-year basis, sales growth was 9.8%.
On the EMEA front, revenue growth of 11.1% year -on-year basis . strong performance of back Luforbec in UK and NaMuscula in Germany was registered. Sales for G rowth Markets grew by 23.5% vis-a-vis Q3 FY22 and declined by 5.9% vis -a-vis the previous quarter.
Gross margins. Q3 FY23 gross margins are 59.8% as compared to 58.1% in the previous quarter. This is mainly due to US margin improvement, better product mix and reduction in freight rates. As compared to Q3 FY23 gross margins, the slight margin is due to reduction in write -o■s, freight, o■setting the impact of price erosion in the US markets , and of course , in■ationary pressures on the cost front. On the employee bene■t front, Q3 FY23 w as INR764 crores vis -a-vis INR771 crores in the previous quarter. There is a marginal decline on quarter-on-quarter bas

is because of star club payments made in the last quarter. We had highlighted this in our last earnings call as well.
On an ongoing basis, we expect employee cost to be in the range of 18.5% to 19% of sales, as we build our sales force in

India and Vinita just spoke about
that. A lot of people have been asking about our "manufacturing and other
expenses " spend. There is i ndeed a one -time expenditure base increase by
about INR40 crores which will potentially come down next quarter, but that
also perhaps in some base we o■set by perhaps an R&D increase next quarter.
EBITDA margins : Operating EBITDA excluding FX and other inc ome is 12.2% in
Q3, a quarter -on-quarter growth by 160 basis points because of higher sales,
gross margins and cost control. Normalized ETR is expected to be 35% as a few subsidiaries like LI, LOI, Digital and Healthcare continued to have losses. On the
balance sheet front, there has been lot of optimization that we've been
working on and working capital operating days were lower by ■ve working
days.
With this may I have the pleasure of opening this ■oor for discussion?

Moderator: Yes. Thank you very much. We will now begin the question -and-answer
session.
So, the ■rst question is from Prakash.
Prakash Agarwal: Yeah, hi. Good afternoon. Just wanted to check on the US run rate. We had
fairly good launches where we have couple of -- one AG and recent launch es
and we also acquired the two decent sized products. Just wanted to
understand and the season of -- season was also good. I think the ■u season
was good. Other companies have reported market share gains. Would you --
were you satis■ed with the US perform ance or we missed some contracts or
how to think about it as a base business now?
Vinita Gupta : No, we were satis■ed with the performance, Prakash. On the one hand, we
should never be satis■ed with the performance, but it's come a long way in the last co uple of quarters, the business, both the base business, in -line business
as well as new product launches have contributed very nicely to the quarter.
I'd say that the impact of the ■u season products, that obviously as the ■u
season recedes, which has alre ady started, one will see some decline on that
front. But the team continues to work on this. Now the 170 plus million dollars
run rate with the current products until we can get additional new product
launches like Tiotropium and the like.
Prakash Agarwal : Okay. I mean, so it's a full quarter bene■ts of these launches as well as the
acquired assets is what I was trying to understand and you are saying that, yes,
it had full quarter bene■ts.
Vinita Gupta: No, I won't say it's full quarter bene■ts, because we had the brands for two
months, Xopenex and Brovana. And Perforomist , we had some upside
opportunity that we were able to capitalize on , because of supply issues of
some of our competitors. So I would sa y, we will see an increase from the
brand products, but we'll probably see a normalization on Perforomist .
Prakash Agarwal: Okay, got it. Fair enough. And secondly on Spiriva. So, what I heard was April,
the TAD date has moved a bit to April, which is with inspection and June
without inspection. If you could just give more colour , what does it mean. So
TAD date is like what kind -- colour on the queries that has come in and without
inspection means that if they don't come by June, it would deem ed to be
approved or how should we think about that?
Vinita Gupta: So, it's actually the other way around, Prakash. It's April without inspection and
July with inspection. So, the FDA decides that they want to come and inspect,
then it will -- the TAD date will be July. But if they decide that they don't want
to inspect, which is very hard for us to predict , the agency is going to inspect
or not, then it's going to likely be April. And we are hopeful that we can
expedite it a

s much as possible, just given that our back and forth with the
agency. Majority of the disciplines have been closed. CMC, P D, and disciplines

have been closed. I believe that quality is still pending and that's why I say i t's
either April or July.
Prakash Agarwal: Okay. And lastly on the cost side, I think Ramesh did mention that there is a
INR40 crore one -o■, but even if I strip that o■, that cost is fairly high. So -- and
I understand there's a 1,000 people have been add ed. So incrementally SG&A,

traveling, marketing will increase from here. So ■rst is, why the jump? I mean, apart from normal in■ation, is there anything else that has increased or is it
maybe forex as well? And how do we see this number moving going ahead?
Ramesh Swaminathan : There is of course a slight impact because of forex because there is a rupee depreciation and when you translate expenses outside the country, it does happen that way. But the large chunk of it is actually coming in because of the fact that you have had higher travel. And I also told you, in Q2, there was a shift to in fact payroll expenses which is shifted back here. To that extent, it has kind of normalized out here. There has been a higher component in terms of litigation spends an d the like as well. So, all of this has actually contributed.
Whilst -- your question actually comes in from the fact that what did we do on the optimization plan. I rush to tell you that, we've been doing a lot of work on that. To be honest, a lot of it a ctually happens at the gross margins line itself and that is in terms of our route s of synthesis, alternate vendor development and the like. But this has also been in some ways eroded by higher in■ation out there. Also , there were ine■ciencies across vario us lines. And at the start of the year, we spoke about in fact trying to address the manpower situation at the factory level. We have been pretty successful there and it's captured in some ways in the sta■ costs cell.
There are other lines where we have been extremely successful. But there are parts which we couldn't do much because the fact that volumes did drop, we had to take write- o■s in terms of inventories that we had and plus, of course, issues that we had on the impurities front itself. So whilst th e initiatives are still on, there have been mixed results. But you'll certainly see a lot more of this bearing fruit in the quarters to come.
Prakash Agarwal: Okay. So our EBITDA margin guidance of exited of 16 to 18 with cost increasing and Spiriva movin g out to next quarter changes, right?
In a sense, yes. So, if you're talking about speci■cally quarter four, it would be in the same line, in the same range as the current quarter. But once we actually have the top line moving, which will potentially happen once we have Spiriva coming in and of course we've got D arunavir and others, you could expect, in fact, that to obviously impact the bottom line as well. We would continue to work on the cost lines as well. But I think we're really banking on the top line to shift to actually to see a real shift in the -- on th e EBITDA front.
Prakash Agarwal: Okay. Lovely. Thank you and all the best.
Moderator: Thank you very much. The next question is from Saion Mukherjee.

Saion Mukherjee : Yeah, hi. So, sir, just to carrying forward the question, I mean, you are banking on top line to deliver the margins, but it's a handful of products . So, you have Spiriva. In case that gets further delayed, what's your outlook on margin in that case? And in that context, it is important to understand in some granular detail, what's the kin d of cost control initiatives that the company intends to take, because banking on US revenues and that too with a handful of products, there can be potential risks to that, because the margins are very low at this point?
Ramesh

Swaminathan: Yeah. So, I also recognize that. We also recognize that in lots of way, Saion. So if the top line doesn't move, then potentially we still have to work on various initiatives on the cost front. And there are several things which you still can.
For example, there is an element of FTS still coming in because of the fact that if there are impurities and we are not able to supply, that's actually impacting in some ways the bottom line itself. There were write- o■s that we have taken during the course of this year. So those ar e lines that we still can work on, apart from, the footprint that we would reduce in case there is a further volume drop. So we would -- so it has to be in some ways an iterat ive process. We need to kind of weigh the pros and cons of potentially when would the top lines start moving and then potentially work on other items as well.
Speci■cally when it comes to India region, yes, we are going to add more people, but we're also working on productivity. So whilst there is going to be an increase in overall exp enses, we also believe that there is going to be commensurate increase on the top line. So, there would be. So, at the very least, what I do expect is that, if Spiriva and other products are going to get delayed, the expense lines will certainly -- will go down that path in terms of reducing. That could of course shift the EBITDA line in some way ; not to the extent that the top line can really move it, but there was certainly a perceptible

increase because of the reduction on the expense front itself.
Niles h Gupta: Would you like to talk about material rates as well.
Ramesh Swaminathan: Yeah. So if we talk about -- there has been an increase in cost of production because of that and which is really impacting in some ways the gross margin line, but better s ales mix and of course, reduction in terms of other -- the air freight and others have actually brought in some bene■t there and that's re■ected in the gross margin increase this time around.
Saion Mukherjee: Yeah. Ramesh, you used to talk about INR500 cr ores of savings. T here was a number which you talked about earlier. is that number still valid and how much have we already achieved and how much is left? If you can give some colour as to how much more just from a cost perspective one can expect?
Ramesh Swaminathan: Yeah. So the INR600 crores really could be broken down into six or seven buckets, so to speak. We achieved a lot of success in at least three or four of them, whilst two others we were kind of stymied because the volumes dropped and there was write -o■s among others . So overall, I would say that it's mixed results. So at least about 50% to 60% has been achieved, but where

we have not achieved also just signi■cantly alter s the balance. So still working on those. And it's not as it will never get achieved. It will get achieved. It's only a question of time and that would actually kind of round up the full complement.
Saion Mukherjee: Okay. Just one last question. Just a clari■cation on the new product contribution, $20 million I think you mentioned, this includes the acquired brands and also if you can indicate what's the exposure to the US market from the Mandideep facility in terms o f revenues?
Vinita Gupta: The largest part of it is Suprep, Perforomist, Pennsaid and two months' worth of the brands.
Nilesh Gupta: The exposure from Mandideep to US revenues is some 10%, I'm not sure if it's upward of 5%.
Ramesh Swaminathan: Yeah. So, what we really are looking at is only suspensions out there in terms of PenG products
Saion Mukherjee: Okay. Thank you.
Moderator: Thank you very much. The next question is from Damayanti Kerai.
Damayanti Kerai: Okay. Great. Thanks for the opportunity. So, coming back to cost, ■rst few clari■cations. So, you added 1,000 people in your India sales team. So when did this additio

n happen, because sequentially we haven't seen much change in the sta■ cost. And then you are planning to add on more people. So how many potentially could come in? And when do you expect these new people to start contributing meaningfully? So, what we understand is, it takes around one and a half to two years. So, are you expecting a similar timeframe?
Nilesh Gupta: So, we started adding from November. And in this quarter, we will complete the addition and large part of that is really in this quarter that we're adding. We're creating six new divisions out of that. And part of this is just the fact that we are under -indexed in India as far as our sales force is concerned. So, we will some impact this quarter. But as you know, we've also been growing below the industry average in the last few quarters. And that is changing. So, I already see tha t minus the in -license d portfolio, we are already at market growth rate. And even after adding these people, we will see further acceleration of our growth. My expectation is that, from the second quarter, we will be growing overall at a rate faster than t he market.
Damayanti Kerai: So, Nilesh, how many people are left to be added. So, 1,000 are done, right, and...
Nilesh Gupta: No, that was the entire number. So, the entire number is largely done.
Damayanti Kerai: Okay. But impact of that is not getting r e■ected in sta■ costs, right? What we have seen, it's mostly similar. So, it will be...

Nilesh Gupta: Yeah. So, I think there was some small number which was added in this past quarter. In Q4 is where you will see some impact of the sta■ cost addition. Th at also is staggered through the quarter and then it gets baked into the numbers from Q1 onwards.

Damayanti Kerai: Okay. Q1 onwards.
Second, Ramesh, you mentioned fourth quarter -- sorry, third quarter number
obviously had one -o■ and then you are saying, if we move to fourth quarter,
that one -o■ might come down. But you are saying R&D will catch up, because
third quarter was bit less. S o, should we assume broadly similar other
operating expense cost to continue?
Ramesh Swaminathan: Yes, I think -- it will be more or less in the same range. It will come down a little
bit in terms of SG&A expense that we can control, but broadly around th is.
Employee cost go up a little, but that's on a di■erent line.
Damayanti Kerai: So, if I just look at the cost and then we wait for Spiriva and other key approvals
to come in, when we should be seeing, I'll say, notable bene■ts coming from
all the e■orts , which you have been doing on the cost front for last several
years?
Ramesh Swaminathan: So, we were stymied for -- because of reasons beyond our control . These were
really about, in some ways, the volumes dropping and because of write -o■s
and others . And those buckets we would be addressing. So, these are not going
to continue forever. These are systemic issues that we kind of faced, which we
have addressed. Those will get corrected. So, if you're talking about the total
quantum of INR600 crores bene■t ■ owing in, it would have ■owed into the
P&L by the time we're through with this.
Nilesh Gupta: Just more speci■cally I think Q2 onwards we would see improvement in performance. We have Darunavir, we had some of this optimization that will
kick in as well. That's what we're seeing and obviously, Tiotropium will only
further improve that picture.
Damayanti Kerai: Okay. My last question is on India bit. So diabetic portfolio obviously, we have
seen genericization. But with more salespeople coming on-board , which
segments you're focusing, which could really help you to outpace the market
growth in coming few quarters?
Nilesh Gupta: So, our big therapy areas are diabetes, cardiovascular and respiratory. And
these are the three areas that would grow as well. So, while it's a point of time,
the diabetes mark

et is also bouncing back. In addition, areas like GI, areas like
women's health are growing strong double -digit as well and these are areas
that we would accelerate as well.
Damayanti Kerai: Just I think on e clarification . In diabetes, are we relying more on, say, improved
penetration because maybe like there are some new launches lined out, but
are you relying more on volume penetration to pick up pace?

Nilesh Gupta: Unfortunately, India is a diabetes cap ital of the world. So, I think the market
potential is always there. Value -wise, it is vitiated at this point of time because
of the genericization of multiple products in the diabetes portfolio for the
market itself, right. So, it's the only segment that is really growing at best a
single digit kind of number in the Indian market. And if it's going to bounce
back for the market, it's going to bounce back for us as well.
Damayanti Kerai: Okay. Thank you. I'll get back in the queue.
Moderator: Thank you ve ry much. The next question is from Surya Patra.
Surya Patra: Well, thanks for this opportunity, sir. My ■rst question is on the kind of a potential pro■tability that we can attain over next one -to-two-year period. So
practically, having seen the pricing pressure in one of the key complex products
what we have been waiting for, let's say, Albuterol and other respiratory products, so now our focus has been obviously on the complex generics and we have been sp ending a lot. But we are also visualizing that or seeing the kind
of pricing pressure, as well as competition , on the complex products are also
witnessing. So, considering that, are you con■dent enough to achieve what we
have been trying to fetch from the complex portfolio going ahead?
Vinita Gupta: We've already started seeing the bene■t of the complex products, just a couple
of products like Albuterol, what -- how much they bene■t from us, from a
pro■tability standpoint. We can't wait for our portfolio t o be rolled out
completely. I mean, when Spiriva gets approved, the potential of Spiriva is
substantial, both on top line and as well as bottom line. And we will execute
on these opportunities. Meanwhile, until they get delayed, one feels uncertain about t hem, but the fact is, our team is working one hundred percent to get
these products approved and launched. And as we look at launching these
products that will really help us grow the top line as well as the margin pro■le,

we feel confident of getting to th at in the next couple of years to 17% to 18% EBITDA level.

Surya Patra: Okay. But whether you are happy to achieve whatever the profitability that you have achieved in case of Albuterol, ma'am? Because that is a concern that, okay, that was a key product a nd we have been targeting certain level of market share and we achieved everything . But that has not influenced anything at all to our overall profitability. Although, there has been incremental competition, incremental challenges that was -- generally that has come up, but still. So, given the scenario whether we should see whether the kind of profitability that we are trying to achieve, will that justify the kind of money that we have been spending on the complex portfolio?

Vinita Gupta: I would say that ac tually , Albuterol offset a lot of challenges of the oral solid portfolio and the erosion that we saw on the oral solid portfolio. And as we look out the next two years, we are expecting that Albuterol will have some price pressure / price erosion and that w e are factoring in new products that we bring in to the market that will help us bolster the top line and bottom line.

Surya Patra: Okay. My second question is on Spiriva. See, obviously it is delayed a bit. But in the meanwhile, have you understood anyth ing about the potential competition in that product and why and when ?

Vinita Gupta: Yeah. So,

we don't believe, I mean, as of yet no one has really finished clinical trial. We believe that one company has started working on the trial. They are just starting a PD study. So, from anyone who's starting a PD study right now, if I look at our timeline, they are going to be three years away at least to get the product to the market.

Surya Patra: Okay. So till the time that we will be having kind of exclusivity situation in Spiriva, whether that will have some kind of advantage in terms of grabbing market share for other products -- other respiratory product as well or there is no contentious benefit that we should see?

Vinita Gupta: Well, I wouldn't mean that would be an upside. If we can get it, I mean, we are strengthening our respiratory portfolio. So overall our position on the respiratory and our offering from a customer standpoint goes up, but that will really be an upside to see how we can bundle them if we can at all. I mean, to us it's just a standalone, a very lucrative opportunity.

Surya Patra: Sure. Just last one question about the numbers basically. So, whether any debt number that has been added during the quarter, because the finance cost looks slightly elevated this quarter? That is one. And could you also clear what was the flu contribution t his quarter just, means the sequential up move in the US sales what we have witnessed? How much was that driven by flu?

Ramesh Swaminathan: Firstly, on the debt front, yes. So, we had a couple of acquisitions, the brands that we bought in America, we also bought brands in Brazil. That's actually come on to the scene. And there is of course the normal capital expenditure that we continue, which would have come through in previous quarters also. So these have actually in some ways taken up the overall debt po sition. Though there has been a reduction on the working capital front, this is -- it's the M&A front, which has cost us for -- to take on some debt.

Surya Patra: What is the gross debt, sir?

Ramesh Swaminathan: It comes to about total about INR3,400 cro res is net debt and about INR4,600 crores is gross debt .

Surya Patra: Okay. Thank you, sir. And anything Flu season contribution for the quarter, ma'am?

Vinita Gupta: So, its A low single digit, couple of million dollars.

Surya Patra: Sure. Yeah. Thank you, ma'am.

Ramesh Swaminathan: PenG prices have been ruling at a particular and at a higher end, because of that, to that extent, that ability to kind of -- we didn't actually want to sell at a

loss in America also because prices are w hat they are. We have been focusing on only products that are profitable.

Moderator: Thank you very much. The next question is from Neha Manpuria.

Neha Manpuria: Yeah, thanks for taking my question. Nilesh, my first question is on the India

business. I thi nk you mentioned we should get back to double -digit growth
from second quarter onwards. So, at that point, most of the Cidmus impact
and also the diabetes impact will be behind us. And we expect the MR to start
contributing to productivity. That assumption is right; we should start seeing
outperformance versus industry from second quarter.
Nilesh Gupta: Yes. And I actually we did not even talk about the NLEM impact that we are
seeing little bit in the end of Q3 and then we'll obviously have that in Q4 and
then obviously a good portion of that we would expect to reverse in Q1.
Neha Manpuria: Understood. And if I were to look at the business in a little more two to three-year perspective, do you think
we need any investments, organic and inorganic to sort of bolster our position further in India?
Nilesh Gupta: I think we are doubling down on India, adding a 1,000 representatives. We are
cognizant of what that means in terms of employee expense, in terms of selling
promotion and the like. But we see this as an opportunity to grow in India. Obviously, in the COVID

period, we held back from adding people and the like. And again what we're doing is no di■erent from the other industry leaders
where clearly there is a renewed focus on India. And it certainly is part of our plan as well. I think we are already committed to doing whatever is required from a people perspective and expense perspective and R&D perspective to
get growth to the business.
I would love to hold in inorganic moves in this as well. We did some smaller
stu■ including buying the in -licensed product Ondero and the Anglo -French
portfolio, which is actually performing very well. But I think acquisitions are going to be few and far between, because especially the somewhat bigger ones
as you've seen, it gets to a multiple that you really can't justify. So we would
seek value and that would make it di■cult from an inorganic perspective, but we are looking at everything that comes our way and for our own part digging
out opportunities that we could chase as well.
Neha Manpuria: Understood. Given that we are doubling down on India and most of the
competition is increasing ■eld force , SG&A. How do I put that in context with
the fact that we want to look at cost optimization further? That would indicate
that our costs are probably -optimization whatever might come through might
be more than o■set by the fact that we need to continue to invest to grow in
India, which does makes margin expansion without Spiriva nearly impossible.
Is that the right conclusion?
Nilesh Gupta: So maybe I can start. Ramesh, you can add. I think, ■rst of all, there are some
period e■ects. Yes, we are adding people. Yes, there will be certain costs

associated with that and we will not get a return obviously the very day that
we add t hose people. I think the cost optimization measures are largely driven
from the optimization that we saw overall from a generic footprint perspective. So, lot of the stu■ that we've done, optimizing the R&D spend,
optimizing the manpower footprint : 16% red uction in our workforce, in our
manufacturing plants, optimizing the R&D work force and the like, a lot of that
is gone in the direction that the generic market is changing. We will obviously
play in oral solids and the like, as well. But clearly, the focu s is to be a
specialized generic player focusing on inhalation, injectables, and select oral
solids.
So I think that -- to me those optimizations run in parallel. There are still
obviously ■ve or six key growth drivers and big business areas within Lupin.
And some of them will take investments at certain point of time, the others
will get optimized . But net -net, obviously we're all working to build a high
growth organization with growth at strong double -digit and obviously with
EBITDA far better than what we have right now. We are very cognizant of the
fact that we are under indexed. So I think these investments are being made
in light of everything else that is happening, but obviously with the view that
in the next few quarters, we should be getting to muc h more solid numbers.
Ramesh Swaminathan: Neha, just to add to that and give further colour , there is a base beyond which
it is impossible to go on quite a few buckets. And to that extent, perhaps
there's some buckets which is not possible to kind of opt imize further. But I
also identi■ed a few buckets where a great deal of optimization is still possible.
This is essentially in terms of the footprint reduction in some ways. Potentially
you could also look at the idle time associated with that. And third b ucket
potentially be on the reduction -- on the inventory write -o■s that we have seen
so far. So those buckets will certainly contribute in some base to further

e■ciencies. And that will certainly move the needle.
And you are also speaking the same breadth of in fact of two -to-three -year horizon. And when we get to that point, we are tal

king about quite a few products coming through. Spiriva certainly, in our opinion, should certainly come through with great deal of con■dence we're saying this, in the ■rst half of the current year itself. And then we are also lining up in fact for products for the future. We are working on in fact the injectables portfolio. We are working on the entire respiratory range. And there is every conceivable product which is worthw hile looking at, we're looking at out there. And we are pivoting a lot more towards complex ones. So, to that extent , there's a lot more stickiness associated with that, realizations associated with that, which is perhaps not that you will see in the OSD p ortfolio at least in recent times. So I think, whilst , there is further optimization possible on the cost front, a lot more possibilities for the top line. And that as you know -- and EBITDA is ultimately going to be the di■erence between the two. And of c ourse, R&D expense, to our mind, whilst we pivot to in fact the more complex ones, as a percentage of sales, it'll certainly keep going down only. So I di■er with you and I would say that EBITDA

margins in the next two to three years will certainly be much higher than what is today. Clearly, it's an absolute nadir from my perspective and 18% to 20% over the next two to three years is -- from my perspective is a certainty.
Neha Manpuria: Understood. And last question, if I may. Vinita, you mentioned about the Nagpur facility clearance helping unfold on injectable pipeline. Could you give us some colour on the number of launches or the opportunity size that we're looking in injectables next year or the year after? Any colour would be helpful.
Vinita Gupta: Yeah. So now that we've got the approval, I mean, we are also accelerating our portfolio, looking at some of the contract manufactured products that we can bring in -house where we haven't had the right cost and supply position. I think in the ■scal year '24; we potentially can bring four to ■ve products into the market. We have couple of ■lings that are pending. Glucagon, Bu metanide , famotidine as well as all the products that we are - we m anufacture outside that we can bringing in -house in Nagpur with the right cost structure. So, four to ■ve products in the next ■scal year. We'll try to accelerate that and a larger number in the year after.
Neha Manpuria: Thank you, Vinita.
Moderator: The next question is from Niteen Dharmawat .
Niteen Dharmawat: I see that we are continuously changing our strategy. So, I see that wherever there is a momentum, we go over there. We started somewhere in pathology, now we are hiring 1,000 people for India business. Earlier it was Japan. We made acquisitions in USA. And things are not working and that's why we are making too many changes. Is that the case? Are we making too many changes with our strategy?
Vinita Gupta: Actually, we are not making any changes on our strategy. I mean, we've been very focused on building our core business which is: one, India; two, our US complex generic business; three, anywhere we can get operating leverage like other developed markets with our generic portfolio, the in vestment that we've made in our pipeline and in our manufacturing facilities; and four, the other emerging markets, which pretty much are self su■cient in terms of their P&L as well as the cash ■ow requirements. So, there's no real change in -- I mean, the only change in strategy that has happened over the last couple of years, I'd say is a sharper focus on complex generics, more specialist in portfolio versus a broad generic portfolio.
Ramesh Swaminathan: And the entry into Japan 12 years ago and the exit were very well crafted strategy, so to speak. There was nothing tactical about it at all. So, our entry into in fact complex generics, injectables, biosimilars, inhalation space are all ve

ry well crafted and to that extent, we've been very consistent in a ctually going down the path as far as spends on those . There has been no change whatsoever.

Niteen Dharmawat: I understand. So, can you give some guidance for the current ■nancial year and the next ■nancial year for top line as well as for EBITDA margins ?

Ramesh Swaminathan: EBITDA margin, if we talk about the next quarter, potentially, it will be around the same lines as the current quarter. But I've also indicated that things will get progressively better because we're working on several things on the cost front. And on the top line front, we keep reiterating the fact that there would be products coming in. So, things will only get better.

Niteen Dharmawat: I see. And for the next ■nancial year.

Ramesh Swaminathan: Our ideal target would be to get to the core of 20% that the competition is currently at . Whether we get there in the fourth quarter of next year or in FY24 -25 -- the overall direction is there. The target is that. And there's no reason why we should not get there, because all the initiativ es are in place, and we are going down the path of our strategy without retracing any of those.

Nilesh Gupta: The top line also we're looking at double -digit growth.

Ramesh Swaminathan: Yes. Across the markets really.

Moderator: Thank you very much. The next question is from Sameer Baisiwala.

Sameer Baisiwala: Hi, good evening, everyone. Vinita, if I'm not wrong, FDA had already inspected the site for Spiriva, isn't it? So, why should there be a need to do it again?

Vinita Gupta: No, they have, and I don't know if there is a need to do it again, Sameer. It all depends on the agency though.

Nilesh Gupta: Standard language, I think.

Vinita Gupta: Yeah, it's been inspected before.

Sameer Baisiwala: Okay. But they have given you two dates, so that means they are thinking about it. Yeah.

Vinita Gupta: We don't know. So, they always give you two dates and its very standard language from the agency now on any product. So that's why we can't say for certain that it's going be April o nly.

Sameer Baisiwala: Okay. Got it. And, Vinita, what transpired in November TAD date? In the sense, I thought that there was a good chance that they might have approved then itself, so...

Vinita Gupta: No, so we got our priority review in November when we had reported. And at that point in time, we got -- we were expecting an approval close to a n eligible launch stage, which should be very close to April actually.

Sameer Baisiwala: Okay. Got it. And the second question, Vinita, are you seeing the compe titive intensity in the US for OSD is going up or is it much the same for the three, four products that you mentioned that you saw some price erosion. Were there

new entrants which were bidding lower or even without new entrants, you are seeing prices roll down?

Vinita Gupta: Actually, we have seen some rationalization on -- and a little bit of reprieve on the price erosion front because there's been a lot of erosion and companies have started to get out of products that we have gotten out of the couple of products, which really worry our customers. So there has been also supply disruptions with a lot of challenges that companies have had and some are due to the margin pressure, but otherwise G MP related issues. So, we are seeing a degree of getting back to high single digit price erosion at this point. And we'll see that continue in this calendar year.

Sameer Baisiwala: So, Vinita, if I may ask, how pro■table is our US business as it stands today? If you can just talk about it, because is that what is taking the entire company average way below and how sustainable is it to do business in this manner for a company which is probably the lowest cost producer in that sense?

Vinita Gupta: Yeah, I'd say that

the US business EBITDA is below the company EBITDA rig ht now, but I can tell you that when we look at the last full year, I mean, Q3 was probably the quarter where the US business did the best from an EBITDA perspective. So given all the e■orts on the cost optimization front, R&D optimization, stabilizing the base as well as executing on the new product launches, we have been able to get Q3 to a much better level than it was in Q2 and Q1. And we continue to build upon it. And two years ago, the US generic business was above the company average EBITDA. And , subject to Spiriva happening and some of the other product launches, which are certain, like Darunavir is certain and the like, we expect the US EBITDA again from ■scal year '24 to be above the company's average level of EBITDA. Otherwise, we'll continue to o ptimize it.

Sameer Baisiwala: Okay, that's great.
Ramesh Swaminathan: You recognize, Sameer, as well as I do, it was a feast for quite some time. There has been a bit of a famine out there in the last two to three years. But it's not as though this party will never begin again. It will -- so once we get the products in place, things should be much better.
Sameer Baisiwala: Yeah, sure. Ramesh, my worry is, excluding Albuterol, is it a bit in the red kind of a business and it's not about Lupin is just abou t -- is this a sustainable business model in general for generics to be supplying at the pricing that it is, given the consolidated buying in the US?
Ramesh Swaminathan: And you also know this, so the entire business is kind of pivoting away from OSD into more complex ones. And these are more commoditized products is where there is intensity -- there is so much of competition. And one doesn't really make too much of moneys out there. So -- and to the extent, company should have focused on moving out of OSD and this is exactly what we're trying to do also.

Sameer Baisiwala: Okay, great. One ■nal question from my side, if I may. It's on Suprep. Vinita, two parts. One is, how has the pricing been, typical exclusivity type pricing 40% erosion or -- and second post 180 days, how do you see the competition coming up?
Vinita Gupta: Yeah. So, it has been a two -player market, the authorized generic, the brand launched in authorized generic and us. It's been a very, very nice opportunity from a margin perspective. Price erosion even in a two -player market is 60% or so. So there has been that kin d of price erosion. However, the run rate that we see is looking better beyond the 180 days, because we believe that the other players have supply issues on the API. That really is impacting the product approval and launch.
Sameer Baisiwala: Okay, great. Thank you so much.
Vinita Gupta: Thank you.
Moderator: Thank you very much. The next question is from Bino Pathiparampil.
Bino Pathiparampil: Hi, good afternoon and good morning. Vinita, just a couple of speci■c questions on products. Darunavir, you ju st mentioned. So, we are set for launch of 600 and 800 in 1Q, right?
Vinita Gupta: That's right.
Bino Pathiparampil: Okay. And are we going to follow that up with the other strengths after six months or so?
Vinita Gupta: I believe so. I mean, the material opportunity, the larger opportunity we see is the exclusive strength that we have in the majority of our revenues that we see. The upside is for the exclusive strength.
Bino Pathiparampil: Got it. And what's the update on peg■lgrastim in the US, I believe you are looking forward to approval near term?
Vinita Gupta: Yeah. So, we responded to the agency on the queries that they had, just in the last couple of weeks and we believe that we've been able to satisfy , from our perspective, all of the que stions that they have. So ■ngers crossed that we get that approval in the next couple of months.
Bino Pathiparampil: Next couple of months. Okay. Understood.

And any further update on Dulera ?
I believe there also you had some queries to which you responde d.
Vinita Gupta: Yeah. So on Dulera, we have received a CRL from the agency and we need to do some additional work on the product that is ongoing. So we'll have to respond to the CRL which we haven't responded as of yet.
Bino Pathiparampil: Understood. Yeah. Perfect. Thank you very much.
Moderator: Thank you. The next question is from Shyam Srinivasan.

Shyam Srinivasan: Good evening and thank you for taking my question. Just the ■rst one is a data point on the India business. What's the current ■eld force, like you talked about 1,000 people, but where were we at say March end and now, so what's the absolute number?
Nilesh Gupta: At end of this, we will be at 7,100 reps and 9,300 as the total sales force.
Shyam Srinivasan: Got it. Thanks, Nilesh. So, when we track the progress and you've guided to quarter two next year where you'll start growing faster than the market, so what are some of the monitorables, maybe PCPM, if you could -- doctor

coverage, if you could guide us to some of the things that we need to be watching out for?

Nilesh Gupta: I think we should just be watching out for the total number where we report. I think there's too much granularity. Our PCPM is actually pretty good. Our overall PCPM is an 8.6 lakhs per representative. So it's a ctually a pretty good number overall, but there is a spread. I mean, in an acute business, it's going to be lower, it's higher in more chronic high end business. So, I wouldn't try to watch out for those things. The divisions that we are adding are in the big areas. So there is -- there are -- there is the metabolic division, there is another respiratory division. So, but I think one of it will re■ect in the total numbers and the therapy -wise numbers.

Shyam Srinivasan: Got it. Nilesh, helpful. My second qu estion is just on regulatory compliance and just maybe you can -- Nilesh can answer it from an industry perspective as well, right. So, when participants ask what is the contribution from Mandideep, why is that question being asked? Is it because people wo rry that every OAI is now equivalent to an import alert? So just which is surprising. So, after so many years of having to work with the FDA, so how should we think about the dynamic and what are you hearing when you interact with inspectors, quality peopl e? What are some of the feedbacks that you're picking up?

Nilesh Gupta: I appreciate you asking this question. From the industry perspective, I think there is an over -heightened sensitivity to every 483 that there is. But obviously if there are excessive number of 483s or obviously other regulatory action, that is of concern. There's no question about that. And from an industry perspective, we've obviously had a few examples where quality is somewhat pretty bad in other markets and the like. And unfortunat ely, I think that brings the industry in a bad light. We are coming out from -- we had I believe about 60 odd inspections in India in 2022 versus the normal 200 plus. So obviously we're getting into a period where there will be more FDA inspections and wit h the number of facilities that we have, as an industry, there will be obviously some portion of negative outcome that will come out as well. But I think - I would only -- we had ■ve observations in Nagpur. Everybody gave us a hard time. We've got the appr oval thereafter, right. So, I think the nature of the observations is important and not just not just the numbers. So I think it's important to get a little bit deeper into this which is I think you guys do a great job of that.

Nilesh Gupta: As far as we' re concerned, I think we've had some wins and some misses. Ankleshwar was a win. Nagpur was a win. Somerset was a very nice win. Even with the follow -on inspe

ction, Mandideep clearly, we were not at the right level. We're taking the right steps to not blow out further than what it is. But it's not acceptable. Tarapur is not acceptable as well. And there is a clear remediation plan on this. So, we do believe that we will get them to the right spot. We're not just going to leave them there just because the co ntribution maybe below a certain level. Whatever we supply, every product that we supply has to be of the right quality. People don't have to look at where the product was made. So, we are committed to this. I think the industry is committed to it in a broader sense as well. Certainly, it is scrutiny on industry is going to be there. And we have to be up to snu■.

Shyam Srinivasan: Thank you. Thank you so much. Thank you.

Moderator: Sure. The next question is from Madhav M.

Madhav Marda: Yeah. My only question was the -- you said that the R&D expense as a percent of sales should come down as the revenue base goes up. Could you give us a sense? I think we should be about 8% or so for this year, but what is the FY24 - 25 look like as a percent of sales, if you could give us some sense?

Ramesh Swaminathan: Yeah. So, this year is going to be about 8%, but in the subsequent years, it will certainly come down by 1 percentage or 2 percentage for sure.

Madhav Marda: 1 percentage or 2 percentage? So, could be in the 6% to 7%?

Ramesh Swaminathan: 1 percentage to 2 percentage points lower I would say over time.

Madhav Marda: Got it. Okay, perfect. Thank you, Ramesh.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Vinita Gupta: Hopefully, we've been able to answer all your questions. We hear all your concerns on the margin front. It was not too long ago, couple of quarters ago that we were in a single digit margin. And the fact that we've been able to pull the business back up to double -digit in Q2 and then further improve it in Q3, we will continue to work on this front to ensure that we continue to grow our business in a pro■table manner. We certainly don't feel we're anywhere close to our potential as an organization, but we're moving in the right direction, and we will ensure that we can get to our true potential. It might take us couple of quarters longer just given the delays in produc t approvals, but we will get there. Thank you.

Moderator: Thank you very much. On behalf of Lupin Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines and exit the webinar.

Call: May 2023

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Corporate Identity Number: L24100MH1983PLC029442 www.lupin.com

May 16, 2023

■BSE Limited
Department of Corporate Services,
P. J. Towers,
Dalal Street,
MUMBAI - 400 001.

National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051.

Dear Sir/Madam,

Transcript of Q4 FY2023 Earnings Conference Call.

In compliance with Regulation 30(2) read with Schedule Ill Part A Para A(15)(b) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to enclose a copy of the Transcript of the Q4 FY2023 Earnings Conference Call held at 16.00 hrs (IST)on Wednesday, May 10, 2023.

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

R. V. SATAM
COMPANY SECRETARY
(ACS - 11973)

Encl: a/a

"Lupin Limited Q 4 FY2023 Earnings Conference Call"

May 10, 2023

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN - EXECUTIVE DIRECTOR, GLOBAL CFO AND HEAD CORPORATE AFFAIRS, LUPIN LIMITED
• MR. VISHAL RATHI – VICE PRESIDENT , CORPORATE FINANCE , LUPIN LIMITED

Moderator: So good evening and welcome to Lupin Limited Q4FY23 Earnings c onference Call. Please note that all participants line will be in listen only mode and there will be an opportunity for you to ask questions after the opening remarks.
Please note that this conference is being recorded. I now hand over the conference to the management. Thank you and over to you .
Vinita Gupta: Hi Everyon e. This is Vinita here. I'm very pleased to welcome you to our Q4 FY23 earnings call. I have with me our MD, Nilesh, as well as our CFO, Ramesh. We're very pleased to close the fiscal year with continued improvement in operating margins. Our team has had a sharp focus on getting our India business back to double digit growth and quarter after quarter improvement in US margins as well t his focus along with growth in other areas like API, EMEA and APAC enabled us to deliver margin improvement as planned.
We are committed to sustaining this positive momentum into the new fiscal year and driving strong growth across all our regions in particular: India , based on our recent salesforce expansion ; and the US aided by material new product launches . Our India busine ss as you would have noted recorded an 11% plus growth per IQVIA, ex the diabetes portfolio growth was 15% plus, in line with the market growth. In Q4, we made a significant investment to expand our sales force in India and enhance our reach. We're very pl eased that overall we delivered margin improvement for the organization despite this material investment.
In the US we improved our margins for a third quarter in a row through portfolio optimization, maximizing the high value products and continued cost optimization efforts. We were able to improve our margins despite increase in R&D spends quarter over quarter. Overall, when you look at it for the year, the R&D spend for the US was $100 million with an increasing proportion of complex generics in particu lar inhalation and injectables . Apart from India getting to double digit growth and U.S. business improvement , our API business recovered in the quarter with demand growth in our core products.
Our EMEA business grew driven by South Africa quarter over quarter and Fostair (Luforbec) in Europe year over year. In APAC, our Philippines subsidiary performed very well.
Switching to R&D, we continue to drive the shift to complex genetics with a focus on respiratory and injectable products. We filed 19 products i n the US and 10 ex -US. Of the US filings, we had four injectables, 3 nasal sprays and we made progress on Respimat and Ellipta products on both platforms. Apart from generics , on the R&D front, we optimized the New Chemical Entity (NCE) R&D spent in Q3 to focus on only two of our oncology pipeline programs, significantly reducing the discovery spend.
Switching to compliance, we've made progress in part with positive outcomes on the Ankleshwar, Vizag, Nagpur injectables and Somerset sites. We've also

made substantial progress on our remediation efforts in Tarapur, Mandideep Unit 1 and Pithampur Unit 2. We are committed to ensure that we get all our sites to a consistent and sustainable level of compliance. I'm sure we'll see more progress on this front in fiscal year 2024.
On the M&A front, our recent acquisitions have performed well with Anglo French; Southern Cross; Xopenex, Brovana in the US and Paloma in Brazil, all delivering as per plan. Our recent acquisition of Medisol in France enables us to accelerate our injectables franchise in Europe. We are very pleased to be able to close that. We have come a long way in fiscal year 2023 and I am excited about the prospects in fiscal year 24 as we launch products like Tiotropium, Darunavir and others in the US and drive consistent double -digit growth in our

India business. We remain focused on drivi ng operating margin improveme

nt
as we grow our business. With this, I will hand it over to Ramesh for a deeper analysis of our performance.
Ramesh Swaminathan: Thank you, Vinita. Friends, welcome to a refreshing set of numbers. We are hopeful that it sets a stage for better numbers here on. Sales for Q4FY23 are at 4,330 crores as compared to 4,245 crores in Q3FY23, which is a growth of 2% quarter on quarter. On a yearly basis, the company registered at 12% growth over Q4FY22 sales. In the US, during the qu arter, we registered a small degrowth of 1.3% in local currency terms. On a sequential basis, the sales have come down from $177 million to $ 175 million. During the quarter, Albuterol sales came down marginally due to a seasonal impact.
In India region, I ndia branded formulations business declined by 3.1% in Q4 FY23 versus Q3 FY23, whilst on a year -on-year basis the sales grew by 8.9%. For full year FY23 year on year the growth was 3.3%. Overall market growth during Q4FY23 was 14.9% whilst Lupin grew by 11 .3%. Lupin which has highest growth in Q4 as compared to the earlier quarters, Q1 was 1%, Q2 was 6.2% and Q3 was 7.5%. Adjusted for diabetes, we were close to market growth rates, at 15.2%. Due to loss of exclusivity and geneticization, the anti-diabetes business has impacted our growth rate as patented portfolio is a large chunk of our diabetes portfolio. We have also done well excluding the top three areas of Lupin, also in gynaecology and GI .
API business sales grew by 14.6% on quarter -on-quarter basis. As core Cephalosporin API sales continued the path to recovery from higher sales in Cefaclor and 7 -ACCA; On a year- on-year basis sales growth was 46.4%.
EMEA sales for the region grew quarter on quarter by 19.3%, year on year the growth was 11.4%. For S outh Africa, quarter on quarter growth of 35.3% in local currency terms led by higher sales in various products. For UK, the year-on-year degrowth was 6% but the higher sales over the last quarter is primarily driven by Fostair. For Germany, quarter on qua rter degrowth was 12%: Q3 was higher for Germany due to competition stock outs.

For Growth Markets, sales grew by 4.7% quarter on quarter driven by Philippines. Traditionally, Q4 is a strong quarter for Philippines. Nearly all divisions perform well in comparison to the last year charting a growth number of 14%. For Australia, quarter and quarter and year on your growth was led by higher sales and acquired portfolio of Southern Cross. For Australia, Q3 was lower due to shipments getting deferred to Q4. For Grin, quarter on quarter degrowth was 23.6% led by stock out of certain products due to plan t shutdown. For Brazil, quarter on quarter growth of 9.4% was led by the by acquired products from Paloma.
On gross margins, Q4 FY23 gross margins is 59.7% as compared to Q3FY22 gross margins at 59.8%. The sales mix especially India regions played a part in the slight lowering of the gross margins.
Since the beginning of this year, we spoke about optimization initiatives on various fronts. I'm glad to state that we did achieve good progress on some elements of the program as in the case of sales returns, air freight and so on, both elements of which get folded into this line. Secular inflation of over 5% in input prices has however eroded into the gains which were marking visible progress here. We continue to work on write offs and other initiatives includ ing launch of meaningful products that would further make a difference in the gross margins and hence to the bottom line.
The employee benefits line in Q4FY23 is 77 3 crores vs 764 crores in Q3FY2 3 and 703 crores in Q4FY22. Quarter on quarter increases mainly due to field force expansion in in the India region, higher bonus accruals, ESOPs in US etcetera. On an ongoing basis, we expect employee cost be around 19%. Despite the lower growth on the top line, the year- on-year increase has been only

3%, reflecting the initiatives on the workforce reduction that we carried on at various functions. This also captures a negative impact of FX translation resulting from a depreciating rupee.
On manufacturing other expenses, Q4FY23 is 1,303 crores vis -à-vis 1,333 crores in Q3FY23 and 1,321 crores in Q4FY22. Quarter on Quarter savings is a

result of reduction in business settlements and other expenses of a one -time
nature. Year on year, savings is on account of reclassification done in in travel
in Q4 last year from emp loyee benefits. Friends, whilst there are savings as a
result of optimization measures , the translation impact of outside India
expenses, as well as an increase in sales promotion spends in India along with and minor investments in adjacencies
businesses o ffsets the gains made.
Operating EBITDA excluding Forex and other income at 13.9% for the current
quarter, reflecting an improvement of 170 basis points in comparison to the previous quarter. The improvement of EBITDA is primarily driven by
optimization endeavours , lowered other expenses and PLI benefits. With

launch of newer products and sharper focus on cost, we expect material
continued optimization of EBITDA across quarters over the next year.
R&D expenses are 7% of sales at 350 crores in the current quarter as compared
to 289 crores that's 6.8% of sales in Q3FY23 and 8.9% in Q4FY22. We continue to pivot to more complex products and platforms while continued to focus on
costs and outcomes. Year to date, ETR was 36.9% and for the quarter, the ETR
was on ly 5.9%. The lower ETR in the current quarter was mainly due to higher
profit in the US apart from normalization of accounting for the effective tax
rate.
Other operating income , Quarter on quarter, there is an increase in other
operating income on accoun t of inclusion of PLI benefits, somewhat reduced
by other settlement income, other milestones and the like. Forex gains is at about 26 crores in Q4 FY23, Q3FY23 was 16.6 crores. So that I would like to open the field for discussions.
Moderator: Thank you very much Sir. We will now begin the question -and-answer session.
Please raise your hands from the participant tab on the screen to ask questions.
So, the first question is from Damayanti Kerai .
Damayanti Kera i: Thanks for the opportunity. So , my first question is can you update us on the
status of your Tiotropium filing because you had earlier given two TADs, right,
one in April and one in June. So, if you can talk a bit about it ?
Vinita Gupta: Yeah, so we've been in active dialogue with the a gency back and forth on
information requests over the last two months on Tiotropium. The TAD date
right now on paper is July and August, so instead of April and August and we
hope that we will get approval sooner. We've had communication on monthly
basis with the agency on the application. Just last week they cleared a drug
master file for the product which is a very positive sign. So, we hope that we
should be able to get approval in the next month or two on the out er side by
July / August.
Damayanti Kera i: Why two TAD date s? is it similar like plant and without plant inspection?
Vinita Gupta : Yeah, that's the two TAD dates. But the extension of the TAD dates is based on
the information request that the agency is m aking. And when we respond to
the information request, they have an automatic 90 day from the response,
that they give us as a TAD date. So, we've been trying to work with the agency
to figure out how we can avoid that. So , some of them are just clarificat ions
that they're asking of us .
Damayanti Kera i: Okay. My second question is on R&D. So now you are down to say 3 billion a
quarter. So but at the same time you are progressing in some of the complex

generic products you talked about Ellipta, Respimat, etc. So my first question
is how should

we look at R&D expense from here on and if you can split R&D
into your complex generic spend and NCE spend that will be helpful.
Vinita Gupta: Overall strategically we've been pivoting more towards the complex generic
platform and continue to do so. So even when you look at our generic R&D
spend at this point, the percentage oral solids versus complex platforms
(inhalation and injectables) has changed in favour of inhalation and injectables
and we continue to drive that that shift towards complex platforms, I mean,
the NCE spend that you asked about is very small in the scheme of things is l ess
than 5% at this point.
Ramesh Swaminathan: 10% really, but it's actually coming down to about less than 5%. In fact, in the

course of this current fiscal, we're pivoting more towards the complex
generics. So the salience of the oral solids is actually coming down. That used
to be well above 45%. It's coming to much lower figures. And the spends for injectables and inhalations is certainly going up in the course of this fiscal and
certainly would be the way forward as well.
Damayanti Kerai: Just to c larify, so OSD you said earlier it used to be 45% of say generic spend.
It is coming down and more is going for the inhalation and …
Ramesh Swaminathan: … Inhalations and injectables for sure.
Damayanti Kerai: OK. And Sales force? Fourth quarter number include cost for the MR addition
in India. Does it reflect fully or like more to come in coming quarters?
Ramesh Swaminathan: Yeah, a huge chunk of it is actually captured in Q4 but is of course the
annualization impact of that because these were recruited in the fourth
quarter. The annualization impact will certainly be captured along the full
current fiscal year .
Damayanti Kerai: OK. Thank you. I'll get back in the queue.
Moderator: Thank you very much. The next question is from Kunal D hamesha.
Kunal Dhamesha : Hi, this is Kunal from Macquarie. First question again on Spiriva, would you be able to share the nature of the information requests that we are getting from FDA? And secondly on the same generic Spiriva? Would we have clarity as t o
whether we will require plant inspection or not by now? And if yes,
hypothetically, let's say if we require what is our preparedness, have we done
any mock inspection, have we proactively employed consultants, etc?
Vinita Gupta: Yes. So, I'll take the s econd question first that we have always been inspection
ready in the Unit 3 for FDA in case they come to inspect the site for Spiriva. At
the same time, we don't know for certain, but we believe that at this point we
are pretty far along with the agency. T he information request that we're

getting beyond the last CRL that we responded to was really clarification on
the testing method, sample size and the like, the rationale for it and what is
giving us comfort is the fact that they started clearing parts of the application.
We we've been already informed that the pD -pK was cleared a while ago and
the fact that the DMF has been cleared last week and we continue to get minor
queries at this point gives us the comfort that we're pretty close.
Kunal Dhamesha : Sure. And we are still sticking to a September timeline or second half of FY24 for launch.
Vinita Gupta: We're hoping first half,
Kunal Dhamesha : OK, because last time I think we said September 23 launch well. So, I think
August was the outside TAD date. So we hope that we'll be able to get approval
before that and we are getting launched ready.
Kunal Dhamesha : Sure. And secondly, I think know Ramesh, one for you, whatever cost savings
that we have done that is getting offset by some of the line items which have
seen increase like sales and marketing etc. But still would it be possible for you
to quantify in terms of our target of 550 crore cost savings which we said at
the start of FY23, where we would we be right now an

d what's the runway left
for us for FY24.
Ramesh Swaminathan: Yes, we have been able to achieve well over 325 to 350 crores across at least
three of the four levers that we have progressed along. There is of course some
more steam left as far as the inventory write off' s concerned a nd we believe
on the idle time as well which is not a switch on, switch off kind of a thing. So
it has to be over a period of time. So we will exercise those levers and
potentially see gains over the next several quarters.
Kunal Dhamesha : Sure. And I thin k last year we had a failure to supply penalty roughly around
26-27 million dollars. Would you be able to share the number for this year?
Ramesh Swaminathan: Yeah, but I don't want to actually make it explicit, but it's come down
dramatically. It's in fac t in a high single digit numbers right now.
Kunal Dhamesha : Sure. And lastly, on the profitability expectation for next year, would you be able to share any form of guidance or range?
Ramesh Swaminathan: We believe that the momentum would be sustained. And also going forward, you'd like to see that Q2 -Q3-Q4 would see successful improvements for sure
after the launch of Spiriva and other products we're speaking about: Darunavir and others in America and of course there is expansion of Fostair in Europe
and the like. So with the cache of products that we're launching across various
markets and you would see the top line lifting up to double digit growth rates

for the entire year. And, of course with the tight leash on costs, you would
expect the better margins also to go up. We do think that towards the end of

this current fiscal, you would find a substantial increase closer to impact where
we think we should be a part of 18% plus percent
Kunal Dhamesha : 18% plus percent exit run rate.
Nilesh Gupta : Yeah, exit run rate.
Ramesh Swaminathan: That's what I meant. And for the full year, you could talk about upward of 15%. Sure. Perfect.
Kunal Dhamesha : Thank you and all the best.
Moderator : Hi, Thank you very much, Kunal . Next, we'll take from Krishnendu Saha.
Krishnendu Saha: Hi, thanks for the just want to get a hang of the US numbers for the quarter, its flat. So just trying to understand we had one extra month of X openex and
Brovana, we had an AG also in the mid of December. So, is this $ 175 mn
number sustainable? So, what were the misses and what were the additions to it which get to this $ 175 mn? I'm trying to understand that part.
Vinita Gupta : Yeah, so the difference was $2 mn. And there's a good amount of seasonality
that you see in Q3 especially with flu products as well as albuterol. So albuterol
while the share remained the same, the volume came down a little bit in Q4.
But otherwise Suprep was very strong and offset some of that, as well as our
inline products were fairly stable .
Krishnendu Saha: So Suprep we still have two player market, right?
Vinita Gupta : That's right, it is the authorized generic and us, so far most we see this
Krishnen du Saha: How long do you think that this can continue any case I'm not an expert I'm so
I can understand your view on this.
Vinita Gupta : Yeah it's hard to predict so far we don't see any new entrant imminent.
Moderator : Thank you very much, Krishnendu. So, the next question is from Neha
Manpuria.
Neha Manpuria : Thank you so much. Vinita, on Spiriva, you don't see a scenario of FDA giving
us a possible CRL when the TAD date comes, right, based on the queries that
we're getting or is that still a risk
Vinita Gupta : That would be highly surprising. I mean it's hard to predict the agency at any
point in time, but just based on where we are, we feel like we are close to the
finish line here.
Neha Manpuria : OK, got it. And seco nd, Ramesh, given Spiriva launch etc, still tough to predict
and there's also the market share that we end up ramping up to. if there is any

delay in Spiriva then how should we look at the margins from the 13% that we
are doing ? Could there be lags to the margin or all of that margin guidance?
That we've given is dependent on the new launches
Ramesh Swaminathan: I don't envisage this situation where Spiriva is going to be in doubt, but in the
unfortunate event it does happen to be something like that, the base is set
with the current levels and we expect in fact better numbers to come in from
our India business and we have products across others also. So I would
certainly say that there would be margin improvement but of course the
needle really moves sharply when Spiriva is really launched.
Vinita Gupta : I would just add to that, other than Spiriva, which of course will be the largest opportunity as we see it right now. And we also have Darunavir in June. We
have Cyanocobalamin that we hope to launch out of Somerset in August. We
have Diazepam Gel that we hope to launch in July. We have a Varenicline that
we hope to launch. We have a TAD date of October for that product, and we
have bromfenac, the ophthalmic product, where we are exc lusive first to file
that is at the tail end, March. W hile we have Spiriva as a major new product
opportunity, we also have few others that will help us grow the business. Needless to say, I mean the margin guidance that we just spoke about there will be s ome impact hypothetically Spiriva would not come through. But again,
we we've looked hard, we've worked hard on cost optimization and we'll
continue to do that to make sure that we continue to drive our margins
forward.
Neha Manpuria : Understood and we ne ed to one other question in the US business, I think you
mentioned in the television interview about price erosion being, if I heard

correctly, low single digit, mid -single digit. Just wanted to understand are you
seeing, let's say things improve on the price erosion front or let's say at least
customers not coming back to you with repeated request for price revision on
the baseline products given what's happening with the plants for competitors
Vinita Gupta : We're starting to see that. And I think I said mid to high single digit in the
interview, but because that's a normalized level that we saw in previous years.
We've given the supply chain challenges that companies have had, our
customers have become again very, very focused on reliability of supply an d
again engaging in more longer term relationships, contracts or at least the
commitments, which gives us comfort that they are prioritizing reliability of supply over price. I mean of course they always like to get the best price, but
they've struggled a lot this past year with the flu season products. So the flu
season products in particular, we are finding that they're engaging with us in a
most strategic dialogue on how do we really ensure that we meet the market
demand . How do we partner to meet the ma rket demand . So the partnering
dialogue is gaining momentum over the transactional model of business with our channel partners

Neha Manpuria : Understood. OK. Thank you so much.
Moderator : Thank you so much, Neha. So next question is from Prakash Agarwal.
Prakash Agarwal : Just on the India business, we talked about you know we expect double digit
growth when we see April data, the month is pretty flat, volumes are down 5%. So the first question is what is the strategy that we are following? I did hear you have added some MRs, if you could explain how much you have
added with therapies? And what is the strategy despite a very soft start for the industry
Nilesh Gupta : We've added close to 1,000 representatives and we've done 5 new divisions out of that. There's a 6th division that will come up in this first quarter as well.
We're seeing growth across the board coming back. We're seeing growth on
respiratory. We're seeing growth in cardiac. We're s

eeing some normalization of growth in diabetes even and the inte nt would be for that to continue. Good
growth in areas like gynaecology for example. So, I think the mood is extremely
upbeat. Our own internal numbers on April look higher than whatever
estimates we originally had. So yeah, I do think we are moving in the right
direction. I think there's two of these of the divisions that we've added in
March that have started giving us some returns, the others that we've just set
them up in Jan, Feb, March. So that will really come in the quarters to come.
Prakash Agarwal : OK. And what's the final count as on the March for after thousand MRs. getting
added?
Nilesh Gupta : Yes, about 7,000 and about 9,300 The number, so 7,000 MRs. and 9,300
including the total sales team.
Prakash Agarwal : Fair enough. Secondly on the facilities issue that we are having across the US
FDA issue, just wanted to have a flavour in terms of what is the remediation
expenses we are incurring currently across, and which ones would be the first
one that could get out of the FDA scanner. And by when, I mean if you could
just very ballpark what is the thought currently .
Nilesh Gupta : Sure we can talk about the remediation . I think when they'll get cleared is a
little bit of crystal ball gazing. I think the spend is definitely higher at this point of time. You know for example there's a considerable amount of spend being
done on nitrosamines and the like. Part of it would be for the industry as well,
but certainly for us basis some of the observations we had in Tarap ur. So, we've
made great progress. I think we're close to remediation of that site. We're
close to remediation of Mandid eep as well .
Pithampur , we're hoping with the next update we close out all the
observations that we had and the next step obviously would b e to engage with
FDA and get feedback. I think there is definitely additional spend at this point

on the compliance front which we would hope to see normalize in the second -
half.
Prakash Agarwal : That would be to the extent of what couple of million dollars or it's a larger
number to look at.
Nilesh Gupta : No, it is larger than that.
Ramesh Swaminathan: Yeah, we spend fairly large amounts on consultants itself,

Prakash Agarwal : OK. So about $10 million something like that. I mean some ballpark number ?
Vinita Gupta : Times two
Prakash Agarwal : OK. And this is annual, right?
Nilesh Gupta : That's right. There was a certain number in the base also. All of this is not incremental, but there is definitely room to optimize here.
Prakash Agarwal : Okay. And at best, it would be what, 6 -12 months while we see like a clean state or it could be long drawn as well?
Nilesh Gupta : Yes. So large part we expect to complete in the first half. So definitely, there would be optimization that we would expect to get in there after, and some of it will flow into the next half as well.
Prakash Agarwal : Got it. And just last one here on looking at past notes, we had talked about ForDoz pharma for injectable tie -up. Just wondering, if there's any update on the tie-ups we had , if I'm not wrong two injectables. Is that plan still on? Or where are we on that?
Vinita Gupta : Yes. So, they filed doxycycline. I think we have a TAD date pretty soon. it's a product that we intend to launch in the next 12 months.
Prakash Agarwal : And the other one?
Vinita Gupta : Ambisome is still in development
Prakash Agarwal : Okay. And it is limited to two products or are we planning more?
Vinita Gupta : The ForDoz partnership was the two products.
Prakash Agarwal : And are we doing more such types or.
Vinita Gupta : Yeah . Yes, on the injectable front, we have a pretty active effort ongoing to partner as well as acquire injectable products that can accelerate our build of the injectable franchise.

Nilesh G

upta : You would have seen the approval that we had with some of the Caplin point products .
Vinita Gupta: Yes. And so we have, I think, five or six point Caplin Point products that we intend to launch in the next 12 months.
Prakash Agarwal : Okay. Perfect. Great. Thank you. All the best.
Vinita Gupta : Thank you.
Moderator : We'll take the next question from Mr. Bino Pathiparampil.
Bino Pathiparampil : Thank You . Hi. Good afternoon. We have a couple of questions. One, pegfilgrastim, what's the update? I thought that was also expected this fiscal.
Vinita Gupta : Yes. So, we're just waiting to hear back from the agency on pegfilgrastim. We have after the inspection of the Pune site, we have responded to all of the queries that the agency had and believe that we shou ld be getting that approval if they have no objection. Maybe just waiting to get that approval to really determine next steps with the product.
Bino Pathiparampil : Understood. Could you please repeat the product you said, the ophthalmic product you said could get launched in March?
Vinita Gupta : Bromfenac (Prolensa) .
Bino Pathiparampil : And the list of products that you mentioned for launch this fiscal. Do any of them depend on clearance of these FDA issues at the facilities or are they all de-risked ?
Vinita Gupta : Actually, only Prolensa does. Prolensa is Pithampur Unit -2, which we hope to clear.
Bino Pathiparampil : Okay. Great. And finally, Ramesh, this year, we had a very high tax rate. Going forward for next couple of years, what do you expect the reported tax rate to be?
Ramesh Swaminathan: As you can imagine, the tax rate has been high only because we had the loss-making subsidiaries across. But since then, actually Brazil has turned around, America is expected to, of course, do well ne xt year. So I expect the rates to come back to normalize to around 30% next year. It could be a little lower than that also .
Bino Pathiparampil : Got it. Thank you very much.
Moderator : Thank you so much, S ir. So, the next question is from Surya Patra.

Sury a Patra : Yes. Thanks for the opportun ity. First question on the general overall cost. See,

thanks for the improved performance in the quarter, but still generally the
margins are below par versus the industry trend. We know the kind of
challenges what we have been facing. But having seen the kind of cost
containment measures and all that, so we have started seeing some kind of
signs of improvement.
But could you give some sense that which are the key cost element that we are
targeting currently, and where that we can see some improvement. Because
that will give some kind of confidence about it. Because we have been under
the sub 15% kind of margins since long, and one of our big revenue driving
market that has been under loss. So could you give some k ey cost line items
that you are targeting to really control?
And also, what is the update on that hiving of the discovery research division what we have been talking about to improv ed our overall margins? So let's say,
over next two to three year kind of h orizon, what are the kind of margin
progression that we can see? And for that, what cost line items or cost items
that we are really considering in this?
Ramesh Swaminathan: I'll start with the easiest , starting with NCE, we have actually ramp ed down the
overall infrastructure associated with that. So INR150 crore spend is actually
coming down to much lower numbers. That's the firs t. So essentially, we would
save close to about INR70 crore toINR80 crores on that. On the cost lines, yes,
we do realize, whilst there has been considerable savings and progress along
with various initiatives, and I spoke about INR 325 to 350 crores kind of savings.
We still believe th at there is a good INR250 crores that is possible across lines
like inventory write -offs, which still remain

high because of the products that
we are dropping, impurities, nitrosamines, and the like i s impact ing those as
well. And that would, of course, co me down. It's not going to be a situation of
continuing for long. We've taken active measures in terms of looking at
inventory control, and evidence of that is really seen in the working capital
optimization measures which is actually bearing fruit even in this particular
quarter.
There is a base below which it is impossible to go below, when it comes to cost
thresholds, so to speak. So there is a minimum infrastructure that we need to maintain in terms of staff and across various functions. But for sure, w e do
believe that there is still some scope when it comes to, for example, facilities ,
on the infrastructure, on the R&D, oral solid dosages front and so on . Because
if we're going to keep it lower, then potentially there is scope for optimization.
If the volumes are what they are, then potentially there is scope for footprint reduction across manufacturing lines and the like. So it is going to be a
continuous process. But it's not as though it is going to be something which

can be achieved within a period of two quarters or three quarters. It is going
to be over an elongated run, possibly over the 18 - 24 months period. The only
thing that we can actually assure you is that the focus is going to be constant.
it's going to be razor sharp in that sense. And it will show results over time.
Nilesh Gupta : Ramesh, if I can just add, I think first of all, on the gross margin line, I think you
guys did a bunch of efforts around that. We did a bunch of efforts around that.
A very large portion of that got wiped out by inflationary costs as we discussed.
Same way on the SG&A front, there's a significant increase , the majority of that
increase is towards India and the related adjacencies that we have. In fact,
we've optimized expenses on a bunch elsewhere.
So there is an optimization plan in the US that is actually what's helping getting the numbers to a better level at this point of time. But there's also an
investment plan in markets like India that is resulting in increase in some of these lines as well. So it's not going to look linear from that perspective. It's going to be different strokes in different markets . But US clearly moving down
the optimization path, clearly the focus on new product launche s as well.
In markets like India, we're obviously investing. Like we said, we added the
sales force, there's a cost attached to it, that's just started. So there's going to be additional selling promotions spend that will come around that as well. But
that obviously is with a clear visibility of return that we will give starting within
12 months from the time that we get the sales force on the ground. So I think
the margin will obviously improve, but there are these forces moving things up
and down a littl e bit.

Ramesh Swaminathan: True. We've mentioned a lot of that at the start of the session itself in terms of my opening remarks.
Surya Patra : Yes, sure. So, so my second question is on the, let's say, in all your effort for the ramping of your injectable base , how does the acquisition of the Medisol fare, the one recently that we have done. This is a very small company, although it is not very influential one to the overall size , but whether it is having any capability apart from the products? A nd secondly, on the injectable front for our existing key market, what is the core strategy that or when are we expecting to see meaningful contribution from the injectable portfolio as a whole? That is my second question .
Vinita Gupta : Yes. So your two -part question on the injectables, the first Medisol just gives us access to France. You know France is a market where we've had very little exposure right now in Europe . We're really in Germany, UK directly and

then
France , with NaMuscla. But this small , toehold , so to say just gives us entry into the hospitals in France. And it allows us to really take our injectable pipeline that we have put in place for the US as well as other developed

markets and bring it into France . The hospital segment in the France is actually pretty attractive, for the portfolio that we have invested in.
So, it gives us an access point. It doesn't give us material infrastructure or a sales force . It really gives us access to the market and it's a very accretive deal.
It's a small asset, but accretive, which our focus has been on all our acquisitions to really buy accretive assets that don't dilute our earnings. So on the, contribution from injectabl es, I'd say that FY25 onwards, I mean so we have been building a pipeline. We have a good number of products filed even in FY23 we filed Liraglutide, we filed Glucagon and the Caplin products were filed.
So, we'll see six or so injectable products coming t o market in FY24.
There will be these smaller products , and the larger products, whether it's Glucagon or Risperdal Consta , we expect in FY25. So that will be our hopefully a big ramp up year for injectables. And then we are trying to figure out ways and means that we can accelerate that with products that we can partner , products that we can acquire. The US generics team is actively working on it to figure out how we can accelerate the injectable build .
Surya Patra : OK. Just a last question if I may , on the domestic formulation business how should we see because see having seen this segment really contributing meaningfully to everybody's growth during the difficult time of the last two years. So hence everybody is now kind of for trying to enhance, expand or whatever in the domestic business. So it is nothing but just enhancing the competition. So while the growth of the industry or growth of the base is kind of known and the trend is kind of getting followed only . So is it because of the incremental compe tition and everybody trying to have their share in that? So whether the profitability is likely to be compromised going ahead ?
Nilesh Gupta : I couldn't help but smile when you were saying the question. I think there's a massive opportunity in India. There is a massive need in India as well. For example, the 6th division that we're going to launch is an extra urban division where we will go to doctors and geography that we don't even cover at this point of time. So I don't think it is competition with each other. Definitely when you launch products, obviously you compete against other companies, but I don't think it's that and I don't think it's going to have a reflection on pricing.
There is an opportunity in the bigger scheme of things, I think it's the GDP, the amount of spend on healthcare out of GDP , affordability , the ability for people to pay , to get diagnosed and tested, that is the bigger story in India. And I think anybody who's really focused on India is driven towards that story, certainly we are. So , I don't see this as a limiting opportunity going forward. I actually see this hopefully as something that should accelerate in the next few years.
Surya Patra : Sure, sir. Wish you all the best. Thank you.

Moderator : Thank you very much, Mr. Patra. Now may I request Mr. Sam eer Baisiwala to go ahead with his question.
Sam eer Baisiwala : Yes. Thank you, so much, and good evening, everyone. Vinita just quickly how

many complex injectables and inhalers have been filed and what's the approval
visibility over next couple of years?
Vinita Gupta : So, on the injectable front, we have a few. I mean, glucagon that I mentioned,
I think four or five products, the liraglutides, glucagon, ganirelix, and then, of
course, the ForDoz product, doxycycline. O n the inhalation front, it's been the

products like Spiriva and Dulera. But we've been, like this year, we fil ed three
nasal sprays as well. So while smaller opportunities, but still meaningfully add
to the respiratory portfolio.
And I'd say that the Ellip ta filing as well as Respimat should really happen in
the next fiscal year. We are making good progress on these products. But in
terms of the development cycle based on where we are, they will really be
fiscal year '25 filing.
Sam eer Baisiwala : Okay. Excellent. And just talking about albuterol, what's the outlook for the
current year fiscal '24, both in terms of pricing? And is there a room for market
share gains over here?
Vinita Gupta : If there are any market disruptions, we certainly will be ready to take share. I
mean, so far the market has been fairly stable, and we've got this 20% plus
share. And we hope to be able to sustain it at the current pricing or as close as
possible. So I mean, I think if there are any disruptions, certainly we'll have the
opportunity to gain share. But it's turned out to be a really nice product for us.
Sam eer Baisiwala : And you said, you expect the pricing to be stable for the foreseeable future.
Vinita Gupta : Yes, we think so.
Sam eer Baisiwala : Okay. Great. And j ust one final on India. For the full year fiscal '23, I see you
have grown at 1% or so, whereas the price increases, I would imagine, have
been more like 7% - 8%. So, does that mean there's been a quite big volume
erosion in India? That's one. And second, what's the pricing outlook for fiscal
'24 for India?
Nilesh Gupta : Yes. So I think the biggest story we impacted on diabetes and we have de -
grow n there , right ly so from a value perspective. So that certainly happened.
As far as the pricing outlook, so obviously, the WPI was 12.2 or the likes or the
scheduled products. For the most part, we would have taken that increase. We
typically don't take it on anti- infective, for example. And then obviously, we
optimize other products and take an annual incre ase as well.

There have been input material increases as well last year. So I think we
definitely wanted to take more of the increase. Typically, I think in the non -
scheduled portion, 5% - 6% is the price increase that you end up sticking to.
So last year, if you take out diabetes, it's a growth story. With diabetes, it's
actually a d e-growth. So from that perspective, obviously, there's significant
room to move. That diabetes part is starting to stabilize. Diabetes is about 20%
of what we do in India. So, there is direct impact on the overall India number
when we do it.
But we're starting to see all of that starting to even out. Respiratory was slow to start. But now, that's growing nicely. Cardiac is starting to get to the double -
digit number as well. I think other than diabetes, everything else will be at
double -digit.
Sam eer Baisiwala : And then just to conclude on this , after 7% - 8% price increase last year, 5% -
6% this year, I mean 14% put together. I mean, do you think markets, doctors
are quite oka y to absorb this kind of a price increase? I can't remember when
last we had such high price inflation in the drug industry there from last year.
Nilesh Gupta : Yes. So as far as these controlled products, there was an additional NLEM list.
So net -net, ther e actually a negative impact on that portfolio from what
happened in November, December. So on that, that list of products, which was
there, obviously, there is impact. I'm not sure where you're getting the 7% -
8% from, that certainly was not our pricing increase last year either.
Sam eer Baisiwala : But that's a number you get if you see industry -wide volume versus value
growth for the industry as a whole and most companies, and that's where it's
coming.
Nilesh Gupta : No. I think that would also be the port folios that they're shaping. If there's
going to be mo

re oncology, then the value will go up and everything. But I can't
comment on that. You can comment on that better. From our perspective, we
look at products very closely from affordability as well, certainly with our peers
as well, we would not be priced at the lowest product. We would certainly not
be priced as the most expensive product as well.
And there have been significant cost increases which have happened over the last couple of years, right . If you look at the base product, look at anti-
infectives, look at vitamins, look at some of the materials starting out of China,
massive inflationary costs , the same thing that we're explaining on the gross
margin line. You can't directly pass them on in India. I think you only get an
opportunity once a year to go and address that. And you would address it
where it's possible to do. Where you feel that it's not, you don't.
Sam eer Baisiwala : Okay. Great. Thank you so much .

Moderator : Thank you so much, sir. The next question is from Mr. Madhav Marda.
Madhav Marda : Hi, just had a few questions. Just wanted to understand on the R&D side, we're
at about 7% of sales in Q4 and about, I think, INR 300 crores on absolute basis.
I'm not sure if you gave some guidance in terms of where we could be as a
percent of sales or an absolute basis. If we should be like, annualised our Q4
number or can this go up?
Ramesh Swaminathan: So essentially, there would be actually a pivoting to more complex products ,
but the magnitude will be around the same vicinity, in INR 1,300 crores to INR
1,400 crores max .
Madhav Marda : INR 1,300 crores to INR 1,400 crores R&D. Okay.
Ramesh Swaminathan: Yes.
Madhav Marda : And then the second question was on the India business. By when does the
diabetes portfolio generalization impact come through in the base, like is it Q1
FY '24, where it's fully in the base and then sort of we can start doing it at a
faster pace?
Nilesh Gupta : No, it goes into '25 as well, I think as some products go, right . So I think there's
two things here, right . Products that we would have in -license d, where
competition comes in or we reduce pricing in line with competition or other
products which are getting genericized, both of these things are the two
elements eating away diabetes, right .
So you would have seen in the DPP -4s, one by one, each of them has been
going off patent. In the SGLT2, same way, that's been happening as well. That keeps impacting the market over time because certain prescription behaviour
keeps switching when a higher priced product remains, but a lower priced in
the same category is available as well. I think that will go on till 2025. From our
Indian region perspective, while that's a top -line story, it's no t a bottom line
story because in the in -license d portfolio, you make a lower margin profile
versus products that you would make yourself.
But I think we obviously enjoyed the wave of the increase in the entire diabetes sales over the years as these new pro ducts were brought to market by us. But
on the flip side, we are seeing this as well. I think it's part of life. It's going to
pan out in the next two years. But till then, the growth I think on diabetes will
remain possibly in my opinion, possibly high -single -digit, not getting to that
double -digit category.
Madhav Marda : Got it. And just one clarification. You mentioned about INR 250 crore cost
impact from the nitrosamines. Could you just clarify what that was? Like that's
a saving which can come through or.

Ramesh Swaminathan: INR 250 and anything like that. We said about $20 million
Nilesh Gupta : Well, we said $20 million on consultant spend. We did not say, total everything
put together .
Madhav Marda : Okay. Thanks.
Moderator : Thank you so much, sir. May I request Mr. Chirag Dagli to go ahead with thi

s
question, please. Thank you.
Chirag Dagli : Yes, sir. Thank you for the opportunity. Sir, we spent INR 1,500 crores CapEx –
organic CapEx in FY '23. Can we have some details on what this CapEx is on ?

Ramesh Swaminathan: Acquisition . So essentially, in India, CapEx is far lower, in fact, less than half of what you're mentioning. A huge chunk of it is actually for M&A. It is spread across, in fact, what we bought in India, what we bought in Australia, and what we bought in America.
Chirag Dagli : So there's a separate line item, Ramesh, which says payment for acquisition of business, that's INR291 crores at separate. And there's also another one on capital expenditure on property plant.
Vishal Rathi : So what are you seeing there on the acquisition, that's only for one piece, which is on AFDIL. All the other acquisition, whether it was with the Sunovion for Xopenex , Brovana or the Paloma acquisition in Brazil, those are all getting accounted in the line, which is where you see the capital expenditure. And both this acquisition, specifically the Sunovion one was a significant one from an acquisition perspective, which we did this year.
Chirag Dagli : So this line item says about property plant equipmen t.
Vinita Gupta : So we need to clarify it.
Ramesh Swaminathan: The intangibles actually, what we bought into brands and so on. So it's actually coming as part of that.
Nilesh Gupta: Like we said, the CapEx is basically of the order of INR 600 – 700 crores, that's Global. And about half of that would be really going towards maintenance kind of spend and the other part would be for newer capabilities.
Vishal Rathi : So both lines together is INR 1,700 odd crores is what you see overall.
Chirag Dagli : And we hope to maintain this kind of granted INR 600 - 700 crores organic CapEx.
Ramesh Swaminathan: The organic CapEx would be around the vicinity, between INR 600 crores to INR 700 crores. So potentially, M&A is really going to be based on the proposit ion that presence itself.

Chirag Dagli : Understood. And this M&A, we keep doing these small, small bolt -on deals. My question is, really, how do you is there an internal hurdle, IRR, payback period, return on capital, how are you thinking about?
Nilesh Gupta : Of course, we do have that. It really varies . For example, if you take the Medisol thing, it is actually very strategic. So, of course, the payback period is very reasonable from our perspective. So it really is dependent on the proposition and what does it do to our overall portfolio. And on the respiratory space, for example, we found an opportunity with Brovana and Xopenex, and also essentially Paloma, for example, helps in actually stabilizing the overall portfolio in Brazil. So it is actu ally a bit of strategy, and of course the kind of returns associated with it.
Vinita Gupta : But all of them, our focus has been on quick payback and high IRR, EBIDTA multiples.
Ramesh Swaminathan: And being EBITDA accretive as well as much as possible in t he very first year.
Chirag Dagli : So we've spent about INR 1,000 crores on these acquisitions, right? INR 1,700 crores of overall CapEx, like you're saying .
Ramesh Swaminathan: Yes, that is correct. Everything put together.
Chirag Dagli : So, my question is, this INR 1,000 crores, if you can just give us a sense of how are you thinking about payback periods, IRRs or whichever way you're slicing? This seems like a fairly large amount. I would have been surprised if you would have told me 12 mon ths back that you would spend about a INR 1,000 crores with a single -digit ROIC, you would spend about a INR 1,000 crores on M&A. I'd be surprised. And that's the question that how have you evaluated?
Ramesh Swaminathan: Our threshold limits are, as I said, it is pretty high. I would say anything north of 19% - 20% on an IRR b

asis, which includes, in fact, a terminal value of that. So even without that, it would be well above 1 5%. So from our perspective, it actually adds value – economic value to us. Our cost of funds is about 11.3% and thereabouts. So, to that extent, all of these propositions as well as they are well above those limits, it makes sense to us.
Chirag Dagli : Understood. And just the last question is on the tax rate. At what point do we become a normalized tax rate company?
Ramesh Swaminathan: So in the recent past, we have been inhibited by losses in various subsidies, and that included Brazil and America. And of course, we still have our entity, R&D ent ity at Netherlands. That would potentially be because it's more R&D spends, but we do expect the other business subsidiaries to start making money for us, as was the case in America until very recently. So effective tax

rates would actually normalize around the 28% to 30% mark from next year
onwards.

Though if you recognize India itself, it's much lower than that.
Chirag Dagli : So FY '25, you're saying, 28% to 30%?
Ramesh Swaminathan: FY '24. The current year, we are bringing it down to abou t 28%, 30%.
Chirag Dagli : Understood. But a normalized rate should be 25%, Ramesh?
Ramesh Swaminathan: It could be, so you could expect that out of India because it is possible, if I would move to regime two, in last net regime. But of course, we still have tax breaks in India. So that's why we're still sticking on to that. But if we talk about other parts of the globe, incremental tax rates are in the vicinity of 30% in most parts really. It is really a function of those. In America, for example, apart from federal taxes, you have state taxes as well to reckon with . So there is an NOL as well, you won't be actually making any payments out of the tax payments out there, but there's still some federal tax out there.
Chirag Dagli : Okay, sir. Thank you so much.
Nilesh Gupta : I know we're at the hour, but maybe last two questions .
Moderator : Thank you so much, si r. Next is Ms. Cyndrella Carvalho , please. Next question
Cyndrella Carvalho : Thanks for the opportunity. If I can understand, if we are looking at the coming quarter in US, it will be seasonally weak quarter, right ? if I follow our general trend , do you see our quarterly run rate of $175 million sustaining , or should we assume it more towards seasonality that we always consider? Plus, with the US base, can you help us understand how Suprep is expected to pan out for the coming entire fiscal FY '24, along with albuterol?
Do you think these both products will continue at the same level for us today? Or you see that they will see some competition, though you highlighted earlier that you do not see meaningful entry in Suprep yet? But any further thoughts will be helpful. That's first question.
Vinita Gupta : Yes. So we definitely will see seasonality impact in the first quarter for the US business. All the anti -infectives, Cephalosporins, azithromycin, oseltamivir, all of that portfolio will be down. So, there will be an impact on revenues. But we have some upsides also. We have the darunavir launch and we'll see when we can launch Spiriva, June or July, based on FDA approval. We have some launches as well to off- set it.
But for us, once we launched Spiriva, that's where revenues pick up in a major way in the US. But otherwise, the seasonality will have an impact in the first quarter.
Cyndrella Carvalho : And on Suprep and albuterol?

Vinita Gupta : Yes. So, albuterol is already a multi- competitor market, and we believe that it's stable from the standpoint of competitive and from a share perspective for the competitors. We don't see any near -term entrant in albuterol in the next 12 months. On Suprep, it's har d to tell. We don't believe that there is any imm

inent approval right now based on what we understand of the supply chain, but it's hard to tell how long it will remain exclusive. We think the next three to six months it should. It could be beyond that as well.
Cyndrella Carvalho : Okay. And if I have to understand the overall scenario ex these new launches, like if we keep Suprep aside, do you see the price erosion at the mid -to-high - single -digit run rate only or do you think it is higher than that?
Vinita Gupta : We think that it's gotten to that high -single -digit run rate, but for the new products, like Suprep.
Cyndrella Carvalho : Excluding new products, right?
Vinita Gupta : Yeah.
Cyndrella Carvalho : Right. And if I may understand, Ramesh, how should we look at the hedging rates for us? Can you give us some idea around the coming quarters? Where are we?
Ramesh Swaminathan: There's this philosophy that we should not hedge fully. The current, at least, trends kind of indicate we're going to stagnate around the 82 marks . But given the volatility around the economic front, it's good to be actually open for a

huge chunk of our portfolio. And that's what we have actually done. We have
booked some things for the future. And those are well into very acceptable
rates at this juncture. But a fairly large chunk of our overall exposure is still
unhedged.
Cyndrella Carvalho: Okay. And if I may ask one more question on the API side, what is keeping this
kind of growth in the API? Do you think there is some seasonality to this? Or
you think this is sustainable? And what were the key drivers for the API
segment to outperform? Can you please highlight and help us understand, a
little more granularity will be helpful.
Nilesh Gupta : As fa r as the API business is concerned, we were basically doing very low in the
first three quarters. And there's really been a successive build over the
quarters on the API business. Every quarter, the business grew. And in Q4,
obviously, we've seen a lot mor e normalization in products like 7 -ACCA and
cefaclor. That's really what's driving it. We expect it to continue. We don't
expect this growth to continue, but we would expect it to kind of continue
more or less at this kind of levels.
Cyndrella Carvalho : Thank you so much.

Moderator : So, can I request Kunal Randeria?
Kunal Randeria : Thanks for allowing me to squeeze my question in. Vinita, just couple around
Spiriva. Now, is my understanding correct that Spiriva volumes have been
shrinking? And even within that, Respimat share has been rising, so which
means Handihaler has been maybe going down in double -digits in the last five
years?
Vinita Gupta : That's right.
Kunal Randeria : So what is your expectation once the Handi haler generic comes in the market?
Do you expect some shift back from Respimat to Handih aler?
Vinita Gupta : We haven't assumed that, but hopefully that happens. From a pricing perspective, the retailers have the
incentive to shift some.
Kunal Randeria : Right. And what would be the m arket size today at the manufacturer level?
Vinita Gupta : It's, I think, gross level still 1 billion plus at the gross sales level
Kunal Randeria : Okay. The net level maybe 500 odd. Would that be a correct understanding?
Vinita Gupta : I would think so. But from a pricing perspective, it's really the gross level that
is important.
Kunal Randeria : Sure. Okay. Perfect. Thank you, and all the best.
Vinita Gupta : Okay. So, thank you.
Moderator : Yes. I think that pretty much concludes our Q&A session. Now hand the
conference over to the management for closing comments, please.
Vinita Gupta : Great. Well, thank you, everyone. Hopefully, we've been able to respond to all
of your questions. If not, I'm sure you'll be following up with Ramesh. But as
we mentioned at the outset, we are very pleased with the progress we've
made through the year. So fiscal y

ear '23, closing the year on a positive note in
terms of EBITDA margin improvement. And we continue to be very focused on
driving profitability as well as growin g our business into fiscal year '24, with our
new product launches as well as the bas e business, India business as well as
other parts of our business.
So look forward to a successful fiscal year '24, and we'll look forward to
speaking with you again in the next quarter. Thank you.
Moderator: Thank you so much to the management team and the panelists. On behalf of
Lupin Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines and exit the
webinar. Thank you so much.

Call: Aug 2023

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August 11, 2023

■BSE Limited
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P. J. Towers,
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National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
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Mumbai - 400 051.

Dear Sir/Madam,

Transcript of Q1 FY2024 Earnings Conference Call.

Pursuant to Regulation 30(2) read with Schedule Ill Part A Para A(15)(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed is a copy of the Transcript of the Q1 FY2024 Earnings Conference Call held on Friday, August 4, 2023.

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

R. V. SATAM
COMPANY SECRETARY
(ACS - 11973)

Encl: a/a

“Lupin Limited Q 1 FY202 4 Earnings Conference Call”

August 4, 2023

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN - EXECUTIVE DIRECTOR, GLOBAL CFO AND HEAD CORPORATE AFFAIRS, LUPIN LIMITED

Moderator: Hello. Good evening, and welcome to Lupin Limited Q1FY24 Earnings Conference Call. Please note that all participants line will be in listen -only mode. And there will be an opportunity for you to ask questions, after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to the management. Thank you and over to you.
Vinita Gupta: Thank you. Good afternoon, folks.
I am very pleased to welcome you to our Q1 FY24 earnings call. I have with me our MD Nilesh as well as our CFO Ramesh. We look forward to sharing our Q1 highlights and outlook for the ■scal year.
We are very pleased to start the new fis cal year strong with continued momentum across our major regions, improving compliance position, multiple new product approvals and improvement in operating margins. Our India business is firmly back to double digit growth and the US business margin has continued to improve. We expect to see material improvement in the rest of this fiscal year as we launch Tiotropium and other new products in the US as well as our sales force expansion in India starts yielding expected productivity from Q2 onwards.
Our India business recorded an 11.5% growth QoQ and 10.2% growth YOY and this is after the NLEM impact as well as CIDMUS brand that we had in the base last year. Cardiology and Respiratory TA's grew better than market growth, our Diabetes TA that has been a challenge for the last many quarters due to loss of exclusivity of key in-licensed brands is now back to growth as planned by our team.
As we look at Q2 and beyond, based on the momentum we have and the enhanced productivity from the sales force expans ion, we now feel confident of consistent above market growth.
Switching to the US , our margins continued to improve for the fourth quarter in a row on the strength of a stable base business, continued performance of key products like Albuterol, Lisinopri l and Suprep, launch of Darunavir where we had exclusivity on the 800 mg strength. In addition to revenue growth and better product mix and therefore better gross margins, we also continued to deliver on reducing SG&A as well as distribution cost. With the approvals of products like Tiotropium, Cyanocobalamin , Diazepam gel and other approvals now likely due to Pith ampur Unit 2 Warning Letter clearance, we have a rich

pipeline of products to drive revenue and margin growth in the US for the rest of this fiscal year and beyond.
Apart from India and the US , all other regions performed well too in particular our Institutional TB and API business did extremely well during the quarter.
On the R&D front , our spend increased QoQ , driven by patent litigation o n key products, Ranibizumab clinical trial and long- acting Risperidone completion .
On the NCE front, we were very pleased to receive the milestone from Abbvie for our program advancing into the clinic. Our pipeline is now positioned well to evolve our business into complex generics with inhalation MDI and DPI, injectables from Nagpur and partnered products, as well as complex ophthalmic products from Pithampur Unit -2.
On the compliance front we have made progress with positive outcomes with

Pithampur Un it-2 warning letter clearance that will enable us to launch
Ophthalmic products filed from the site in particular products like Prolensa
where we were first to file as well as other ophthalmic products next year.
that will enable us to launch important products like PROLENSA, where we are
■rst to ■le, as well as other ophthalmic products next year.
Out of the ■ve sites we had under warning letter, we have now clear ed three
and continue to make progress on our remediation e■orts in Tarapur and
Mandideep. We are committed to ensure that we will get all our sites to a consistent and sustaina

ble level of compliance.
We are excited to start ■scal year '24 on a strong note and look forward to
executing on our new product launches, continued momentum in India, and operating margin improvement as we grow our business in the year. We
expect ■scal year '24 to be strong with quarter -after -quarter improvement in
revenues and p ro■tability.
With this, I will hand it over to Ramesh for a deeper analysis of our
performance.
Ramesh Swaminathan: Thank you, Vinita. Friends, welcome to a refreshing set of numbers. On the last occasion that we met, we did promise you that our result s and margins would
get to be better in successive quarters. We have endeavoured to live up to that
guidance.

Sales for Q1 FY24 came in at INR 4 ,742 crores as compared to INR 4,330 crores
in Q4 FY23, a growth of 9.5% QoQ. On a YoY basis, the company regist ered a
growth of 31.6% over Q1 FY23 sales of INR 3,604 crores. The sales of Q1 FY24
included $25 mn income from Abbvie for key milestone of initiation of Phase
1 clinical trials. Excluding the same our sales w ere 4,537 crores which
represented a growth of 4.8% QOQ and 25.9% YOY. Our sales growth this
quarter has been robust across all our key geographies. The US market registered a growth of 3.6% QOQ and 49% YOY (in local currency terms) whilst
the India branded business registered a growth of 11.5% QOQ an d 10.2% YOY.
The API business registered growth of 4.5% YOY and 32.1% QOQ.
During the quarter , the US business registered a growth of 3.6% (in USD terms)
on QoQ basis as sales went up to $ 180.7mn from $ 174.5mn in the previous quarter. In Q1 FY’23 the sal es were only $ 121.3mn. Products like Darunavir,
Suprep contributed to this robust performance. We are continuing to
maximizing the high value products resulting in a sustainable and profitable US
business.
India Branded Formulations business sales improv ed by 11.5% QOQ and
against previous year the sales improved by 10.2%. Our growth excluding
Cidmus and NLEM is a robust 13.60%.
API business sales grew by 4.5% on QoQ basis due to higher 7ACCA sales as
core cephalosporin API sales recovered handsomely. S imilarly, on YoY basis
sales growth was at 32.1% led by higher sales thanks to good demand pick up in the cephalosporin API.
Q1 FY24 gross margin is at 65.4% and at 63.8% ex NCE income , as compared to
Q4 FY23 gross margins of 59.6.% (a Variance of about 6.8%). The improvement
in margins quarter on quarter is driven by US as well as India. In the US, we had
NPL launches, better mix, higher price realization in few products and
reduction in freight expenses. The margins also expanded due to higher better
mix both in IRF and API apart from other reasons. We do expect this margin to
sustain
We have improved significantly from last year Q1, when our gross margin was
55.3% to the current levels of 63.8%. The improvement, again , was driven in
US margin as Q1 margin last year in US was at all- time low. Improvement in
India and API margins are also the o ther major contributors to the overall
margin improvement year on year

Q1FY24 is at INR 853 crores which translates to approximately 18.5% of
adjusted sales vs INR 773 crores in Q4FY23 which translates to approximately
18% of sales. The same was INR 779 crores or 24% of sales in Q1FY23.
The QoQ increase is mainly due to annual increments which were to the tune
of 7.5% across the globe.
Q1FY24 manufacturing and other expenses came in at INR 1,472 crores vs INR
1,303 crores in Q4FY23. These expenses were reported at INR 1,192 crores in
Q1FY23.
The QoQ Increase is on account of higher spends in R&D, increased
consultancy charges for nitrosamine related impurities, increase in selling and
promotion expenses in India due to field force expansion . Same rea sons were
also responsible for the year on year increase.

R&D is at INR 36 8 crores (7.8 % of sales) in Q1 FY24 as compared to 1,280
crores in full year FY23 which was 7.9% of sales . The increase in R&D QOQ is
on account of investment in newer platforms o f biosimilars and injectables.
Our EBITDA came in at INR 879 crores in absolute terms, representing an 18.5%
margin. Excluding one -time NCE income, Forex and other income, our EBITDA
margin was at 14.4% or 651 crores , reflecting an improvement of 50 bps i n
comparison to the previous quarter. The improvement in EBIDTA is primarily driven by higher gross margin, partially offset by higher expenditure in R&D, higher employee cost due to salary hikes and higher PLI income in base quarter.
The Effective Tax Rate was 18.9% in Q1 against FY’23 ETR FY’23 of 36.9%. The lower ETR is primarily on account of US subsidiary which has seen a turnaround , offsetting the NOLs of prior year , and the ETR was also lower on
part of Sikkim tax benefits.
The ETR for the full year is expected to remain between 21%- 22%.
Operating working capital was at INR 5,195 crore as on June 30, 2023 which translates into 103 operating days. This has reduced from 119 days at March
31, 2023.
Net Debt as on June 30, 2023 stands at INR 1,310 crores which has come down
from 2,500 crores at the end of Q4FY23. We have done repayment of packing

credit loans in India and also retired some debt in Australia. With this, we could
open the ■oor for discussions.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session.
Please raise your hands from the participant tab on the screen to ask
questions. We will wait for 30 seconds for the queue to assemble. So, bear with
us, please.
So, the ■rst question is from Damayanti Kerai . Please go ahead, ma'am.
Damayanti Kerai: Yes. Hi, good afternoon. My ■rst question is, can you update us on your launch plan for Spiriva in the U.S. in terms of preparation, and when you are going to launch it, and also your view on the market, speci■cally market shift which could possibly happen from Respimat to Hand ihaler. So that's my ■rst
question.
Vinita Gupta: Yes, so we are actively working towards a launch this quarter. We expect to
launch it later this quarter. And well time will tell if we can really switch share
back from Respimat to Spiriva. I mean, at this point we believe that we will be
the only generic in the marketplace. We haven't heard of an authorized generic launching, so we will look to really ■nd a way to substitute as much as possible
to our generic.
Damayanti Kerai: Okay . So second quarter launch towards the end. That's your target for this
product.
Vinita Gupta : That's right.
Damayanti Kerai : Okay. And ma'am, earlier, I think you mentioned the addressable market size
for you is around $1 billion? Or like what is the addressable market you'll be working for this launch?
Vinita Gupta: Yes, around that $1 billion size .
Damayanti Kerai:

But that includes both Hand iHale r and Respimat, right? It's a total
market, not only the Hand iHale r part.
Vinita Gupta: No, the Respimat was on top of that
Damayanti Kerai: It's on top of that $1 billion market, which we're looking at.
Vinita Gupta: That's right.

Damayanti Kerai: Okay. My second question is your other expense trend. So, Ramesh, obviously
mentioned what has led to quarter -on-quarter increase, as well as year- on-
year increase. But should we take the current quarter number as the base
going ahead? Or we expect further increase in this number? And I'm asking
speci■cally because you have been talking about cost saving goals, et cetera.
So where we can see bene■t of cost saving on say other operating expense or
some other line item.
Ramesh Swaminathan: Yes, so let me explain. We do expect, in fact, the gross margins to kind of
sustain at the current l

evel. So it is certainly going to be elevated, but you would also appreciate we've been talking about, in fact, a higher quantum of
investments on the sales and promotion front, especially in India, and we've
added about 1,300 people in Q3, Q4 of last year. So obviously, this will also be
re■ected in higher expenditure, on account of that, it will then commensurate
increase in terms of the sales itself.
This particular quarter there has been increase in nitrosamine expense on
account of nitrosamine quality assurance and the like, on account of
compliance, and of course, there is an R&D spend, which is on the higher side. We expect the R&D to kind of sust ain at these levels. Of course, there has been
a provisioning for non -product -related litigation. That's kind of one time.
So, the parts of this, which will certainly continue into the future. But what we actually had guided for is successive increase on t he EBITDA front. And that's
what we would be concerned about. And you will certainly see this in quarter
two, three, and four.
Damayanti Kerai: Okay. And my last question, since now you are more positive on growth
outlook ahead, and then pro■tability also. So, do you inch up your margin
guidance for FY'24? Earlier, you mentioned you'll be somewhere like mid -teen
margins for FY'24 with exit rate of high teens.
Ramesh Swaminathan: Yeah, so what we had said was perhaps in the fourth quarter, you could see an
exit rate of over 18%. We're sticking to that, and we are con■dent of actually
exceeding that.
Damayanti Kerai: So you can exceed 18% plus or say high teen margins towards the end of this
■scal.
Ramesh Swaminathan: 18% in the fourth quarter, and above the 15% mark, we guided for in the past, for the full year.

Damayanti Kerai: Okay. Thanks. Thanks for your response. I'll get back.
Moderator : Thank you so much, ma'am. So, the next question is from Neha Manpuria.
Please go ahead, ma'am.
Neha Manpuria : Yeah, thanks for taking my question. My ■rst question is just a follow -up on
the R&D that we mentioned. So Ramesh, when you say, we would likely to
sustain it at this level, does it mean as a percentage of sales, this is what we
should be factoring in. On an absolute level, this is what we would continue to
spend.
And a follow -up on that is on the biosimilar pipeline. I think, Vinita, you called
out that we are trying to build out a biosimilar and an injectable pipeline. So,
if you could give us some update on when we can see monetization from this,

both on the biosimilar and in the injectable front, when can this be a
meaningful contributor?
Ramesh Swaminathan: On the ■rst part of the question, let me clarify that what we expect to kind of sustain is an absolute amount. As a percentage of sales, that potential could
come down, because we expect the sales to certainly go up. Second part,
Vinita, could answer.
Vinita Gupta: Yes, on the biosimilar pipeline, as you know, so far, we have commercialized
Etaner cept, and we continue to work on launching Etanercept in new markets.
That's on the plan, on the cards for the next couple of quarters with partnership through Viatris, now Biocon.
And we continue to work with the FDA, to try to get clarity on our inspecti on
outcome at our Pune site for peg■lgrastim. So , we hope to be able to get clarity
on that soon.
The R&D, that I had spoken about was the clinical trials spen d on ranibizumab
that we had incremental spend this quarter versus the previous. And we
continue to pursue ranibizumab in particular for the U.S. as well as through
partners into other markets as well. So that's on, as far as the biosimilars go.
On the injectables front, we are actively adding to our pipeline right now with
both 505 (j) as well as 505 (b) (2) opportunities. With the Nagpur approval --
FDA inspection and approval, we now expect to get multiple product approv

als out of the site for the U.S.

Certainly later in this ■scal year, we hope to be able to get products like
Glucagon onto the market. In this last quarter, we launched Thiamine, which
was out of our partnership with Caplin Point.
And so we have a combination of both internal products as well as partner
products that we expect to help build the injectables business, start ing this
year, but more so also into the next ■scal year and beyond. We have within
our pipeline a large percentage of the products that we are pursuing now are
injectables.
Neha Manpuria : Yes, that's helpful. And just on Spiriva, what sort of ramp up shou ld we expect
for Spiriva? Would it be, given that we are the sole generic, you talked about
there not being an AG, so would this be a much, sharper uptake versus what
we saw in albuterol or should we assume a much more gradual uptake, in the
generic?
Vinit a Gupta : So when we looked at the analogs, when we look at the other DPI, in particular
Advair, the substitution that we saw was a ramp up over time, starting at 25%,
30%, and then building up to the 40% plus level. So what we are planning for right now is a similar kind of substitution rate, hopefully, enhanced with some
of our e■orts.
We have active marketing e■orts in terms of HCP awareness, pharmacy
awareness on the generic. But, still potentially going to be looking at a ramp
up over the next couple of quarters, and certainly over the next two years.
Neha Manpuria : And you think we get to a fair share, by middle of next year, the 40%
substitution that you're talking about?
Vinita Gupta : We hope so.
Neha Manpuria : Okay. Thank you so much.
Moderator: Thank you so much, ma'am. So before we move on, this is just a reminder to
everyone to please raise their hands on the participant tab.
Yes. So the next question is from Surya Patra.
Surya Patra : Yes, thanks for this opportunity. And congrats for the good set of numbers, ma'am. My ■rst question is on the authorized generic possibility in Spiriva. And
I think in the previous quarter you have been anticipating that but so far there

is no development on that side. So is it fair to believe that there is no
auth orized generic even next year kind of timeline?
Vinita Gupta : It's hard to predict that. We would hope, but we can't really predict what the brand is going to do. I mean, at this point, it looks like, they're not planning to launch authorized generic imminently. And based on the substitution rate,
maybe they will wait to see next year where we get from a substitution
standpoint to determine whether they launch or not.
But the positive for us is, we had expected an authorized generic and we don't
expect it anymore. So our launch quantities, our supply chain planning has been geared towards a higher volume, obviously.
Surya Patra : Okay. So, do you ■nd any rationale or why there is not an authorized generic, because -- so basically, a kind of sizab le opportunity. So is it that there are no
-- since we have not seen any ■ler for this, so hence the scope of authorized
generic is not coming that way, that is a way to think or how is it that?
Vinita Gupta : I think it's just given that we are a sole gen eric on this, and substitution is going
to be over time. Perhaps the brand is thinking that they can maximize the brand value, while we ramp up our share. That's the way I think about it. Yes.
I mean, additional authorized generic will be additional compet ition from a
pricing perspective.
Surya Patra : Sure. Yes, yes, of course. My second thing is that on the (Inaudible) side, whether you have already seen the kind of meaningful or large portion of the
anticipated bene■t in the quarter or that is to be seen in the subsequent
period?
Vinita Gupta : No, we've seen a good amount of bene■t in the quarter, in particular for the 800-milligram strengt

h where we were exclusive. We had a load -in into the
quarter, but we'll continue to see it in the next quarter as well .
Surya Patra : Sure. And just for Ramesh, sir, if you can just clarify what are the tax bene■ts from the Sikkim side that you are getting? And so, whatever the tax rate guidance that you have given, that is only for the current ■nancial year,
because of th is Sikkim bene■t and may not be there next year?
Ramesh Swaminathan: It will be sustained. Essentially, what we were saying is there's a higher quantum of sales coming from Sikkim, and there's, of course, the bene■t of a
tax-free regime out there. Second b ene■t is essentially because we're now

generating pro■ts in America, and previously that was not indeed the case. To
that extent, we still have NOLs of a large quantum. And the quantum of tax
that you actually pay on the pro■ts would be to that extent, abo ut 80% is still
exempt because the NOLs carry forward, and you pay only on the balance. And
of course, there is state taxes as well. The total absolute quantum of taxes paid across entire Lupin would potentially be lower because of all of that resulting
in a lower E TR.
Surya Patra : Okay. So, when you're saying the pro■tability of U.S. has gone up, so that is
excluding of this milestone payment --
Ramesh Swaminathan: Yes. Absolutely, excluding. I'm talking about operating -- based again on the
portfolio that we have out there.
Surya Patra : Okay. Just last one question, ma'am. See, in fact, sometime back in a media communication, I think you indicated about even entering into the basic research kind of activity. So, discovery research and potenti al spending that side. So can you update on that? See, initially there was a kind of thought process that we will be h iving of our discovery research. Then in the interim,
there was a kind of say about potentially looking into that again. And so hence, at this juncture, what is the kind of ■nal thought process there? And what is
the kind of investment likely beyond the R&D spend what we are talking about?
Vinita Gupta : Actually, we have curtailed our spend signi■cantly on the NCE front. As I think
we shared even last quarter, we had a discovery e■ort that we pretty much
closed down, which was the bulk of the investment.
And we decided to pursue the three pipeline programs to see if we can really get any signal in terms of e■cacy on the programs. So, in trial s that we're doing
in India, at a fraction of what it will cost us in the U.S. So right now the e■ort is
pretty low- single digit in terms of millions of dollars. And, one program in the
clinic in phase one.
And, if we see positive results, really it will l ead to licensing e■ort or an e■ort

to ■nance it through external funding. We don't have plans to commercialize
these -- the NCEs oursel ves or take on major risk on the NCE front ourselves.
Surya Patra : Okay. Sure. Just last one bookkeeping number question. See, sir, can you just
clarify what are the consultant spend that you have indicated. Means
quantum -wise for the quarter?

Ramesh Swaminathan: We don't want to actually talk about quantum. Essentially th is is -- essentially
relating to QA testing for nitrosamines and the like. There's a step -up on, in
fact, of what we spent in Q4, and that's what is recorded out here. I'm only
saying that this is not going to sustain into the long- term, it will perhaps pe ter
o■ over time.
Vinita Gupta : Well, we are working towards remediation on the nitrosamine front. And the industry has a goal of trying to get
October this year, end of this year, as much
as possible, the FDA and the other regulatory authorities have set guidelines
on the nitrosamine front that we are trying to meet. Therefore, the spend is ramped up right now, but it should come down in
the second half of the year.
Surya Patra : Thank y

ou, ma'am. Thanks a lot. Wish you all the best.
Moderator : Thank you Mr. Patra. We'll take the next question from Mr. Krishnendu Saha.
Krishnendu Saha : Thanks. We are already six months into the year practically and we guided for 18% exit. So, what is the
view on -- how do you see that 18% being sustainable
over FY '25? Tha t's question number one.
And Vinita, we're supposed to launch Spiriva at the end of the quarter? So, it's already August. Have you started shipping
some quantities out there?
Vinita Gupta : Yes, we have. So we already have production well underway and shipm ents as
well underway. But to your ■rst question on what gives us the con■dence of 18% exit? I mean, just based on where we are
right now and the products that we plan to bring to market, Spiriva in particular will be a material one. Apart
from that, we have cyanocobalamin, we have diazepam and other smaller
products.
But then later in the year, we also have products like PROLENSA, where again, we have exclusivity. And at the end of this
■scal year, we expect products like
Mirabegron, where based on the lit igation outcome, we think that there's an
upside opportunity. So, all of this put together in the current year, plus then
leading into the next ■scal year, gives us the con■dence that we should be able
to sustain the momentum on the margin.
Krishnendu Saha : I see. So, we could sustain the FY '24 exit margins into 2025.
Ramesh Swaminathan: And perhaps exceed that also going forward.

Krishnendu Saha : Yes. I'm just trying to understand the launches, we are preparing for a normal
or soft launch or we're going full force?
Vinita Gupta : No, we're going full force on -- are you talking about Tiotropium, in particular?
Krishnendu Saha : Yes, yes.
Vinita Gupta : Yes, yes. We're going full force, but we expect the generic substitution rate to ramp up over time.
Krish nendu Saha : Yes. I'll come back in queue.
Vinita Gupta : Yes.
Moderator : Thank you very much. The next question is from Saion Mukherjee.
Saion Mukherjee : So, on Indore, now the site getting cleared, how should we think about
launches, anything which is, seen meaningful still there that can come out of
Indore. If you can give some colour on that. And also would like to hear on
complex assets where are we in terms of development, if you can give us an
update and when you expect some of the key ■lings to happen.
Vinita Gupta : Yes. So out of Indore, in particular, the ophthalmic products, we see a nice opportunity around in ■ve or six

products that we have ■led from the site.
Some of them were just pending because of facility, which now should happen. Like PROLENSA is the ■rst of the pipeline opportunities that really is an upside
for us this ■scal year.
The other, we have products like Brimonidine, products like Prednisone, like
■ve or six products that are meaningful out of the ophthalmic facility, and in
particular now with the shortages in the marketplace on the ophthalmic front,
we see a nice opportun ity for these products. We should have PROLENSA this
year. And we think that three or four products are going to be next year, next
■scal year.
To your second question on the evolution of a pipeline into complex generics, on the inhalation front, of course , MDIs and now with Spiriva, DPI, nicely
expanding our portfolio franchise. And we are actively working on other DPI platforms, Ellipta in particular, we have made signi■cant progress. We hope to
report at the end of this ■scal year, a material milestone o n that front, on one
of our products. On Respimat also, we have made signi■cant progress, and
we'll make more so in the next ■scal year. But Ellipta, we have made signi■cant

progress so far. On the MDI front, there are a couple of products that we are
purs uing.
And then we are actively also taking a look at the whole move to

wards Green Propellants in the U.S. and Europe, and working on both the current product of 505 (j) to the current product, as well as the novel propellant versions of the
MDIs, that can enable us to potentially have some di■erentiation and
exclusivity in the marketplace.
S o , I ' d s a y t h a t s t r o n g p r o g r e s s o n t h e D P I f r o n t a n d R e s p i m a t , a n d s o m e
progress on the MDI front, especially given the Green Propellant move, we are
watching that carefully, so that we don't have to - we make an investment and
have to redo a product completely. So, that's on the inhalation front.
On the injectables front, as I mentioned earlier, we are adding to our pipeline very actively right now. We have multiple 505 (j) products and 505 (b) (2) products that we have added to our pipeline already. Nine products in active
pipeline this year have been added to the injectable pipeline. And apart from
that, I'd say, I think back on the respiratory front, we also have nasal sprays
that we are actively working upon.
And lastly, I'd say, on the implants and devices, we have made good progress on products like Nexplanon and Mirena, where we have developed equivalent
versions of the products and are actively working on the clinic right now.
Saion Mukherjee : Okay. Thanks for that explanation. When I look at the R&D spend today, let's say, you'd be doing, say, INR1,400 crores annually. Is it possible to sort of split
up like how much approximately you're spending on all these inhal ation assets
and biosimilars. If you can take us through some split on the R&D front?
Ramesh Swaminathan: More than 50% would potentially be for the complex ones.
Vinita Gupta : Yes, I think it's like 20% on inhalation, 20% on injectables, roughly, and 10% on
biosimilars.
Ramesh Swaminathan: Yeah.
Vinita Gupta : The like.
Saion Mukherjee : Okay. And just one last question, if I can. So, you've got 25 million from AbbVie.
I think couple of years back, we had like two large deals signed. So, are there
any mi lestone payments that we can have some visibility this year, next year?

I mean, is there any visibility on the licensing income that you can get on these
out-licensing deals that you had?
Nilesh Gupta : I think it's going to be a couple of years out to the next milestone. I think what's

happened is the risk pro■le of the product has improved signi■cantly. So, potentially the probability of a future milestone goes up, but it's going to be a
couple of years out for the next milestone now.
Saion Mukherjee : Unde rstood. Okay. Thank you. Thank you very much.
Moderator : Thanks, Saion. The next question is from Kunal Dhamesha.
Kunal Dhamesha : Hey, hi. Thank you for the opportunity, and congratulations on a good set of
numbers. First on the product, this Myrbetriq. On the litigation front, is this a
new patent that the innovator has kind of sued the generic ■lers over or this is
our old patent litigation?
Nilesh Gupta : So there is a new patent that the innovator is suing everybody on, but we feel
con■dent about the out come of that.
Kunal Dhamesha : Okay, perfect. And would you kind of give some market sizing for that product?
Vinita Gupta : It's like a sizeable $2 plus billion product. So signi■cant.
Kunal Dhamesha O k a y . A n d d o w e h a v e a n e x c l u s i v i t y h e r e o r i t ' s going to be a multiplayer launch at day one?
Vinita Gupta : We believe there's going to be limited number of players, day one.
Kunal Dhamesha : Perfect. And since we have talked a lot about the injectable business or
injectable pipeline, so do we have some form of aspiration as to where we see
this injectable business probably two -year, three year down the line for the
U.S. market?
Vinita Gupta : We do. We do have a sizeable build in for building it to a multi -100 million
dollar business, but there's stil

l work to be done, to get there. Our current pipeline gets us to $100 million dollars, but w e'd like to be well above that in the next 5 years.
Kunal Dhamesha : And this 100 , so the pipeline you're talking about is a ■led pipeline and not the
pipeline under development. That'd be the correct assumption?

Vinita Gupta : We will reach near to $100 million , from products that we expect to launch
within the next ■ve years. Already that gets us to 100 plus million. But like I
said, we'd like it to grow it to a di■erent level.
Kunal Dhamesha : And from the plant perspective, which are the important plan for this 100 plus
million opportunity. One, I think is
Vinita Gupta : It's just Nagpur.
Kunal Dhamesha : Nagpur. Okay
Nilesh Gupta : Injectables are over here in Nagpur.
Vinita Gupta : Yes.
Kunal Dhamesha : Perfect. And did I hear correctly that we have completed our trials for the Risperdal Consta?
Vinita Gupta : Yes, we have successfully.
Kunal Dhamesha : Okay. So, when are we planning to ■le that?
Vinit a Gupta : Next quarter.
Kunal Dhamesha : And any probable timeline in terms of approval for these kind of long -acting
injectables?
Vinita Gupta : Well, we hope that th e agency will, just given that there is no approval,
hopefully, the agency will engage with us on trying to get the product approved
sooner than later. But we're expecting, after we ■le, two -plus years or so to
launch.
Kunal Dhamesha : Perfect. And last, if I may, on the future inhalation pipeline where we have
talked about the Ellipta product, right, I believe the Ellipta product segment is
more like DPI, and they are also like more than one API, right. That is where
last time we hit a roadblock in terms of generic Advair, which was a mix of two
APIs. So, what gives us con■dence there? What has changed? What have we
learned from the generic Advair, which would help us crack these products?
Vinita Gupta : Yes, generic Advair certainly was a big challenge for us, partly due to the fact
that it was not under our roof. We were doing the development in a

partnership with Ceylon and Poland, which made it a challenge for us. But this
is being developed in Coral Springs.
Our team is excited about the development. They've made progress already on the dual formulation, the two -drug combination, and are working on the
three- drug combination right now. So, the learnings that they had from Advair,
they certainly have applied here.
And, we feel good about the fact that we h ave a good prototype in place to
scale up.
Kunal Dhamesha : Sure. Thank you and all the best.
Vinita Gupta : Thank you.
Moderator : Thanks Kunal. So next question is from Mr. Shyam Srinivasan .
Shyam Srinivasan: Good evening, and thank you for taking my question. Just the ■rst one on the
U.S. generic pricing environment. We've had multiple companies during this quarter talk about an improvement / stabilization. The only challenge that I
have is many of them have one -o■ opportuniti es in terms of special products
that are there as well. So , you don't have that at least currently.
So, I just want to understand what are kind of the trends you're seeing on the
base business and maybe you could elaborate around shortages, inventory
changes that are happening, or any new business opportunities. So, just the
entire piece, and how Lupin is probably seeing things at this point of time.
Vinita Gupta : Yes, certainly has changed a bit, compared to the last few years. And we see price erosion rea lly at a low -single digit percentage at this point on inline
products, on our base portfolio. And that's as a result of the fact that over the
last couple of years, there's been so much pricing pressure, it pushed a number
of companies out of markets. We g ot out of a number of products that we had
announced last year, that didn't make sense. They were

not economically
viable anymore. Likewise, a number of our peers got out of products.
And I think that has led to drug shortages. Right now, drug shortages is a huge concern that we've heard from folks on the hill, in the U.S., as well as from the FDA, as well as other stakeholders. So, I think the fact that it had become such
a tough envir onment for the generic industry ■nally has struck home and has
led to this price stabilization, which we hope will continue going forward.

Shyam Srinivasan: So, Vinita, the low -single digit, th is is on the base of say last year, which is
making it, right? do you think like the next nine months of the ■scal, we'll see
similar, or you think this is transient and will go back to given how the whole
GPO structure is that we will go back to higher price erosion, or you think this is sustainable? So just repeatin g the question again.
Vinita Gupta : Yes, we hope it's sustainable. It's hard to predict.
Nilesh Gupta : The in -line portfolio right. So for example, today we have exclusivity on
darunavir (Inaudible), as more competition comes into that you can see
erosion there. But you're saying for the in -line products.
Vinita Gupta : For the in -line products, we think that it should be low to mid-single digit.
Shyam Srinivasan: Got it. Very helpful. The second question is on the India domestic piece, right? I think earlie r guidance was for growth to come back Q2. So, we've seen it one
quarter earlier, perhaps. And I think if you exclude Cidmus, if I remember the opening, we had 13%, right? So, what's happening? Yes, what is happening
right here? I know we have added quite a few MRs over the period. So just
want to understand what are the checkboxes that are happening right in the
India piece and what's the outlook for the remainder of the year?
Nilesh Gupta : Yes, I think it is more what was going wrong. Just to clarify, it was 13.6% if you
adjust, but 10.2% unadjusted. You know, I think it's just a focus, right. So , like
we said, the real pain point was the in -license portfolio, which was facing
exclusivity challenges, certain products like Cidmus that went out of the
portfolio as well. The core business was growing at a very healthy rate. And we
always guided towards that.

And you just see that re■ection coming out now. I think we still have to see productivity gains from the representatives that we've added. Some of those divisions, most of those divisions have already started performing, but you'll see even better results from that Q2 onwards.
But I think this is just the core business kicking in. So respiratory, we're growing pretty much a t double the market rate. Cardiology, we're growing ahead of the market.
Diabetes, we're growing, which we were actually de -growing before. So I think it's the three core therapies which are focused on chronic, which is coming through.

We're doubling down on India. So, from our perspective, the representatives have resulted in six new divisions. There's a new extra urban division that we've launched as well. So, I think there's a lot of really good energy in India and we would certainly expect this growth r ate to continue.
Shyam Srinivasan: Yes, Nilesh, just last follow up and I'll stop after that. Any other products that are going o■ patent in the innovative portfolio that we may need to be aware of in the next three, six months?
Nilesh Gupta : Yes, so I thi nk we have one Ondero which will go o■ patent this August? So the Ondero is going to go, I think, a lot of that is already re■ected in the reduced pricing that we have, maybe a little bit more. And I believe that in 2025 we have one other product as well.
But this was kind of the mainstay, the big products which are going at this point of time. I don't think we'll get into a position where we see, very tepid growth in India again, but there is going to be lumpiness in some of the quarters, as some of these exclusivities go.
Shyam Srinivasan: But we stick to the kind of double digit, at least it was from quarter to last time you spent, but full year now you can do double digit in India, looks like.
Nilesh Gupta : Yes, absolutely.
Shyam Srinivasan: Great. Thank you, and all the best.
Moderator : Thank you so much. The next question is from Harsh Bhatia.
Harsh Bhatia : Yes. Thank you. Just one quick clari■cation in terms of the injectable portfolio that we have been talking about for, let's say the expected ■ lings and the expected launches, without getting into particular products. Would it be fair to assume that most of these, or a large part of these have been ■led through the Nagpur unit 2, because that's the injectable, the main injectable facility, right?
Vinita Gupta : Yes.
Harsh Bhatia : Okay, so over the next one or two years, whatever is there in terms of the launches and expected ■lings would be through Nagpur Unit 2.
Vinita Gupta : Well, also some partnered products.

Harsh Bhatia : Okay. All right. Thank you.
Moderator: So, since we have addressed most of the questions, we'll just wait for 10 seconds for any further questions to be taken because we can't see any raised hands currently .
Krishnendu you can come -in
Krishnendu Saha : Sir, on some of the Indian piece, your strategy, we have 9,100 MRs right now. So, how do we see going ahead. Do we see like -- I'm just looking at Mankind, I'm seeing they're high inroads in tier II and beyond. So -- and what kind of, do we look into any space like consumer health or something like that? Is there any other di■erential strategy which would be something di■erent from what we're doing right now?

Nilesh Gupta : So, right now, I think most of the representatives that we've added have resul ted into new divisions . And the focus has been on decluttering and focusing on key brands. Like I said, there is an extra urban pilot that we've started as well. That is something that I would hope that we would scale up, but we'll have to go through that and see how it does before.
The primary focus at this point of time has been decluttering, and focusing on building bigger brands. So we're not -- it's not that much of regional expansion at this point of time, but we certainly would hope for more going fo rward.
We don't see a big expansion this ■scal anymore . Obviously, we want these to stabilize. There's possibly one more division that we're going to launch in this ■nancial year. But then after that, we would programmatically expect to add 500 odd represe ntatives each year.
Krishnendu Saha : Any missing therapy areas, which we'd like to acquire or something. We are heavily into chronic ?
Nilesh Gupta : Amongst our peers, we're obviously, heaviest on the chronic side, but we're not number one in any. So, I thi nk there's signi■cant headroom to grow in
Respiratory, in Cardiac, in Diabetes. But I think Women's Health is shaping up very nicely. GI is shaping up very nicely. Even in like ophthalmic picking up, we're severely underrepresented in Oncology, in the CNS space. So, lot of headroom from my perspective, and that's what we're going after.

Krishnendu Saha : Right, so Respiratory is at 1,000 crores for us right now, and we should cross the Diabetes and the CV S space by say another year or two?
Nilesh Gupta : Yes, I think we were already at the 1,000 crores mark on both of those. Respiratory was the last to get to that number, but certainly there's a lot more room to grow. We're still number three only in both of those therapy areas in Cardiac and in Diabetes.
Krishnendu Saha : Thank you. This is a good direction. Thank you.
Moderator : Thanks, Mr. Saha. Next question is from Alok Dalal.
Alok Dalal: Hi. Sir, you incorporated a subsidiary Lupin

Manufacturing Solutions for undertaking contract development and manufacturing activities. So, what is the plan here? What kind of investments will it require? And let's say isn't there a case for con■ict of int erest here with the generics model that you have?
Nilesh Gupta : Yes, I think we've just incorporated it at this point of time. I think it's a thought that we have, but I think to enable anything in life, we needed to ■rst incorporate a subsidiary to really consider any next steps at all. There is an opportunity on API, which I think large generic companies are not doing well with.
Several of our peers have shown good progress in this front. There's a whole bunch of new players who are in the API and interme diate space, which are not large generic companies. So I think the intent is that there is an opportunity to be chased here, but I think we're talking a little prematurely. We still need to ■nalize our internal plans before we have anything more here. And we will come back to you guys once we ■nalize our plans.
Alok Dalal: Nilesh, just one question on capital allocation with diagnostics and then with CDMO. Wouldn't it be a better o■ opportunity if you invest in the core business itself?
Nilesh Gupta : Yes, so I think lion's share of our incremental capital allocation is going towards the India region, and into other geographies where we expect high growth. And that will be continuous as far as the parent company is concerned. As far as, just this kind of sub sidy was concerned, eventually you would obviously go for external capital on something like this as well. So, it's not your own capital alone that would get allocated there.

Alok Dalal: Okay, okay. Thank you for taking my questions.
Moderator : Thanks, Alo k. The next question is from Gagan Thareja.
Gagan Thareja: Yes, so the ■rst question is on the gross margins. While you pointed out to an improvement in mix there. Would softer API and solvent prices also have bene■ted and could you enumerate what?
Ramesh Swaminathan: Yeah, in a general sense, yes. You know, there has been, in fact, softening of prices across except for excipients, others have actually been coming down API, KSM and chemicals and solvents for sure. So, but there's of course a bit of a lag e■ect, because it's been coming down and there is of course some of it, which would be captured the cost of production, but not necessarily sold during the course of the quarter itself. But will certainly, give us a bene■t in the quarters to come.
Gagan Thareja : And do you also avail of any PLI bene■ts. And if so, can you enumerate the number?
Ramesh Swaminathan: It's there in the other operating income. S o that's a component that is there.
Gagan Thareja : And this quarter the emerging markets piece has been slightly weakened probably not just for loop in, for some of the other companies as well.
Ramesh Swaminathan: There are two or three parts there essentially the ■rst was, South Africa has had a bumper Q4 in anticipation of a price hike in Q1. And that ob viously, it in fact subdues the results, the outcomes for Q1 itself. Likewise in Philippines, in Mexico we have in fact an issue in terms of the plant which will get sorted out. So, all of these actually brought down the overall result in the ■rst quarter.
Gagan Thareja : But how should we think of this space for the year?
Ramesh Swaminathan: I think it will pick up, actually this resonates in fact with past patterns, Philippines and South Africa and we have seen this trend kind of persist over years. And of course, Mexico, the plant issues that get sorted out. So, it's just a question of time.
Gagan Thareja : Last one on Suprep, do you see yourself maintaining your current run rates going ahead or generic competition will materially impact Suprep?
Vinita Gupta : Yes. So far, we have sustained the levels over the last couple of quarters,

and haven't really seen any imminent additional competition coming in.

Gagan Thareja: Do you see this for certain happening in the second half, for your generic?
Vinita Gupt a: No. It's hard to predict. We just don't see anyone coming in the next couple of weeks or months.
Gagan Thareja: Thanks. I'll get back in the queue. Thanks.
Moderator : Yes, sir. Thank you so much, Gagan. Vibha, you can go next.
Vibha R: Okay. Just a question regarding the expansion into adjacencies, regarding digital therapeutics or even diagnostics, or as you just spoke about CDMO. But are these opportunities that are really far o■ that you're looking at, just as a de-risking or is it li ke you have serious plans for these new segments?
Nilesh Gupta : So I think the core India prescription business is going to be the main focus area. As far as diagnosis is concerned, we're already starting to see some synergies with the core prescription b usiness. Digital, again, feeds into our expertise in the Cardiac space, and it is an extended o■ering from that front. If you want to do a meaningful play into CDMO, then yes, that would be a di■erent play compared to the other stu■ that we would do, but w e obviously have capabilities for doing that.
No, I think as far as the core business model is concerned, we are extremely upbeat on India. We're extremely upbeat on the complex generic story in the U.S. At some point of time, we want to build out the inno vation piece all over again. The emerging markets have always been double digit growth markets for us, with pretty much better than company average EBITDA. So, I think the core focus remains on the business as is, we've got plenty to do in this space.
Vibha R: Okay. Thank you.
Moderator : Thanks, Vibha. So, for the last question, let's have Saion Mukherjee back.
Saion Mukherjee : Yes. Thank you. Thank you for the follow- up. Just two quick questions . Firstly,

on the API piece, you mentioned some that it's kind o f coming back. So how
should we think about that? And what is really driving is it the cephalosporin
piece? And if you can just highlight the dynamics there? And what are your
expectations going forward on API?
Nilesh Gupta : Sure, so it's actually been depressed for the last two years, and that's the part
that's coming back. So we actually see that bounce back, but that's primarily

in the cephalosporins. Our big categories are the anti- TB products and
cephalosporins. So that's where that would come from .
We de■nitely see it picking up, not across the board, but certainly in certain
products, we see it picking up. I think it's come back to that level. It's kind of going to stay at this level. It's not going to keep increasing from this level. That
increas e will come from new products. And we have a portfolio of new
products within our API portfolio.
We'd appreciate that PenG prices are still rolling at a pretty high over the last
few, several quarters.
Saion Mukherjee : Right, right. And the last one, Vin ita, on Europe, Fostair, we have seen some
pickup in UK, now you've got approval in Germany. So, what are your peak
sales expectation? And when you expect that to achieve?
Vinita Gupta : So we are already doing pretty well in the UK. And Germany actually launched in the last month. And the other countries through our partners in Italy and
other countries, we've also begun launching the product. So, it's well on its way
next year ■scal year '25 should be a peak year for Fostair.
Saion Mukherjee : Okay, and c an you share what kind of peak sales you're expecting in Europe?
Vinita Gupta : I don't think we have shared like product wise sales, but su■ce to say that it's
going to be a good percentage of our revenues in Europe.
Saion Mukherjee : So, do you think that it would be like meaningful number from where we are
today in FY '25?
Vini

ta Gupta : Yes.
Saion Mukherjee : Okay, okay. Thank you.
Moderator : Thank you very much to all the participants for being so patient. I now hand the conference over to the management for closing comments. Over to you.
Vinita Gupta : Thank you all for your very thoughtful questions. Hopefully, we were able to
respond to majority of them. Any that we haven't been able to, we'll certainly
catch up o■ine. We are very energized with the star t of this ■scal year, as you
can see, and look forward to continue to execute, especially given the
opportunities that we have now in the next couple of quarters. And again,

catch up with you in the next quarter, hopefully, with a better set of numbers.
Thank you again.
Moderator : Thank you very much, ma'am. On behalf of Lupin Limited, that concludes this conference. Thank you for joining us, and you may now exit the webinar. Thank you.

Call: Nov 2023

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November 17, 2023

■BSE Limited
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National Stock Exchange of India Limited
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Dear Sir/Madam,

Transcript-Q2 FY2024 Earnings Conference Call.

Pursuant to Regulation 30(2) read with Schedule Ill Part A Para A(15)(b)(ii) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to enclose a copy of the Transcript of the Q2 FY2024 Earnings Conference Call held on Friday, November 9, 2023.

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

R. V. SATAM
COMPANY SECRETARY
(ACS - 11973)

Encl: a/a

"Lupin Limited Q 2 FY202 4 Earnings Conference Call"

November 09, 2023

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN - EXECUTIVE DIRECTOR, GLOBAL CFO AND HEAD CORPORATE AFFAIRS, LUPIN LIMITED
• MR. RAVI AGRAWAL – M&A AND INVESTOR RELATIONS

Moderator: Hello. Good evening, and welcome to Lupin Limited Q 2 FY24 Earnings Conference Call. Please note that all participants line will be in listen -only mode. And there will be an opportunity for you to ask questions, after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to the management. Thank you and over to you.
Vinita Gupta: Thank you. Good afternoon, folks.
I am very pleased to welcome you to our Q2 FY24 earnings call. I have with me our MD Nilesh, our CFO Ramesh and our head of I nvestor Relations Ravi. We look forward to sharing our Q2 highlights and o utlook for the Fiscal year.
We are very pleased to build on the momentum over the last couple of quarters and deliver significant improvement in operating margins driven by growth across majority of our regions, US launch of Tiotropium and continued focus on efficiencies.
Our US bu siness delivered continued growth in revenues and margins for a 5th quarter in a row on the strength of a stable base business, launch of Tio tropium and overall strong performance on respiratory products . In the quarter, respiratory products contributed 45%+ of our revenues. We expect to sustain our business at $200mn plus level now going forward with the continued ramp up of Tiotropium and other NPLs in H2 and beyond.
Our India business recorded growth inline with the market, with better than market performance in key therapeutic areas Cardiology, Respiratory , GI and Women's health that we are building . Diabetes TA which was in a de -growth mode is back to growth , and will continue to build on it in the quart ers to come . As we look at the second half, we expect that the investments we made in expanding on sales force to get to a level of productivity that will help us build on our growth rate from the first half. We already started seeing gains in the start of Q3 , October has been strong and we expect to continue th at in the rest of Q3 and Q4 for our India business .
Apart from US and India, other regions performed well too . In particular Europe recorded strong growth due to ramp up of generic gFostair in our direct markets like UK and Germany as well as through partners in other parts of EU .

On the R&D and pipeline front we have continued to build on the momentum with both material FTF and complex generics. We were very pleased to get key product approvals like generic gTolvaptan and generic gXywa v in October that will drive big part of growth in next couple of years , in particular gTolvaptan .
Our pipeline is now positioned well to evolve our business into complex generics with Inhalation, Injectables and complex Ophthalmic products given the Pithampur Unit 2 clearance .
On the compliance front we have continued to make progress and are

comm itted to ensure that we get all our sites to a consistent and sustainable level of compliance. With the strong focus on delivering the pipeline coupled with compliance gains, we can now see a clear path to sustainable growth over the next few years for ou r business .

We are delighted to deliver strong performance in the first half of this fiscal year and look forward to executing on our New Product Launches, continued momentum in India & other markets with a strong focus on sustaining and improving our op erating margins in the second half.

With this I will hand it over to Ramesh for a deeper analysis of our performance.

Ramesh Swaminathan: Thank you , Vinita. Good evening Friends, Seasons Greetings to you and your families. I welcome you all to our Q2 F Y24 earnings call. On the last occasion that we met, we mentioned that we would strive to achieve around 18% EBITDA margin by Q4 of the current year. I am happy that we have delivered on our promise, in this quarter itself.

Now, diving deeper into the numb ers. Sales for Q2 FY24 came in at INR 4,939 crores as compared to INR 4,091 crores in Q2 last year, a growth of 20.7% YoY. On a QoQ basis, the company reported growth of 4.2% and 8.9% after excluding NCE income, over Q1 FY24.

We have registered robust gro wth across most of our key geographies. North America has grown at a strong 40% YoY and 17.4% QoQ. India business has grown at 6.8% YoY whilst EMEA grew at 24% YoY. Our API business registered growth of 7% YOY.

Moving on to US Business - During the quarter , the US business recorded a sales of $213 mn registering a growth of 34% YoY and 18% on QoQ basis. Just to indicate the size of the ramp up, this number was $159 mn in Q2 FY’23. This growth has been led by New Products and by also our legacy produc ts maintaining their market share. I am happy to share that our strategy to buil d complex portfolio is bearing shape and today, inhalation products are more than 40% of our US sales.

Coming to India, the India Region Formulations business (IRF) has grown b y 6.9% YoY. Our growth excluding NLEM is 8.9% YoY. As per IQVIA, all our key segments except for anti -diabetes, have grown faster than the market in the quarter including cardiovascular space , respiratory, gastrointestinal (GI) and gynaecology. Even in the anti-diabetes space, our non inlicensed portfolio has grown at 10% vs IPM category growth of 4.9%. Currently the inlicensed portfolio constitutes around 13% of our IRF business vs 15.5% in FY23.

Speaking about EMEA region, which constitutes our EU region business and South Africa business, has performed exceptionally well during the quarter with a strong growth of 24% YoY. Growth in EU has been driven by our inhalation business going strong with products like Luforbec and Beclu gaining additional s hare and entering new er markets. EU also saw increased tender sales. I am delighted to share that we recorded our highest ever sales in Germany during the quarter.

Moving to the margins front . Coming to the profitability, Q2 FY24 gross margins are at 65.5% which has increased 170 bps from 63.8% ex NCE income in Q1 FY24 and materially from 58.1 % in Q2 last year. This improvement was driven by multiple factors which include better product mix, lower share of inlicense products, commodity deflation, increase d volumes and realization of savings f rom few of the cost improvement initiatives like freight and other things we took on .

Employee Benefits expense -Employee benefits expense at INR 861 crores, has increased 11.5% YoY in Q2 FY24 which translates to appr oximately 17.4% of sales as compared to 18.6% of adjusted sales (excluding NCE) in Q1. and 18.9% in Q2 last year. While there has been a reduction in percentage to sales due to our cost optimization initiatives, I would like to mention that there is an

offsetting impact due to the field force expansion which we undertook last year and other new initiatives .

Manufacturing & Other Expenses - Q2FY24 manufacturing and other expenses came in at INR 1,552 crores which translates to approximately 31.4% of sales as com pared to 32.5% of adjusted sales (excluding NCE) in Q1 and 30% in Q2 last year. The YoY increase is on account of higher volumes, higher spends in R&D, increased consultancy charges for nitrosamine impurities, increase in selling, promotion and travelling expense in India due to field force expansion and the like.

R&D is at INR 376 crores (7.6 % of sales) in Q2 FY24 as compared to INR 338 crores at 8.0% of sales in Q2FY23.

The increase in R&D YoY is on account of investment in newer platforms of biosimilars , injectables and the like . For the full year, we expect R&D to be around INR 1,500 to INR 1,600 cr s.

EBITDA: This has resulted in driving the EBITDA margins higher. Excl

uding Forex
and other income, EBITDA was at INR 923 crores, up by 113% YoY. Margins for the quarter were significantly higher at 18.7% vs 14.4% in Q1FY24 (ex NCE income) and 10.6% in Q2 last year.

Moving on to ETR front, ETR was 22.9% in Q2 against Q1 FY24 of 18.9%. The ETR for the full year is expected to remain between 21% -22%.

PAT - Profit a fter tax for the quarter is at INR 490 crores demonstrating a stellar growth of 278% YoY. Diluted EPS is at INR 10.72 per share (face value of INR 2 per share).

Going on to Balance sheet - Operating working capital was at INR 5,676 crore as on Sep t 30, 2023 whi ch translates into 103 operating days. This has reduced from 119 days at end of the p revious fiscal .

Net Debt at the end of the quarter stands at INR 1,806 crores which reduced from INR 2,527 crores at the end of March 2023. Gross debt has reduced by INR 720 c rores during this period.

Friends, I would also like to report on initiatives on the ESG front. I would like to mention an important update on the ESG front. We have accelerated our ESG efforts at a significant pace over the last 2 years. We have now also received the external validation of our efforts in the form of latest assessment by the S&P Global Corporate Sustainability Assessment, and it is with great pride that I announce our ESG score of 68, as of Oct 27, 2023. Our journey on S&P Global CSA (erst while DJSI) began with a score 17 in 2021, and last year, we marked a step forward with a score of 46. Today, we stand is 68 which places us at 95 percentile of the Global Pharma Industry . We will continue our efforts and gain ground in the years to come.

With this I would like to open the floor for discussions.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session. Please raise your hands from the participant tab on the screen to ask questions. We will wait for 30 seconds for the queue to assemble. Thank you.

So, the ■rst question is from Bansi Desai . Please go ahead, ma'am.

Bansi Desai : Thank you for taking my questions. So , my first question is on the U.S. business, so while Spiriva looks like has contributed meaningfully in Q2 and so has Darunavir, if one were to exclude these two products , have you seen sequential growth in the U.S. base?

Vinita D. Gupta : Yes, actually we have seen our inline products pretty stable, growing a bit and the new product launches contributing as well. I'd say Darunavir was launched in Q1, so there was pipeline build in Q1, so the Darunavir level in Q2 is obviously lower than Q1.

Bansi Desai : Okay, that helps. And what is your sense on the price erosion levels in the market, any different from what we saw in Q1?

Vinita D. Gupta : Yes, we've seen a level of stabiliz ation at that mid -single -digit level on our baseline products, in line products. So hopefully that continues.

Bansi Desai : Got it. And secondly, on Spiriva itself, our initial expectation was that this product probably will see ramp -up similar to what we s aw in Albuterol, but

clearly it looks like, it has done better than that. So, how should we look at market share ramp -up here and any visibility on the AG launch?

Vinita D. Gupta : Yes, so the ramp -up has been pretty much along the lines that we anticipated. We expected that it would start at 20% -25% level, and then as we looked at other analogs, Advair and other inhalation products, over a year or so, build up to 35% -40% level, and we're seeing that right now. Our substitution rate is 25%. So, it 's hard to predict when AG would launch and if AG would launch, but at this point we are just working hard to keep up with the demand as well as make sure that we scale up the business effectively for the product.

Bansi Desai : Got it. I have more questions, I'll join back in the queue.

Moderator: Thank

you very much, Bansi, for the question. We'll take the next question from Neha Manpuria.

Neha Manpuria : Thanks for taking my question. Vinita, if we do think Spiriva ramps -up to 35% -40% market share in the nex t year. A, would this require, in your view, more pricing action from us, to go after this market share? And second, if that is the case, should we then expect the current base that we've reported to see a step -up over the next few quarters? Because in you r opening comments, I think you mentioned that we'll keep the base at 200 plus, but shouldn't we see a step -up from the current base if we get to the 35% -40%?

Vinita D. Gupta : Yes. So, Neha we would expect pricing to be stable as we ramp -up the product. We don't see any additional entrants in the near -term. So, we don't see a reason for price not to be stable unless we see, a challenge in substitution. But like I said, substitution is along the lines of what we had anticipated. So, it's been a very effective launch from our team.

I'd say that, in Q2, we have some effect of the pipeline fill on Spiriva that we're continuing to see in Q3, but we think it might level off a little bit as, other inventory with our customers, gets into sync with the product substitution. And, therefore, we think that, certainly Tiotropium will continue to ramp -up, especially into the next year. But when we look quarter -after -quarter, we might see some impact of inventory correction over the next couple of quarters. And, as we also lose exclusivity on a couple of other products where we have exclusivity, we might see some downside. Of course, we have

products that help us grow the business, which gives us con■dence that both
in ■scal year '25 and in particular in ■scal year '26 , given the Tiotropium ramp -
up plus injectables plus ophthalmic products that we have on the new product
launch calendar, we should grow the business pretty well.
Neha Manpuria : Got it. And, I remember you once mentioning that, you think you have enough
capacity to get to your fair share. Should I assume the 35% to 40% is the fair
share that you were talking about and, capacity is not an issue, therefore
you've given that number?
Vinita D. Gupta : Yes, we have built capacity not only for the U.S., but also f or our other markets.
So, in the next 6 to 12 -months, we expect to launch in Australia, Canada,
Europe, multiple regions that we buil t capacity for. So we are well -positioned.
Neha Manpuria : Got it. Ramesh, on the, cost side, I understand that the employee cost
obviously has gone up this year with the MR addition that we've seen. But the
other expenses also seem to be, inching up. It went up last quarter on a
quarter -on-quarter basis. It's gone up again this quarter, on a sequential basis.
Other than the SG &A spend associated with the India business, is there
anything else that we are investing in outside of R&D which is leading to this
quarter -on-quarter increase?
Ramesh Swaminathan : Firstly, I would like to stress that you should see this, vis -a-vis the pr evious
quarter where there's, of course, been an increase of, operating leverage of
just about 1.2%. But going on to on a year -on-year, yes, there has been, an
increase which is close to 26%, but I would also rush to add that you should
look at the level o f activity, in terms of, the volumes of API and formulations
that have grown signi■cantly. That's actually kind of re■ected in the inventory
build -up, and that actually translates to in slightly increased, gross margins,
which in turn kind of, reverts back to a higher increase from our expense base
itself.
But I would also again add that, there is, of course, an element of one -time
expenditure, which is also contained in here. So, our focus on driving down
costs is still very much there, and we expect to kind of keep it on a leash around
the levels that we just spok

e about for in the quarters to come.
Neha Manpuria : Sorry, what was this one -time expenditure that you're alluding to?

Ramesh Swaminathan : The one -time expenditure is, is captured beca use of essentially the expenses
that we incurred on the CDMO spin -o■, essentially the stamp duties and other
costs we incurred on that. And we also took some provisions, relating to some
issues that we had out here.
Neha Manpuria : So what is the base, cost , excluding all of these one -o■s, just to get a sense of
what the fair number should be going forward?
Ramesh Swaminathan : I would say that it should be closer to the 30% mark.
Neha Manpuria : Including all of it?
Ramesh Swaminathan : Yes, around that, so gi ve or take based again on the level of activity and the
like.
Neha Manpuria : Got it. Thank you so much.
Moderator: Thank you so much, ma'am. The next question is from Damayanti Kerai. Go
ahead, ma'am.
Damayanti Kerai : Yes. Thank you for the opportunity. Af ter a remarkable improvement in ■rst
half in terms of operating performance, how should we look at margin trends
ahead? So, as you said earlier expected 18% margin by end of this ■scal but it
came a bit earlier and now things seems to be on improving path. So how
should we see margin trajectory from here on?
Ramesh Swaminathan : So, we think, in so far as America is concerned, the overall, the sales there
should hover around, the $200 million mark and they would of course be ramp -
up in other parts including India. So I would actually expect, the growth
trajectory to kind of continue and the second half would also be around the

18% mark, in the third and fourth quarters.
Damayanti Kerai : So, second half broadly around 18% margin.
Ramesh Swaminathan : Yes.
Damayanti Kerai : So maybe for the full year we could be in higher teens.

Ramesh Swaminathan : It's obviously because the ■rst three quarters are in the 18% and 14.5% in the ■rst quarter, you can average it out.
Damayanti Kerai : Okay, and just want to under stand, ma'am mentioned in her opening comment that now $200 million plus level is sustainable for the U.S. business and that includes Spiriva and all other new launches, right? Or how should we look at that?
Vinita D. Gupta : That's right .
Damayanti Kerai : Okay, and just another question on U.S. side, how much is branded portfolio contribution right now of the total U.S. sales?
Vinita D. Gupta : It is small, it's under $5 million for the quarter.
Damayanti Kerai : Under $500 million, okay.
Vinita D. Gupta : $5 million.
Damayanti Kerai : $5 million, okay. Ye s, sure. And my last question is your presentation mentioned you are building up quite well on the complex project side, 40 plus injectables and then 20 plus inhalers et cetera. In next say two to three years, how many ■lings we can see on the complex opportunity side? Inhalers, injectables et cetera, and if you can also call out some near -term key ■lings which you are expecting.
Vinita D. Gupta : Sure, so majority of our R&D focus has been on the complex generics, in particular inhalation and injectables, ophthalmics as well as ■rst to ■les, exclusive ■rst -to-■les in particular. And we have got a good pipeline in place right now to drive the business growth towards complex generics. Already a good part of it in the U.S. is now respiratory. But as I look at the next two years with the pipeline that we have in place, on the ophthalmic front, given the Pithampur Unit 2 clearance, multiple ophthalmics, ■ve or six products that we expect to bring to market in th e second half of this ■scal year as well as into the next ■scal year . We have products like Bromday, Bromsite, Loteprednol, Prolensa, all that we're expecting approval for and then launch over the next couple of years.

On

the injectable front, we have a good pipeline now in place, multiple products in development, a few products that we expect to launch in the current ■scal year. We think Ganirelix, Famotidine will launch this ■scal year and then next ■scal year we hope to launch Glucagon. That would be a material one for us and then depending on litigation outcome also, Liraglutide in ■scal year '26. And then lastly, I would say on the injectable front, Risperdal Consta, a long -acting Risperidone out of Nanomi should com e to market by ■scal year '26. So, both opthalimics and injectables ramp -up in the second half of this year, but more so in ■scal year '25.
And then, also the ■rst -to-■le oral solids like Tolvaptan in ■scal year '26. We're very pleased to get that approval in October, our goal date, As well as, products like Mirabegron and Oracea and Doxycycline . we expect both approvals as well

as litigation outcome over the next couple of months that will enable us to
con■rm launch dates, but we expect to launch in the ne xt, two years.
Damayanti Kerai : Okay, that's helpful. Thank you very much.
Moderator: Thank you so much, ma'am. The next question is from Karan Vora. Karan, you can go ahead.
Karan Vora : Yes, thank you for taking my question. So my ■rst question is on the India business. So, going forward, assuming the IPM grows at, say, high -single -digits, do you think even on a base which has the in -licensed diabetic product which went o■ patent, we can still outperform the IPM over the medium -term, or it will be slightl y tall?
Nilesh Gupta : Yes, Karan, that's clearly the plan. The plan is to continue growing it better than the market. Diabetes is the one category that has been a challenge for us, but that also has come around to growth now for us. So , certainly we would expect growth to continue better than the market for the mid to long -term.
Karan Vora : Okay. And how do you how do you split this or say if you grow at 10% how do we split that out into price and volume?
Nilesh Gupta : So usually, it's I think for the indus try it is more or less similar. I think you usually see 2% to 3% volume increase. You see another couple of percentage points from new introductions and the balance comes from price increase.

Karan Vora : Okay , thank you. Second question on Spiriva. So just needed some clarity. So, basically is this understanding correct that because this was the ■rst quarter of launch there would be some amount of channel ■lling and so Q3 and Q4 the amount of Spiriva which you book would be lower than Q2. So that could impa ct your U.S. Q -o-Q growth or is that understanding, correct?
Vinita D. Gupta : Yes, there may be some phasing. We're still tracking it very closely. So , we'll ■nd out over the next couple of months. But we would expect that there will be some levelling o■ in the next month or so.
Karan Vora : Okay. And just two quick ones on U.S. business. So , any update on Revlimid launch?
Vinita D. Gupta : That is out a c ouple of years for us. So , it's, I think, ■scal year '26, if I'm not mistaken.
Karan Vora : Okay, and lastly, at the current run rate, is the U.S. business EBITDA and PAT breakeven or not, if you could give some qualitative sense? Thank you.
Vinita D. Gupta : It is EBITDA accretive to the company average margins. And, we hope that we'll continue at this pace and improve further as we, ramp up the business.
Karan Vora : Yes.
Moderator: Thanks, Karan. The next question is from Kunal Dhamesha.
Kunal Dhamesha : Thank you for the opportunity. First one on the biosimilar, is there any update on the Pune facility and Pegfilgrastim ■ling for us?
Nilesh Gupta : Yes, I can take that. So we had the EIR, which was issued by the FDA. We identi■ed areas of improvement in the EIR, which were actually underway. And we hope to send an update to the agency by March, post which we would

follow up for an approval.
Kunal Dhamesha : Sure. And what would be our strategy here for commercializing? Let's say if we get ap proval in FY25, will there be any ■eld force required, front -end commercial infra structure .

Vinita D. Gupta : Yes, so we're tracking the market very closely right now, and of course, waiting for the site and product approval before making concrete plans. Bu t, as the market evolves, the access model gets a little bit simpler as we see it, with established channels in the marketplace.
So, we are constantly tracking, and plan even with a direct -to-market salesforce e■ort to really have a very targeted niche s alesforce that can double -up with our injectable business, so we can have some operating leverage as opposed to having a single product investment. So, watching that carefully, and we also have, apart from our own plans and potential to launch, we also hav e interest from partners. And we're going to closely track our OBI product development to determine what is the best route for us to go.
Kunal Dhamesha : So, and any update on the Ranibizumab and that is also something that we are developing, right?
Nilesh Gupta : So, on Ranibizumab, we are well on our way on our clinical trial. We've got the last patient in; it's still going to be about a year to do the ■ling itself. But this is the clear ■ling for the next ■scal.
Kunal Dhamesha : Sure, and the second questi on is on the seasonal product uptake in the U.S. Typically during this time around there is ■u season and we have Cephalosporins as well as Tami■u. So have we seen any uptick, in this quarter or probably we could see it in next quarter.
Vinita D. Gupta : We've seen some uptake in this quarter in anticipation of a ■u season and the season has just started, so we just started the last couple of weeks tracking. So it has ramped up but we'll have to really get into the next month or two to see how strong the ■u season is going to be and it certainly has ramped up but it's at a level below last year right now.
Kunal Dhamesha : So, like-to-like, it's level below at least from October and November is the way to look at it.
Vinita D. Gupta : That's right.
Kunal Dhamesha : Okay. Thank you. All the best and happy Diwali.

Vinita D. Gupta : Thank you. Happy Diwali to you as well.
Moderator: Thank you Kunal. The next question is from Nitin Agarwal.
Nitin Agarwal : Hi. Thanks for taking my question. See Vinita when we talk about 25% market share on Spiriva, we take into account the entire portfolio of Spiriva, Respimat inhaler and HandiHaler both are we just talking in terms of the single strength?
Vinita D. Gupta : I'm talking about the HandiHaler.
Nitin Agarwal : As a percentage of that market. But how do you see the substitution happening from Respimat inhaler? I mean, how do you see that playing out?
Vinita D. Gupta : Actually, the encouraging sign for us was, in the last couple of years, we have seen the HandiHaler decline versus Respimat, that the brand has been working hard to convert. They had also moved their couponing strategy to the Respimat to drive hard conversion. We actually saw in the last couple of months a ■attening of, so no decline in the HandiHaler, which is a promising sign. And we hope that as we continue to ramp -up the product as it gets utilized, that it will de■nitely ■atten the decline or, hopefully take some share from the overall molecule.
Nitin Agarwal : And secondly, you talked about, U.S. st abilizing around $ 200 million now. When you take a two year view from here on, I mean, where do you see the next milestones, something like $250 million thereabouts, when you start to hit that at a consistent level?
Vinita D. Gupta : I'd say that, next year is going to be a ramp -up year for us, both with Tiotropium as well as the other product

launches. And certainly, ■scal year '26 is one where we see with, on the strength of the new product launches . Tolvaptan is going to be a material one for us. Potentially Liraglutide depending on of course approval as well as litigation and the opthalmic injectible ramp -

up. We e xpect to be at that closer to the $250 million a quarter.
Nitin Agarwal : So, when is the Tolvaptan launch? What timelines are you looking for that, potentially?
Vinita D. Gupta : It's ■scal year '26.

Nitin Agarwal : Okay. And last one, we've seen a reasona ble ramp -up in our non -U.S. export geographies, across a bunch of these geographies. Any color on, the kind of scale up which has come through and where, where are these from pro■tability perspective and contribution to our overall pro■tability as we go forward?
Vinita D. Gupta : Certainly. I mean, apart from the U.S., when we think about, apart from U.S. and India, Europe has been a very strong contributor this ■scal year so far, and we expect that to continue over the next couple of years. Likewise, Austra lia, Canada, all of them had a pretty strong run rate over, over the last couple of quarters driven by complex generics. I mean, if you look at Europe, Fostair generic has become our largest product there, and we're continuing to ramp it up. So , respirator y has become a big part of the focus in Europe.
In Canada as well, we're looking forward to launching Tiotropium soon.
Australia as well, we expect to launch Tiotropium soon. I believe, we are under -indexed right now in the ex -U.S. developed markets . Our complex generic portfolio inhalation, also biosimilars and injectables really will enable us to grow these markets as well. So, they become a larger part of the company over the next two to ■ve years.
Nitin Agarwal : So, this group as a whole, can it sort of compound in mid -teens over a period of time?
Vinita D. Gupta : For sure. Already, Europe has ramped up. Canada and Australia are already at a good level. So, we would expect them to be in the mid -teens.
Nitin Agarwal : Last one. In fact, on the Consta product, where are we on the ■ling and approval process? You talked about '26 launch on that.
Vinita D. Gupta : We are ■ling it this month. It's in the ■nal stages of the ■ling. And we would hope by ■scal year '26, as that gives us a couple of cycles to get approval.
Nitin Agarwal : Thank you so much, and best of luck. Happy Diwali to you.
Vinita D. Gupta : Thank you.

Moderator: Thank you so much, Nitin. We'll take the next question from Bino Pathiparampil .
Bino Pathiparampil : Good morning and good evening. Hi, Vinita just a follow -up on Spiriva, you had mentioned earlier that you're seeing a substitution rate of 25%. How is this de■ned? What does that mean?
Vinita D. Gupta : That's a prescription ramp -up rate that we are seeing of the generic versus the brand HandiHaler.
Bino Pathiparampil : Okay. And how, one bottle or one canister, however you call it, how long does it typically last for a patient? One month, two months?
Vinita D. Gupta : I think it's a 60-day supply if I'm not mistaken.
Nilesh Gupta : It's a 30 day.
Vinita D. Gupta : 30 days.
Bino Pathiparampil : 30 days. Okay. So if substitution rate is 25%, then 30 days we should be hitting 25% market share, right? I mean, am I, is there something wrong in that

assumption?
Vinita D. Gupta : I think so, that’s just right .
Bino Pathiparampil : Okay. And second?
Vinit a D. Gupta : That's the kind of unit share, we are seeing the unit and prescription share, coming close together at this point.
Bino Pathiparampil : Okay. Are you talking this about only new prescription? I mean, people going for re■lls are still, the sub stitution rate is not that high. Is that the case?
Vinita D. Gupta : No. We are seeing overall substitution, not ju

st NRX.
Bino Pathiparampil : Yes, Okay. Understood. Second, a follow -up on Mirabegron, you mentioned that in a couple of months you are expecti ng some litigation outcome, which will decide the launch date. So , could you let me know, in case the litigation

outcome is favourable then what could be the launch date and if it is unfavourable then what could be the launch date?
Vinita D. Gupta : So, we have prevailed on one major patent in litigation in the district court that's on appeal right now. We have settled on another and the brand has continued to ■le patents that we have been battling . We are actively working on our litigation strategy to determine how soon we can launch.
Bino Pathiparampil : Okay, so what is the earliest possible o r the latest possible? Is there a range that you can give?
Vinita D. Gupta : I wouldn't be able to share an actual launch date. It's fair to say that we are actively working on this one and the fact that we won on the major patent was very heartening for us , gives us con■dence of our ability to launch.
Bino Pathiparampil : Understood. Just last one on Nascobal and Diastat. Are these now already kind of part of the base? Is it currently in Q 3, or we are yet to ramp up?
Vinita D. Gupta : No, so we are yet to ramp up. Actually, Diastat we launched last week. It was a fairly challenging product, but the team has launc hed it e■ectively. And Nascobal we expect to launch in the next week. So , both of those will contribute to the growth in Q3 and Q4.
Bino Pathiparampil : Thank you. I'll join back in queue.
Vinita D. Gupta : Thank you.
Moderator: The next question is from San jay Khullar. Sanjay, you can go ahead.
Sanjay Khullar: Okay. First of all, I would like to compliment Vinita for delivering excellent results. I have a couple of questions. Madam, where do you see our company in over next two, three years, as you mentioned that we are on a steady growth plan. So next target is $5 billion, maybe three to ■ve years down the line.
Second question is, when do we surpass the record pro■ts achieved during Shri DBG ’s times, we achieved record pro■ts. So when do you see w e achieve this in next two, three years?

Vinita D. Gupta : Very good questions. Both the long -term prospects on the revenue front and pro■tability, and our goal is really to get our company back to consistent growth on revenues as well as improve our pro■ta bility, so pro■table growth more than just growth. So, on the revenue front, we see, I mean, ■scal year '26 is going to be a material year for us, as I mentioned in the last couple of minutes, given the material launches, as well as ramp up of current prod ucts, continuing to solidify the gains that we have made. And then I'd say in a ■ve -

year time frame, we expect the overall company business to grow substantially.

Sanjay Khullar: Yes, fantastic.

Vinita D. Gupta : And both across the U.S., as well as India, and as well as, other parts of the developed markets that we are currently under -indexed on, they should be a larger part of our business in ■ve years. I'd say on the developed market side, U.S. as well as Europe, Canada, Australia We would see majority o f our portfolio, two -thirds of it switching to complex generics based on the investment that we've made and the execution so far, inhalation, injectables, really contributing a material part of our growth over the next ■ve years. On the pro■tability front, we have come a long way over the last year and a half, still a long way to go. Our highs of 20 margins certainly are aspirational for us. Right now, we can see a path over the next few years to get to a good 20% plus. Mid 20 s is our goal , to really close the gap with our peers. There 's no reason why we should be below that. But as we continue to look at the company prospects beyond

■ve years and look at investment plans in particular in areas like specialty, which long -term are our aspiration for our organ ization. We'll have to determine what kind of investments we make. So , we'd hope to get to 20% plus, then the mid -20s and then we'll determine what's the best way to grow our organization for the long -term.

Sanjay Khullar: Okay, and one last thing, madam. I used to meet DBG when I used to be a friend with him. He used to say Lupin will be number one pharma company from India. So , I'm sure your dream will also be that. So , do you see happening in next ■ve years, seven years down the line, madam?

Vinita D. Gupta : What we are, given the complexity of our business across globe, India being a big part of it, U.S. being a big part of it, and our chosen strategy of going into

complex generics as opposed to a broad -spectrum generic company, I would say that, at this point our focus is to be the best in what we do. We want to be a leader in the areas that we have chosen, so like respiratory is one that is turning out to be one of our biggest growth drivers for the organization globally. We're already a big player in India, and we want to be, a material player ex -India as well. It's a big part of our business in the U.S., as well as a growing part in other parts of the world. So , I'd say, the areas that we choose to be in, we'll target to be the best.

Sanjay Khullar: Okay, madam. Thank you very much and wish you a Happy Diwali.

Vinita D. Gupta : Thank you. Happy Diwali to you as well.

Sanjay Khullar: Thank you.

Mod erator : Thanks, San jay. Before, we proceed, just a reminder to all the participants to raise your hand s for further questions. We'll take the next question from Ankush Mahajan .

Ankush Mahajan : Thanks for the opportunity. Ma'am, we have U.S. revenue in the range of $211 million now. So , this run rate, could you give me some sense of what kind of a run rate that we can expect in upcoming quarters? Because you already have inche d to $211 million from $181 million.

Vinita D. Gupta : Yes, I mentioned $200 plus million is what you should expect.

Ankush Mahajan : For the upcoming quarters.

Vinita D. Gupta : That's right.

Ankush Mahajan : Thank you, ma'am. Thanks.

Vinita D. Gupta : You're welcome.

Moderator: Thank you. So , I think that pretty much ends, brings us to the end of the Q&A session. I now hand the conference over to the management for closing comments. Thank you.

Vinita D. Gupta : Thank you, friends. Thank you for all your questions. And as we mentioned, we are ve ry excited about the progress we have made so far. We look forward to a very successful second half of the year and building from there into the next two ■scal years. So, look forward to strong quarters ahead and reporting the same back to you, all of you.

Given the holiday season, wishing all of you a very Happy Diwali and a prosperous new year. Have a wonderful holiday weekend and look forward to speaking with you again next quarter. Thank you.

Mod erator : Thank you so much, ma'am. So, on behalf of Lupin Limited, that concludes this conference . Thank you for joining us. And before we sign o■, here's wishing all of you all a very Happy Diwali. And now you may exit the webinar. Thank you very muc h.

Call: Feb 2024

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February 14, 2024

■BSE Limited
Department of Corporate Services,
P. J. Towers,
Dalal Street,
MUMBAI - 400 001.

■■National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051.

Dear Sir/Madam,

Transcript of Q3 FY2024 Earnings Conference Call.

Pursuant to Regulation 30(2) read with Schedule Ill Part A Para A(15)(b)(ii) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed is a copy of the Transcript of the Q3 FY2024 Earnings Conference Call held on Thursday, February 8, 2024.

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

R. V. SATAM
COMPANY SECRETARY
(ACS - 11973)

Encl: a/a

“Lupin Limited Q 3 FY202 4 Earnings Conference Call”

February 08, 2024

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN - EXECUTIVE DIRECTOR, GLOBAL CFO AND HEAD CORPORATE AFFAIRS, LUPIN LIMITED
• MR. RAVI AGRAWAL – M&A AND INVESTOR RELATIONS

Moderator: Good evening and welcome to Lupin Limited Q3FY24 Earnings Conference Call. Please note that all participants' line will be in listen -only mode, and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to the management. Thank you. And over to you, ma'am.
Vinita Gupta: Good evening, every one. I'm very pleased to welcome all of you to our Q3 Earnings Call. I have with me our MD, Nilesh; our CFO, Ramesh; and our Head of IR, Ravi. We look forward to sharing our Q3 highlights and outlook for the fiscal year.
We're very pleased to have delivered another quarter of strong performance. Continuing to build on the momentum over the last many quarters, we delivered our highest quarterly sales so far, crossing the INR 5,000 crore mark. What is very heartening is that all our major regions have performed. Not only have we seen revenues grow across our key segments, but we also achieved higher profitability both at the gross and operating level.
Our US business delivered a second consecutive quarter of $200 plus mn revenues and a sixth straight quarter of EBITDA improvement, which was very heartening. This has been aided by volume -led growth in our base business, augmented by contribution from seasonal products and our Respiratory portfolio including Tiotropium. As m entioned in our earlier interaction, we expect to sustain our US business at the $200 plus mn levels in the next few quarters as we get into the next year with a continued ramp - up of Tiotropium and launch of new products, including multiple ophthalmic and complex injectable range .
Our India business recorded strong double -digit growth this quarter with 1.6 times IPM growth rate. Most of our therapeutic areas like Respiratory, GI, Gynaecology have outperformed IPM during the quarter. We have launched around 21 products in the year so far and per IQVIA , we are ranked number one in new product launches in India. We have a strong chronic focus as you know, with more than 60% of our sales contribution from chronic therapies. We believe that we are in a very good position now to deliver above -market growth consistently going ahead led by higher productivity from our sales force expansion, new divisions, and enhanced penetration and reach.

Apart from the US and India, other regions have performed very well too. Ex - US and India, our Formulations business has grown 30% YoY during the quarter and 22% in the nine months during the fiscal led by strong growth recorded in key markets like Canada, Philippines, Australia, and South Africa and also a very strong ramp -up of ge neric Fostair in our direct markets UK, Germany as well as through partners in the Rest of Europe.

Switching to R&D. On the pipeline front, we have continued to build momentum with both material First -to-Files and complex generics. We received 14 ANDA appr ovals during this quarter, including key product approvals like generic Tolvaptan and Ganirelix, which is our first peptide injectable product. We also launched Bromfenac Ophthalmic Solution, the generic version of Prolensa, thanks to our Pithampur Unit 2 facility approval. And as you know, we have six -month exclusivity on this product. Out of Somerset, we launched Diazepam Rectal Gel, which has also been an extremely nice launch for us.

In terms of key filings, in the last quarter, we filed Risperdal Const a product out of Nanomi, which is a significant validation of the platform as well as strong complex injectable product filings for us. So as I mentioned before, our R&D is evolving to more complex products, especially on the inhalation and complex injecta bles front, which augurs well for the sustainable growth of our business going ahead.

Compliance is our nu

mber one priority and we are fully committed to ensure that all our sites are fully compliant with FDA and other regulatory agencies around the world that we serve. We have completed remediation efforts at Tarapur and Mandideep Unit 1 and are confident that we will get these sites cleared as we have done with the others in the near future.

We are delighted to have delivered on our promise of sustained a nd profitable growth during this year. We feel confident that our strategic focus on R&D, patient centricity on the brand front, and continued cost business optimization sets us on a path of sustainable growth going forward.

With this, I will hand it over to Ramesh for a deeper analysis of our performance.

Ramesh Swaminathan: Thank you, Vinita. Friends, I welcome you all to our Q3FY24 Earnings Call. I'm happy to report that this quarter we have delivered the highest top line number in our history, and afte r many quarters for the first time we have surpassed the 20% plus mark on the EBITDA front as well.

Diving into the numbers. Sales for Q3FY24 came in at INR 5,080 crores as compared to INR 4,245 crores in Q3 last year, a growth of 19.7% YoY. On a QoQ basis, the company reported growth of 2.8% as compared to Q2 of FY24.

We have registered robust growth across most of our key geographies. North America has grown at a strong 24% year -on-year. India business has grown at a healthy 13.4% YoY whereas EMEA grew at 36% YoY. Our ROW grew 72% and Growth Markets grew at 13% YoY.

US Business

During the quarter, the US business recorded a sales of $212 mn , staying steady at Q2 levels in constant currency. This has been due to volume share increase in base products. Inhalation products this quarter is around 40% of US sales.

India Branded Formulations

Coming to India, the India business has grown 13.4% YoY. The prescription business has grown 12.9% YoY during the quarter and 10% during 9MFY24, handsomely outperforming the IPM growth during the period. Also, if we exclude the impact of the in -licensed products, even our diabetes portfolio has grown at 2x the TA growth during the quarter. The share of in -licen sed products today has been reduced to 10.4% of our portfolio from around 15% to 16% last year, and this has a positive impact on our profitability.

EMEA

Our EMEA region, which constitutes our EU region and South Africa business, continues its outperforman ce during this quarter as well with strong growth of 36% YoY. Growth in EU has been driven by partnered business and our inhalation business going strong. Our South African business has also grown a strong 21% in local currency YoY.

Other Operating Income
The Other operating income has increased by 51.4% this quarter and this is essentially coming in from enhanced PLI benefits.
Gross margins
Coming to profitability, Q3FY24 gross margins were 66%, up from 59.8% in Q3 last year and 65.5% in Q2. This improvement was driven by multiple factors which includes product mix, lower share of in -licensed products and increased volumes .
Employee Benefits Expenses
Employee benefits expense at INR 890 crores, increasing by INR 125 c rores as compared to Q3 last y ear and translating into 17.5% of sales vis -à-vis 18% last year. I would like to mention that this increase is mainly driven by the annual salary hikes and the India field force expansion which we undertook last year in Q4.
Manufacturing & Other Expenses
Q3FY24 manufacturing and other expenses came in at INR 1,560 crores, which translates to approximately 30.7% of sales as compared to 31.5% in Q3 last year. On an absolute basis, costs have remained flat QoQ . Whilst there has been a marginal reduction in th e R&D expenses on account of phas ing, the higher volume demand led to higher manufacturing costs during this quarter.
R&D

R&D is INR 357 crores, which is about 7% of the sales in Q3FY24 as compared to INR 290 crores at 6.8% in Q3FY23. For the full year, however, we expect it to be in the region of INR 1,500 – 1,550 crores
EBITDA
In the quarter, as you see, we have made improvements across all lines. Our gross margins are higher. There has been increase in the operating income and the hi gher sales ensured higher operating leverage as well. Subsequently,

this has resulted in driving the EBITDA margins considerably higher. Excluding forex and other income, EBITDA was INR 1,022 crores, up by 98% YoY. Margins for the quarter were significantl y higher at 20.1% versus 18.7% in Q2FY24, and 12.2% in Q3 last year . For the nine months period, the EBITDA margins excluding NCE income are at 17.8%.
ETR
And so far as the tax is concerned, our ETR was 15.8% in Q3 and 18.6% for the 9MFY24. For the full y ear, we expect it to be around 20%.
Balance Sheet
Moving on to the balance sheet. Operating working capital was at INR 5,419 crore as on 31st December which translates into 96 days of net working capital. This is reduced from 135 days as of 31st December 2022.
Our net debt stands at INR 1,043 crores, which has been reduced from INR 2,527 crores at the end of March 2023 , indicating reduction of INR ~1,500 crores during the 9 m onths period. We believe that we will be debt free by the year end.

ESG

Our DJSI Index scores have been reassessed pretty recently, resulting in an overall score of 69 for Lupin in the S&P ESG Assessment 2023. This increase from our initial communication underlines a continued effort to excel in sustainable performance, positioning us above the global average. Our latest Carbon Disclosure Project scores are in and the y speak volumes about the progress we have made in our sustainability journey. Over the last two years, our diligent efforts and collective commitment have elevated our Climate Change disclosure from C to B in the Carbon Disclosure Project. This surpasses both the Asia regional average and the biotech pharma sector average, reflecting steady determination to mitigate climate risks and embrace sustainable practice across all our operations

With this, may I open the floor for discussions?

Moderator: Thank you very much, sir, for the update. We will now begin the question -and -answer session. Please raise your hands from the participant tab on the screen to ask questions . We will wait for 30 seconds for the queue to assemble, Thank you.

Thank you very much for the patience. We'll take the question from Neha Manpuria . Neha, you're in, please.

Neha Manpuria: Yeah. Thanks for taking my question. Vinita, on the US business, I know you mentioned there was some amount of seasonal impact in the quarter. Was it meaningful enough to have offset the channel inventory that we had in Spiriva?

Vinita Gupta : Actuall y, there was some impact of the seasonal products, but also the baseline products have been very strong in the quarter. So products like Lisinopril, Sertraline , and the like have also performed pretty well. So the baseline improvement plus a couple of million -dollar impact of seasonal products helped to offset the Tiotropium channel impact. And even Tiotropium, just from a script perspective is ramping up extremely nicely. So that gives us really good confidence of growing units and revenues over the next few months alongside the prescriptions.

Neha Manpuria: And Spiriva, if I see generic Spiriva, if I were to look at a market sha re and IQVIA, we are already close to the 31% number. Correct me if that number is off for you. And we indicated getting to 35%, 40% share sometime next year. Given how well we have done in the last two quarters, do you think that's an achievable number or we can do higher than that?

Vinita

Gupta : I think we will still target that 40% level, just given the strong ramp rate in the last couple of months, I'd say we'll be more at the 40% plus level as opposed to the 35%. So it's turning out to really do extrem ely well .

Neha Manpuria: Understood. Sorry to cut you, Vinita. Go ahead.

Vinita Gupta : No, in terms of substitution, I was saying.

Neha Manpuria: And currently, nothing on the AG, right? Any visibility there or anything that we have heard, your sense?

Vinita Gupta : Nothing that we have seen so far.

Neha Manpuria: Understood. And on the launch pipeline for FY25, now that you have a $200 mn plus, $215 mn sort of base, how should I look at the build for the US business? Erosion will be what it is. But you'll have a couple of products which see erosion. So how should we think about the build from this level over the next two years probably?

Vinita Gupta : So we have a good number of products next year. So ten plus products, good six injectable s with a cou ple of meaningful products like Glucagon , Fosphenytoin that we intend to launch. And then on the ophthalmic front, we have some really good launches, Prolensa, which is going to ramp up as well as we have Loteprednol and a couple of other ophthalmic produc ts. Around four or five ophthalmic products.

And then potentially a couple of oral solid upsides depending on patent litigation outcome. Mirabegron, Slynd, two material opportunities that we should get good amount of clarity about in the next couple of mon ths. But even without that, I would say that given the Tiotropium ramp -up plus these new product launches, they will more than offset some of the erosion that we're likely to see in the oral solids, including erosion in products like Suprep. So we very mu ch expect the business to grow in the next year to maybe a single digit growth rate. And if we get some of these patent litigation products out successfully, hopefully, double -digit. And then as we look at the year next, we have significant products there with Tolvaptan as a material product launch early in fiscal year '26. The other injectable products Liraglutide as well as others that come to market. So very confident of double -digit growth into fiscal year '26. Hopefully, we can get from single -digit to double -digit also in fiscal year '25.

Neha Manpuria: Got it. Thanks so much, Vinita.

Vinita Gupta : Thank you.

Moderator: Thanks, Neha. We'll take the next question from Amey Chalke. Amey, are you there? Amey?

Amey Chalke: Hello. Thank you so much for taking my question. The first question I have is on Spiriva. If we can give some clarity on Alvogen filing and possible launch. Is it really a near -term launch as per your expectation, or you think that it would be post FY27? And the second question I have is on Dulera, if you can give us clarity on the CRL which we had received and possible launch for that product as well? Thank you so much.

Vinita Gupta : Yeah. So we definitely feel on Spiriva that we're in a very strong position . There are patents whi ch we filed, which we believe will protect the market for us. We feel pretty good about the potential of being alone in the market over the next couple of years. And if you just look at what it took for us to get approval of the product, it was five years at the FDA, and that was because the product is a pretty challenging product. So we feel pretty good about the next couple of years, hopefully building Spiriva to a very good level.

On Dulera, I mean, we've had an extremely good meeting with the agency back in the November, and that gives us confidence that the response that we are putting together is going to meet the agency's requirements. So in the next three months or so, we are planning to get the response together to the agency.

Amey Chalke: Sure. T

hank you so much, ma'am.

Vinita Gupta : Thank you.

Mod erator: Thanks, Amey. We'll take the next question from Shyam Srinivasan.

Shyam Srinivasan: Hi. Good evening, and thank you for taking my question. Just the first one is on the trajectory of the US, ri ght? So I know there's some channel filling last quarter, but we have seen market share gains in Spiriva, for example. So I just want to understand, is it because of channel filling that the Q -o-Q momentum seems to be slow, and as we progress this should k ind of start inching up. How should I look at that dynamic?

Vinita Gupta : Yeah, we should certainly see an increase in both the unit sales as well as . What I was saying was we certainly expect as the channel inventory is normalizing, our revenues to grow i n line with our prescriptions in the months and quarters to come.

Shyam Srinivasan: Yeah. And again, sorry about this, but the opening remarks again, when you gave the guidance for the new base. If you could again repeat that. I'm sorry, but parts of your conversation just went away. Sorry.
Vinita Gupta : Okay. Apologies. We didn't know that you couldn’t hear us. What I mentioned was that having now delivered two consecutive quarters of $200 mn plus, we are confident of continuing to deliver at that $200 mn plus mark in the quarters to come. And I also said that in the next year, we should grow our US business single -digit percentage , hopefully more if we have a couple of the key litigation products pan out. And then that's what we had guided.
Shyam Srinivasan: Got it. Thank you. A few clarifications. The presentation talks about if you have maintained share on the base business. So have you seen any levels of price erosion that you can guide on the oral solid side of things.
Vinita Gupta : It's been a very low -single -digit price erosion on the oral solids in the quarter for us offset by volume growth .
Shyam Srinivasan: And Vinita, this prognosis for the future, like 2024, let's assume calendar year, any dynamics around supply chain or buyer groups? I s it changing? Even shortages?
Vinita Gupta : Yeah. So drug shortages have been really strong over the last couple of months and quarters and that continues to be the theme. So that has really helped normalize price erosion to the low -single -digit level. Ag ain, we expect that in the oral solids, we'll probably see a little more in term price erosion versus areas like inhalation and injectables.
Shyam Srinivasan: Got it. Helpful. Just my second part of the question is on the India business. We have now done b etter, right? And I remember our guidance earlier was for like in 2025, but looks like Q3 we have done better. So is this a one -off or do you think some of the declines that have come because of the in -licensed portfolio is behind us? So just some path aro und even the near -term India growth and maybe a reiteration of the fiscal '25 or beyond what the growth levels could be?
Nilesh Gupta: Sure. I think Q3 has been a bit of a catch -up. But if you really see on a nine - month basis, we're staying within that 20% to 30% ahead of market growth,

which we would expect to continue. That's what I see for the foreseeable future. And it's driven by our key therapy areas. Obviously, we grow faster in some. So Respiratory, for example, we're growing at anywhere from 2 time s to 3 times the market growth rate. But in Diabetes, where we had the in - licensed portfolio, we're still growing at a single -digit kind of number, although we're growing a bit ahead of the market now.
But I think short answer will stay at the 20%, 30% ahe ad of the market growth rate. We do expect the market to stay at high -single -digits. So hopefully, we'll keep this at double -digit growth rate for the future.
Shyam Srinivasan: And Nilesh, anything in terms o

f our distribution Field force? If you could ju st
refresh some of the numbers around our distribution and is there any plans
to increase it? Thank you.
Nilesh Gupta: Sure. So I think the entire India region team is close to 10,000 people now,
about 8,000 plus in the field itself, about 32 divisions at this point of time. We
launched six or seven divisions in the last nine months and we will launch a
couple more divisions in the next two quarters. But I think we're pretty well
set now. I think the part which I'm really excited with is our ex tra urban
division that we've launched last. That's where we'd be adding sales force in
the months to come.
I think the idea is to make bigger brands. We're doing that in Respiratory,
we're doing that in Cardiovascular and Diabetes as well. But there's als o this
opportunity to focus on extra -urban. So yeah, we are doubling down on India.
The new product pipeline is also shaping up very nicely for India. So we had
21 launches in the last nine months. We were number one in new launches
in the last 12 months. But I think the focus on launches for India is going to
remain . Some very nice launches in Respiratory, some of them first in the
world as well. But that will continue. And I think we've not even got into new
modalities or biosimilars and the like, so a lot more to come for India.
Shyam Srinivasan: Got it. Thank you and all the best.
Mod erator: Thank you, Shyam. Before we proceed, there's a sincere request to limit your
questions to two or three per person. If there are more, you can alwa ys get

back in the queue and we'll surely take it if time permits. So next question is
from Damayanti Kerai.
Damayanti Kerai: Okay. Thank you. My question is on your EBITDA margin trajectory, a
remarkable improvement which we have seen in last few quarters . So how
should we look EBITDA moving from here on? And if you can also elaborate
bit like where do you see significant headroom for improvement in terms of
cost rationalization, et cetera? So that's my first question.
Ramesh Swaminathan: From my perspecti ve, the pivoting to complex generics has really helped, and
it's fairly sticky, as you would recognize in America and in Europe and the like.
And there has been secular growth in other markets as well. But you would
also recognize that while there's a lot of room for optimism, there are certain
dark clouds on the horizon also in terms of the Red Sea disturbances, air
freight going up and the like as well. So several moving parts.
Having said all of that, the fact of the matter is our EBITDA margins are stil l
lower than the competition and we would like to get to the 22.5%, 23% range.
But given all of this, the moving parts, we would like to state that it should be
between the 19.5% to 20.5%. But clearly, the pathway is to get to the 22%,
23% as early as poss ible.
Damayanti Kerai: Okay. This 23% kind of margin, that should be over what three years to four
years from now? What is your target in mind very broadly?
Ramesh Swaminathan: Earlier than that. Hopefully, much earlier than that.
Damayanti Kerai: Okay. And you mentioned about this Red Sea situation. Are you seeing impact
of that geopolitical issue in your freight cost in current month or so?
Ramesh Swaminathan: Yes, it is. It's actually gone up by good 30%, 35% already.
Damayanti Kerai: Okay. And if it doesn't, say we don't see any improvement there, then the
impact should be majorly reflected in March quarter numbers or maybe
beyond that.
Ramesh Swaminathan: In some ways, it gets inventorized because what we move out here would
potentially go int o the cost, which will get built. It will be there in the balance

sheet, but will certainly hit us in the quarters to come at least in the first quarter -in the next fiscal.
Damayanti Kerai: Okay, understood.

Okay. My second question is, you talked about y ou're focusing a lot on complex products, et cetera. Can you talk bit whether you are working on this GLP anti -obesity products and how far these products are from launch from your perspective, if any?
Vinita Gupta : Yeah. So the GLP -1 products, you have th e earlier products, the Victoza , Saxenda , Liraglutide products, which we've already filed and should come to market in '25 -'26 time frame. And then there's Semaglutide, that I think is in '28-'29 time frame. And the latest products that you see like Mounja ro, they are, of course, out. Can you hear us . The latest products like Mounjaro and Ozempic are out a little bit further. So all of them are part of our pipeline and portfolio being material products and injectables in particular. So over the next few years, we'll start seeing some of these generic versions come to market.
Damayanti Kerai: Sure, ma'am. Thank you. Thank you for your response.
Mod erator: Thank you very much. The next question is from Kunal Dhamesha.
Kunal Dhamesha: Yeah. Thank you for th e opportunity and congratulations on a good set of numbers. First one is on the India business. While you have given good clarity on the in licensed portfolio, which is currently at around 10% of revenue. Let's say, in the next couple of years, do we see a ny part of this portfolio having again losing patent expiries or any issues? And if yes, what proportion of this 10% is at risk?
Nilesh Gupta: So by the end of FY25, we see a couple more products going off -patent. We'll still grow. They're in the diabetes space. We'll still grow, but we will see that coming off. But we're down to this 10 -, 11%. Our hope is to also create more in-licensing deals, which will likely increase this number. I think this is almost an all -time low for us at this point of time, and that is driven by the exclusivities that went off and the products that went off as well. We've obviously supplemented that with our own portfolio, including generic versions of some of those products as well. But I think there will be a little bit

more de cline in the diabetes space. Hopefully, we'll make that up with some of the other therapy areas.
Kunal Dhamesha: Sure. Can you give the percentage of the brands that are going off -patent? What is the percentage revenue right now?
Nilesh Gupta: I don't have it off -hand, but it's 10% will go down by 1% or 2% if at all.
Kunal Dhamesha: Okay. Sure. And second question is on Tiotropium. With our launch of HandiHaler, have we seen any market share shift or unit shifting back from the newer version to the olde r version because of the generic availability or that has not been the case?
Vinita Gupta : So it's too early to tell because it's just really been few months after the launch in August. But I'd say that the share has kind of stabilized, HandiHaler, with th e brand as well as our product at that 40 -45% level and Respimat at that 60% level.
Kunal Dhamesha: Sure. And what would be our gross debt currently?
Vinita Gupta : Gross debt?
Nilesh Gupta: Gross debt?
Ramesh Swaminathan: Well, the net debt is INR 1,000 od d crores. So essentially gross debt really doesn't matter so much.
Kunal Dhamesha: Okay. And when you said the 22 - 23% EBITDA margin, if everything goes well, does that bake in some of the litigation products that we talked about?

Ramesh Swaminathan: Well, essentially it will come in the MTP period anyway, if not next year itself. Your first question on the gross debt , it's INR 2,600 crores.
Kunal Dhamesha: INR 2,600 crores. Okay. Yeah. And then on the EBITDA margin, this 22 - 23% assumes some of those litigated products? How should we think about it?
Vinita Gupta : Yeah, it includes a pipeline that includes products tha t are date -certain launch as well as litigation.

Nilesh Gupta: I think in general, like Vinita said, I think from generics to get that single -digit or double -digit growth rate, markets like India growing at either high -single - digit or double -digit numbers so there's going to be this growth momentum and then there's obviously operational efficiency and operating leverage that we would expect. All of these put together contribute to the number that Ramesh talked about.
Ramesh Swaminathan: On the cost front, i t's never going to be a switch -on switch -off situations. It's essentially, for example, if you're talking about addressing idle time, looking at in fact like footprint and all of that, it takes time, right? So that's the reason why we're giving us this lat itude.
Kunal Dhamesha: So I think at some point we had this INR 500 crores cost reduction plan, right, if I remember it correctly. So if you can provide, if there is any update, some part we have achieved and what more can be done.
Ramesh Swaminathan: We h ave achieved quite a bit on that, but obviously, it gets camouflaged wherever we invest ahead of the curve, as in the case of sales and promotional expenses across various parts and the like. But to be sure, there are still some inefficiencies that we beli eve that we can bring down, which could include things like, for example, inventory write -offs, there's some FTS. There is something on the idle time and the like. We're still air freighting some products and so on. It really is based on demand. So from th at perspective, we would like to cut all of that. It's always going to be an approaching target in that sense .
Kunal Dhamesha: Sure, sure. Thank you and all the best.
Vinita Gupta : Okay.
Mod erator: Thank you. Thanks, Kunal. We'll take the next question from Bino Pathiparampil.
Bino Pathiparampil: Hi. Can you hear me?
Vinita Gupta : Yes.
Mod erator: Yeah, Bino.

Bino Pathiparampil: Okay. Good morning and evening. A couple of questions on products. Vinita, do you still expect Pegfilgrastim to come in FY '25?
Vinita Gupta : Yeah, Pegfilgrastim, we have a CRL that we have just received that we are planning to respond to in the next three months. So we should get approved in,
Nilesh Gupta: Either the end of FY '25 or just after.
Vinita Gupta : Right.
Bino Pathiparampil: Okay, understood. Second, on your Glucagon product, could you give an idea of the addressable market and what's the competitive scenario like?
Vinita Gupta : I know that it is a high -value, low -competition market. I don't have the exact

competitive landscape there, but maybe, Bino, we can take that offline.
Ramesh can connect with you offline. Sure?
Bino Pathiparampil: Sure
Ramesh Swaminathan: Yeah, Bino.
Bino Pathiparampil: Great. And recently you had this approval of Dronedarone. Is that going to be significant? And what are the timelines like?
Vinita Gupta : Dronedarone, we will maybe get back to you. I mean, when we look at the next two years, I mean the major products for us, as I mentioned, are injectables that we'v e already filed, that we are well on our way for approvals. Ophthalmics products like Glucagon, Fosphenytoin, as well as Prednisolone, Loteprednol, like ophthalmic products. And then in the fiscal year '26, as I'd mentioned, products like Tolvaptan and, li ke Liraglutide products will be material products that year for us, as well as Risperdal Consta that we have now filed this past quarter. We hope that in fiscal year '26 we're able to get it to market.
Bino Pathiparampil: Okay. And one last, if I may pus h in. Mirabegron, you said you are awaiting a litigation outcome, possibly in the next couple of months. In case the outcome is favourable , when could we see the product? And in case the

outcome is not favourable to you, then what happens? Does it get push ed out by some time or does the opportunity go away?
Vinita Gupta : No, it doesn't go away for sure based on the patent scenario. I mean, if the outcome looks promising for us to launch, I'd say that Q1 fiscal year '25 could be a really good timeline to lau nch the product. And if not, we'll have to really, based on the litigation outcome, we'd have to determine what is the potential launch date.
Bino Pathiparampil: Got it. Thank you. Thank you very much. Thank you.
Mod erator: Thanks, Bino. We'll take the next question from Krishnendu Saha.
Krishnendu Saha : I was saying l ast time in the last quarter we spoke about Respiratory being 45% of the US revenue. Now we speak about being 40%. So I was just wondering what the difference could be. Is it because of Brovana has fallen off the cliff or still we have a large share of Brovana? That's the first question. My second question is we have a large tentative approval for Xarelto, the blood thinner I suppose. It's a tentative approval. So is there anything much to it? According to the press release, its $8.5-$8.3 billion market. So is there anything to read into that?
Vinita Gupta : So on the Respiratory side, there's nothing that has fallen off. The major difference, the 45% , to the 40% plus level, is primarily t he Tiotropium load -in into the channel in Q2 versus Q3. And some seasonality impact in Albuterol because some of our customers b ought ahead of the season to be prepared, but otherwise very stable in terms of share Albuterol as well. So really pretty strong foundation there on the respiratory side of the business.
And Xarelto, I don't see it as a product launch in the next two years, but certainly, it's the fact that we have a TA. Perhaps we can get back to you in terms of the potential launch date.
Krishnendu Saha: Sure. I'm a little bit sketchy about all the data. I mean, I'm not a pharma hardcore. So, Spiriva, just if you can directly tell me, do you expect competition in the next two years or what is your thought process? And just on the margin fr ont, the steadiness in the margin is partly , is it because of

product mix or a combination of product mix and the cost initiative which has kicked in?
And also sorry, the last question again. We had an increase in MR last year from 7,000 to 9,000. Has that been optimized in your manner or do you think the PCPM could improve from here onwards? Sorry, too many questions I know too, but we can't help it. Thank you.
Vinita Gupta : Yeah, your first question was on Spiriva, right?
Krishnendu Saha: Yeah. Best gue ss. Yeah, best guess. What do you think?
Vinita Gupta : In terms of competition, we believe that till '27, the key patent that one has to get around in '27. There are good number of hurdles for competitors to get in. There's also our patents, Lupin patents that one will have to get around. So that gives us the confidence of no additional generic competition over the next couple of years. What was your second question?
Krishnendu Saha: Second, field force. Field force and Indian field force increase, has the efficiency been factored in? And the improvement in margin, is it a combination of product mix and a little bit of cost improvement or there's a lot of cost improvement still to be done?
Nilesh Gupta: So I think obviously these reps have been added only in the last year, so we are seeing them improve where almost all the divisions have been performing as per expectation. But you would expect the per capita to keep improving. So we would definitely see more leverage coming out in that we've added. We're goin g to add in a few more people, but obviously had a bit of a big bang catch -up kind of increase which happened. With that, obviously, the mix will continue improving as well and I think that's what you're seeing reflected in the overall gross margin.
Krishn endu Saha: And any target PCPM

?
Nilesh Gupta: So it varies per division, right? So, for example, we've launched the extra - urban we would never expect it to get to a cardiac kind of level, right? I think we're usually in the top two or three in PCPM across therapies.

Moderator: Thanks, Krishnendu. The next question is from Harith.
Harith Ahmed: Hi. Hope I'm audible. Thanks for the opportunity. So I'm trying to understand our inhaler pipeline beyond Spiriva and Dulera. So are there any inhaler products that are in Phase 3 trials currently which can get into a stage of filing in the next 12 or 18 months?
Vinita Gupta : So, we have a few products that are pretty far long in development . I mean we have Dulera one that is already filed , where we have CRL response that we will be filing . Based on the feedback we got from the agency so that of course is one . And we have the Respimat products actively in development as well as the Ellipta prod ucts that are pretty far long . We are in the next 12 months atleast one if not two of the products, in two of the platforms , we should be taking exhibit batches and potentially filing.
Harith Ahmed: This product Xopenex HFA which we had acquired from Su novion over 12 months back , how's the ramp up been, that product when we acquired the Rx was not material, how does it look now .
Vinita Gupta : It's actually grown. It was a very stable product and it has grown without any promotional effort over the last 12 months. So at this point in time , we are actually looking at potential avenues to put some effort behind it to grow it even more. So it's been very nice addition to our portfolio.
Harith Ahmed: And in terms of generic competition there, what is our expectation?
Vinita Gupta : We don't thi nk that it's not a large product to really justify clinical development. And so we think that the product should remain exclusive. And also we have plans with the product in terms of lifecycle management to really do 505(b)(2) 's on the inhalation front that we are working on. So

hopefully we are able to, in the next 12 -18 months, make progress on that
front as well.
Harith Ahmed: Okay. Last one with your permission, on generic Suprep. We saw a couple of
generic approvals towards the end of Q3. So t rying to understand if the
contribution for us from generic Suprep in Q 3 was as significant as it was in
the second quarter or was there a sharp decline.

Vinita Gupta : I mean, there was a decline between Q2 and Q3 on Suprep. And we expect
although it wasn' t very sharp because the competition did not really come in,
in the last quarter. It's really going to be this quarter where we start seeing
competition on Suprep.
Harith Ahmed: All right. Got it. That's all from my side. Thanks for taking my questions.
Moderator: Thanks, Harith. The next question is from Saion Mukherjee.
Saion Mukherjee: Hi. Thanks for taking my question. Ramesh, if you can like we have got to 20%
EBITDA margin. So if you can sketch in terms of markets, which are the ones
where you see th e margins much higher than 20% and which are the ones
which are sort of lagging behind, and how the dynamics on margins for each
of the markets, for the key markets, if you can highlight?
Ramesh Swaminathan: I guess, the only market where things are laggi ng and this is before taking the
corporate expenses, if you take corporate expenses, obviously things could
be a little different. But I think Latin America is one where it has been lower,
at least in recent times. Mexico more, because of certain issues on the factory
front. And whilst Brazil, of course, has got some issues on the business front
itself and we are working on that.
And there, more importantly, I think one also has to recognize that we have,
in fact, a host of adjacencies that we created in th e recent past. If I were

to
knock that out today, my margin should be a good 2.7% higher. So whist I say
it's 20.1% and so on, you need to actually add about 2.5 percentage points
for, in fact, the adjacencies to be created, which includes your digital, yo ur
diagnostics in some way, the OTC business and the like as well. And all of th ey
actually have a pathway for , kind of not monetizing it I would say, but actually
allowing t hem to kind of raise their own resources and sp innin g on their own
axis.
And once that happens, you would expect like those margins and the overall
core margins to go up by at least 2.5 %-3 % points. So that's where we are
today. I think it's basically a combination of, in fact, the newer businesses that
we started and the conventio nal business still . Mexico is just a year in here
and now story whilst of course Brazil is a little more medium -term.

Vinita Gupta : I have just to add to that, I'd say that the India region, which has grown very
nicely, is still in the investment mode. So it's not at that 20% plus level as of
yet, but. it's getting there with operating leverage and our portfolio.
Tremendous potential there as we look at the next couple of years.
Saion Mukherjee: Okay. And any comment on the API business? Because it's small, but it has
been a big drag, at least in the recent past I understand.
Nilesh Gupta: We were almost flat in the quarter, right? It was a slight decline. So I think
there's products which have scaled up nicely and others which are still

continuing to be cha llenging. I think the Pen-G situation continues to have some challenges and therefore products like Cephalexin, Cefadroxil remain impacted. Products like Ethambutol remain impacted as well.
We do see growth in the next year. So you will see a bump up in th e API business. But I think it has to be driven more from our perspective with some of the stuff that we do in Lupin Manufacturing Solutions in terms of new products and building that book of business and bringing more new launches because we're still primarily working off our old portfolio at this point of time in the API business.
Saion Mukherjee: Understood. And Vinta, I just missed, you mentioned in your comment on the inhalation filing. You mentioned like Respimat or Ellipta or one or two of these products will get filed over the next 12 months. Is that what you mentioned?
Vinita Gupta : Yeah, we should be in exhibit batch , eventually filing right.
Saion Mukherjee: Okay. Yeah. Thank you.
Moderator: Thanks, Saion. We'll take the next question from N ikhil Mathur.
Nikhil Mathur: So I have two questions. The first question is on the margin trajectory over the next two years -three years. So while you are guiding to a glide path of 2 2-% - 23% EBITDA margin at some point in time, what kind of generic cycle are you building in when you're trying to achieve these margins? I would imagine that there is some support from below -trend generics pricing erosion currently, but we have seen in the past this tends to be pretty cyclical. We don't know. I mean, maybe in FY26 there's a big down cycle again. So when

you are expecting margins to improve going forward over the next two years -three years, what kind of generic cycle are you building into your base case assumptions?
Vinita Gupta : So I'd say on the generic price erosion, that's what you're asking about, right?
Nikhil Mathur: Yeah. I mean, if there's a big down cycle, again, let's say 12 months down the line or 15 months down the line, then would a 2 2%-23% EBITDA margin be a far-fetched thing to kind of achieve?
Vinita Gupta : I would say that given our mix has evolved to more complex generics, 40% -45% inhalation, next year adding injectables, where one does not see this kind of price erosion, gives us the confidence, one, that we have a growth segm

ent
pipeline that helps us grow the margins. Second, I'd say that the oral solids, which have gone through a lot of price pressures over the last couple of years and stabilized over the last 12 months, one has to realize that companies got out of the m arket, therefore you saw drug shortages. The oral solids also, there's a lot more awareness now that putting pressures on manufacturers will cause exits, more product exits, like we did in the past couple of years. So we do think that things are somewhat b etter for the oral solids, although not as good as the complex portfolio. The combination of that gives us the confidence that we should continue to improve the margins.
Like our US business, I six consistent quarters of improving margins, and that was a c ombination of both product portfolio mix towards complex generics, plus efficiency measures on the logistics costs, returns, freight, as well as write -offs and things. And we continue to really have that focus on driving the subparts of the generic busines s.
Nikhil Mathur: Right. And can you comment a bit on your strategy on the oral solid side over the course of next two - three years? So obviously the pricing environment is slightly better than what it has been. But do you feel that you as a company will again be looking to gain volumes or kind of chase volumes and in turn kind of fill your capacity? Or do you think that it's not the right strategy to be going back to where this industry was two - three years back, and hence it's a bit your strategy should be a bit more cautious in terms of how you target the oral solids business.

Vinita Gupta : Our focus on oral solids is the baseline. We want to manage it as efficiently as possible. It's a very, very strong focus on cost improvement there through KSMs and other related spend, making sure that we don't have idle costs. So in doing that, you can't really afford to really hold on to capacities with the hope that you build share, right? I mean, not to say that we will not be opportunistic. I mean, when there ar e opportunities, especially on our products where we have a strong position, we will certainly want to be able to gain volume as well as serve the market. But we have optimized and we'll continue to optimize the oral solids to minimize any idle cost and ot her measures to ensure that we run that business as efficiently as possible while driving the portfolio shift to complex generics.

Nikhil Mathur: Right. And sorry to just h arp on a bit more on this. So a couple of years back you had taken a call on discont inuing a portfolio of products, I mean, which wasn't making sense on the margin front. Do you still stick to that strategy? Do you have a threshold margins below which you are not willing to work? It would be great if you can communicate what margins below you're not willing to work, but I mean, it might be difficult for you to comment. But does that strategy still hold irrespective of how the pricing environment behaves?

Vinita Gupta : Absolutely. We're not going to sustain products that don't contribute to our P&L. So we have to as much as we are very proud of our position as a company that serves a major cause on the generic front, we also have to be a viable manufacturer. And it's not any particular margin because every product can contribute to overheads and improve the margin for a site. So there's no one number that is a cut -off. But we have a very, very disciplined framework now on month -on-month basis to look at margins, look at products that are getting to low margin and determine what our position is going to be.

Nikhil Mathur: Got it. Thank you so much.

Moderator: We'll take the next question from Ritesh Rathod. Ritesh, are you there?

Ritesh R athod: Thank you. Given the strong free cash flow generation, and we are on a quarterly EBITDA run rate of INR 1,000 crores, we w

ould be net cash in couple of quarters, where do we plan to deploy our free cash which would be generating next two years to th ree years? Would it be any particular area or

would you like to give it back to shareholders? And do we have any formal payout policy?

Ramesh Swaminathan: So we do have our dividend policy . It is not going to be very different from the past because we beli eve that there are a lot of opportunities in our space to actually invest. We believe that over time we would be able to get to returns which would be far higher than what the individual shareholder would be able to get for himself. And we have always been an acquisitive company. So as and when this proposition is compelling enough, we would look at various acquisitions.

And we are also nurturing our specialty aspirations as well. So it is a question of time if we actually get to that. We've been studying t he space for quite some time now. Our first foray was obviously not very successful, but doesn't necessarily mean that you're going to stay away from it for too long a time. It's just a question of time before we get back.

Ritesh Rathod: And what would be the areas that you would like to invest, if you want to put in a priority or in a descending way?
Vinita Gupta : So also that while we'll be opportunistic in terms of the areas that we can play in, where we can make a difference, but Respiratory is one that we really like based on the position that we have built. I mean, today, Respiratory is over 25% of the company's global revenues. When you look at both the India business as well as the US, Europe, Canada, all of the different markets that we have, and we have significant capabilities there. So certainly, Respiratory is one where we believe that we have the right to play and look at opportunities to both organically as well as inorganically to build our portfolio. If you have other opportunities like Xopen ex, we will certainly look at them seriously.
The other area that we like, based on our foray in Europe : Neurology with NaMuscla, the orphan product that we have. In Europe, we have successfully launched it in multiple countries there. And we've started the study for a broader indication for the product, even though it'll still be an orphan indication and looking to really expand that portfolio with other CNS neurology assets. So those two are certainly areas that we are looking at programmaticall y and then others opportunistically.

Likewise, we're looking at our therapy areas in India and the TAs where we want to build a stronger position for the future . We are strategically looking at opportunities to buy brands and portfolios.
Ritesh Rathod: And in speciality, can you elaborate more? What areas you will try to do attempt this time either organically or inorganically?
Vinita Gupta : Like I mentioned, the two that that we have been looking at exploring our Respiratory and Neurology.
Ritesh Rathod: Okay. In US also, we meant that.
Vinita Gupta : Yes.
Ramesh Swaminathan : Apart from, of course, interesting opportunities, if they arise in India as well.
Ritesh Rathod: Okay. Thank you. That's from my side.
Moderator: Thanks, Ritesh. So that concludes the Q&A sessions. Thanks for the active participation. I now hand the conference over to the management for the closing comments. Thank you.
Vinita Gupta : Thank you, everyone. Apologies for the poor audio this time and we'll be happy to answer any questions that remain unanswered. But we are very energized by the performance our team has delivered over the last three quarters. Our team is very energized, as you can imagine. And we expect to close this fiscal year pretty strong, continuing on the momentum that we have built over the last three quarters and starting the next fiscal year very strong as wel

l to improve both revenues as well as profitability going forward to get to our goal in the next three years, like Ramesh said to that 2 2- 23% EBITDA. So look forward to connecting with you again over the next couple of months as well as the next quarter. And thank you again for all of your questions on the call today.
Moderator: Thanks, ma'am. So thank you very much to all the panellists and the participants. On behalf of Lupin Limited, that concludes this conference. Thank you for joining us and you may now exit the webinar. Thank you.

Call: May 2024

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May 14 , 2024

■BSE Limited
Department of Corporate Services,
P. J. Towers,
Dalai Street,
MUMBAI - 400 001.

National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurl a Complex,
Bandra (East),
Mumbai - 400 051.

Dear Sir/Madam,

Sub: Transcript of Q4 FY2024 Earnings Conference Call .

Pursuant to Regulation 30 (2) read with Schedule III Part A Para A(15)(b)(ii) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed is a copy of the Transcript of the Q4 FY 2024 Earnings Conference call held on Tuesday, May 7, 2024 .

The above is for your information and dissemination.
Thanking y ou,

For LUPIN LIMITED

R. V. SATAM
COMPANY SECRETARY
(ACS - 11973)

Encl- : a/a

"Lupin Limited Q 4 FY202 4 Earnings Conference Call"

May 7, 2024

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN - EXECUTIVE DIRECTOR, GLOBAL CFO AND HEAD

Moderator: Good afternoon, and welcome to Lupin Limited Q4FY24 Earnings Conference Call. Please note that all part icipants' line will be in listen -only mode. And there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to the management. Thank you, and over to yo u.
Vinita Gupta: Thank you. Good afternoon, friends. I'm very pl eased to welcome you to our Q4, and end of FY24 earnings call. I have with me our MD, Nilesh; our CFO, Ramesh; and our Head of Investor Relations, Ravi. We look forward to sharing with you our highlights for the quarter as well as the full -year and outlook for fiscal year '25.
We are very pleased to close the year on a strong note, continuing to improve our operating margins and maintain the business momentum for the last many quarters.
Reven ues in the quarter have grown 13% year -over -year driven by all major regions, in particular, U.S., India, EMEA and APAC.
Gross margins and operating margins improved in Q4, based on better business and product mix, in particular in the U.S. and also higher efficiencies.
We were very pleased that EBITDA margins improved quarter over quarter, despite higher R&D investments and Q4 seasonality impact in U.S. and India.
Our U.S. business continues strong at $200 million plus revenues, de spite lower seasonal products and reduction in products like Darunavir that experienced additional competition.
Our base business performed well, and new products like Tiotropium and generic Prolensa helped offset the seasonal product decline. We are at a good level with 30 % substitution with Tiotropium, 10 months into the launch. We expect Tiotropium to continue to be a major growth driver in fiscal year '25. We had 6 product launches in the US during the quarter with Prolensa Ophthalmic, Ganirelix Inj a nd Cyanocobalamin being the meaningful ones.

We expect to sustain our U.S. business at the $200 million plus level, going ahead with the continued ramp -up of Tiotropium and new product launches in fiscal year '25 . We have 10 plus launches during the year.
Our India business has grown 8.3% year -over -year in the quarter, and 9.6% for fiscal year '24. Within this, our India prescription business has grown 8.7% year -over -year and ex-Cidmus 9.3% year -over -year on full year basis , this was 1.2 times IPM growth. Core therapies like cardio and respiratory segments have grown well ahead of the market and we are very confident of continued 25-30% over IPM in fiscal year FY’25. We have already started to see this in April. We have also car ved out our trade -generics business into a 100% wholly -owned subsidiary to enhance agility and drive focus on this high - growth segment.
Apart from the U.S. and India, other regions have performed well too. EMEA and APAC recorded strong double -digit g rowth in the quarter, driven by Fostair generic in Europe and strong growth in markets like Australia as well as Philippines.

We complemented our global respiratory portfolio by acquiring two accretive established brands from Sanofi for Europe and Canada .
During the year, we also closed our Medisol transaction, the French complex injectable company, which expands our position in complex generics, in particular in Europe.
On the R&D front, we have continued to pivot to more complex products, in particular inhalation and complex injectables. We spend around 50% of our R&D investments in these two platforms . Complex products today constitute around 40% of our US portfolio which we expect to increase to about 50% to 60% in the next few years.
In the fiscal year 2024, more than 80% of our new product revenue s in the U.S. w ere from non -oral solid products. This augurs well for sustainable growt

h of our generic business going forward.
Switching to compliance, we have continued to build on our momentum with recent inspections at Aurangabad and Dabhasa with positive outcomes. We

are on track with our remediation efforts at our Tarapur and Mandideep Unit 1 sites and are fully committed to ensure that all our sites are fully compliant with b est-in-class GMP standards.
Reflecting on the year gone by, fiscal year 2024 has truly been an inflection point for our organization.
We are very pleased to turn around our business and deliver on our promise of sustained and profitable growth, driving the shift to complex generics, getting our India business growth to 20% to 30% above market, improving our GMP compliance position and continuing to drive efficiencies. It has also been a year of growth across all our regions and business segments.
As we look at FY'25 and beyond we are focused on continuing to drive margin improvement while growing and evolving our business, build ing on our portfolio evolution into complex generics and specialty. We are truly excited with the potential we have a head of us.
With this, I will hand it over to Ramesh for a deeper analysis of our performance.
Ramesh Swaminathan: Thank you, Vinita. Friends, I welcome you all to our Q4FY24 and FY24 Annual Earnings Call. I'm happy to report that this quarter, we've del ivered another quarter of strong performance with EBITDA growth of 65% year -on-year and consistent 20% plus percentage EBITDA margins.
As you would have seen, we've improved our EBITDA margins quarter -on-quarter by about 30 basis points, despite higher R&D costs during the quarter. In-fact, for the full year, we have handsomely outperformed the guidance we had provided to you last year, both in terms of growth and profitability.
Going into the numbers, sales of Q4FY24 came in at INR 4,895 crores as compared to INR 4,330 crores in Q4 last year, a growth of 13% year -on-year.
We've registered robust growth across most of our key geographies. North America has grown at a strong 23% year -on-year. India business has grown

at a healthy 8.3% year -on-year, whilst EMEA grew at 17% year -on-year. Our

ROW grew 8% year -on-year and growth markets grew at 16% year -on-year.
On a full -year basis, sales have come in at INR 19,656 crores, a growth of 21% year on-year and 20% year -on-year adjusting for NCE incom e received during Q1 of FY24.
All key segments, excluding LATAM have delivered strong growth. In particular, U.S. grew 29% in constant currency terms . Our formulation business excluding India and US has grown robust 20% YoY during this period.
U.S. bus iness
During the quarter the US business recorded sales of $209 mn marginally lower than Q3 levels on constant currency basis. While pricing on base business has remained relatively flat, the decline has been due to lower volumes on seasonal products and l ower sales of products like Darunavir .
For the full year, the U.S. Business has recorded sales of $850 million as against $632 million last year, registering a growth of 29% year -on-year in constant currency terms. This has been led by volume growth in ou r base business and healthy contributions from new products.
As Vinita mentioned, our st rategy of focusing on complex products in our pipeline has paid handsome dividends, and more than 80% of the sales from our new products this year have come from non -oral solids. In fact, if you look at our pipeline for FY25, more than 70% of the new launches in the current year will be non -oral solid in nature.
India region
The India business has grown by 8.3% year -on-year in the quarter and 9.6% year -on-year in FY24. S pecifically, during the year, the prescription business has grown 8.7% year -on-year and 9.3% ex -Cidmus, outperforming the IPM growth during the ye

ar.
Segments like respiratory, cardiology, and oncology have outperformed IPM growth in their respective segme nts. The share of in -license d products in the

quarter has reduced to around 11% of our portfolio from around 15% to 16% last year, while also having a positive impact on our profitability going ahead.
We've launched 28 products in FY24 and plan to launch a bout 20 products in FY25. I'm also happy to report that our diagnostic business is scaling up very well, with revenue growth of 160% year -on-year and around 40 labs under operation.
EMEA
Our EMEA region, which constitutes our EU business and the South Afri ca business, registered strong growth of 17% year -on-year during the quarter, and 24% year -on-year in FY24. This has been driven by steady growth in key EU markets like UK and Germany, NaMuscla, inhalation products and also partner business.
Growth markets
Our growth market includes the APAC and LATAM regions. The APAC markets grew by 33% year -on-year during the quarter, led by strong growth in markets like Philippines and Australia. LATAM markets however, declined by 6% yea r-on-year in the quarter, due to ongoing headwinds in Brazil, which were partially offset by growth in Mexico.
Other operating income
Other operating income at INR 66 crores has decreased by 34% year -on-year, during the quarter. This decrease is primarily on account of the phasing of PLI benefits during the year. On a full year basis, other operating income came in at INR 355 crores against INR 372 crores last year.
Gross margins
Coming to the profitability, Q4 FY24 gross margins were 67.8%, up from 59.6% in Q4 last year and 66% recorded in Q3FY24.
Whilst we have seen improvement driven by multiple factors, which includes

better product mix, lower share of in-licensed products, increased volumes,

and gross margins have also benefited from higher inventory, which we are carrying on account of risk mitigation measure due to geopolitical tensions in the Middle East. For the full year, reported gross margins have come in at 66.2% as compared to 58.3% last year. Adjusted for NCE income, gross margins are at 65.8%.

Employee benefit expenses at INR 900 crores increased marginally from INR 889 crores in Q3FY24, translating into 18.4% of sales vis -a-vis 17.5% last quarter. This change is largely attributable to higher impact of ESOPs, offset by lower seasonal domestic sales during the quarter.

For the full year, employee costs have increased by INR 407 crores, mainly driven by the annual salary hike s and the India field force expans ion, which we undertook last year. This translates to 17.8% of sales on a reported basis, and 18% on adjusted basis as compared to 19% of sales in FY23.

Manufacturing and other expenses

Q4FY24 manufacturing and other expenses came in at INR 1,490 crores, which translates to approximately 30.4% of sales as compared to 30.7% of sales in Q3 this year. The expenses are lower in spite of higher R&D, due to lower business settlement expenses, lower litigation costs, lower SG&A costs due to seasonality.

Manufactur ing other expenses in FY24, came in at INR 6,073 crores, an increase of INR 1,019 crores as compared to FY23. This translated to 30.9% on a reported basis and 31.2% of sales on an ex -NCE basis as compared to 31.1% last year. This has been led by primarily higher R&D outlay, higher SG&A on account of field force expansion and higher volumes from increased sales.

R&D is at INR 426 crores, that's 8.7% of sales in Q4FY24, as compared to INR 305 crores at 7% of sales in Q4FY23. For the full year, R&D is INR 1,527 crores, vis-a-vis guidance of about INR 1,500 crores to INR 1,550 crores, translating to 7.8% of sales.

EBITDA

Excluding Fo rex and other income, EBITDA was at INR 997 crores, up 65% year -on-year. Margins for the quarter were higher at 20. 4%, vis -a-vis 20.1% in Q3FY 24 and 13.9% in Q4 last year. For the FY24 period, reported EBITDA margins at 19.3% and excluding NCE income at 18.5%.

Depreciation & Amortization

Depreciation and amortization at INR 457 crores as compared to INR 264 crores last year. This recognizes impairment of INR 201 crores relating to the intangible assets , which are essentially discontinued ANDAs , and certain tangible assets.

ETR

ETR was 26% in Q4 and 20.1% for FY24 .

Balance Sheet Items

Operating working capital was at INR 5,691 crores as of 31 March, 24, which

translates to 105 days of net working capital. While this has been a reduction as compared to the last year, it's increased from the 96 days recorded last quart er, primarily on account of higher inventory that we are carrying, given the disruption and the geopolitical tensions in the Middle East.
Net debt stands at INR 477 crores. It's reduced from INR 2,527 crores in March '23, indicating a reduction of mo re than INR 2,000 crores during the year.
ESG
On the ESG front, of course, we've done extremely well, as you'll be aware, and we have got a S&P DJSI score of 69 over 100, kind of reflecting exceptional performance, placing us at the top 95 percentile for t he pharmaceutical sector as a whole.
With this, we will open the floor for discussions.

Moderator: Thank you very much, sir, for the insights. We will now begin the question - and answer session. Please raise your hands from the participants tab on the screen to ask questions.
So, the first question is from Neha Manpuria. Neha, go ahead, please.
Neha Manpuria Yes, thanks for taking my question. My first question is on the U.S. pipeline, two products specifically. First, on Mirabegron, we saw that we launched the product and then we got an injunction. How do you think is our position in the litigation , given the win in the lower court? Do you think this is still a credible launch for this year?
And second, on Spiriva, we have seen some moderation in market share in the last few weeks. So, what's your sense there? Your opening comments did mention tra ction in the product. So, what are we expecting in terms of market share, when we need to think about Spiriva going into next year?
Vinita Gupta: So Mirabegron, we have a temporary restraining order. They were not given the preliminary injunction. And we feel pretty good about our position and we'll have a read on it over the next few days. Hopefully, should be able to launch the product again. I think that Astellas has really filed multiple patent after patent, and to prevent affordabl e generics to come to market. But we feel pretty strongly about our position, both from a non -infringement as well as invalidity standpoint. So should certainly have the opportunity to relaunch the product shortly.
On Tiotropium, while we had guided at the beginning of the year, that typically in the first year, the first 12 months, you see a generic product take 25% to 30% share. And we are right now 10 months in at 30% share. A couple of weeks can be up or down, but we're not seeing any tapering off of on our order book or share standpoint. So feel pretty good about the 30% so far.
We're also going to take a look at what happens over the next couple of months. In June, the brand has announced as part of a response on respiratory products. The pressure tha t they had from Congress, they had announced a $35 cap on out -of- pocket pay for patients. We'll see if there is any impac t of that, if it suggests that we should modify any of our strategy.

But so far, it's been pretty good. We've been pretty much on track on the share and very favourable on the pricing front as well.

Neha Manpuria : S

o are we still okay with the 40% market share that we had guided to
previously for Spiriva in the next year?
Vinita Gupta: We have said 30% - 35%, and we'll see . We want profitable share at the end
of the day.
Neha Manpuria : Yes, understood. And my second question is on the gross margins, a very
strong gross margin performance. How should I think about the gross
margins going into next year? Is this the base that we should assume that we
build on, or should I take a more blended three -quarter for gross margins,
given the higher inventory impact that you talked about?
Ramesh Swaminathan: So current quarter has of course, been influenced b y the sales mix, and, of
course, tailwinds on account of the input cost, and there's of course, the
higher inventory build - up. I would imagine, given the buoyancy at the top
line, kind of products that we are bringing in, and the emphasis o n, in fact,
route to synthesis , potentially alternative vendor strategies and the like, we
should be able to kind of maintain the same levels of gross margins in the
days to come.
Moderator: Thanks, Neha. The next question is from Kunal D hamesha. Kunal, go ahead,
please.
Kunal Dhamesha : Yes, good evening, and thank you for the opportunity. And congratulations
on good set of numbers. Just the first one on the top line growth expectation
for FY25 overall and the EBITDA margin expectation.
Vinita Gupta: So we should be at close to 10% level in terms of revenue growth and EBITDA
margin at 20% plus.
Kunal Dhamesha : And would this EBITDA margin expectation include Mirabegron o r if
Mirabegron happens, there would be potential upside to this?
Vinita Gupta: Yes, hopefully we have some upside to it.

Kunal Dhamesha : And secondly, on the India business, now that we have again started growing
at low double -digits, how do w e see this market growth in the next year, and
probably in the next two to three years, given that we have one patent
expiry, which is coming, what would we do to offset that?
And as a second part of that question is, the number of medical
representatives we have in the business, along with the first line manager
and excluding the first line manager. Thank you.
Nilesh Gupta: Sure. So I think on the India business, our goal has been to grow at 20% to
30% ahead of the market. The marke t, for example, in Q4 was sluggish, grew
only 5.7%, but for th e year, market grew at 7.6%. So, we obviously grew
ahead of the market at 8.7%.
We would want this to step up even more, so we're hoping for the market to
grow at a slightly higher pace. And obv iously, we should be close to double -
digits growth in India accordingly. I don't have the exact specifics on the
salesforce numbers. It's roughly about 7,500 med reps and 10,000 people
altogether.
Kunal Dhamesha : Okay , perfect . And if I may, one more on th e diagnostic business, we have
seen strong growth . But how do we see deployment of capital from here on?
And in terms of profitability, it is obviously a drag right now, but when do you
see that probably become breakeven?
Nilesh Gupta: Yes. So I think at the Board level, we've b uilt clear guardrails for all the
adjacent businesses, whether it's the diagnostic business, whether it's the
digital business, whether it's even our investments into areas like OTC.
On diagnostics in particular , the burn went up in the last year versus the
previous year, so it was higher in FY24 versus FY23. In FY25, we basically see
it at a similar level and then we see it coming down. So in the next two years,
we see significant improvement on the business fro m a profitability
perspective.
Kunal Dhamesha : Okay. And in terms of any revenue growth guidance for that business, the

entire other business apart from the pharma business?

Nilesh Gupta: So I think we are calling it ou

t separately in our numbers as we're reporting
them now. So the numbers that are reported, I think INR 60 odd crores is
basically all diagnostic at this point of time. That number will obviously grow
to a multiple of that in the next five years. Still very, very small, and ce rtainly
not the focus area for India. The core pharmaceutical business will always
remain the focus in India.
Moderator: Thanks Kunal. We'll take the next question from Bino Pathiparampil .
Bino Pathiparampi l: Hi, Good morning, and good afternoon. Vinita, first on Spiriva, can we assume
that an authorized generic is now not going to come or is it still a risk?
Vinita Gupta: It's hard to tell , Bino . We hope that given the share as well as the current
status of the market that we continue as both the brand and generic, but it's
hard to predict.
Bino Pathiparampil : And in Myrbetriq, you launched only the 25 mg and not the 50 mg. What was
the reason for that?
Vinita Gupta: We were just prepared with the 25 mg and we were ready to launch.
Bino Pathiparampil : So if the TRO is lifted, you can potentially launch 50 as well, you would
potentially?
Vinita Gupta: Yes, potentially.
Bino Pathiparampil : And just one question on the market size on Myrbetriq, as per IQVIA and as
per your PR, of course, quoting IQVIA, the market size is around $2 billion.
But if you look at Astellas annual report, it seems to be very different, only at
around $700 million or something. Is there such a big rebate or something in
there or how do you read that?
Vinita Gupta: Yes, we believe that there is that gross to net that Astellas has contracted
with PBM s.
Bino Pathiparampil : And if I may push one last one, the Oracea generic opportunity, the sales
number you have quoted from IQVIA of around $128 million or so, is that the
market for just Oracea or the entire generic Doxycycline market?

Vinita Gupta: Just Oracea. I mean, Doxycycline is really large , many different brands . That's
been a really nice launch for us in April.
Moderator: Thanks, Bin o. We'll take the next question from Nimish Mehta.
Nimish Mehta : Thanks for the opportunity. See, what I understand for the U.S. generics
industry, that is in the month of April, we have seen some significant price
reduction across the board. One, wanted t o know your views and also the
impact on our portfolio.
Vinita Gupta: So price erosion actually has been pretty reasonable over the last 12 months,
I would say. We experienced a single -digit price erosion, and there still
continues to be a very strong dru g shortage issue in the U.S.
We were just in Washington D.C. last week, along with a number of our
peers, and heard a lot of concerns about drug shortages. So we expect that
should really keep price erosion at a reasonable level going forward, at least
in the next 12 months. So we don't really see this April impact. You probably
are looking at IMS data, which really does not give you a real picture of net
pricing.

Nimish Mehta : So the reduction that is seen in April is not something that is not seen on the ground, is that what you're saying?
Vinita Gupta: Yes. We haven't. Like I said, in the last 12 months, it's been a single digit.
Nimish Mehta : The other question I have is regarding the domestic market. We have seen government cracking down on a lot of the smaller CMO suppliers. So we wanted to know how is it impacting Lupin ? And will that also mean that we will have more capa city to build, so that we kind of do not get into any problem related to CMO quality issues or anything like that?
Nilesh Gupta: Yes. I think that's a great question. Clearly, the government is showing intent to move up on quality, which is why they've bee n cracking down on some of the suppliers , you would have seen today , they talked about new standards for exports as well. So I think there is a clear intent to

move up on quality,
which is great for companies such as us. We've not had any disruption with

any of these. Most of the suppliers we've not worked with, or we've had mitigation plans in place, as these issues may have arisen as well.
We have a pretty robust process of vendor management in place, so not impacted. I think there's a bi gger opportunity in the longer term to manufacture more ourselves, and that's something that we will explore.
Nimish Mehta : And if I may, the last one on the trade generics, that will be very helpful. I mean, we have seen all the large compa nies including ours, to be launching a separate trade generics business, either in the form of a company or a division. So what is that trigger? And how do you think this will play out, again, versus our own brand? So do you think that at an aggregate level, this will grow significantly enough to kind of challenge the pricing for the whole of industry?
Nilesh Gupta: So, I think the trade generics is a growth opportunity. Clearly, it's a higher growth segment. That being said, it's going to remain a po rtion of the market. It's not going to be the dominant portion of the market. And our focus, just like others, would be to bring that focus, bring that agility, bring that clear accountability into managing that business very closely.
This business has to be managed very closely. It has to be managed much more aggressively than even the India domestic business. And I think that was the main reason to spin it into a separate entity. But again, just like with anything else, there are guardrails that are built into this, and we don't think this is going to be the dominant element of the Indian market.
Nimish Mehta : But I just wanted to know, what is the trigger for which it will grow? Because it has been there since many years now, right? So what is the change that has happened in the market, which you see is going to trigger the growth in this generic business?
Nilesh Gupta: I think whether it's organized retail, whether it is the hospital segment, whether it's more institutional buy, obviously, there is more of this business happening there. And therefore, that is the opportunity as well, including to Tier 2, Tier 3 kind of towns as well.

Moderator: Thanks, Nimish. We'll take the next question from Shyam Srinivasan .

Shyam Srinivasan : Good evening , and thank you for taking my question. Just the first one on the U.S. business, right? So we have done an annual revenue of $815 million. And just want to see how we should look at it in a medium to longer term, can we go back to $1 billion at some point of time? What are some of the drivers of that particular thing? I think that's the first question I have.

Vinita Gupta: Yes, so certainly, with the pipeline that we have over the next two years, next year being both a combination of some of these P IV products, where we should have some upside opportunity, and some nice injectable products as well. The following year, potentially the launch of Tolvaptan, which we are exclusive generic. That plus our injectable portfolio, products like Liraglutide, Victoza, Saxenda, Glucagon, we expect fiscal year '26 to be certainly a year where we have, i f not at a billion, we should be close to it.

Shyam Srinivasan : Understood. It's still close to what about 10%, 12% kind of growth, right? Won't we see a more faster growth? I'm just wondering why not ?

Vinita Gupta: So, we still assume that all the products will come down. We still assume in our plan that we will see additional competition on existing products, that new products offset and help grow. So hopefully, potentially, there's an upside if you don't see that kind of price erosion.

Shyam Srinivasan : The second one is on the 80% of new products are non -oral in nature. If you were to map the

margins on that portfolio, vis -a-vis say the oral s, should one actually expect higher margins or you think even non -oral margins have actually come down to what about the 20% odd that you're showing? How should we look at that?

Vinita Gupta: No, definitely much better margins. That's what help ed us really shore up the U.S. business profitability, an d the company profitability as well to a certain extent. The complex products are relatively s peaking better margin products.

Shyam Srinivasan : Just trying to tie this to the guidance then, so last question for Ramesh. When we talk about gross margins not improving further from here, but all this contribution on non -oral continues to remain in the forward path. So just

trying to tie, gross margins, we should see benefit, but we might give it back elsewhere is it ? Is that how w e should look at it?

Ramesh Swaminathan: There is going to be a higher quantum of R&D spend. It's kind of reflected in the current quarter itself. So about INR 450 crores, so that run rate certainly would be there. And whilst, of course, there would be im provements in the gross margins front, there are also tailwinds. If you look at, for example, the freight element, there's uncertainty there and so on. So we can ’t actually provide for all kind of ups and downs in the future. So to that extent, would prefer to be prudent in our guidance also.

Moderator: We'll take the next question from Surya Patra.

Surya Patra : Ma'am, first question is about the Spiriva. So how should we think about the pricing of Spiriva or how sustainable is this pricing, given the kind of cap on the overall cost that you've mentioned?

Vinita Gupta: So far, it's been very stable. The price based on the brand price and the minimal amount of discount that we had to give to be able to get substitution. And we will see what the brand does. We'll see the impact of the change in coupon that is expected to come in June, and determine if we need to do anything more than that. But at this point in time, it feels -- it looks like it's very stable.

Surya Patra : In terms of the list price calculation for the brand, have you seen any change in the init ial period of this quarter?

Vinita Gupta: No, we haven't.

Surya Patra : So is it fair to believe that the list price is likely to be maintained for the entire year?

Vinita Gupta: I would expect so. We don't have any indications . Of course, the brand can do what the brand wants to do. But they typically don't ch ange the list price.

Surya Patra : Second question is about overall respiratory sales contribution to the business. So is it possible to s hare what is our respiratory sales mix for the U.S. business, and what it is in general for your overall Lupin -wide business?

Vinita Gupta: So company -wide, it's at 25%, given the strong presence in the U.S., India, and E urope, and also growing presence in other countries. We just launched Tiotropium in Canada. We are laun ching it in Australia. So 25% company -wide, the U.S. is close to 40%.
Surya Patra : And this quarter, it looks like that we have seen some sequential up take in the Albuterol market share. So could you share what is the market share currently that we're enjoying? And what is your outlook there in terms of pricing as well as in terms of the competition that you might face further?
Vinita Gupta: It's pretty stable at that 23% level market share. There's been some uptake because of seasonality in the past couple of months. But it's ta pered off a little bit because the flu season was short, and it's been fairly stable.
Also from a competition standpoint, it's a very difficult product to make. It's not easy to make the MDIs and D PIs as we find as well. So we hope to see more stability in th is portfolio.
Surya Patra : While you

've mentioned that, going ahead by FY28, you are likely to introduce many complex products, around 20 odd products over three - four years. So given those kinds of pipeline, where do you see your respiratory portfolio playing for your overall growth strategy?
Vinita Gupta: It's a significant growth driver for us for the next five years. As we look at our five-year plan, I mean, both the respiratory and injectable products have increasing percentage of our investment. They're going to be a larger part of our portfolio going forward.
Surya Patra: Just last one question. If you can comment on the Lupin Life Initiatives along with the diagnostic, and that is helping your domestic portfolios, domestic business as a whole. So how, all these are integrated and how are these going to help you in the domestic positioning?
Nilesh Gupta: That's the question that we ask the team regularly as well . I think when it comes t o diagnostics , one part obviously is the role that key opinion leaders have played on diagnostics.

We're looking at companion medicines , between diagnostics and drugs as well. So we're looking at pathways there. So there are certain synergies, but I think other than that, obviously the bigger thing is to be a trusted provider of healthcare, which is why we have that business.
On digital, I think that is much closer to our Cardiovascular / Metabolic play. And I think it's the same doctors, we are reaching the sa me target audience for an additional set of prescriptions. And hopefully, we will get substantial rub off benefit of that. That business is obviously, I think we're talking about changing doctor -patient behaviour , and that's obviously more challenging from that perspective, but we've had some nice wins to start.
Surya Patra: Could you give us some update about the Fostair inhaler market share progression in Europe, as well as what is the progress that we have seen for our Enbrel in Europe? What is the market share that we would be happy

with?
Vinita Gupta: Fostair, we still have the dominant share in most of the European countries. We've launched , I think at this point we're in 13 countries, and through both our direct presence as well as our partners, and continue to really build on our share. So it's been a material growth driver for our European business this past year. It cont inues to be a very strong product for us, largest product for us in Europe.
Surya Patra: This is a $15 million, $20 million product, ma'am?
Vinita Gupta: More than that. Enbrel also has improved. We've had growth in Enbrel revenues this past year. In Europe, certainly, the share has grown, but we have launched also in other countries like Russia the product was launched. We also have countries like in Latin America that are on the table right now. We are launching in the Middle East and Australia, and we just announced also this last week we launched in Canada through our Sandoz partnership, so the product continues to grow in all of t he available markets.
Moderator: We'll take the next question from Tarang Agrawal.
Tarang Agrawal: Hi, good evening, and congratulations for an extremely strong set of numbers. A couple of questions. One, we read a lot around shortages in the

U.S., both a round injectables as well as the oral solids. There seems to be a fair bit of traction from regulators and state actors as well. But, I mean, you being there, are you witnessing anything structurally changing in this market ?
Second, versus how things were, say, a year back, how have things evolved and how do you see these things moving forward? So those are two sub - questions.
And second, if you could give us some sense on what's happening with your biosimilars business ? Thank you.
Vinita Gupta: We certainly have seen things stabilizing. When we looked

at number of the
drug shortages and analysed the root cause, the largest percentage was , they were economically non -viable. So companies like us, a number of our peers had gotten out of these products, because they were just , from a pricing standpoint, had come down to a level where it didn ’t make sense to continue to manufacture them.
So there ’s been a good amount of recogniti on of it, both with our customers as well as the other stakeholders, the U.S. government, the FDA, the FTC, there ’s been a good level of concern across the board in the U.S. on these drug shortages and the cause for drug shortages. And, we think that ’s the reason that price erosion has stabilized to some level. And, we ’re going to hopefully continue to see this going forward.
Structurally, I ’d say that there are a lot of stakeholders in Washington D.C., that are looking hard at the reasons for thes e drug shortages and are working hard to see what they can do to prevent these. So , there is a good amount of scrutiny on the market dynamics that are causing companies to exit products. And hopefully, that will bring some level of balance in the marketpl ace or continue to maintain the balance in the marketplace, which will be promising for the U.S. generic market.
On biosimilars, our focus so far has been on development and manufacturing of the products that we have chosen to get into. We have Enbrel, of course, Etanercept that we have partnered with Mylan, which is now with Biocon. We have other partners like Sandoz in Canada, and we have the right to the

U.S. ourselves, which comes available in 2029. So that is kind of a partner product so far.
We have Pegfilgrastim that we're still waiting to get FDA approval. In fact, we just resubmitted our supplement, the CRL response. We are actually in the process of resubmitting it shortly, but believe that we are in a very good position there as well to get FDA approval. So far, we've got European, Japanese, every other regulatory authority, but not the U.S. FDA approval. That's going to be an important one for us in fiscal year '25.
And then we have other products that we have pre tty far along, like Lucentis - Ranibizumab. We intend to file in fiscal year '25 to the FDA and as well as other parts of the world. So that should be a good opportunity for us on the ophthalmic front.
And then we have a couple of respiratory products that we're pursuing as well, Mepolizumab and Benralizumab, and tracking the markets very closely to see if we can try to get the product s through some of the countries without a PD study.
So, we continue to build on our biosimilar platform and strategy, but cautiously, I would say, because there are tremendous amount of hurdles as well on the biosimilars front that we have seen both from a regulatory perspective in terms of what it takes to get it through FDA and other agencies, as well as market access from a go-to-market standpoint, and then at the end of the day, the contracting strategy of the brand. So cautiously building that portfolio, which will serve us long -term as a really nice additional platform that will help us differentiate our portfolio.
Moderator: Thanks, Tarang. We'll have the next question from Girish Bakhru.
Girish Bakhru: Thanks for taking my question. Vinita, you commented on Spiriva AG-, not sure . But any update on the next ANDA filer, when we can see update on the Chinese product Lannett was trying to bring?
Vinita Gupta: Hard to predict, really. We know how long it took us. It was five years. And it's a complex product to make. So we'll wait to see. We think, there's a

hurdle patent in '27, which is hard to get around. So we expect the next couple of years should be fairly sustainable.
Girish Bakhru: And just commenting again on this few pipeline products you m

entioned,
especially Victoza, S axenda, none of the Indian generics have settled ; whereas we have seen so many MNC companies have already settled with Teva, possibly forming the market later this year. Just trying to assess how competitive this will be in FY '26, and whether it will be meaningfully different, depending upon what device every generic brings.
Vinita Gupta: We think that it could potentially be very competitive, based on the number of companies that have filed. But just looking at how long it has taken companies to get appro val, there might be very different kind of approval scenario in the marketplace that should help make it a pretty attractive opportunity. So , hard to predict really who's going to get approved when. But in the next couple of years, certainly we should see a few competitors in the marketplace.
Girish Bakhru: And last one, I mean, Dulera , Organon is still expecting a generic this year. Any thoughts on your CRL update?
Vinita Gupta: So we are still working on our response to the FDA. Our team has met with the FDA recently, had a pretty good clarity on what it would take to respond to the agency. We expect to respond this fiscal year. So we don't expect to

launch in the next 12 months.
Moderator: Thanks, Girish. Can we have the next question from Harsh Bhatia?
Harsh Bhatia: Just two quick questions. One is from the Nagpur unit 2. I think so, Glucagon is launched from that plant. From the next 12 months' perspective, which of the products do you think can come from that particular plant?
Vinita Gupta: So, we haven't launched Glucagon. We have launched Ganirelix.
Nilesh Gupta: So, I think there's 5 or 6 launches that we would expect from the Nagpur plant, 5 -6 filings as well. It's still in ramp up mode really, there's only 1 or 2 products, 1 for U.S., 1 for elsewhere that we sell from that plant right now,

but this is a world -class plant. So I think from that perspective, 5 -6 filings and 5-6 launches is what you would expect on a steady state going forward.
Harsh Bhatia: This would be for a period of next 2 -3 year period, right?
Nilesh Gupta: Yes. If at all we should accelerate.
Harsh Bhatia: And when was your last inspection for the plant, the Unit -2?
Nilesh Gupta: We were inspected 12 months ago. That was the oral solid.
Harsh Bhatia: Unit 2 as well, the injectable block.
Vinita Gupta: Injectable plant is what we're talking about.
Harsh Bhatia: And could you comment anything on Ellipta? I think so, last time we had spoken about a few quarters back that we were looking at filing the product.
Vinita Gupta: We're still working on it. Making good progress on the platform as well as the two key products. And hope that end of this fiscal year '25, we're able to report material progress.
Moderator: Thanks, Harsh. The next question is from Damayanti Kerai.
Damayanti Kerai: Just wanted to understand your big margin improvement trajectory better. So, Ramesh mentioned it's a combination of multiple factors, but if you can help us understand say how much i s broadly contributed by process efficiencies which you have brought over last few years?
And what could be broader contribution coming from new launches, et cetera, and leaving apart the inventory gain which you had seen during fourth quarter. So, very br oadly, you can also help us understand which are the visible pockets of improvement, which is there for you. Because last quarter, I guess you, talked about your aspiration margin s, so around 22.5 to 23% for next few years. So, any commentary on that will be helpful.
Ramesh Swaminathan: Actually, you're asking f ar too many questions in the same breath, but let me explain ideally the way I would. Firstly, on buoyancy, it actually contributed, so for example, the Spiriva launch itself brought in about 4% -5% points , so to

speak, on the gross margins and the like. But of course, we've been working on a host of other initiatives, which actually helped out on the gross margins, essentially, in terms of route to synthesis, AVD programs, vendors, and the like, that contributed about, and ov er the last three, four years, I would say about 400 odd crores, though, of course, a part of this was eroded by potentially price erosion and the like.
The second part, of course, is we kind of identified a host of things that we thought were inefficienci es in the system, which has included, for example, failures to supply, we had issues in terms of air fre ighting , we had issues in

terms of inventory write -offs, and a host of other things. So we worked on that as well.

And that, apart from, of course, what we worked on, below the gross margin line, which included the workforce rationalization schemes across factories, R&D, and the like. So all of this put together, idle time, footprint reduction in some ways, all of this contributed, I would say anothe r about INR 400 crores to INR 500 crores.

And this has brought us to the levels that we already are in, it's around the 20-20.5% point. We have also identified newer strategies for some of these adjacencies, and businesses that you'd like to spin off on, and so they kind of rotate on their own a xis, which is including verticals like potentially the API CDMO, and at some point in time, the biosimilars and the like.

If one, all of this is actually done, surely you would be, to be something to be around the 2 3-24% points in line with our peers, so to speak.

Damayanti Kerai: So from this exit margin rate of 20% plus, there is good headroom to go up to, say, 23%, if all these things work out for you.

Ramesh Swaminathan: Which we think will happen in the next two to three years for sure.

Damayanti Kerai: So FY25 - you guided for 20% plus margin, and then this 20% plus margin can move up to say 23% in another two years or so. Is that the trajectory we're broadly looking at?

Ramesh Swamin athan: That's a very good understanding of the situation.

Damayanti Kerai: And my next question is on a few of the peptide products, I guess, which we earlier discussed. Anything, I guess, which should be meaningful from Lupin's perspective in the ne xt two years? So you mentioned Liraglutide, I guess, is the nearest opportunity in this space.

Vinita Gupta: That's right.

Vinita Gupta: Our first peptide launch was Ganirelix, and Liraglutide will be a material opportunity over the next few years.

Damayanti Kerai: From your filing perspective, like what is the remaining steps? You're done with the process. It's a review by the FDA and final approval, which is to come, or there are some pending steps which you need to complete before these products come in market?

Vinita Gupta: We have filed a while ago and expect that we should get approved hopefully soon. And based on the patent settlement s and outcomes, we'll plan to launch.

Moderator: We'll take Alankar Garude next, please.

Alankar Garude: Thank you for the opportunity. First question, regarding the INR 200 crores impairment char ge, how many ANDAs have you discontinued in this quarter and what were the reasons for the same?

Ramesh Swaminathan: Actually all of the ANDAs were essentially bought out items, and a lot of this resided in America. And three of those actually resided, domiciled a re still in India, something which actually came out of our Anglo -French acquisition that we did in India a couple of years ago.

So essentially because of the ruling of the Indian authorities, we discontinued a couple of products. So those were the things that we wrote -off, and of course, the products that we are not selling in America. Apart from that, we also took our accelerated write -off when it came to a few a

ssets which we're not putting to use.

Alankar Garude: And second question, would it be fair to assume that the impact of competition in Sup rep will be seen more in first quarter and there was not much of an impact in the fourth quarter?
Vinita Gupta: Yes, it's been a very good, very stable product so far.
Moderator: So we'll have the next question from Nitin Agarwal.
Nitin Agarwal: Hi, thanks for taking my question. On Mirabegron, assuming the TRO gets lifted, what sort of exclusivity period are we looking at ; the current state of affairs for the product before fresh competition comes in?
Vinita Gupta: It is hard to predict, but we think that, it should be two or three players in the near term in next 12 months.
Nitin Agarwal: But we do stand to get, in the current two -player market situation, last another five to six months?
Vinita Gupta: We think so.
Nitin Agarwal: And secondly, beyond this for the rest of the year, which are the other meaningful launches that you can look forward to here?
Vinita Gupta: So, Doxycycline, Oracea has been a good launch for us. Mirabegron, of course, a large one , Slynd another PIV. August is going to be a whole, read on our litigation as well as product approval. And then we have multiple ophthalmic products, including some interesting ones, like Prednisolone is a nice one.
We have a couple of products where we have settlement dates within the year, but unfortunately, we cannot share. I mean, we have two or three products like that. And we have a nasal spray product and some injectables.
We have a couple of injectabl e products as well.
Nitin Agarwal: And lastly , any colour on, we've got a meaningful size of emerging markets now. How these markets, some of these key markets have progressed over the last couple of years, and where are they on th e profitability front, some of these bigger markets for us?

Vinita Gupta: When I look at the other emerging markets, Latin America - Mexico, Brazil, as well as Philippines and South Africa, and we've done extremely well in Philip pines. It has really been a very stable, high growth business for us, and highly profitable, compared to the company level of EBITDA.
South Africa business has been a really good scale, but had got under a lot of pressure with the currency issues there, and the fact that majority of the portfolio is imported into the country. That has turned around in the last couple of quarters, and the business has started growing very nicely as well.
So, South Africa is in a pretty good posi tion, both from a growth as well as EBITDA standpoint.
In Latin America, both Mexico and Brazil. Mexico actually, we had a significant challenge last year with a facility being closed down for 10 months, which actually caused a lot of disruption in product supply . We were back to the market and with the ramp up of our portfolio . We have seen a really good resurgence of our business. So we expect fiscal year '25 to be really strong for us in Mexico. Brazil continues to be a bit of a challenge for us, and we are looking to find ways and means of, improving that business, but that continues to be a low margin business for us.
Ramesh Swaminathan: The only thing that I would add to this is e ssentially whilst we recognize he potential and the possibilities, there's also the risk of For ex, which can sometimes eat into the gains that we make.
Moderator: We'll take the next question from Saion Mukherjee.
Saion Mukherjee: Just a quick one. Can you share, Vinita, the number of ANDAs filed in this fiscal year?
Vinita Gupta: The U.S. ANDAs was a small list. It was six products that were filed this year .

Saion Mukherjee: And is there any reason the intensity of filing has come down this year?
Vinita Gupta: So we have started focusing quite a bit on t

he complex products, where
you're going to see fewer filings, but more impactful files.

Nilesh Gupta: I think this year was also a repurposed year. So we do see a ramp up in the filing s that will happen in FY25, where just FY24 went to kind of an all -time low.
Vinita Gupta: There's some that slipped into also the first quarter, this quarter right now.
Saion Mukherjee: So should we expect around 15 -odd filings going forward? Is that, or it will be h igher?
Vinita Gupta: 11 to 15, I would say. Because again, our focus is on more complex filings than the number of filings.
Moderator: We have Amey Chalke, please. Amey, you can go next.
Amey Chalke : The first question was on the spending, considering that our visibility on the product launch es is quite good for the U.S., we will be having good cushion on the margin front. So are we going to up the spending on the marketing and R&D? Or you will keep the cap on the R&D and marketing spend going ahead? How would be the thinking on the spending front ?
Ramesh Swaminathan: We would obviously keep an eye on all the lines. But we do recognize the potential to increase R&D a bit. And that's what we've done for the next year at least. But for sure, there will be a tight leash on all kind of costs.
Amey Chalke : Second question, if we can give clarity on the Respimat and Ambisome, we were supposed to file in FY25. H ow is that going?
Vinita Gupta: Respimat is progressing pretty well. And we should make significant progress this year, hopefully, file at the end of the fiscal year. It is very much dependent on supply of the devices that we manufacture outside, we don't do it in -house. But it's progressing extremely well.
Ambisome, actually, we got out of the transaction and we took a charge earlier this fiscal year '24. We were not seeing the product progress from a development perspective and with our partner, we decided to focus on Dox il that we expect to launch in fiscal year 2025, but also saw additional competition in Ambisome, so decided to repurpose that investment into other products.

Amey Chalke : On the biosimilar, product like Pegfilgrastim what were you thinking of follow -on players, who are coming now after market has been genericized so much? Is it for you, it would be a learning curve from this product or you would really want to see a substantial gain in the market share in these kind of products?
Vinita Gupta: No, I think with a late entrant, we will certainly use it as a learning opportunity for us. I mean, we certainly should have a good cost position, but would want to gain profitable share . So I wouldn't say that it's a material share opportunity unless folks get out of the market. So it's really going to be more of a learning opportunity for us.
Moderator: We'll take one last question from Tushar Manudhane.

Tushar Manudhane: Just taking this biosimilars overall how much investment you would have
done in biosimilars till date? And how much of the R&D spend say for FY25
would be towards biosimilars?
Ramesh Swaminathan: About, in terms of infrastructure, we have created between INR 450 crores
to INR 500 crores is the figure. An d in terms of R&D expenditure , we also
have this policy of partnering with in fact passive financing …
Nilesh Gupta : So it'll be less than 10%. For R&D spend for FY25.
Vinita Gupta: I think also one thing that we did not mention is in our biosimila r strategy
that we're also leveraging the capability for pipeline for India, which is a
tremendous opportunity for us to build especially in oncology and
immunology products.
Tushar Manudhane: And just one last clarity on the U.S. Sales , while there's a good pipeline in
terms of approvals as well as launches for FY25, still you have indicated that
U.S. quarterly sales to su

stain to $200 million, is that what you commented
or I heard it wrong?
Vinita Gupta: Yes, that's what we said , because we do expect some products to see
pressure like S uprep , we'll see some pressure while we continue to build on

Tiotropium and other new product launches. So, a combination of all of that
we said that will get us to the $200 plus million, and hopef ully, with some
litigation events like Mirabegron, we should be more than that.
And then certainly going into fiscal year '26, where we'll have more exclusive,
large exclusive products like Tolvaptan as well as our peptide injectable s, we
should be able to build it to a closer to $250 million per quarter level.
Vinita Gupta: Thank you. Okay. So, that was the last question. Hopefully, we were able to
respond to all your questions. I'll just say that, it's been a very, very strong
year for us as an organizat ion. The team is all charged up with what we have
delivered.
We feel like we are in a very good position, in all of our major markets, India
and the U.S.in particular, but also the other developed, the other emerging
markets, based on the market position a s well as the portfolio position, to
really drive our business going forward to where we want to go.
We certainly have, like Ramesh mentioned, that 2 0-23%, mid-20%s EBITDA
margin very much on our radar for the next few years, and we're going to
conti nue to work , to be able to get there while evolving our business.
So, thank you again for all your support and questions, and we'll look forward
to connecting with you next quarter.
Moderator: Thank you very much, ma'am. On behalf of Lupin Limited, that co ncludes the
session. Thank you for joining us, and you may now exit the webinar. Thank
you.

Call: Aug 2024

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August 13, 2024

■BSE Limited
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Exchange Plaza,
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Dear Sir/Madam,

Sub: Transcript of Q1 FY2025 Earnings Conference Call.

Pursuant to Regulation 30(2) read with Schedule III Pa rt A Para A(15)(b)(ii) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed is a copy of the Transcript of the Q1 FY2025 Earnings Conference Call held on Wednesday, August 7, 2024.

The above is for your information and dissemination.
Thanking you,

For LUPIN LIMITED

R. V. SATAM
COMPANY SECRETARY (ACS - 11973) Encl.: - a/a

"Lupin Limited Q 1 FY202 5 Earnings Conference Call"

August 7, 2024

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN – EXECUTIVE DIRECTOR, GLOBAL CFO & HEAD OF API PLUS SBU, LUPIN LIMITED
• MR. RAVI AGRAWAL – M&A AND INVESTOR RELATIONS , LUPIN LIMITED

August 7, 2024

Moderator: Good evening and welcome to Lupin Limited Q1 FY25 Earnings Conference Call. Please note that all participants' line will be in listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded.
I now hand the conference over to the management. Thank you, and over to you.
Vinita Gupta: Good afternoon, friends. I'm very pleased to welcome you to our Q1 fiscal year '25 earnings call. I have with me our MD - Nilesh and our CFO - Ramesh. We look forward to sharing with you our highlights for the quarter as well as outlook for the year ahead.
We are very pleased to start the new fiscal year on a strong note with solid double digit growth in revenues and margins both on a year -on-year and quarter -on-quarter basis. EBITDA margins at 23.3% have expanded by 290 basis points quarter -over -quarter, dr iven by strong commercial execution on new product launches as well as in line products, continuous attention to operational improvements as well as lower than anticipated R&D spend. In parallel, we have continued to improve our position on the quality and compliance front, having received positive FDA inspection outcomes for our Aurangabad, Somerset, Nagpur and Dabhasa facilities in the last quarter.
Our US business had a great start with strong growth sequentially and year -over -year driven by more stable in -line business, strong contribution from respiratory products both Tiotropium as well as Albuterol and new product launches like Mirabegron and Dox ycycline that more than offset decline in products like Suprep® that have seen additional competition.
As we look at the quarters ahead, with continued ramp up of the new products that we have launched, additional new product launches like Pred -Forte ® that we just received with CGT, Glucagon later in the fiscal year, Liposomal Doxorubicin that we're in the midst of launching at present, we expect to grow our US business at a high single -digit in fiscal year '25. Also,

our US business has returned to a strong level of margins given the shift to complex generics and strong focus on driving productivity and efficiencies in the base business.
Switching to India, we recorded 10.5% growth versus IPM growth of 8.7%, which was 21% ahead of the market. Cardiac, Respiratory, GI and Vitamins business in India grew well ahead of market. Our internal diabetes portfolio, non-licensed diabetes portfolio t hat is, grew at 2 times the category growth during the quarter, which was very heartening for us. We also successfully completed the carve out of our trade generics business in India to 100% own subsidiary with the objective of achieving agility, better fo cus and growth of this business going ahead.
From a new product launch perspective, we have been at the forefront in terms of NPLs in India and have a healthy pipeline of around 20 products which we plan to launch in the fiscal year. We are confident that our reach through our 10,000 plus reps along with our portfolio enhancements will enable us to grow around 20% to 30% higher than the market in the year ahead as we have guided in our earlier interactions.
Switching to other markets, our other developed markets grew a strong double -digit, driven by Canada due to Zaxine ® - our brand business there, and new product launches like Spiriva ® and Etanercept, UK due to Luforbec ® and new product launches in Germany and Australia. Our other Emerging markets

also grew double digits driven by Mexico, Philippines and South Africa.
On the R&D front, while Q1 has been light, we expect our spent to ramp up in Q2 and Q3 with the progress that we have in our pipeline. We expect R&D to be around INR 1,800 crores for fiscal year '25, with an increasing percentage of complex generics as we ha

ve planned over the last couple of years. We look forward to a very solid fiscal year '25 ahead with the momentum we have built in all our regions, the new product pipeline engine delivering at high gear and continued focus on the fundamentals from a efficiency and compliance standpoint. Our strategic growth drivers provide us with a clear line of sight to growth beyond the current fiscal year, both in terms of top line and EBITDA going ahead.
With this, I will hand it over to Ramesh for a deeper analysis of our performance.

Ramesh Swaminathan: Thank you, Vinita. Friends, I welcome you all to our Q1 FY25 earnings call. The highlight of this quarter has been a strong operating performance in all our key segments, both in terms of sales and profitability which have led us to report a 23% plus EBITD A margins for the quarter.
Diving into the numbers, sales for Q1 FY25 came in at INR 5,51 3 crores as compared to INR 4,742 crores in Q1 last year, a growth of 16% year -on-year. However, if you exclude the USD 25 million of NCE income received last year in Q1, our sales have grown at 22% year -on-year during the quarter. We have registered robust growth across most of our key geographies. North America has grown at a strong 28% year -on-year. India business has gr own at a healthy 18% year -on-year, whereas EMEA grew at 26% year -on-year. Our Growth markets grew at 2 7% year -on-year and API business has grown 7% year -on-year.
US business
During the quarter, the US business recorded sales of USD 227 million, a growth of 25% year -on-year and 8% quarter -on-quarter on a constant currency basis. This growth has been led by new launches offset by single - digit price erosion in base products and additional generic competition in certain products like Suprep® . Our strategy to pivot to more complex products is paying off handsomely and we have now had eight consecutive quarters of EBITDA improvement in this business. We have clear strategy to deliver consistent growth in business going ahead.
India region
Coming to India, the India business has grown by almost 18% year -on year during the quarter. The prescription business has grown 10.5% year -on-year, outperforming IPM growth by around 1.2x during the quarter. Segments like Respiratory, Cardiology, GI and the Multivitamins have outperformed IPM growth in their respective segments. The share of in -licensed products in the quarter is at 14% as compared to 15% last year, which also has a positive impact on our profitability. We have launched 28 products in FY24 and plan to launch around 20 products in FY25.
Other businesses

Revenue in our ex -India, ex -US formulations business which includes EMEA, RoW and Growth markets have increased 22% year -on-year to INR 1,185 crores and now constitutes around 2 1% of our sales.
EMEA

Our E MEA region which constitutes the EU region and South Africa business, registered strong growth at 26% year -on-year during the quarter. This has been driven by healthy growth in key markets like the UK and Germany from Luforbec ® and NaMuscla ® amongst others.

Growth markets

Our growt h markets include APAC and LATAM region and they've grown at 27% year -on-year during the period. The APAC market grew by 26% year -on-year during the quarter led by strong growth in markets like Philippines and Australia. LATAM market grew 28% year -on-year in this quarter due to strong growth witnessed in Mexico.

Profit /Loss

Speaking about the P&L, other operating income is at INR 86 crores which has increased 20% year -on-year during the quarter. This increase is mainly due to higher PLI and export benefits during the quarter.

Gross margins

Coming to the profitability, Q1 FY25 gross margins were at 68.4%, up from 67.8% in Q4 and 63.8% ex -NCE income recorded in Q1 last year. This improvement i

s driven by multiple factors which includes better product mix, lower sales of in -licensed products, i ncreased volumes, and also cost improvements and efficiencies, which we have undertaken over the last several quarters. Barring any unforeseen situations like geopolitical tensions in the Middle East and the like, we feel confident of maintaining gross margins around these levels going ahead.

Employee benefits

Expenses came in at INR 971 crores, increasing 15% year -on-year from INR 844 crores in Q1 FY24, translating to 17.6% of sales vis -a-vis 18.6% last year. This change is largely attributable to higher costs in terms of business growth as well as increments during this period.

Manufacturing and other expenses

Came in at INR 1,598 crores which translates to approximately 29% of business as compared to 32.5% of sales in Q1 last year, reflecting a growth of 8.6%. The expense in absolute terms is higher due to legal and professional fees and of course, higher volumes and the like . This of course has been offset by lower R&D figures.

Research & Development

R&D is at INR 350 crores, 6.3% of sales in Q1 FY25 as compared to INR 426 crores which was 8.7% of sales in Q4 last year. Our full year R&D is expected to be around INR 1,800 crores.

EBITDA

In the quarter as you see, we have made significant improvements across all lines. Our gross margins are higher. There has been increase in operating income and the higher sales ensured higher operating leverage as well. Consequently, this has resulted in driving the EBITDA margins consider ably higher. Excluding forex and other income, EBITDA was INR 1,286 crore s, and increased by 50% year -on-year. If we exclude the NCE income we received in Q1 last year, EBITDA is almost double on a comparable basis. Margins for the quarter were higher at 2 3.3% vis -a-vis 20.4% in Q4 FY'24 and 14.4% ex -NCE income which were recorded in Q1 last year.

Tax

So far as the tax is concerned, our ETR is 18.8% during the quarter. For the full year, we expect ETR to be around 20%.

Balance Sheet

On the balance sheet items, we have been focusing on operating working capital and there has been tremendous improvement there, as you can see, given the fact that the net operating working days is just about 100 days as against 105 days in the previous quarter.

ESG

On the ESG front, we have successfully committed and joined the Science - Based Target initiatives (SBT i) which drive our journey towards decarbonisation of our value chain. We have achieved a significant milestone from ISO 14001 and ISO 45001 certification across all our Indian manufacturing sites, R&D cen ter, corporate office, etc , acknowledging our commitment to safe and sustainable operations. Our strategic interventions across water recycling, renewable energy, adoption of human rights are progressing as per plan to deliver ambitiously on the ESG goals. With this, we open the floor for discussions.

Moderator: We will now begin the Q&A session. Please raise your hands from the participants' tab on the screen to ask questions. We will wait for 30 seconds for the queue to assemble.

We will take the first question from Mr. Kunal Dhamesha.

Kunal Dhamesha: Congratulations on a great set of numbers. First one on India business , while we have grown at 18% year -on-year , you said that the Rx performance was 10.5%, right? So is there any institutional business which is built into this quarter which was not there in the last year or last year same quarter? And how should we think about the growth going forward?

Nilesh Gupta: So, you're right, it is the institution business that basically explains the difference. From our perspective, the growth in India region is 10.5%, the

India region formulation business. But when we add the other business that we sell in India or formulations, it goes to the number that you talked about. The institution business basically went from INR 15 crores to INR 121 crore s. Some lumpiness in the p ast, I mean, INR 15 crores was not representative of the quarterly run rate last year. But I think it's going to be a good n umber for the GIB business. W e are going to have good numbers. But I mean, for India region formulations, we'll always call out witho ut this institutional business.

Kunal Dhamesha: Sir, last full year, what would have been this business contribution?

Nilesh Gupta: So, it's very fluid because it's exports, i t's exports coming back to India. So we do report it out. Ramesh is pulling out that number. But the entire business used to be of the nature of, I believe, INR 700 something crore for the year, but that's domestic as well as export. And it's obviously on a high growth rate at this point.

Ramesh Swaminathan: So last quarter, if you're talking about it, we had about INR 63 crores of other domestic business and so on. And of course we also had diagnostics and OTC, which would add another INR 45 odd crores. So that's for last quarter. And if we talk about the previous year, it was much lower and the diagnostics, OTC, et cetera, is about 35 odd crores. And that domestic, which is essentially the GIB business would be INR 15 crores.

Kunal Dhamesha: Last year maybe was much lower than normal run rate?

Ramesh Swaminathan: Yes, that's exactly what we are saying. This is at least about 8 times higher this time around.

Kunal Dhamesha: And the second question on the US business. It seems we are seeing good performance from the new launches like Mirabegron and Doxycycline. So my question is on Mirabegron. Did we see a meaningful ramp up in the coming quarter from here on, including the launch of 50 milligram version from our side?

Vinita Gupta: We continue to increase our share on the 25 milligram and evaluate timing of launch of the 50 milligram. There is a n upcoming hearing on the '780

patent, actually today. So we are monitoring that as well. But we expect to ramp up the product.
Kunal Dhamesha: And this ‘780 patent is for the appeal that innovator has done?
Vinita Gupta: I didn't catch the question.
Nilesh Gupta : Is it the appeal?
Vinita Gupta: Yes.
Nilesh Gupta: Yes, it is.
Kunal Dhamesha: Okay, so we are waiting for the result of that appeal and then probably will launch 50 milligrams and not launching at risk?
Vinita Gupta: We'll evaluate.
Kunal Dhamesha: And last one from my side. And I have more questions, but drop back in the queue. I think you've recently also said that Lucentis ® Phase III clinical trial has been successful. And you said we will now file and it could take some time, but if you can help us with the current market structure, potential competition when you enter the market, will you be in the first wave of the launch es, how should we think about it?
Vinita Gupta: So Luc entis® is a unique opportunity because it's in the ophthalmic market. And some of the ophthalmic market distributors are our current partners for the generic business. So we see a good opportunity with Lucentis ® even as a late player. We believe that we should have the ability to switch share. Of course, how much, what percentage, time will tell the number of competitors. But we feel good about the Ranibizumab product for the US.
Kunal Dhamesha: Thank you and all the best.

Moderator: We'll take the next question from Neha Manpuria.
Neha Manpuria : Vinita, could you give us an update on Tolvaptan , given the litigation, what's our stance here? How should we think about this product?
Vinita Gupta: Well, it's a very certain launch at this point for us in the first quarter of next fiscal year with the win on the litigation front as well as product approval. We are gearing up to get supply together for the launch.
Neha Manpuria : And what would be your sense on post the exclusivity period, how the competition could shape up given there are other bunch of players who are also fighting the litigation on this? and I think you have a settlement too?
Vinita Gupta: We would expect additional competition, but given that this is a REM S product, a specialty distribution product, the early entrant seem to h old on to share much longer. So, we would expect it not to be a typical oral solid where you see significant erosion after additional competition. We expect to maintain a decent share even after additional competition gets in. But for us, the 180 -day exclusive window itself for such a lar ge product is a great opportunity for fiscal year '26.
Neha Manpuria : And my second question is on generic Spiriva ®. If you look at IQVIA data, while not too much, we are seeing a share coming off a little bit. I know we have guided to like the 35% - 40% share is what we should be getting to this year. Could you explain the dynamics of that market? I know the innovator tried to cap pricing for the out of pocket. Is that impacting our ability to get share? How should we think about share gain from here for Spiriva ®?
Vinita Gupta: So, we are seeing share at the 30% level right now based on the most recent data, which is consistent with what we have seen - some weeks it's up, some weeks it's down, but overall, roughly around that 30% level, which has been what we saw with other respiratory generics in the past, but continue to work

on avenues to grow that share. I mean, what we have seen after the brand brought in the USD 35 copay is more business going towards commercial. The business is split between the C ommercial and Medicare, Medicaid. And there's actually a pretty good percentage that's Medicare, Medicaid where we have a low share right now. We have a higher share of the Commercial. So that also gives us hope that we should be able to gain share given the

Commercial segment of the business, Commercial component of the product is going up.

Neha Manpuria : So, essentially the shift to the Commercial therefore helps us, right? So , the share gains should be visible in the subsequent quarters?

Vinita Gupta: We are hopeful that we should be able to grow share.

Moderator: We'll take the next question from Mr. Abdulkader.

Abdulkader: My first question is with regards to the market share in Albuterol. So , there seems to be some softening in our market share on a sequential basis as well as the share of the complex product, I think it's come down a bit. C ould you help me reconcile what's the entire impact an d about this market share loss? What would we have on a sequential basis?

Vinita Gupta: I mean, we're seeing market share very stable at the 20% level, so no real material loss of any customers, and it's been a pretty solid contributor to the quarter. So , no real change in market share. I mean, there was additional demand during the flu season a couple of quarters ago that would have had some impact on phasing of supply, but the market share has been fairly stable for us. There have been shifts with the ot her players in the market, but we've seen our customer base and shares stay pretty stable until now.

As we go forward, based on what happens with the launch of Amphastar, when Amphastar launches it, because I mean right now it looks like they are in a hold mode, and we would expect that Teva is going to file an injunction. So, we'll definitely see erosion going forward we think to some extent, but overall our share is fairly stable so far.

Abdulkader: And the second is on the Mirabegron launch. So for the base erosion and the competition in Suprep ®, we are largely commenting that the launches had offset that. So, going ahead, I mean, ho

w do we see the run rate? I know we have a limited exclusivity here, or rather co -exclusivity here, but on a quarterly basis, what's the expectation in terms of the s ales run rate for this particular product?

Vinita Gupta: We don't really highlight product -wise sales, but based on what we expect from Mirabegron, given the additional competition, as well as the other products that we are launching, Pred Forte® , Glucagon , others that we have in our plan, and the Albuterol erosion, like what I mentioned, we would expect high single -digit growth over the previous year, overall.

Abdulkader: And a final one, if I may, which is a bookkeeping one. So we made a provision of close to USD 9 million. So, I mean, where exactly would that be recorded into the P&L? I'm referring to the Glumetza ® provision.

Ramesh Swaminathan: It's part of other expenses line. So, that's one of those items that we flagged off even in our disclosure that we paid off about INR 75 odd crores for Glumetza.

Moderator: The next question is from Bino Pathiparampil.

Bino Pathiparampil : Vinita, just digging a little deeper in on Tolvaptan which you said you will launch next year. There are two brands of the product if I understand

correctly. So , are you going to address both of them or only one?
Vinita Gupta: As far as our plans have entailed, we are looking at the whole molecule. And when we look at the molecule, the oral solid dosage form, that is the primary product for Otsuka it's USD 1.5 billion in revenues for the company. So that's the market that we're targeting.
Bino Pathiparampil : Second question on Slynd ® on which I think you have a tentative approval. I think there was some hearing set for this month, August. When would that be and if it goes well, is it going to be a near term launch?
Vinita Gupta: So that's end of this month. I think it's the last week of August. And we don't know what the outcome is going to be, but we are preparing for launch in case we have a win.
Bino Pathiparampil : So if it goes well, it can be near term launch?

Vinita Gupta: Yes.
Bino Pathiparampil : And one last question. In your opening remarks, you had mentioned two - three products for the year. One, I believe, was Glucagon , another was Doxil® generic. What were the other one or two you mentioned?
Vinita Gupta: Ophthalmic , I mentioned Pred Forte ®. We just got CGT approval of Pred Forte ® last week, so we're gearing up to launch that product as soon as we can. We have a couple of other Ophthalmic products that we are launching in Q3. So I think Pred Forte ® plus the other s. But, other than injectable Doxorubicin as well as Glucagon, we should have like three or four Ophthalmic products with Pred Forte ® being the largest.
Moderator: We'll take the next question from Krishnendu Saha.
Krishnendu Saha: Yes, just on the Mirabegron, how big is the 50mg? And 25mg, I suppose, last quarter we learned it was USD 700 million. How big is the 50mg?
Vinita Gupta: I think it's a little bit larger than the 25mg.
Krishnendu Saha: Any number?
Vinita Gupta: It's close to USD 1 billion.
Krishnendu Saha: And just from the annual report, when I was reading through the annual report, I saw the US revenues coming up at I think INR 67 billion. But when I do the quarter -on-quarter of disclosures, which we have for the Q4 number, it is INR 72 billion. So just tr ying to understand what is the difference? Could you help me out over here? So just trying to understand what was the difference?
Ramesh Swaminathan: Which region are you talking about?
Vinita Gupta: The US business.

Krishnendu Saha: So, in the US business, when you go to your annual report, you quote a number of INR 67.628 billion and over here is INR 72.462 billion on the quarterly or the Q4 num

ber, when you look at. So there's a difference which is pretty big. So I'm just trying to und erstand?
Ramesh Swaminathan: That would have included Canada, North America and the like, but we could take it offline and see what are you talking about.
Moderator: We'll take the next question from Saurabh Kapadia.
Saurabh Kapadia: Firstly, on the US market, given the few launches in second half and Tolvaptan in FY26, how should we look at the US growth in FY'26?
Vinita Gupta: FY'26 should be a very strong year for us. I mean, given the current products that we have this year plus Tolvaptan for certain as well as other injectable products like Liraglutide and Risperdal Consta® , we're looking at a pretty solid year in fiscal year '26.

Saurabh Kapadia: And secondly, on the margin front, so our long term guidance or the aspiration is 20% to 23% range. So given this quarter and also next year number of products we are launching, should we expect to reach that margin level by next year?

Ramesh Swaminathan: So, from our perspective, I think three or four things to be said. Firstly, this particular quarter, there has been a lower spend on R&D. So if you go to factor that in, the overall margins could have been a little lower. And we do expect, in fact, the R&D fi gures to step up from next quarter onwards. There's, of course, the one -off, the Glumetza ® settlement, which has come in also. So , you need to factor that in . We also have adjacencies which are not actually core to us at this stage, which also make losses. So , that has to be factored in. So , the overall guidance that we have been speaking about is essentially moving towards a core of about 23% to 24% in the medium term and we'll get there.

Saurabh Kapadia: So, how much percentage point the adjacencies are pulling down in terms of margins currently?

Ramesh Swaminathan: In OTC - we expect to break even now. We also have diagnostics and digital. We also have the API CDMO business, which is in some ways behind the curve. So , all of this put together about 1.5 to 2 percentage points.

Moderator: We'll take the next question from Bhavya Sanghvi.

Surya Patra : This is Surya here.

Surya Patra : My first question was on businesses other than the US and India, where across board, we are seeing a kind of robust growth number this quarter. Anything that is driving this and how sustainable the growth momentum there in all the region s and what is really helping it to achieve this kind of momentum ?

Vinita Gupta: So, really maximizing our portfolio across different regions, the European region, for example, has the benefit of Fostair ® generic that has continued to grow very nicely with limited competition. They also have one or two additional new products that are launching. So, that also will help grow the business further. Other countries - Germany, Australia have had good new product launches as well. Canada has had Spiriva ® launch and Etanercept launch. So I mean, overall strong performance, commer cial execution and maximizing the portfolio.

Surya Patra : So, is it th at other business th an India and North America is likely to gain momentum and hence increase market share going ahead? That is the kind of expectation?

Vinita Gupta: So, we expect the overall percentage of the US and India has remained kind of the same and we'll be happy if all our regions grow, to help grow the company at the double -digit level.

Surya Patra : My second point is on Mirabegron . Given the kind of litigation situation , how long this opportunity be ? Whether one should think about a 180 -day kind of a period for this opportunity, or it could be a relatively longer opportunity also, given - till time the outcome of the litigation is pending ?

Vinita Gupta: So, it's very much dependent on the outcome of litigation as well

. I mean, it could be that the exclusivity could be longer depending on what happens with the hearing on the ‘780 patent and it's hard to really predict, but at this point it looks like the next quarter could still continue to be a two -player market and then we could see an additional competitor. And then depending on the

settlements that the other generics have with the brand, but if you assume
the typical brand generic settleme nt, one would expect additional
competition to come in during the end of the 30 -month stay, typically, which
is really late next year, like September next year. So again, hard to predict,
but it could be extended beyond six months.
Surya Patra: Just last one point about the biosimilar, if I may. See, given the kind of
situation or development that we have witnessed in the Adalimumab, are you
really worried about this investment and the opportunities out of the
biosimilar? I mean, what I'm trying to say is that, you'd have seen one of the
player s out of the 7 -8 initial launch es of Adalimumab have sold the product
and all its rights for just USD 40 million. While the product is a USD 10 billion
and minimum opportunity one would be expecting would be few hundred
million dollars out of the product. And the kind of a spend in that
development itself would be USD 100 million plus or near about USD 100
million. They are selling the entire opport unity rights and everything for USD
40 million. So what to understand out of this, and are you really worried
about this fact?
Vinita Gupta: One, we are really glad that we didn't have Adalimumab, because the number
of competitors, the competitive intensity there was really, really high. And
also the brand really held onto the product for really long. So the biosimilars
were competing with the brand. Having said that, Sandoz has now had some
success in that marketplace . Biosimilars have really turned out to be a difficult
marketplace, given the high investment, not only the development, but
access to market. And then depending on w hat the brands end up doing, the
difficulty in gaining share.
I mean, for us, Ranibizumab is more of a niche opportunity. It is a smaller
product. It's not the USD 10 billion product that attracts everybody. And, yes,
there are other competitors, but not in the same competitive intensity as
Humira ®. And like I said, that it's a more streamlined market access that we
are expecting here. So , we're not expecting to make significant commercial
investment to access the marketplace. We have partnerships with companies
in place to really get access and gain share. So , we're not really concerned
about the investment that we have made. The investment also, relatively

speaking, in Ranibizumab has been smaller than products like even E nbrel®.
Etanercept for us, or what Adalimumab would have cost all the biosimilar
companies.
Moderator: We have the next question from Srikanth Akolkar
Srikanth Akolkar: I have three questions. Firstly, if you can talk about the base price erosion
that we have currently?
Vinita Gupta: It's a mid -single digit price erosion.
Srikanth Akolkar: And is there any change? Because even I think other companies are also
talking about benign price erosion. So , has any change happened in the
industry structure?
Vinita Gupta: There really has. With all of the challenges one saw with price erosions over
the last couple of years, a number of companies got out of products that
didn't make sense. We got out of multiple products that didn't make sense.
And all of that had led to dru g shortages. So , if you look at drug shortages in
the US, they're at a decade high, which has been on the agenda for the
policymakers, folks on the Hill. So , our customers have been very concerned
as well about product exits and the economic viability of the generic business
for the generic manufacturers. And as a result, we h

ave seen more rational
generic market. So, a better situation for in -line business and to really sustain
the generic companies. I mean, there's been a lot of scrutiny on GPOs, there's
scrutiny on PBMs, really addressing the drug shortages, which is very positive
for our industry.
Srikanth Akolkar: And with the erosion quite benign right now, is it possible to call out some
range of US margins now that you are talking about eight quarters of

sequential improvement in the EBITDA, so is it possible to call out the
margins?
Vinita Gupta: So we don't really break out region -wide margins, but it's fair to say at this
point it's above the company average.

Srikanth Akolkar: Second question is on the Mexico and Philippines market. We have seen very
strong growth for this quarter. So if you can call out the underlying reason
and how should we see the remainder year for these businesses?
Vinita Gupta: So Mexico actually had a challenge last year with the facility being shut for a
long period of time due to its GMP status. And that cleared in October last
year. So after that, the business has started to ramp up. So you see the impact
of the ramp up of the business back into the ophthalmic market and the
private segment. So one would continue to see that growth year -over -year
for Mexico for the rest of the fiscal year.
Nilesh Gupta: Philippines looks good sequentially, of course, because Q4 is light. But year -
on-year again, I mean, it's a portfolio, it's new products, it's commercial
excellence, we're doing well across the board in the Philippines.
Srikanth Akolkar: And that will be branded generic business in Philippines, right?
Nilesh Gupta: Yes, it is. I mean, when we report it, we report the tender part in that business
as well , but this was primarily the branded generic business.
Srikanth Akolkar: And the outlook here will be continuing of the similar growth for the rest of
the year?
Nilesh Gupta: Double -digit growth is the plan.
Srikanth Akolkar: And lastly on the biosimilar business, we had filed Pegfilgrastim I think a
couple of years back and we also have Enbrel ® biosimilar. So is it possible to
update us if you are facing any challenges there? And secondly our Pune
biotech park had received I think compliance issues some time back. So what
is the progress on that part?
Nilesh Gupta: So, on Pegfilgrastim, yes, we had the filing, it's been processed. Moving
ahead. Yes, we had the observations at the biotech facility basis which we've
completed the remediation and resubmitted the application as is necessary
for this. We're optimistic of clearing the facility from a compliance
perspective, after which we would expect the Pegfilgrastim approval. On

Etanercept, as you know, we have commercial in a bunch of markets, Europe,
Japan and the like and I think we're steadily gaining share in the product. It's
still not that large.
Vinita Gupta: And the US is a little bit away. It's CY29 when the patent goes off. But as you
saw we just launched in Canada. We launch hopefully soon in Australia. So
we continue to expand into other markets with Etanercept.
Moderator: We'll take the next question from Tushar Manudhane.
Tushar Manudhane: Just on your guidance for the US sales growth, so let's say, for example, the
litigation outcome which is expected today, so clearly that would be over and
above what you're guiding for, right?
Vinita Gupta: Yes, we haven't counted that as of yet. Hopefully, we have more upside.
Tushar Manudhane: That's great. Secondly, with respect to Prednisolone, is this completely
manufactured in -house or we have API outsourced?
Nilesh Gupta: The API is outsourced.
Vinita Gupta: Yes but manufactured at Pithampur.
Tushar Manudhane: So, subsequently the level of profitability would be relatively - while it is still
a CGT product,

how to think about profitability in this?
Vinita Gupta: It's a decent margin product. I mean, it will all depend on the number of competitors, and if anyone else gets approval before we launch. We are hoping we can get it to market before anyone else gets approved. And if we can, then it's a very nice USD 200 m illion brand in which we could enjoy a six - month exclusivity.

Tushar Manudhane: And apart from loss of exclusivity for say, 25mg Mirabegron, any other potential risk on the already launched product portfolio per se, which is sort of pulling your guidance at, let's say, high single digit growth for US business?
Vinita Gupta: Yes, we are assuming that we'll have some erosion in Albuterol when Amphastar launches.
Tushar Manudhane: And lastly on the API sales, this quarter -on-quarter, there has been a significant jump. So there also is there anything to call out or this is going to be a sustainable rate given that, at the industry level, the price erosion continues even over last, th ree to five months as well.
Nilesh Gupta: So I think there's some lumpiness which has led to the additional sales. But we are on a growth path. I think, we went in the last three - four years into a slump as far as API is concerned, COVID and after, but it's coming back. Obviously, this is not representative growth rate. We'll have lower growth rate than this, but it's definitely on the uptick as far as API is concerned.
Ramesh Swaminathan: Pen-G prices until recently were as low as 14, but it’s now coming back again. So let's see.
Tushar Manudhane: And on India business, if you could just break the Rx growth into price, volume, launches for us?
Nilesh Gupta: So the volume growth was 5%, price was 3.5% and 2.1% was new introductions.
Tushar Manudhane: So the volume growth is much higher compared to the industry growth of 0.91%. So anything you want to call out here?
Nilesh Gupta: It's been good performance. Yes, I don't think we've grown so well in the past on the volume front, you're right, but I mean, it's good performance and primarily driven by the non in-license portfolio, the in -house portfolio.

Tushar Manudhane: So, MR addition for this year on the number which is disclosed in the presentation.
Nilesh Gupta: So, I think we are at a good number on representatives now. Now I think it will be the programmatic few 100 representatives that we add each year basis new divisions and areas. I think there is a plan to add a couple of hundred this year.
Moderator: We'll take the next question from Shyam Srinivasan.
Shyam Srinivasan: Thank you for taking my question. Just the first one on your balance sheet. We are now showing net cash, right? So you've not been in this position for some time, I believe. So just what are the thoughts in terms of deployment of capital going ahead?
Ramesh Swaminathan: We are happy about the fact that we are without debt at this stage, but it's not as though we believe that we should be a debt free company, because we obviously believe in acquisitions. We've always been acquisitive. And if the proposition really is compel ling enough, we would look at that. And I also believe from a return on equity perspective, trading on equity is possible only if you have some debt. But of course, we have guardrails in terms of the total quantum of debt that we would have, which we believe that it should be about twice that of EBITDA. But that doesn't necessarily mean that I need to borrow unless there's a proposition which is compelling.

Shyam Srinivasan: So what are the areas that are priority for us in terms of either therapy or geography areas that we would be looking at?
Ramesh Swaminathan: We've always been pretty bullish about India, so if we do come across things that are compelling, we could look at that. It could be small bolt -on in terms

of generics and other parts also. But we have also been very explicit about our ambitions on the spe cialty front.
Shyam Srinivasan: And last one, just a clarification. Ramesh, on your comments on the gross margins, right, so you said the reasons for the gross margin improvement, if you could elaborate again, and you said that this is the new sustainable 64%, is it?

Ramesh Swaminathan: No. So essentially about 68%. The reason is, of course, it's the sales mix, the kind of products that we've been bringing to the market. This time around, there is of course, being the inventory impact also. So, as you could see, there's a lowering of overall inventory in terms of consumption itself. So from that perspective, that has cost a blip of about 0.9%. So if we'd add that, the margins could have been a little higher. For sure, I think we could s ustain with this given the kind of product launches that we are kind of planning for the future.
Moderator: We'll take the next question from Damayanti Kerai.
Damayanti Kerai: I have a question on your complex injectable pipeline. So, Vinita mentioned Liraglutide could be a possible launch next fiscal year. So just want to have some update on your pipeline and specifically on these peptide GLP sort of products.
Vinita Gupta: So Liraglutide , both Victoza ® and Saxenda ®, we have filed and based on the CRL, as I mentioned, we expect them to get launched next year. And Glucagon is the one that we would expect later this fiscal year based on where we are with the filing , with the agency. Doxil® , a smaller opportunity but launching in the next couple of weeks. So, those are the near term injectable launches. And then next fiscal year, hopefully, subject to of course FDA approval, we should have Risperdal Consta® launched as well. We just recently had an inspection for our Nanomi site and that was successful. So we hope next year we're able to launch that product as well.
Damayanti Kerai: And also if you can update on the Dulera® filing I guess that's also one of the opportunity which we were looking at.
Vinita Gupta: So Dulera® , we have a pending CRL that our team is working upon. It is taking a little bit longer to address the agency's queries but we expect in this fiscal year to be able to respond and potentially that could be a product also that is available to launch next fi scal year or fiscal year '27.
Damayanti Kerai: Coming back on this complex injectable, so you will be doing in -house manufacturing for all the product, even Liraglutide , et cetera, from your Nanomi facility or you have some partnership there?

Vinita Gupta: We have CMOs. I mean, for example, on Doxil® we have a CMO, a partner rather. And then in Risperdal Consta® , we have a CMO, where we do our manufacturing in Europe.
Nilesh Gupta: And other complex injectables would also happen from our Nagpur facility.
Vinita Gupta: Glucagon and Liraglutide would be from the Nagpur facility site.
Moderator: We'll take the next question from Amey Chalke.
Amey Chalke: Most of our questions are answered. Just one on the inhaler pipeline. Where are we in terms of filing for Ellipta ®, Respimat ® and also the complex

injectable Am Bisome ®.
Vinita Gupta: So we are again pretty far along in development with Respimat ® as well as Ellipta ® in both platform products. The first products we plan to take exhibit batches this fiscal year. So hopefully next fiscal year, early fiscal year '26, be able to file to the FDA.
Amey Chalke: And AmBisome ®?
Vinita Gupta: AmBisome® , actually we dropped it. Based on the competitive intensity there, the number of folks that got approved, we didn't think it was worth investing into the development of the product.
Moderator: So we'll take one question from Mr. Kunal Dhamesha.
Kunal Dhamesha: So one for Vinita, ma'am. Since we h

ave seen a lot of shortages in US and there has been improvement in price erosion, but in terms of business structure, have you seen any improvement, let's say, longer term contracts, better working capital, receivable d ays, anything on the business front which would have structurally improved due to these shortages?

Vinita Gupta: Structurally for us there have been a lot of improvements based on what the team has been working upon from a working capital standpoint, from managing the gross to net lines, the failure to supply penalties, the back orders, the returns, all of that manage ment has improved significantly for us over the last couple of quarters based on which one sees really limited leakage from a gross to net standpoint. So structurally, from an overall market perspective, there hasn't been a material change. There have been some new players that have entered like Mark Cuban , Amazon has got into generics in the last couple of quarters, but one hasn't seen a material shift from a channel perspective. But overall, the market dynamics have been more stable, just led by all of the pressures that led to a number of drug shortages t hat exists in the marketplace. So we are hopeful that this continues for the industry.
Kunal Dhamesha: And the second one. So the CGT on Pred Forte® , is it linked to the fact that anyone else shouldn't get approval before we launch the product? Is it the condition?
Vinita Gupta: So CGT products until you launch, I mean, if there are others that can get approved, they can also get a CGT. So we have our CGT status with the product. We'll have a six -month exclusivity. But we can forfeit it if we don't launch it at a certain time, 75 days after. But of course, we intend to launch as soon as we can. But if there are others that get approved before our approval, they will also enjoy a six -month exclusivity. So , then it will be shared exclusivity.
Kunal Dhamesha: But we have already got approval?
Vinita Gupta: Yes, we do.
Kunal Dhamesha: So if anyone gets approval before our launch, then they get shared exclusively. Is that correct way to understand?
Vinita Gupta: That's how we're looking at it.
Kunal Dhamesha: So then the launch should be imminent? We would be just building inventory level?

Vinita Gupta: Yes, we're building inventory right now.
Kunal Dhamesha: And one point, Nilesh, on the India business. How are we planning to offset the impact from a patent expiry next year within in -license business?
Nilesh Gupta: So, I think that's the challenge with the diabetes portfolio. So obviously we

work through most of the loss of exclusivities. We have one coming up at the end of Q4. We believe that we will continue to grow diabetes through the financial year. So , right now it's some 3% odd growth. It'll actually pick up, but we will have the challenge in Q4. But once we have that in Q4, we're done. I mean, from that perspective, going forward, we should be able to continue growing the diabetes portfolio.
Kunal Dhamesha: Would we be retaining the trademarks that we have created?
Vinita Gupta: Would we be retaining the trademarks that for the brand?
Nilesh Gupta: Definitely.
Ramesh Swaminathan: We make a bid for it.
Nilesh Gupta: Yes, hopefully, we'll know soon.
Ramesh Swaminathan: But as a percentage of our sales, it's actually been steadily coming down. IL was about 16% - 17% some time ago. Last quarter it has gone up a little this time around. But in the general sense, the overall salience has been coming down over time.
Kunal Dhamesha: Because the other molecule in the same category has gone generic. Is that the correct way to understand?
Ramesh Swaminathan: It basically lasts for a particular period of time up to contracting, till they lose exclusivity. And if you do make a bid for it and we do buy it, then

we continue

with it. But it's not in -licensing th en. It's basically an acquisition from our perspective.
Kunal Dhamesha: And then once we do that, do we have plans to manufacture it in -house? I assume, currently we will be importing the product, right, from the innovator?
Ramesh Swaminathan: That's the intention. So, for example, we always try to do that through a B2B arrangement or in our own factories.
Kunal Dhamesha: But then the EBITDA impact would be minimal, right, even if we lose some market share.
Nilesh Gupta: Typically, market share comes down, obviously the pricing comes down, but the margin profile improves substantially. So what we see is, I mean, in the first year, you do a little lesser, but in two or three years, you get back to higher than original profitability.
Ramesh Swaminathan: The volumes surge because there's a reduction in price.
Moderator: We'll take one more question from Harith Ahamed.
Harith Ahamed: If I heard correctly, you shared a guidance of around INR 1,800 crores of R&D spends for FY25. So that's quite an increase over FY24. Just trying to understand, which are the areas that you're spending incrementally ?
Vinita Gupta: So majority of the focus on R&D front is on complex generics. So the largest increase is on the respiratory products, in particular the Respimat ® and the Ellipta ® platforms, also Dulera® additional work that we are doing to respond to the CRL, followed by injectables. So I'd say, it's a 60% investment around complex generics in inhalation and injectables, and then some percentage in biosimilars, and the rest is oral solids.
Harith Ahamed: And the US margins, which you said is currently above company level margins, that's post R&D, is that understanding correct?

Vinita Gupta: That's right.
Harith Ahamed: And last one on the long -acting injectables front. After Risperdal Consta® , are we close to filing or are we in late stage of development on any of the other candidates there?

Vinita Gupta: I think, Risperdal Consta® was the primary one that we were interested in on - there are other long -acting injectables that we are pursuing, but more on a 505(b)(2) platform that are early stage, I would say. And we'll look forward to the Risperdal Consta® approval and launch while we progress the pipeline of the 505(b)(2)s.
Harith Ahamed: And with your permission, just a quick one on Liraglutide . You said that's one of the launches that you're expecting for FY26. So how should we think about the competitive dynamics there. Do you expect to be among the first few players to launch, or are you expecting a bunch of players to launch around market fo rmation?
Vinita Gupta: It's hard to predict because it's a really difficult product to make and get approved for from our current experience. So we would expect that it would probably be a staggered launch with the players as opposed to everybody launching around the same time and hopefully make for a better market because of the fact that when you have a staggered launch, i t's always more rational than everyone launching at the same time.
Moderator: Thanks to all the participants, I now hand the conference over to the management for closing comments.
Vinita Gupta: Thank you, everyone. Thank you for your questions. Hopefully, we've been able to respond to all the questions you had on your mind. Obviously, our team is available to address any other questions that you have. As we've shared, we are very excited about th e start to this fiscal year and based on the momentum that we have across all our regions, as well as the new product pipeline, we look forward to continue to grow on a more profitable basis.
So thank you, again, and look forward to talking to you soon.

Moderator: Thanks, ma'am. And that concludes our session. On behalf of Lupin Limited, we thank you for joining us and you may now exit the webinar. Thank you.

Call: Aug 2024

“Lupin Limited Q 1 FY202 5 Earnings Conference Call”

August 7, 2024

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN – EXECUTIVE DIRECTOR, GLOBAL CFO & HEAD OF API PLUS
• MR. RAVI AGRAWAL – M&A AND INVESTOR RELATIONS

Moderator: Good evening and welcome to Lupin Limited Q1 FY25 Earnings Conference Call. Please note that all participants' line will be in listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded.
I now hand the conference over to the management. Thank you, and over to you.
Vinita Gupta: Good afternoon, friends. I'm very pleased to welcome you to our Q1 fiscal year '25 earnings call. I have with me our MD - Nilesh and our CFO - Ramesh. We look forward to sharing with you our highlights for the quarter as well as outlook for the year ahead.
We are very pleased to start the new fiscal year on a strong note with solid double digit growth in revenues and margins both on a year -on-year and quarter -on-quarter basis. EBITDA margins at 23.3% have expanded by 290 basis points quarter -over -quarter, dr iven by strong commercial execution on new product launches as well as in line products, continuous attention to operational improvements as well as lower than anticipated R&D spend. In parallel, we have continued to improve our position on the quality and compliance front, having received positive FDA inspection outcomes for our Aurangabad, Somerset, Nagpur and Dabhasa facilities in the last quarter.
Our US business had a great start with strong growth sequentially and year - over -year driven by more stable in -line business, strong contribution from respiratory products both Tiotropium as well as Albuterol and new product launches like Mirabegron and Dox ycycline that more than offset decline in products like Suprep® that have seen additional competition.
As we look at the quarters ahead, with continued ramp up of the new products that we have launched, additional new product launches like Pred - Forte ® that we just received with CGT, Glucagon later in the fiscal year, Liposomal Doxorubicin that we're in the midst of launching at present, we expect to grow our US business at a high single -digit in fiscal year '25. Also,

our US business has returned to a strong level of margins given the shift to complex generics and strong focus on driving productivity and efficiencies in the base business.
Switching to India, we recorded 10.5% growth versus IPM growth of 8.7%, which was 21% ahead of the market. Cardiac, Respiratory, GI and Vitamins

business in India grew well ahead of market. Our internal diabetes portfolio, non-licensed diabetes portfolio t hat is, grew at 2 times the category growth during the quarter, which was very heartening for us. We also successfully completed the carve out of our trade generics business in India to 100% own subsidiary with the objective of achieving agility, better fo cus and growth of this business going ahead.

From a new product launch perspective, we have been at the forefront in terms of NPLs in India and have a healthy pipeline of around 20 products which we plan to launch in the fiscal year. We are confident that our reach through our 10,000 plus reps along with our portfolio enhancements will enable us to grow around 20% to 30% higher than the market in the year ahead as we have guided in our earlier interactions.

Switching to other markets, our other developed markets grew a strong double -digit, driven by Canada due to Zaxine ® - our brand business there, and new product launches like Spiriva ® and Etanercept, UK due to Luforbec ® and new product launches in Germany and Australia. Our other Emerging markets also grew double digits driven by Mexico, Philippines and South Africa.

On the R&D front, while Q1 has been light, we expect our spent to ramp up in Q2 and Q3 with the progress that we have in our pipeline. We expect R&D to be around INR 1,800 crores for fiscal year '25, with an increasing percentage of complex generics as we ha

ve planned over the last couple of years. We look forward to a very solid fiscal year '25 ahead with the momentum we have built in all our regions, the new product pipeline engine delivering at high gear and continued focus on the fundamentals from a efficiency and compliance standpoint. Our strategic growth drivers provide us with a clear line of sight to growth beyond the current fiscal year, both in terms of top line and EBITDA going ahead.

With this, I will hand it over to Ramesh for a deeper analysis of our performance.

Ramesh Swaminathan: Thank you, Vinita. Friends, I welcome you all to our Q1 FY25 earnings call. The highlight of this quarter has been a strong operating performance in all our key segments, both in terms of sales and profitability which have led us to report a 23% plus EBITD A margins for the quarter.

Diving into the numbers, sales for Q1 FY25 came in at INR 5,51 3 crores as compared to INR 4,742 crores in Q1 last year, a growth of 16% year -on-year. However, if you exclude the USD 25 million of NCE income received last year in Q1, our sales have grown at 22% year -on-year during the quarter. We have registered robust growth across most of our key geographies. North America has grown at a strong 28% year -on-year. India business has gr own at a healthy 18% year -on-year, whereas EMEA grew at 26% year -on-year. Our Growth markets grew at 2 7% year -on-year and API business has grown 7% year -on-year.

US business

During the quarter, the US business recorded sales of USD 227 million, a growth of 25% year -on-year and 8% quarter -on-quarter on a constant currency basis. This growth has been led by new launches offset by single - digit price erosion in base products and additional generic competition in certain products like Suprep® . Our strategy to pivot to more complex products is paying off handsomely and we have now had eight consecutive quarters of EBITDA improvement in this business. We have clear strategy to deliver consistent growth in business going ahead.

India region

Coming to India, the India business has grown by almost 18% year -on year during the quarter. The prescription business has grown 10.5% year -on-year, outperforming IPM growth by around 1.2x during the quarter. Segments like Respiratory, Cardiology, GI and the Multivitamins have outperformed IPM growth in their respective segments. The share of in -licensed products in the quarter is at 14% as compared to 15% last year, which also has a positive impact on our profitability. We have launched 28 products in FY24 and plan to launch around 20 products in FY25.

Other businesses

Revenue in our ex -India, ex -US formulations business which includes EMEA, RoW and Growth markets have increased 22% year -on-year to INR 1,185 crores and now constitutes around 2 1% of our sales.

EMEA

Our E MEA region which constitutes the EU region and South Africa business, registered strong growth at 26% year -on-year during the quarter. This has been driven by healthy growth in key markets like the UK and Germany from Luforbec ® and NaMuscla ® amongst others.

Growth markets

Our growt h markets include APAC and LATAM region and they've grown at 27% year -on-year during the period. The APAC market grew by 26% year -on-year during the quarter led by strong growth in markets like Philippines and Australia. LATAM market grew 28% year -on-year in this quarter due to strong growth witnessed in Mexico.

Profit /Loss

Speaking about the P&L, other operating income is at INR 86 crores which has increased 20% year -on-year during the quarter. This increase is mainly due to higher PLI and export benefits during the quarter.

Gross margins

Coming to the profitability, Q1 FY25 gross margins were at 68.4%, up from 67.8% in Q4 and 63.8% ex -NCE income recorded in Q1 last year. This improvement i

s driven by multiple factors which includes better product mix, lower sales of in -licensed products, i ncreased volumes, and also cost improvements and efficiencies, which we have undertaken over the last several quarters. Barring any unforeseen situations like geopolitical tensions in the Middle East and the like, we feel confident of maintaining gross margins around these levels going ahead.

Employee benefits

Expenses came in at INR 971 crores, increasing 15% year -on-year from INR 844 crores in Q1 FY24, translating to 17.6% of sales vis -a-vis 18.6% last year. This change is largely attributable to higher costs in terms of business growth as well as increments during this period.

Manufacturing and other expenses

Came in at INR 1,598 crores which translates to approximately 29% of business as compared to 32.5% of sales in Q1 last year, reflecting a growth of 8.6%. The expense in absolute terms is higher due to legal and professional fees and of course, higher volumes and the like . This of course has been offset by lower R&D figures.

Research & Development

R&D is at INR 350 crores, 6.3% of sales in Q1 FY25 as compared to INR 426 crores which was 8.7% of sales in Q4 last year. Our full year R&D is expected to be around INR 1,800 crores.

EBITDA

In the quarter as you see, we have made significant improvements across all lines. Our gross margins are higher. There has been increase in operating income and the higher sales ensured higher operating leverage as well. Consequently, this has resulted in driving the EBITDA margins considerably higher. Excluding forex and other income, EBITDA was INR 1,286 crore s, and increased by 50% year -on-year. If we exclude the NCE income we received in Q1 last year, EBITDA is almost double on a comparable basis. Mar gins for the quarter were higher at 23.3% vis -a-vis 20.4% in Q4 FY'24 and 14.4% ex -NCE income which were recorded in Q1 last year.

Tax

So far as the tax is concerned, our ETR is 18.8% during the quarter. For the full year, we expect ETR to be around 20%.

Balance Sheet

On the balance sheet items, we have been focusing on operating working capital and there has been tremendous improvement there, as you can see, given the fact that the net operating working days is just about 100 days as against 105 days in the previous quarter.

ESG

On the ESG front, we have successfully committed and joined the Science - Based Target initiatives (SBT i) which drive our journey towards decarbonisation of our value chain. We have achieved a significant milestone from ISO 14001 and ISO 45001 certification across all our Indian manufacturing sites, R&D cen ter, corporate office, etc , acknowledging our commitment to safe and sustainable operations. Our strategic interventions across water recycling, renewable energy, adoption of human rights are progressing as per plan to deliver ambitiously on the ESG goals. With this, we open the floor for discussions.

Moderator: We will now begin the Q&A session. Please raise your hands from the participants' tab on the screen to ask questions. We will wait for 30 seconds for the queue to assemble.

We will take the first question from Mr. Kunal Dhamesha.

Kunal Dhamesha: Congratulations on a great set of numbers. First one on India business , while we have grown at 18% year -on-year , you said that the Rx performance was 10.5%, right? So is there any institutional business which is built into this quarter which was not there in the last year or last year same quarter? And how should we think about the growth going forward?

Nilesh Gupta: So, you're right, it is the institution business that basically explains the difference. From our perspective, the growth in India region is 10.5%, the

India region formulation business. But

when we add the other business that we sell in India or formulations, it goes to the number that you talked about. The institution business basically went from INR 15 crores to INR 121 crore s. Some lumpiness in the p ast, I mean, INR 15 crores was not representative of the quarterly run rate last year. But I think it's going to be a good n umber for the GIB business. W e are going to have good numbers. But I mean, for India region formulations, we'll always call out witho ut this institutional business.

Kunal Dhamesha: Sir, last full year, what would have been this business contribution?

Nilesh Gupta: So, it's very fluid because it's exports, i t's exports coming back to India. So we do report it out. Ramesh is pulling out that number. But the entire business used to be of the nature of, I believe, INR 700 something crore for the year, but that's domestic as well as export. And it's obviously on a high growth rate at this point.

Ramesh Swaminathan: So last quarter, if you're talking about it, we had about INR 63 crores of other domestic business and so on. And of course we also had diagnostics and OTC, which would add another INR 45 odd crores. So that's for last quarter. And if we talk about the previous year, it was much lower and the diagnostics, OTC, et cetera, is about 35 odd crores. And that domestic, which is essentially the GIB business would be INR 15 crores.
Kunal Dhamesha: Last year maybe was much lower than normal run rate?
Ramesh Swaminathan: Yes, that's exactly what we are saying. This is at least about 8 times higher this time around.
Kunal Dhamesha: And the second question on the US business. It seems we are seeing good performance from the new launches like Mirabegron and Doxycycline. So my question is on Mirabegron. Did we see a meaningful ramp up in the coming quarter from here on, including the launch of 50 milligram version from our side?
Vinita Gupta: We continue to increase our share on the 25 milligram and evaluate timing of launch of the 50 milligram. There is a n upcoming hearing on the ‘780

patent, actually today. So we are monitoring that as well. But we expect to ramp up the product.
Kunal Dhamesha: And this ‘780 patent is for the appeal that innovator has done?
Vinita Gupta: I didn't catch the question.
Nilesh Gupta : Is it the appeal?
Vinita Gupta: Yes.
Nilesh Gupta: Yes, it is.
Kunal Dhamesha: Okay, so we are waiting for the result of that appeal and then probably will launch 50 milligrams and not launching at risk?
Vinita Gupta: We'll evaluate.
Kunal Dhamesha: And last one from my side. And I have more questions, but drop back in the queue. I think you've recently also said that Lucentis ® Phase III clinical trial has been successful. And you said we will now file and it could take some time, but if you can help us with the current market structure, potential competition when you enter the market, will you be in the first wave of the launch es, how should we think about it?
Vinita Gupta: So Luc entis® is a unique opportunity because it's in the ophthalmic market. And some of the ophthalmic market distributors are our current partners for the generic business. So we see a good opportunity with Lucentis ® even as a late player. We believe that we should have the ability to switch share. Of course, how much, what percentage, time will tell the number of competitors. But we feel good about the Ranibizumab product for the US.
Kunal Dhamesha: Thank you and all the best.

Moderator: We'll take the next question from Neha Manpuria.
Neha Manpuria : Vinita, could you give us an update on Tolvaptan , given the litigation, what's our stance here? How should we think about this product?
Vinita Gupta: Well, it's a very certain launch at this point for us in the first quarter of next fiscal year with the win on the litiga

tion front as well as product approval. We are gearing up to get supply together for the launch.
Neha Manpuria : And what would be your sense on post the exclusivity period, how the competition could shape up given there are other bunch of players who are also fighting the litigation on this? and I think you have a settlement too?
Vinita Gupta: We would expect additional competition, but given that this is a REM S

product, a specialty distribution product, the early entrant seem to h old on to share much longer. So, we would expect it not to be a typical oral solid where you see significant erosion after additional competition. We expect to maintain a decent share even after additional competition gets in. But for us, the 180 -day exclusive window itself for such a lar ge product is a great opportunity for fiscal year '26.

Neha Manpuria : And my second question is on generic Spiriva ®. If you look at IQVIA data, while not too much, we are seeing a share coming off a little bit. I know we have guided to like the 35% - 40% share is what we should be getting to this year. Could you explain the dynamics of that market? I know the innovator tried to cap pricing for the out of pocket. Is that impacting our ability to get share? How should we think about share gain from here for Spiriva ®?

Vinita Gupta: So, we are seeing share at the 30% level right now based on the most recent data, which is consistent with what we have seen - some weeks it's up, some weeks it's down, but overall, roughly around that 30% level, which has been what we saw with other respiratory generics in the past, but continue to work on avenues to grow that share. I mean, what we have seen after the brand brought in the USD 35 copay is more business going towards commercial. The business is split between the C ommercial and Medicare, Medicaid. And there's actually a pretty good percentage that's Medicare, Medicaid where we have a low share right now. We have a higher share of the Commercial. So that also gives us hope that we should be able to gain share given the

Commercial segment of the business, Commercial component of the product is going up.

Neha Manpuria : So, essentially the shift to the Commercial therefore helps us, right? So , the share gains should be visible in the subsequent quarters?

Vinita Gupta: We are hopeful that we should be able to grow share.

Moderator: We'll take the next question from Mr. Abdulkader.

Abdulkader: My first question is with regards to the market share in Albuterol. So , there seems to be some softening in our market share on a sequential basis as well as the share of the complex product, I think it's come down a bit. C ould you help me reconcile what's the entire impact an d about this market share loss? What would we have on a sequential basis?

Vinita Gupta: I mean, we're seeing market share very stable at the 20% level, so no real material loss of any customers, and it's been a pretty solid contributor to the quarter. So , no real change in market share. I mean, there was additional demand during the flu season a couple of quarters ago that would have had some impact on phasing of supply, but the market share has been fairly stable for us. There have been shifts with the ot her players in the market, but we've seen our customer base and shares stay pretty stable until now.

As we go forward, based on what happens with the launch of Amphastar, when Amphastar launches it, because I mean right now it looks like they are in a hold mode, and we would expect that Teva is going to file an injunction. So, we'll definitely see erosion going forward we think to some extent, but overall our share is fairly stable so far.

Abdulkader: And the second is on the Mirabegron launch. So for the base erosion and the competition in Suprep ®, we are largely commenting that the launches had offset that. So, going ahead, I mean, ho

w do we see the run rate? I know we have a limited exclusivity here, or rather co -exclusivity here, but on a quarterly basis, what's the expectation in terms of the s ales run rate for this particular product?

Vinita Gupta: We don't really highlight product -wise sales, but based on what we expect
from Mirabegron, given the additional competition, as well as the other
products that we are launching, Pred Forte® , Glucagon , others that we have
in our plan, and the Albuterol erosion, like what I mentioned, we would
expect high single -digit growth over the previous year, overall.
Abdulkader: And a final one, if I may, which is a bookkeeping one. So we made a provision
of close to USD 9 million. So, I mean, where exactly would that be recorded
into the P&L? I'm referring to the Glumetza ® provision.
Ramesh Swaminathan: It's part of other expenses line. So, that's one of those items that we flagged
off even in our disclosure that we paid off about INR 75 odd crores for
Glumetza.
Moderator: The next question is from Bino Pathiparampil.
Bino Pathiparampil : Vinita, just digging a little deeper in on Tolvaptan which you said you will
launch next year. There are two brands of the product if I understand
correctly. So , are you going to address both of them or only one?
Vinita Gupta: As far as our plans have entailed, we are looking at the whole molecule. And
when we look at the molecule, the oral solid dosage form, that is the primary
product for Otsuka it's USD 1.5 billion in revenues for the company. So that's
the market that we're targeting.
Bino Pathiparampil : Second question on Slynd ® on which I think you have a tentative approval. I
think there was some hearing set for this month, August. When would that
be and if it goes well, is it going to be a near term launch?
Vinita Gupta: So that's end of this month. I think it's the last week of August. And we don't
know what the outcome is going to be, but we are preparing for launch in
case we have a win.
Bino Pathiparampil : So if it goes well, it can be near term launch?

Vinita Gupta: Yes.
Bino Pathiparampil : And one last question. In your opening remarks, you had mentioned two -
three products for the year. One, I believe, was Glucagon , another was Doxil®
generic. What were the other one or two you mentioned?
Vinita Gupta: Ophthalmic , I mentioned Pred Forte ®. We just got CGT approval of Pred
Forte ® last week, so we're gearing up to launch that product as soon as we
can. We have a couple of other Ophthalmic products that we are launching
in Q3. So I think Pred Forte ® plus the other s. But, other than injectable
Doxorubicin as well as Glucagon, we should have like three or four
Ophthalmic products with Pred Forte ® being the largest.
Moderator: We'll take the next question from Krishnendu Saha.
Krishnendu Saha: Yes, just on the Mirabegron, how big is the 50mg? And 25mg, I suppose, last
quarter we learned it was USD 700 million. How big is the 50mg?
Vinita Gupta: I think it's a little bit larger than the 25mg.
Krishnendu Saha: Any number?
Vinita Gupta: It's close to USD 1 billion.
Krishnendu Saha: And just from the annual report, when I was reading through the annual
report, I saw the US revenues coming up at I think INR 67 billion. But when I
do the quarter -on-quarter of disclosures, which we have for the Q4 number,
it is INR 72 billion. So just tr ying to understand what is the difference? Could
you help me out over here? So just trying to understand what was the
difference?
Ramesh Swaminathan: Which region are you talking about?
Vinita Gupta: The US business.

Krishnendu Saha: So, in the US business, when you go to your annual report, you quote a number of INR 67.628 billion and over here is INR 72.462 billion on the quarterly or the Q4 num

ber, when you look at. So there's a difference which is pretty big. So I'm just trying to und erstand?
Ramesh Swaminathan: That would have included Canada, North America and the like, but we could take it offline and see what are you talking about.
Moderator: We'll take the next question from Saurabh Kapadia.
Saurabh Kapadia: Firstly, on the US market, given the few launches in second half and Tolvaptan in FY26, how should we look at the US growth in FY'26?
Vinita Gupta: FY'26 should be a very strong year for us. I mean, given the current products that we have this year plus Tolvaptan for certain as well as other injectable products like Liraglutide and Risperdal Consta® , we're looking at a pretty solid year in fiscal year '26.
Saurabh Kapadia: And secondly, on the margin front, so our long term guidance or the aspiration is 20% to 23% range. So given this quarter and also next year number of products we are launching, should we expect to reach that margin level by next year?
Ramesh Swaminathan: So, from our perspective, I think three or four things to be said. Firstly, this particular quarter, there has been a lower spend on R&D. So if you go to factor that in, the overall margins could have been a little lower. And we do expect, in fact, the R&D fi gures to step up from next quarter onwards. There's, of course, the one -off, the Glumetza ® settlement, which has come in also. So , you need to factor that in . We also have adjacencies which are not actually core to us at this stage, which also make losses. So , that has to be factored in. So , the overall guidance that we have been speaking about is essentially moving towards a core of about 23% to 24% in the medium term and we'll get there.
Saurabh Kapadia: So, how much percentage point the adjacencies are pulling down in terms of margins currently?

Ramesh Swaminathan: In OTC - we expect to break even now. We also have diagnostics and digital. We also have the API CDMO business, which is in some ways behind the curve. So , all of this put together about 1.5 to 2 percentage points.
Moderator: We'll take the next question from Bhavya Sanghvi.
Surya Patra : This is Surya here.
Surya Patra : My first question was on businesses other than the US and India, where across board, we are seeing a kind of robust growth number this quarter. Anything that is driving this and how sustainable the growth momentum there in all the region s and what is really helping it to achieve this kind of momentum ?
Vinita Gupta: So, really maximizing our portfolio across different regions, the European region, for example, has the benefit of Fostair ® generic that has continued to grow very nicely with limited competition. They also have one or two additional new products that are launching. So, that also will help grow the business further. Other countries - Germany, Australia have had good new product launches as well. Canada has had Spiriva ® launch and Etanercept launch. So I mean, overall strong performance, commer cial execution and maximizing the portfolio.
Surya Patra : So, is it th at other business th an India and North America is likely to gain momentum and hence increase market share going ahead? That is the kind of expectation?
Vinita Gupta: So, we expect the overall percentage of the US and India has remained kind of the same and we'll be happy if all our regions grow, to help grow the company at the double -digit level.
Surya Patra : My second point is on Mirabegron . Given the kind of litigation situation , how long this opportunity be ? Whether one should think about a 180 -day kind of

a period for this opportunity, or it could be a relatively longer opportunity
also, given - till time the outcome of the litigation is pending ?

Vinita Gupta: So, it's very much dependent on the outcome of litigation as well

. I mean, it
could be that the exclusivity could be longer depending on what happens with the hearing on the ‘780 patent and it's hard to really predict, but at this point it looks like the next quarter could still continue to be a two -player market and then we could see an additional competitor. And then depending on the settlements that the other generics have with the brand, but if you assume the typical brand generic settlement, one would expect additional competition to come in during the end of the 30 -month stay, typically, which is really la te next year, like September next year. So again, hard to predict, but it could be extended beyo nd six months.

Surya Patra: Just last one point about the biosimilar, if I may. See, given the kind of situation or development that we have witnessed in the Adalimumab, are you really worried about this investment and the opportunities out of the biosimilar? I mean, what I'm trying to say is that, you'd have seen one of the player s out of the 7 -8 initial launch es of Adalimumab have sold the product and all its rights for just USD 40 million. While the product is a USD 10 billion and minimum opportunity one would be expecting would be few hundred million dollars out of the product. And the kind of a spend in that development itself would be USD 100 million plus or near about USD 100 million. They are selling the entire opportunity rights and everythi ng for USD 40 million. So what to understand out of this, and are you really worried about this fact?

Vinita Gupta: One, we are really glad that we didn't have Adalimumab, because the number of competitors, the competitive intensity there was really, really high. And also the brand really held onto the product for really long. So the biosimilars were competing with the brand. Having said that, Sandoz has now had some success in that marketplace . Biosimilars have really turned out to be a difficult marketplace, given the high investment, not only the development, but access to market. And then depending on w hat the brands end up doing, the difficulty in gaining share.

I mean, for us, Ranibizumab is more of a niche opportunity. It is a smaller product. It's not the USD 10 billion product that attracts everybody. And, yes, there are other competitors, but not in the same competitive intensity as Humira ®. And like I said, that it's a more streamlined market access that we are expecting here. So , we're not expecting to make significant commercial investment to access the marketplace. We have partnerships with companies in place to really get access and gain share. So , we're not really concerned about the investment that we have made. The investment also, relatively

speaking, in Ranibizumab has been smaller than products like even E nbrel®. Etanercept for us, or what Adalimumab would have cost all the biosimilar companies.

Moderator: We have the next question from Srikanth Akolkar

Srikanth Akolkar: I have three questions. Firstly, if you can talk about the base price erosion that we have currently?

Vinita Gupta: It's a mid -single digit price erosion.

Srikanth Akolkar: And is there any change? Because even I think other companies are also talking about benign price erosion. So , has any change happened in the

industry structure?
Vinita Gupta: There really has. With all of the challenges one saw with price erosions over the last couple of years, a number of companies got out of products that didn't make sense. We got out of multiple products that didn't make sense. And all of that had led to dru g shortages. So , if you look at drug shortages in the US, they're at a decade high, which has been on the agenda for the policymakers, folks on the Hill. So , our customers have been very concerned as well about product exits and the economic viability of the generic business for the generic manufacturers. And as a result, we

have seen more rational
generic market. So, a better situation for in -line business and to really sustain the generic companies. I mean, there's been a lot of scrutiny on GPOs, there's scrutiny on PBMs, really addressing the drug shortages, which is very positive for our industry.
Srikanth Akolkar: And with the erosion quite benign right now, is it possible to call out some range of US margins now that you are talking about eight quarters of sequential improvement in the EBITDA, so is it possible to call out the margins?
Vinita Gupta: So we don't really break out region -wide margins, but it's fair to say at this point it's above the company average.

Srikanth Akolkar: Second question is on the Mexico and Philippines market. We have seen very strong growth for this quarter. So if you can call out the underlying reason and how should we see the remainder year for these businesses?
Vinita Gupta: So Mexico actually had a challenge last year with the facility being shut for a long period of time due to its GMP status. And that cleared in October last year. So after that, the business has started to ramp up. So you see the impact of the ramp up of the business back into the ophthalmic market and the private segment. So one would continue to see that growth year -over -year for Mexico for the rest of the fiscal year.
Nilesh Gupta: Philippines looks good sequentially, of course, because Q4 is light. But year - on-year again, I mean, it's a portfolio, it's new products, it's commercial excellence, we're doing well across the board in the Philippines.
Srikanth Akolkar: And that will be branded generic business in Philippines, right?
Nilesh Gupta: Yes, it is. I mean, when we report it, we report the tender part in that business as well , but this was primarily the branded generic business.
Srikanth Akolkar: And the outlook here will be continuing of the similar growth for the rest of the year?
Nilesh Gupta: Double -digit growth is the plan.
Srikanth Akolkar: And lastly on the biosimilar business, we had filed Pegfilgrastim I think a couple of years back and we also have Enbrel ® biosimilar. So is it possible to update us if you are facing any challenges there? And secondly our Pune biotech park had received I think compliance issues some time back. So what is the progress on that part?
Nilesh Gupta: So, on Pegfilgrastim, yes, we had the filing, it's been processed. Moving ahead. Yes, we had the observations at the biotech facility basis which we've completed the remediation and resubmitted the application as is necessary for this. We're optimistic of clearing the facility from a compliance perspective, after which we would expect the Pegfilgrastim approval. On

Etanercept, as you know, we have commercial in a bunch of markets, Europe, Japan and the like and I think we're steadily gaining share in the product. It's

still not that large.
Vinita Gupta: And the US is a little bit away. It's CY29 when the patent goes off. But as you saw we just launched in Canada. We launch hopefully soon in Australia. So we continue to expand into other markets with Etanercept.
Moderator: We'll take the next question from Tushar Manudhane.
Tushar Manudhane: Just on your guidance for the US sales growth, so let's say, for example, the litigation outcome which is expected today, so clearly that would be over and above what you're guiding for, right?
Vinita Gupta: Yes, we haven't counted that as of yet. Hopefully, we have more upside.
Tushar Manudhane: That's great. Secondly, with respect to Prednisolone, is this completely manufactured in -house or we have API outsourced?
Nilesh Gupta: The API is outsourced.
Vinita Gupta: Yes but manufactured at Pithampur.
Tushar Manudhane: So, subsequently the level of profitability would be relatively - while it is still a CGT product

, how to think about profitability in this?
Vinita Gupta: It's a decent margin product. I mean, it will all depend on the number of competitors, and if anyone else gets approval before we launch. We are hoping we can get it to market before anyone else gets approved. And if we can, then it's a very nice USD 200 m illion brand in which we could enjoy a six - month exclusivity.

Tushar Manudhane: And apart from loss of exclusivity for say, 25mg Mirabegron, any other potential risk on the already launched product portfolio per se, which is sort of pulling your guidance at, let's say, high single digit growth for US business?
Vinita Gupta: Yes, we are assuming that we'll have some erosion in Albuterol when Amphastar launches.
Tushar Manudhane: And lastly on the API sales, this quarter -on-quarter, there has been a significant jump. So there also is there anything to call out or this is going to be a sustainable rate given that, at the industry level, the price erosion continues even over last, th ree to five months as well.
Nilesh Gupta: So I think there's some lumpiness which has led to the additional sales. But we are on a growth path. I think, we went in the last three - four years into a slump as far as API is concerned, COVID and after, but it's coming back. Obviously, this is not representative growth rate. We'll have lower growth rate than this, but it's definitely on the uptick as far as API is concerned.
Ramesh Swaminathan: Pen-G prices until recently were as low as 14, but it’s now coming back again. So let's see.
Tushar Manudhane: And on India business, if you could just break the Rx growth into price, volume, launches for us?
Nilesh Gupta: So the volume growth was 5%, price was 3.5% and 2.1% was new introductions.
Tushar Manudhane: So the volume growth is much higher compared to the industry growth of 0.91%. So anything you want to call out here?
Nilesh Gupta: It's been good performance. Yes, I don't think we've grown so well in the past on the volume front, you're right, but I mean, it's good performance and primarily driven by the non in-license portfolio, the in -house portfolio.

Tushar Manudhane: So, MR addition for this year on the number which is disclosed in the presentation.
Nilesh Gupta: So, I think we are at a good number on representatives now. Now I think it will be the programmatic few 100 representatives that we add each year

basis new divisions and areas. I think there is a plan to add a couple of
hundred this year.
Moderator: We'll take the next question from Shyam Srinivasan.
Shyam Srinivasan: Thank you for taking my question. Just the first one on your balance sheet.
We are now showing net cash, right? So you've not been in this position for
some time, I believe. So just what are the thoughts in terms of deployment
of capital going ahead?
Ramesh Swaminathan: We are happy about the fact that we are without debt at this stage, but it's
not as though we believe that we should be a debt free company, because
we obviously believe in acquisitions. We've always been acquisitive. And if
the proposition really is compel ling enough, we would look at that. And I also
believe from a return on equity perspective, trading on equity is possible only
if you have some debt. But of course, we have guardrails in terms of the total
quantum of debt that we would have, which we believe that it should be
about twice that of EBITDA. But that doesn't necessarily mean that I need to
borrow unless there's a proposition which is compelling.
Shyam Srinivasan: So what are the areas that are priority for us in terms of either therapy or
geography areas that we would be looking at?
Ramesh Swaminathan: We've always been pretty bullish about India, so if we do come across things
that are compelling, we could look at that. It could be small bolt -on in terms

of generics and other parts also. But we have also been very explicit about
our ambitions on the spe cialty front.
Shyam Srinivasan: And last one, just a clarification. Ramesh, on your comments on the gross
margins, right, so you said the reasons for the gross margin improvement, if
you could elaborate again, and you said that this is the new sustainable 64%,
is it?

Ramesh Swaminathan: No. So essentially about 68%. The reason is, of course, it's the sales mix, the
kind of products that we've been bringing to the market. This time around,
there is of course, being the inventory impact also. So, as you could see,
there's a lowering of overall inventory in terms of consumption itself. So from
that perspective, that has cost a blip of about 0.9%. So if we'd add that, the
margins could have been a little higher. For sure, I think we could sustain with
this given the kind of product launches that we are kind of planning for the
future.
Moderator: We'll take the next question from Damayanti Kerai.
Damayanti Kerai: I have a question on your complex injectable pipeline. So, Vinita mentioned
Liraglutide could be a possible launch next fiscal year. So just want to have
some update on your pipeline and specifically on these peptide GLP sort of
products.
Vinita Gupta: So Liraglutide , both Victoza ® and Saxenda ®, we have filed and based on the
CRL, as I mentioned, we expect them to get launched next year. And Glucagon
is the one that we would expect later this fiscal year based on where we are
with the filing , with the agency. Doxil® , a smaller opportunity but launching
in the next couple of weeks. So, those are the near term injectable launches.
And then next fiscal year, hopefully, subject to of course FDA approval, we
should have Risperdal Consta® launched as well. We just recently had an
inspection for our Nanomi site and that was successful. So we hope next year
we're able to launch that product as well.
Damayanti Kerai: And also if you can update on the Dulera® filing I guess that's also one of the
opportunity which we were looking at.
Vinita Gupta: So Dulera® , we have a pending CRL that our team is working upon. It is taking
a little bit longer to address the agency's queries but we expect in this fiscal
year to be able to respond and potentially that could be a product also that
is available to launch next fi scal year or fiscal year '27.
Damayanti Kerai: Coming back on this complex injectable, so you will be doing in -house
manufacturing for all the product, even Liraglutide , et cetera, from your
Nanomi facility or you have some partnership there?

Vinita Gupta: We have CMOs. I mean, for example, on Doxil® we have a CMO, a partner rather. And then in Risperdal Consta® , we have a CMO, where we do our manufacturing in Europe.
Nilesh Gupta: And other complex injectables would also happen from our Nagpur facility.
Vinita Gupta: Glucagon and Liraglutide would be from the Nagpur facility site.
Moderator: We'll take the next question from Amey Chalke.
Amey Chalke: Most of our questions are answered. Just one on the inhaler pipeline. Where are we in terms of filing for Ellipta ®, Respimat ® and also the complex injectable Am Bisome ®.
Vinita Gupta: So we are again pretty far along in development with Respimat ® as well as Ellipta ® in both platform products. The first products we plan to take exhibit batches this fiscal year. So hopefully next fiscal year, early fiscal year '26, be able to file to the FDA.
Amey Chalke: And AmBisome ®?
Vinita Gupta: AmBisome® , actually we dropped it. Based on the competitive intensity there, the number of folks that got approved, we didn't think it was worth investing into the development of the product.
Moderator: So we'll take one question from Mr. Kunal Dhamesha.
Kunal Dhamesha: So one for Vinita, ma'am. Since we

have seen a lot of shortages in US and there has been improvement in price erosion, but in terms of business structure, have you seen any improvement, let's say, longer term contracts, better working capital, receivable d ays, anything on the business front which would have structurally improved due to these shortages?

Vinita Gupta: Structurally for us there have been a lot of improvements based on what the team has been working upon from a working capital standpoint, from managing the gross to net lines, the failure to supply penalties, the back orders, the returns, all of that manage ment has improved significantly for us over the last couple of quarters based on which one sees really limited leakage from a gross to net standpoint. So structurally, from an overall market perspective, there hasn't been a material change. There have been some new players that have entered like Mark Cuban , Amazon has got into generics in the last couple of quarters, but one hasn't seen a material shift from a channel perspective. But overall, the market dynamics have been more stable, just led by all of the pressures that led to a number of drug shortages t hat exists in the marketplace. So we are hopeful that this continues for the industry.
Kunal Dhamesha: And the second one. So the CGT on Pred Forte® , is it linked to the fact that anyone else shouldn't get approval before we launch the product? Is it the condition?
Vinita Gupta: So CGT products until you launch, I mean, if there are others that can get approved, they can also get a CGT. So we have our CGT status with the product. We'll have a six -month exclusivity. But we can forfeit it if we don't launch it at a certain time, 75 days after. But of course, we intend to launch as soon as we can. But if there are others that get approved before our approval, they will also enjoy a six -month exclusivity. So , then it will be shared exclusivity.
Kunal Dhamesha: But we have already got approval?
Vinita Gupta: Yes, we do.
Kunal Dhamesha: So if anyone gets approval before our launch, then they get shared

exclusively. Is that correct way to understand?
Vinita Gupta: That's how we're looking at it.
Kunal Dhamesha: So then the launch should be imminent? We would be just building inventory level?

Vinita Gupta: Yes, we're building inventory right now.
Kunal Dhamesha: And one point, Nilesh, on the India business. How are we planning to offset the impact from a patent expiry next year within in -license business?
Nilesh Gupta: So, I think that's the challenge with the diabetes portfolio. So obviously we work through most of the loss of exclusivities. We have one coming up at the end of Q4. We believe that we will continue to grow diabetes through the financial year. So , right now it's some 3% odd growth. It'll actually pick up, but we will have the challenge in Q4. But once we have that in Q4, we're done. I mean, from that perspective, going forward, we should be able to continue growing the diabetes portfolio.
Kunal Dhamesha: Would we be retaining the trademarks that we have created?
Vinita Gupta: Would we be retaining the trademarks that for the brand?
Nilesh Gupta: Definitely.
Ramesh Swaminathan: We make a bid for it.
Nilesh Gupta: Yes, hopefully, we'll know soon.
Ramesh Swaminathan: But as a percentage of our sales, it's actually been steadily coming down. IL was about 16% - 17% some time ago. Last quarter it has gone up a little this time around. But in the general sense, the overall salience has been coming down over time.
Kunal Dhamesha: Because the other molecule in the same category has gone generic. Is that the correct way to understand?
Ramesh Swaminathan: It basically lasts for a particular period of time up to contracting, till they lose exclusivity. And if you do make a bid for it and we do buy it, th

en we continue

with it. But it's not in -licensing th en. It's basically an acquisition from our perspective.
Kunal Dhamesha: And then once we do that, do we have plans to manufacture it in -house? I assume, currently we will be importing the product, right, from the innovator?
Ramesh Swaminathan: That's the intention. So, for example, we always try to do that through a B2B arrangement or in our own factories.
Kunal Dhamesha: But then the EBITDA impact would be minimal, right, even if we lose some market share.
Nilesh Gupta: Typically, market share comes down, obviously the pricing comes down, but the margin profile improves substantially. So what we see is, I mean, in the first year, you do a little lesser, but in two or three years, you get back to higher than original profitability.
Ramesh Swaminathan: The volumes surge because there's a reduction in price.
Moderator: We'll take one more question from Harith Ahamed.
Harith Ahamed: If I heard correctly, you shared a guidance of around INR 1,800 crores of R&D spends for FY25. So that's quite an increase over FY24. Just trying to understand, which are the areas that you're spending incrementally ?
Vinita Gupta: So majority of the focus on R&D front is on complex generics. So the largest increase is on the respiratory products, in particular the Respimat ® and the Ellipta ® platforms, also Dulera® additional work that we are doing to respond to the CRL, followed by injectables. So I'd say, it's a 60% investment around

complex generics in inhalation and injectables, and then some percentage in
biosimilars, and the rest is oral solids.
Harith Ahamed: And the US margins, which you said is currently above company level
margins, that's post R&D, is that understanding correct?

Vinita Gupta: That's right.
Harith Ahamed: And last one on the long -acting injectables front. After Risperdal Consta® , are
we close to filing or are we in late stage of development on any of the other
candidates there?
Vinita Gupta: I think, Risperdal Consta® was the primary one that we were interested in on
- there are other long -acting injectables that we are pursuing, but more on a
505(b)(2) platform that are early stage, I would say. And we'll look forward to
the Risperdal Consta® approval and launch while we progress the pipeline of
the 505(b)(2)s.
Harith Ahamed: And with your permission, just a quick one on Liraglutide . You said that's one
of the launches that you're expecting for FY26. So how should we think about
the competitive dynamics there. Do you expect to be among the first few
players to launch, or are you expecting a bunch of players to launch around
market fo rmation?
Vinita Gupta: It's hard to predict because it's a really difficult product to make and get
approved for from our current experience. So we would expect that it would
probably be a staggered launch with the players as opposed to everybody
launching around the same time and hopefully make for a better market
because of the fact that when you have a staggered launch, i t's always more
rational than everyone launching at the same time.
Moderator: Thanks to all the participants, I now hand the conference over to the
management for closing comments.
Vinita Gupta: Thank you, everyone. Thank you for your questions. Hopefully, we've been
able to respond to all the questions you had on your mind. Obviously, our
team is available to address any other questions that you have. As we've
shared, we are very excited about th e start to this fiscal year and based on
the momentum that we have across all our regions, as well as the new
product pipeline, we look forward to continue to grow on a more profitable
basis.
So thank you, again, and look forward to talking to you soon.

Moderator: Thanks, ma'am. A

nd that concludes our session. On behalf of Lupin Limited,
we thank you for joining us and you may now exit the webinar. Thank you.

Call: Nov 2024

November 8, 2024

"Lupin Limited Q 2 FY202 5 Earnings Conference Call"

November 8, 2024

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN – EXECUTIVE DIRECTOR, GLOBAL CFO & HEAD OF API PLUS SBU, LUPIN LIMITED
• MR. RAVI AGRAWAL – M&A AND INVESTOR RELATIONS, LUPIN LIMITED

Moderator: Welcome to Lupin Limited Q2 FY25 Earnings Conference Call. Please note that all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to the management. Thank you and over to you.

Vinita Gupta : Good evening everyone. I hope all of you had a great Diwali. I'm very pleased to welcome you to our Q2 fiscal year '25 earnings call. I have with me our MD, Nilesh, our CFO, Ramesh and our Head of Investor Relations, Ravi here. We look forward to sharing with you our highlights for the quarter as well as outlook for the year ahead.

We are very happy to report another quarter of double -digit revenue growth , led by strong commercial execution in our key markets and also backed by new product launches. We are in particular pleased with our EBITDA performance with 510 basis points improvement year -over -year and 50 basis points improvement sequentially, d espite higher investments in R&D.

We feel confident of maintaining our growth momentum in the coming quarters with EBITDA margins in the 22% to 23% range for the fiscal , based on our business momentum and continued focus on driving efficiencies.

Our US Business performance was strong this quarter with volume -led growth in in -line products, a nd strong performance in our respiratory portfolio , offsetting additional competition in products like Suprep ® and Doxycycline. With the recent successful launch of Mirabegron 50 milligram , and Pred Forte ® with the CGT exclusivity, we feel confident of delivering close to double -digit growth in the US this fiscal.

Also we have continued to improve our profitability in the US , led by better product mix and higher efficiencies in the base business. We are very optimistic of our long -term growth strategy in the US . So far , we have evolved our business to 40% complex gene rics, and we have an exciting pipeline with more than 20 respiratory products, and 40 injectable products in development that we believe will enable us to continue to drive the shift to 50% plus in the next couple of years.

Coming to India, we reported strong growth of 19% year -over -year led by growth in our India formulations business and additional tenders in our Global

Institutional Business. Our India Formulations business recorded growth of 10.9%, 40% ahead of the market. For H1, our growth was 30% ahead of the market , so very strong momentum in India.
Volume growth in the quarter was a strong 3.5%. I'm happy to report that all our key therapy areas Cardiac, Respiratory, Diabetes and GI grew ahead of the market. I would like to specifically call out our Diabetes portfolio which was challenged in the past due to loss of exclusivities on brands. Our Diabetes business now , grew 19% year -over -year against the category growth of 9% in the quarter. We feel confident on continuing to deliver above market growth in our India Formulations business backed by a stro ng portfolio of innovative and in -licensed products , and extensive reach through our 10,000 people sales force.
Our non -US developed markets grew 20% year -over -year driven by strong growth in key markets like Canada, UK and Australia. Growth was contributed by both in -line products like Zaxine ® in Canada, Luforbec ® our Fostair® generic in the UK, as well as new product launches. We also witnessed healthy growth in ou r key E merging markets like Mexico and South Africa during the quarter.
On R&D , as planned, R&D as a percentage of sales has increased to 8.2% during the quarter. We successfully completed Phase 3 for our Ranibizumab biosimilar this quarter which paves the way for us to file the product in the US and EU this year. We expect R&D to be around INR 1,8

00 crores for fiscal
year '25 with an increasing percentage of comple x generics as planned , primarily in the respiratory as well as injectables platforms.
From a compliance perspective, we have submitted our responses to the recent FDA audits at our Pune Biotech and Pithampur Unit -I facilities. We would like to reiterate that we are committed to ensure that all our sites are fully compliant with US FDA and other regulatory agencies around the world.
Before I hand it over to Ramesh, I would like to say that we remain very optimistic on our growth potential both in the short and medium term. Our strategic growth levers are well defined and backed by an exciting pipeline of products in our chosen markets and key therapy areas. We are committed to driving efficiency measures while leveraging our investments across all major geographies . We are confident on building on our momentum both in terms of top -line and profitability going ahead. W ith this, I will h and it over to Ramesh .
Ramesh Swaminathan : Thank you, Vinita. Friends, I welcome you all to our Q2 FY25 earnings call. I am happy to announce that we have delivered another quarter of consistent double digit revenue growth across most of our geographies. We have also

increased our EBITDA margins despite an almost 190bps QoQ increase in our R&D spend.
Diving into the numbers.
Sales
Sales for Q2 FY25 came in at INR 5,497 crores as compared to INR 4,939 crores in Q2 last year, a growth of 11.3% YoY. On H1 basis , sales came in at INR 11,011 cr ores vs INR 9,681 cr ores last year, growth of 13.7% YoY.
We have registered robust growth across most of our key geographies. India business has grown 19% YoY, North America has grown 6% YoY, EMEA grew 20% YoY, Grow th markets grew by 12% YoY whilst API grew 10% YoY.
The US Business
In the quarter the US business recorded sales of USD 220 mn, a growth of 3% YoY on constant currency basis. As Vinita mentioned, volume growth in our base products , and increased sales of respiratory products were offset by increased competition in products like Suprep® and Doxycycline and low single digit price declines. We also had impact of high cha nnel inventory for some of our n ew product launches which will get normalized going ahead. Based on our visibility of new product launches like Mirabegron 50mg and Pred Forte ® amongst others, we are confident of meeting our guidance of close to double digit revenue growth in the US for this fiscal. We also continue

to execute on our strategy to improve our profitability in this segment, with another quarter of high profitability from this business. On a long -term basis , we remain confident of consistent delivery of profitable growth through an increasing share of complex products in our portfolio.

India Region

Coming to India, the India business grew by 18.8% year -on-year during the quarter. With this , the prescription business has grown 10.9% year -on-year , outperforming IPM growth by 1.4x during the quarter.

Even on H1 basis, the prescription business has grown at 10.8% , handsomely outperforming IPM by 1.3x. Our chronic segment has grown 13.5% year -on-year during the quarter , against an IPM growth of 9.7%. If you look at our top three segments of Cardiology, Diabetes and Respiratory, we have handsomely outperformed their individual category growths within the IPM.

I would also like to mention that as per IQVIA , Lupin is ranked number three in so far as new prod uct introductions are concerned. T he share of in -licensed products is around 12% as compared to 15% last year , which also has a positive impact on our profitability going ahead.

I would like to mention that in our India region , outside the India prescription business, our adjacencies and domestic part of our Global Institutional Business have also performed well in this

quarter , with revenues of INR 208
crores versus INR 66 crores in Q2 last year.

In so far as other businesses , revenues in our ex -India, ex -North America formulations business which includes EMEA, ROW and Growth markets have increased 10% year -on-year to INR 1,222 crores , and now constitute 22% of our sales.

EMEA

In so far as EMEA is concerned which constitutes our EU region and South African business, this registered strong growth of 20% year -on-year during the quarter. This has been driven by healthy growth in EU markets like UK from Luforbec ® and other products.

Growth Markets

Our Growth markets include APAC and LATAM regions have grown 12% year -on-year during the period. The APAC market grew by 10% year -on-year during the quarter led by strong growth in markets like Australia. LATAM market grew 14% year -on-year in the quarter due to strong growth witnessed in Mexico.

Profit and Loss

Coming to the P&L aspects , Other operating income of INR 176 crores has increased by INR 76 crores this quarter. This mainly due to PLI and other export benefits during the quarter.

Gross Margins

Coming to the profitability , Q2 FY25 gross margins were 69.3% up from 68.4% in Q1 , and 65.5% recorded in Q2 last year. The improvement is driven by multiple factors , which includes , product mix , tailwinds on input costs, lower share of in -licensed products, increased volumes, and various cost improvement and efficiencies which we have undertaken over the past several quarters. Barring any unforeseen circumstances in terms of our geopolitical unce rtainties in the Middle East are concerned, we feel confident of maintaining a gross margin around these levels going ahead.

Employee Benefit Expense s

At INR 1,007 crores increased 17% year -on-year from INR 861 crores in Q2 FY24 , and INR 971 crores in Q1 FY25 , translating to 18.3% of sales vis -a-vis 17.4% last year and 17.6% in Q1 FY25. This change is largely attributable to higher cost , attributable to regular annual increments and business growth during the period .

Manufacturing and O ther Expenses
Q2 FY25 manufacturing other expenses came in at INR 1,667 crores which translates to approximately 30.3% of sales as compared to 31.4% of sales in Q2 last year , and 29% of sales in Q1 FY25 , reflecting a growth of 7%. The expenses are mainly higher due to higher R&D costs and some extraordinary provisioning leading to some disputes.
Research and Development
R&D is at INR 448 crores , which is 8.2% of sales in Q2 FY25 as compared to INR 350 crores at 6.3% of sales in Q1 FY25. Almost two -thirds of our R&D is directed towards complex portfolio. For the full year, R&D is expected to be around INR 1,800 crores.
EBITDA
Excluding Fore x and other income, EBITDA was INR 1,308 crores vis-a-vis INR 923 crores , an increase of 42% year -on-year with margins of 23.8%, vis -a-vis 18.7 % last year in the same period. O n a quarter -on-quarter basis , margins have expanded by 50 basis points. This margin expansion is on the background of higher R&D spends , which have increased by 190 basis points quarter -on-quarter during this period. If you look at our EBITDA margin profile, we made improvements across all our key segments. Our gross margins are highe r by almost 1% quarter -on-quarter , and there has been increase in the operating income and we benefited from cost savings all over. We also made additional provisions of INR 58 crores for an ongoing dispute. Putting this all together we believe that we should be able to deliver EBITDA margins in the range of 22% to 23% for the remaining fiscal.
Tax
On the tax line, our ETR is 18.7% during H1 FY25. For t he full year, we expect it to be around 20% to 21%.
Balance Sheet

In so far as the balance sheet is concerned , operating working capital was about INR 6,562 crores as of 30th September against INR 5,691 crores in March ‘24, which translates to 107 days of net working capital against 105 days as of 31st March , and net debt is about INR 274 crores against INR 477 crores in March again.
Whilst we focus on increased cash generation from our business, we'd like to highlight that we continue to actively explore strategic allocation of our capital to address the long -term growth vision of the company .
ESG
On the ESG front, Lupin has achieved S&P Global ESG score of 76 in the recent bout of admissions from the concerned body, the industry average being just about 30 in the pharmaceutical sector. O ur S&P score reaffirms our commitment to prioritizing sustainability and creating impact on sustainable healthcare solutions that benefit patients and communities worldwide.
Seven of our Indian manufacturing sites got successfully reassessed for human rights assessment , with five sites retaining Platinum ra ting and two others moving from Gold to Platinum. With this we open the floor for discussions.
Moderator: Thank you so much, sir. We will now begin the question -and-answer session. Please raise your hands from the participant tab on the screen to ask questions. We will wait for 30 seconds for the queue to assemble.
We'll take the first question from Saion Mukherjee.
Saion Mukherjee : So my first question, Vinita, is that for future launches you talked about injectable Glucagon and Dalbavancin . Can you just talk to us about the visibility of these launches and what kind of upside you are expecting from these products?
Vinita Gupta : Injectables right now are a very small part of our portfolio so were looking forward to these approvals. We expect Glucagon and Dalbavancin in the next couple of quarters. One may be in Q4 and I think one might slip into Q1 of next year. But over the next couple of quarters we should be seeing these approvals.
Plus, Risperidone we expect in the next fiscal year , and potentially also

Liraglutide - Victoza ® we expect in the next fiscal year. So we really see the injectables portfolio building very nicely starting the end of this fiscal year through the next fiscal year on top of our respiratory and other exclusive orals.

Saion Mukherjee : Particularly on Dalbavancin, is that an exclusive product for you? How are you expecting competitive intensity here?

Vinita Gupta : We see a couple of competitors , but still limited in number compared to other injectables.

Saion Mukherjee : The second question I have was on the India and Emerging market opportunity on the GLP -1 space. So if you can take us through what you're thinking about India and Other Emerging markets, what are your preparedness and how you're seeing this opportunity ?

Nilesh Gupta : It's essential that we bring this as a leading Cardio -Metabolic company, we're ranked number two. Obviously, we want to bring these products to the Indian market as well. We aim to be in that first wave of generics coming into the market. So likely in 2026, we would hope to launch the first of several. I think everybody is chasing a whole bunch of products at this point of time. So , I think there is importance to bring this sooner rather than later. But I think, short answer, 2026 we hope to l aunch the first of these.

Vinita Gupta : And I'd just add to that also other Emerging markets we have positioned ourselves to either live partner the product or internal development to contribute to the market when it opens.

Moderator: We take the next question from Neha Manpuria.

Neha Manpuria : Ramesh, i n your opening remarks, you gave us several reasons for the gross margin improvement that we have seen. And I think that you mentioned you expect the gross margins to maintain at these levels. So , would that be in the first half range that you're seeing in the 69% to 7

0% or the quarter, just wanted to get a sense on that?

Ramesh Swaminathan : 68% to 69% is a good range to kind of sustain for the future.

Neha Manpuria : And what according to you has been the biggest driver for the margin improvement that we have seen in the first half? Is it product mix? Is it the input cost? And if you were to pin down, the top two areas where you've seen the most improvement ?

Ramesh Swaminathan: I would actually say three things. One is of course the sales mix , Mirabegron of course, contributed there. The second is essentially the procurement costs, which is also coming down, and we expect that to continue to go down in the quarters to come. And the third, of course, there are a lot of operational efficiencies that have kicked in over time. For starters, the gross margins line itself, w e do have firstly, alternate vendor development that we have done for key products and key materials.

And the second part, in so far as for example we have air freighting which has been reduced and we are now more into the ocean freighting mode. So all of these kind of efficiencies have helped in kind of bringing up the margins to the levels that it has come to.

Neha Manpuria: And I think Vinita also mentioned that we are seeing improving profitability in the US , is it fair to assume that the US margins now are higher than our corporate margins?

Ramesh Swaminathan: Yes, absolutely.

Neha Manpuria : And last, what was the number for the Global Tender bus iness in the India sale this quarter?

Nilesh D Gupta : About INR 150 crores.

Moderator: The next question is from Bino Pathiparampil .

Bino Pathiparampil : Just wanted to follow -up on your GLP strategy. Globally you said '26 it starts, and could you give us some sense of when the markets open up globally, not just the US for the Semaglutides, Tirzepatides, et cetera, especially semi -

regulated markets et cetera ?
Vinita Gupta : So more of the regulated markets are actually patented till later. The loss of exclusivity is expected I think in 2030 for the developed markets with the exception of Canada. But India, South Africa, Latin America, Philippines, some parts of Eastern Europe, those are the markets that are available for us to launch in '26.
Bino Pathiparampil : And you have a strategy in place to be in the first wave of launches in these countries?
Vinita Gupta : So, we have definitely positioned ourselves for India , and South Africa we have a license . So, a combination of our internal development as well as in - licensing, we have positioned ourselves in all the key markets where we can really participate in the category.
Bino Pathiparampil : Second question about your new initiatives on the CDMO space. You have worked earlier in that space a bit with some innovators . Now you have set up a subsidiary , are you trying to refocus there especially in the context of Biosecure Act et cetera ?
Nilesh Gupta : I mean that's exactly why we created Lupin Manufacturing Solutions. Obviously, it's early days , we're putting the team together. I think we've got almost all the entire structure that will fall in place between this quarter and the next quart er. And then obviously, I think we need to put our head down and give it a year or two ye ars of good work to be able to talk about this. But we're very optimistic about what we should be able to deliver out of that. I think there's some very positive trends towards India , and I think that opens up the headroom f or companies like us to be able to capitalize on this. Very excited with this venture.
Bino Pathiparampil : But what would be your value proposition versus pure CDMO companies?
Nilesh Gupta : It is going to be a pure CDMO company in that, I mean it's a separate company and everything is structured as such in that . I think if you look at just the variety of technologies that we would hav

e ; if you see the understanding of regulated markets, I mean we're not unique in this. There's obviously a few other companies that would be able to do this even out of India. But I mean,

we have the ability to play at scale in this space. We believe we have a right to win. I think we understand chemistry, we understand technology, we've done this for years , we understand regulations, we understand quality and we are getting the right kind of commercial capabilities in place as well, which is key. Some of the other disciplines like project management and the like are different , and we are obviously building and acquiring capability. But the intent is to play this as a pure CDMO player in that part.
Bino Pathiparampil : One last question to Vinita. In the US quarter -on-quarter revenue has come down a little bit and this is despite Mirabegron 50 mg being launched almost a month before the end of the quarter. So what has primarily led to that Q -o-Q decline in revenue? I assume that Spiriva® has continued to do well from your comments. Is it some fluctuation in the base business or some Albuterol hit?
Vinita Gupta: Actually the base business has been fairly strong. I mean there's been some phasing on Mirabegron because we had the inventory load in the first quarter for the 25 milligram and for the 50 milligram it was more substitution. So it was not as much of an inv entory load, but you'll see that normalize in the second half of the year. And then it was really additional competiti on in products like Suprep® and D oxycycline. Like I mentio ned, we had some erosion there. But the base business , respiratory portfolio as well as Mirabegron from a share perspective has continued to build in Q2 , and it's just the phasing of the inventory load on the Mirabegron also that has a little bit of impact between the two quarters.
Moderator : We'll take the next question from Anubhav Agarwal.
Anubhav Agarwal: I just want to get some more clarity on the specialty business where you had a new president as well last month. So , what areas you're trying to focus here? What will be risk appetite? How do you want to build it? Earlier the company was focused more on the women's specialty area. How are you thinking about it here?

Vinita Gupta : So, our focus is on the two therapy areas where we have a presence. I mean right now we have a small presence on the respiratory front in the US with Xopenex® . And in Europe , our franchise is a branded gene ric franchise so that is one , and two neurology , again where we have a presence with NaMuscla® in Europe. We are looking to expand that into the larger indication. Right now it's NDM and we have started to conduct a study for DM for global commercialization of NaMuscla® in particular Europe and the U.S. T he focus is the two therapy areas that we are already present in. And very excited to really have Klaus on board. He b rings in tremendous experience and in particular the two areas of our interest, respiratory as well as neu rology. But as an organization , we will build this out in a cautious manner.

As we have stated, I think in past interactions as well, we would like to really build with accretive assets in the near term as we continue to really drive our EBITDA margin expansion from the 23% level to the mid -20s and above over the next five years.

Anubhav Agarwal : So just one sub -part of clarity on this question. So do you see yourself or Lupin basically acquiring mid -size assets here, USD 100 million to USD 200 million kind of assets , bouquet of about three - four products over a period of three, five years. Or is that the way when yo u say cautiously build this up?

Vinita Gupta : We'll look at medium sized assets that can really help us build the business as well as our own organic portfolio. With the capabilities we have on th

e

respiratory front, we're building a pipeline of green propellant products where we hope to be in the first wave along with the other brand companies. We have our own brand in Xopenex® , so we have that opportunity. So combination of mid -size acquisition opportunities that make sense for us as well as organic build with a pipeline.

Anubhav Agarwal: So then on the US Generic business, on Generic Spiriva ®. I'm just trying to understand the market share is largely around 30%. So I 'm assuming there is no production constraint. This is just your reading of the market. You 're trying to ma ximize your potential here. S hould we assume that till the time the next player comes in, which could be fiscal '27 or thereabout, would you largely remain around 30% or wha t would trigger this 30% to go , 35% or 40% ?

Vinita Gupta: Right now , we have kind of stabilized at that 30% level and the brand has held on to 70% share. I mean when we look at the different channels in the marketplace, in the commercial space we have more than 50% share. But in the Medicare - Medicaid space, our market share is lower. That's what driving it down to the 30% level.

So we have efforts ongoing to expand the awareness and try to hel p conversion in the Medicare - Medicaid business , and hopefully can drive that over the next couple of quarters to the mid -30s. But right now we have stabilized at a 30% level.

Anubhav Agarwal: And in the commercial space you think 50% is an optimum le vel or that could be 60% - 70% as well.

Vinita Gupta: We are already above that 50% level in commercial.

Anubhav Agarwal: On Mirabegron, I saw that Astellas got expedited review approval from the Court of Appeals . Not the outcome, but the total process of litigation, c an we assume that this gets done either ways in couple of quarters from here or could this be extended to let's say a year from here?

Vinita Gupta: It's really hard to predict that , at this point the case was remanded back to the district court and I'm sure that the brand, whatever the outcome is going to likely challenge us if it's not in their favour . So, it's hard to really predict. But we were pleased that it was remanded to the district court that already ruled in the favour of generics.

Anubhav Agarwal: So, clarity was on the expedited review that Astella s just got it in starting October a month back. Does that have an implication on the timing of the case?

Nilesh Gupta : I mean that's one part of multiple cases which are going on in Mirabegron. So this does drag out for well over the next few quarters any which way.
Moderator: We'll take the next question from Girish Bakhru.
Girish Bakhru: Just going back to Glucagon. I mean you had commented for maybe Q4 launch. Just wanted to know is this a kit presentation or a vial presentation?
Vinita Gupta : It's injectable. It's a vial in a kit for what I think . But we can get back.
Nilesh Gupta: I believe we did the kit, but we'll just check.
Girish Bakhru: And I mean I'm probably also understanding the market is shifting here , because I think the use of the product is now shifting mostly to diagnostic chains in the US , that's why the vial presentation is probably getting bigger. But I mean would the market size have become different as per your understanding?
Vinita Gupta : We don't expect any material shift in the market right now. Majority o f the market is with Amphastar. And we expect to be one of a few competitors. So it's an attractive opportunity for us , the way we're looking at it. We haven't really come across a material market shift here.
Girish Bakhru: Because Amphastar is only selling kits actually. And vial market is what is actually I read that is growing. That's why I was confused , what presentation actually would one focus on?
Vinita Gupta : Why don't we get back to you about that?
Girish Bakhru: And just o

n the Risperidone, I mean , we have one generic which is already approved. We have a 505(b)(2) I think already approved. I'm not sure if it's too early to call or whether the shift from brand to these newer players is happening already in the market at an expected pace. But is this going to be a product which is very difficult to shift the prescriptions from the brand to generic ?
Vinita Gupta : So, I understand that the 505(b)(2) has been slow uptick at least in the last couple of quarters. And so we still expe ct in the near -term for the primary product to which we have a generic to be a material opportunity for us.
Girish Bakhru: Teva is already in th e market, I'm guessing and their also numbers are pretty low right now.
Vinita Gupta : Yes, but Teva also has the 505(b)(2).
Vinita Gupta : So they have both the 505(b)(2) as well as the Generic. We don't know how they are positioning each .
Moderator: We'll take the next question from Damayanti Kerai .
Damayanti Kerai : My first question is clarification on other operating income. So Ramesh, did you mention INR 76 Crore of PLI and other export benefit or number is something different?

Ramesh Swaminathan : Yes, that's what I meant. There's a higher quantum , increase d by INR 76 crore during the quarter .
Damayanti Kerai : Increase from which level? Just, just you can just quantify for the second quarter, please. Like how much is that?
Ramesh Swaminathan : Yes, just INR 165 crores in this quarter, a nd INR 86 crores in the previous quarter.
Damayanti Kerai : My second question is for Vinita. So can you also update us on your respiratory pipeline in terms of which key assets are due for filing or approval in say next two to three years?
Vinita Gupta : So, we have a few nasal sprays that should get approved in the next two years. We have Dulera ® that we are actually in the process of doing additional studies to be able to respond to the agency. We hope to be able to respond to the agency in the next fiscal year. So that should be hopefully, fiscal year '27- '28 opportunity for us. And then in the current fiscal year, we have multiple products in development. But the major ones, both the Respimat ® and Ellipta ® products, we have planned exhibi t batches before the end of this fiscal year. So have made significant progress there as well.
Damayanti Kerai : And most likely these Respimat ® and Ellipta ® products are say '27 and beyond opportuniti es, or it could be earlier?
Vinita Gupta : No, it won't be earlier because we'll have to certify against the patents as well.
Damayanti Kerai : My last question is on GLP opportunities which you mentioned. So , just want

to understand in terms of capabilities which are your key areas of strength and will you be manufacturing it in -house to supply to global market? Like developed markets will come later but once you start in '26 so manufacturing will be in -house or it will be done through CMOs ?
Nilesh Gupta : So, for products like S emaglutide, obviously we would do i t in-house , because we obviously h ave both oral and injectable capability . For other products I think it all depends . It depends on the alliance that we would try to seek and the like. So, I mean everybody is chasing multiple products at this point of time. Some of them may be just simple in - licensing , others are where we could manufacture , we would love to be able to manufacture as well. I think that strategy will really play out in the next year and we'll have more clarity at that time.
Damayanti Kerai: So, it will be mix between in house and maybe depending on market opportunity. Right?
Nilesh Gupta : Yes.
Moderator: We'll take the next question from Kunal Randeria.
Kunal Randeria : My question around L iraglutide, given that the drug is not as efficacious as Semaglutide, has higher dosing frequency and now there is already one AG in the m

arket with few more lining up. Just wondering how do you see this market shaping up in future?

Vinita Gupta : Well, Semaglutide and the follow on products obviously is where the market has moved to. Liraglutide is still a substantial market, b oth Victoza® and Saxenda® . So we still look at it as USD 1 billion dollar plus market with hopefully staggered entry of players. So we're looking forward to the approval.
Kunal Randeria : So do you think there'll be a sharp price erosion and then at the same time the volumes could go up?
Vinita Gupta I mean that could be a scenario. I mean it's hard to predict. But we are chasing the applications with the FDA , to be able to hopefully get into the market next year.
Kunal Randeria : My second question is around Albuterol. Now you did make some reference to your share being low in the Medicare setting. I guess the brand share is very high over there.
Vinita Gupta : I was talking about Spiriva.
Kunal Randeria : Okay, sorry.
Vinita Gupta : It was in reference to Tiotropium , not Albuterol.
Kunal Randeria : Let me ask on Albuterol then. But even in Albuterol, i n the Medicare setting the share of the brand is pretty high. So how do you see this Medicare USD 2 per month out of pocket thing playing out for gene ric companies like yours?
Vinita Gupta : We really don't see any potential impact of the USD 2 program because it's more to cover the o ut of pocket costs for patients. So it's the plan coverage and if anything, I believe that it can potentially expand usage of the drug , if the product is available at a low out of pocket cos t to patients. A s far a s Albute rol goes, the substitution in Albuterol is pretty strong from a generic perspective. As you know , even the brand companies have launched authorized gene rics on the product. So , a good 80% plus of the market is really with authorized generics and generics.
Kunal Randeria : Even in the Medicare setting?
Vinita Gupta : Yes.
Moderator: We'll take the next question from Shashank Krishna kumar.
Shashank Krishnakumar : My first question was on the margin front. So given the trajectory of gross margins and other expenses, is there any rating in terms of the medium -term margin aspirations or the medium -term margins that we'r e guiding to? I think I heard 22 % to 23 % this year. Beyond FY25 how are we looking at margins?
Ramesh Swaminathan : There are two aspects to this. Obviously, we believe that our core shoul d be in the range of about 23% - 25% and that is something that we would get to in the medium term. So, there is this aspect of adjacencies also , which actually some of these are still loss -making in the current context which should obviously spin on their own axis in the next couple of years because we intend spinning it off and bringing in private equity to participate . , And they would

of course have grown and become more profitable as well. If you were to

knock out the impact of the adjacencies, you would actually have an EBITDA margin higher by about 0.8% during this particular quarter itself. It 's coming down for sure vis – a -vis the previous quarter for example, and steadily becoming more profitable. And that could really alter in the next couple of years.

Shashank Krishnakumar : Secondly, just wanted to check if this quarter so far in A lbuterol, have you seen any impact of Amphastar 's launch ? Though the company has been saying that they themselves don 't expect meaningful contribution this quarter. But have you seen any impact so far?

Vinita Gupta : No, not in this past quarter.

Ramesh Swaminathan : I also wanted to clarify something, there 's so much of questions around the PLI and the like as well. The scheme provides for INR 1,000 crores over a period of five years, as all of us know this, so that actually roughly means about INR 200 crores. Bu

t it also actu ally provides for an exception, where you could actually take a quantum a little more during the course of one particular year. It 's an exception really to the framework. An d we 've taken advantage of this, this year because the fact that there 's a surge in terms of exports and the like. And obviously, money into the kitty much faster is always better for us. And that 's the reason why you would find a higher quantum of PLI money is coming in this year , but doesn 't necessarily mean it 's going to be the same quantum spread over the next several years.

Moderator: We'll take the next question from Kunal Dhamesha.

Kunal Dhamesha : The provision of INR 58 crore s, what is it related to and how should we think about it? Is there more liability that can come for us?

Ramesh Swaminathan : This is a measure of abundant caution so to speak. As with every company , we also have our share of litigation, disputes and the like as well. So we just thought in the goodness and the fitness of things that you would provide for something and that's what it is. And it's just that it's an abundant caution , you don't need to read too much into it. It's not something it should repeat unless things go horribly wrong or something which we don't think it'll ever materialized that way.

Kunal Dhamesha: Which business segment does it belong to like geographically?

Ramesh Swaminathan : Well, it's basically a general provision, I would say attributable to certain disputes.

Kunal Dhamesha : And then there is also, when I look at our current provisions there is almost cash outflow of INR 400 crores between March and here. So what does that refer to?

Ramesh Swaminathan : It's basically, we paid out our dividends and the like. So , from that perspective you would actually see, it was a cash surplus company towards the end of last quarter . But then there was of course the slight increase in working capital , it increased by about three days, four days. And then it's of course the dividends outflow , which has caused this cash out flow.

Kunal Dhamesha : And on India business, out of our total revenue this quarter, i f you can help us understand the three parts to it . I think one is prescription business, another is a tender business and then adjacencies like diagnostics. So can you provide colour on what is the contribution from each?

Ramesh Swaminathan : Well, we don't go into segment wise and I wouldn't like to do that at all. But I just did tell you about the fact that adjacencies are still loss making and this is essentially the diagnostics business and digital , and there's of course some parts of OTC and so on . But that all of this put together actually impacted the EBITDA margins by about 0.8%. The tender business of course is profitable. It gets included because it actually emanates from this particular geography , and that actually increases overall quantum in this quarter t o growth to about 18%.

Kunal Dhamesha : And this tender business, would it be meaningfully lower gross margin business than our India business or would it be in line? How to think about it?
Ramesh Swaminathan : Well, we are not ac tually revealing geography wise m argin s. So that question might not be relevant in that sense. But as with every tender business, you would expect in fact the gross margins to be lower than the retail business in a general sense.
Nilesh Gupta: I mean just to give nature; I think 90% plus is in any case the R x business that we're talking about here.
Ramesh Swaminathan : Absolutely.
Kunal Dhamesha: But then I don 't understand. The total India business growth is 19% and we are saying R x business growth is 11%. Then a huge chunk is coming from tender. Isn 't the way to understand it or what am I missing here?
Ramesh Swaminathan : Your question related to a sales quantum as well as the profits. We are not tal

king about se gmental profits at all out here. 11% increase in India region sales for sure. There 's of course the OTC and diagnostics business whi ch have also gone up, over the quarters. And there 's, of course, the tender business which has also been represented in the overall figure of this 18% - 19% growth.
Nilesh Gupta : So in the year -on-year the number was very low last year and the number is a substantial increase. We already talked about the Global Institutional business being INR 150 crore s in the quarter.
Kunal Dhamesha: And entire of that flows into India business as we reported ?
Nilesh Gupta : A good portion of that for this quarter reported into the India business. Sometimes it 's export, sometimes it 's domestic. Actually our press release in any case would give you the India region business as well as the India region formulation business , so we do give that split.
Moderator: We'll take a few seconds before taking additional questions, and wait for the queue to assemble.
We will take the next question from Alok Dalal.

Alok Dalal : So, Vinita just to clarify, Ranibizumab filing will be end 2024, is that correct?
Vinita Gupta : Yes, this fiscal year.
Alok Dalal : And d o you expect this to be a first wave launch? Lupin in the first wave?
Vinita Gupta : No. There are already products ahead of us. But we expect it to be a decent sized product given the fact that it's an ophthalmic product and we already have relationships with some of the ophthalmic distributors.
Alok Dalal : And apart from this product which are the other biosimilars in the pipeline and launch timelines for those?
Vinita Gupta : So, we are hoping that Pegfilgrastim is going to be our first one. And we are waiting for FDA approval for the product and have the ability of launc hing it as well , hopefully in the next 12 months' , subject to FDA approval and clearance of the Pune site. Ranibizumab would be the second one. Aflibercept also is progressing well in development , so building on the ophthalmic franchise . And then we have couple of partnered products, Denosumab in Japan with a partner. We don't have plans to bring it into the other markets unless we find a partner. And then Etanercept in the US in '29. And then we have a couple of products that are earlier stage, especially the respiratory biologic like Mepolizumab and Benralizumab, earlier stage in development.
Alok Dalal: So, it appears that in each therapy area there is one or two products . With this kind of portfolio then will you have your own field force in the US , or will this be a partnered field force?
Vinita Gupta : So, we have a cautious approach on biosimilars. We don't plan to really build market presence for each therapy area. So, we intend to partner where it makes sense. And if we have the ability to leverage our infrastructure, if there is a synergy with the rest of our business, then we will commercialize ours elves.
Moderator: We'll take the next question from Saion Mukherjee.

Saion Mukherjee : Vinita, On NaMuscla® and generic Fostair® , what is the headroom to grow this business in Europe ? And on NaMuscla® , you mentioned about the new indication for US and Europe. If you can talk about the timeline on that

indication and what's the market size one can expect ?
Vinita Gupta : So, we are really excited about the potential of NaMuscla® and the DM indication, DM1 and DM2. We have started the study already, and also got FDA feedback on the DM study . And believe that we should be in a position to file to the US in '26. So it will take us through next calendar year into '26. But the potential we see is sizable . In Europe , the potential of the DM indication is multiple times the NDM. We t hink it could be USD 100 million product in Europe , and then in the US based on pricing , it can be well beyond that. So, in Europe, likely we wil

l launch first. But, the team is in the process of putting the plans together, especially with the addition of Klaus now,

making sure we can leverage the opportunity across all the developed markets on a timely basis.
Saion Mukherjee: So fiscal '27 is what you're indicating as filing and then in fiscal '28, possible commercialization in the US , is that the right understanding?
Vinita Gupta : That's right.
Saion Mukherjee: Okay, and do you have for this new DM indication any clinical data wit h you which suggests commercial success of this product , or we have to w ait and see for the Phase -III data to come before you kind of get the confidence of having this as commercial success?
Vinita Gupta : Well, so, right from the start, when we embarked on this product, we knew that the product works for NDM and DM. We know that clinicians have been using it off -label and that's why we thought that it was a low -risk study to pursue. And likewise for the DM indication also, while the data will have to prove it obviously and make it to the label for us to be able to commercialize it effectively , we have a high degree of confidence that the product works. There's nothing else a vailable for the indication. So , the physicians are very enthusiastic about seeing the product make it through clinical development to the market.
Saion Mukherjee: And any comment on generic Fostair® as to how much more opportunity is there for Europe?
Vinita Gupta : It's been a substantial growth driver for our European business and continues . As we look at the next fiscal year, Luforbec® continues to be a major product for us in Europe. So far , we have got into some of the major markets. We have not entered Spain as of yet . We have a presence across 11 countries at present. So , continue t o expand geographically as well in Europe over the next year or two.
Saion Mukherjee: And in UK or some of the big markets , can you share market share ?
Vinita Gupta : Why don't we get back to you? We are still the market leader apart from the brand and it's been a big growth driver for us in UK in particular.
Saion Mukherjee: Ramesh, one question on the employee cos t. We have seen around 15% to 17% increase in the employee cost, which seems to be on a higher side. So if you can give some colour as to why the level of increase is this high , is there some new expansion that is driving it? If you can give more details on this?
Ramesh Swaminathan There is of course this complement of people who have been added during the course of this year, this quarter. And there is of course another in terms of the ESOPs . The share price has been going up and when we compensate people in terms of ESOPs, there is a charge to the Profit or Loss to that extent and that's being brought in here. And the third, of course, is the normal increments that you pay to people and stuff like that.
Saion Mukherjee: And just one last question, if we can ask on the tender business. So it s eems for the last two quarters, this was at a higher level. So how should we think about the nex t two quarters? And maybe even in FY26?

Ramesh Swaminathan By its very nature, it is always going to be sporadic, essentially because there is some inconsistency. The overall business that you're competing in that is about USD 650 million across the world. But the timing of that is always very

difficult to ascertain . For example, these tenders in India are delayed for a
couple of years and the like . And then they brought the Latent TB along with
in fact, the Global Fund. From that perspective, it's something which you can't
really predict, but it's a market which is about USD 650 million , and we
obviously are very competitive in that market.
Nilesh Gupta: You might see some lumpiness, but I think we'll largely be at this level. I think
it's going

to be a good year for that business.
Moderator: We'll take the next question from Tushar Manudhane .
Tushar Manudhane: So just on the GLP -1 opportunity as far as Emerging markets are concerned,
in terms of the value chain, where is the key hurdle? Is it going to be the
marketing or is it going to be the manufacturing? Like right from end -to-end
manufacturing. If you could share your thoughts here?
Nilesh Gupta : I think in India it's about the commercial excellence. So it is going to be about
that. And that's the reason why we're not that hung up that we hav e to
manufacture this or the like. I think obviously when we do this for developed
markets, we are going to want to control more of the value chain. So
obviously, manufacturing, even the R&D, all of that would be done as well .
But I think where we have branded generic markets there, it's more access to
the product than anything else, which is impor tant. And in other markets we
would obviously do a more holistic play.
Tushar Manudhane: And given the kind of the business which let's say the innovator companies
are making on this product, despite that the manufactur ing won't be the
constraint for the E merging market s. Is that the right understanding?
Nilesh Gupta : Not for India for example. Right. I mean, I think the crown jewel in all of this
is going to be the India conversation and I think in India it's going to be about
commercial excellence.
Vinita Gupta : Besides, we have looked at our manufacturing capacity and if you launched in
every market that opens up in '26 we are still able to manufacture internally
if it came to that.
Tushar Manudhane: And secondly on Dalbavancin , what will be the market size?
Vinita Gupta : I don't have it off the top of my head.
Nilesh Gupta : We can get back to you.
Moderator: We'll take one last question from Shyam Shrinivasan.
Shyam Shrinivasan: Just the first one on the trajectory for the US business . It's been kind of range
bound with the exception of say Q1. So just want to understand how should
we look at the second half ?
Vinita Gupta: I think like we said, we should be able to increase closer to the USD 230 million
plus. Again, depending on the pressures that we see on some of the key

products. But overall inching up to over USD 230 million and likely the second
half enabling us to close at a double -digit growth level for the year. And as we
get into next year , first quarter we should have the impact of Tolvaptan plus
the injectable products that we hope to get approved by the end of this fiscal
year, early next year as well as others that we have on our plan. So we expect
to get to that USD 250 million level through the next year to be able to be at
the USD 1 billion plus next year.
Shyam Shrinivasan : And would that entail a much better margin profile for us in terms of the US
or maybe what is the current US margins closer to corporate average or you
think once we reach the USD 1 billion mark it could now punch above that?
Vinita Gupta No. So it is already above that. And the newer more complex products have
enabled us to actually expand our margins. So , we would expect that to
continue given the pipeline that we're bringing to market , again is limited
competition products.
Shyam Shrinivasan: And my last question is just on the salesforce productivity in the India
business , I think 7,700 odd medical reps. So is there any PCPM number that
you can share at this point of time and where do you think this can likely
reach?
Nilesh Gupta : We didn't have it off -hand , we're trying to pull it out , otherwise we'll share it
with you. I think one part is we were under index ed. Therefore, we have
added a substantial sales force in the last two years. Now, it's goi ng to be
programmatic. So we are g oing to add a few hundred representatives each

year. The focus definitely has to be on productivity. We

have some very nice
AI measures that we're putting in place. Hopefully, those would be,
interesting plays as well. We would want to focus on productivity as well, in
line with maybe a little bit of increase in ar eas where we are lesser
represented.
Shyam Shrinivasan : How many we added first half or second quarter ?
Nilesh Gupta: I mean it’s marginal. Not much at all.
Ramesh Swaminathan: It's been continuously increasing over the last five quarters because initially,
there's a training, there's a te ething period when they're not as productive. If
you look at the current quarter, it's close to about INR 7.5 lakhs per month,
and this has been increasing, and it still has not reach ed the peak, which we
did about in a year and a half ago . This is because it o bviously takes time to
kind of train the people and so on as well.
Shyam Shrinivasan Ramesh, what was that number like? Historical?
Ramesh Swaminathan: We were closer to this market about a year and a half ago.
Shyam Shrinivasan: Okay. Like INR 9 Lakhs to INR 10 lakhs, you're saying ?
Ramesh Swaminathan: INR 7.5 lakhs to INR 7.8 lakhs.
Moderator: Thank you very much , Shyam. That brings us to the end of the Q&A session. I
now hand the conference over to the management for the closing comments.
Over to you, ma'am.

Vinita Gupta: Thank you. So thank you everyone for all your questions. Just wanted to
respond to the G lucagon question. What we have is the kit , and we look at it
as a nice size opportunity. It's roughly a USD 200 million product where we
hope to be one of maybe two players in the market. So looking forward to
that. And as I mentioned, we are very optimistic about our growth prospects .
I mean, both this fiscal year as well as the years ahead. We know that we have
still a long way to go , although we have come a long way as an organization
when you look at growth trajectory as well as margin expansion . We continue
to be focused on driving both , growth across our key markets not only US and
India, but also the other developed markets that we can now grow with
complex generic platforms or specialty , and other emerging markets based
on India portf olio and in particular the G LP-1 opportunity that we see in front
of us.
So looking forward to a very successful rest of the fiscal year and we look
forward to connecting with you again soon. We've noted down a number of
questions that you had that we had agreed to get back to you offline. So we
will connect with you to respond to those. Thank you again for your time and
look forward to connecting with you next quarter.
Moderator: Thank you so much, ma'am. On behalf of Lupin Limited, that concludes this
conference. Thank you for joining us. And you may now exit the webinar.
Thank you.

Call: Feb 2025

LUPIN LIMITED
Registered Offic e: 3rd Floor, Kalpataru Inspire, Off W. E. Hi ghway, Santacruz (East), Mumbai - 400 055 India. Tel: (91-22) 6640 2323.
Corporate Identity Number: L24100MH1983PLC029442 www.lupin.com

February 19, 2025
National Stock Exchan
ge of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051 BSE Limited
P. J. Towers, Dalal Street,
Mumbai Samachar Marg,
Mumbai - 400 001
Symbol: LUPIN Scrip Code: Equity - 500257

Subject: Transcript of Q3 FY2025 Earnings Conference Call.

Dear Sir/Madam,

In continuation to our letters dated January 27, 2025 and Febru ary 12, 2025, pursuant to Regulation 30 read with Schedule III, Part A, Para A(15)(b) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed, copy of the Transcript of the Earnings Call held on February 12, 2025, for the Unaudited Financial Results of the Company, for t he quarter and nine months ended December 31, 2024.

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

AMIT KUMAR GUPTA
COMPANY SECRETARY & COMPLIANCE OFFICER
(ACS -15754)

Encl: a/a.

February 12, 2025

“Lupin Limited Q 3 FY202 5 Earnings Conference Call”

February 12, 2025

MANAGEMENT:

- MS. VINITA GUPTA – CEO, LUPIN LIMITED
- MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
- MR. RAMESH SWAMINATHAN – EXECUTIVE DIRECTOR, GLOBAL CFO & HEAD OF API

PLUS SBU, LUPIN LIMITED
• MR. RAVI AGRAWAL – M&A AND INVESTOR RELATIONS, LUPIN LIMITED

Moderator: Welcome to Lupin Limited Q3 FY25 Earnings Conference Call. Please note that all participants' line will be in listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded.
I now hand the conference over to the management. Thank you and over to you, ma'am.
Vinita Gupta: Good evening friends, I am very pleased to welcome you to our Q3 F inancial year ’2025 earnings call. I have with me our Managing Director Nilesh, our CFO R amesh and our head of Investor relations Ravi. We look forward to sharing with you our highlights for the quarter as well as outlook for the year ahead.
We are very happy to report another quarter of strong performance across our key markets both on a sequential and YoY basis. This has been backed by continued improvement in margins and profitability. I would like to highlight that our margins are the high est we have achieved in the last 5 years, despite higher investments in R&D during the period. We feel confident of maintaining our growth momentum going ahead with margins in the range of 22% -23% in the current fiscal year .
Our US business delivered strong QoQ and YoY growth this quarter with revenues at a five year high . This has been led by volume growth in inline products and contribution fro m new products like Mirabegron that helped us offset the anticipated competition in products like Albuterol and Suprep® . Our respiratory portfolio continued strong with higher market shares in most of the key products.
We look forward to a strong close to the current fiscal year, as well as continued momentum in the year ahead. Apart from key products like Tolvaptan, we have a n exciting portfolio of injectable products like Glucagon, Risperdal Consta , Liraglutide which we anticipate bringing to market next fiscal year that should help us deliver strong growth in the year . We continue to improv e our profitability in the US, led by better product mix and higher efficiencies in the base business.
We are very optimistic of our long term growth strategy in the US as it continues to evolve from a commoditized generic business to more complex portfolio of injectables, respiratory and biosimilars , to ultimately a portfolio of strategic specialty assets. We believe that our pipeline will enable us to continue to drive the shift to complex products to over 50% of our portfolio over the next couple of years.
Coming to India, we reported growth of 11.9% YoY led by growth in India Formulations business and additional tenders in our Global Institutional business. Our India Formulation business recorded growth of 9.1% for the 9M this fiscal year against an IPM growth of 8.2%. While key therapies like Diabetes, Cardiac, GI grew ahead of the market and we also increased our chronic share, muted growth in the respiratory category affected our overall performance during the quarter. We are very pleased to strengthen our diabetes portfolio by acquiring the Huminsulin r ange of products from Eli Lilly

and also 3 trademarks from Boehringer Ingelheim for the Indian market. We feel confident on continuing to deliver above market growth in our India Formulation business, backed by our strong portfoli o of innovative medicines and in -licensed products and our extensive reach through 10,000 people sales force.
Switching to R&D, our R&D as % to sales was at 7.7% during the quarter and 7.4% for the 9M. We successfully filed Ranibizumab in EU during the quarter and are looking forward to the US filing in the coming quarters. We have an exciting pipeline, with more than 20 respiratory products and 40 injectable

products in development and plan to file more than 30 ANDAs in the next 2 years, of which more than 50 % will be complex products. As previously gu

ided, w e expect R&D to be around INR 1,800 crores for fiscal year 25, which would mean a significant inc rease in our R&D spends in Q4.

From a compliance perspective, we received the EIR from the USFDA for our Pithampur Unit -1 manufacturing facility with VAI classification during the quarter. So far this year, we have received EIRs for Aurangabad and Dabhasa and have successfully completed inspections at Somerset and Nagpur Injectable Facility with zero observations . We would like to re iterate that we are committed to ensure that all our sites are fully compliant with t he US FDA and other regulatory agencies around the world.

Before I hand it over to Ramesh, I would like to say that we remain optimistic to grow our business in the years ahead . Our R&D capabilities and pipeline are gaining momentum, be it our investments in various respiratory platforms like Ellipta and Respimat or the focus on complex platforms in injectables like iron colloids, peptides, 505 b(2)s and long acting Injectables and also our growing portfolio of biologics. We are also creating some unique differentiators like green propellant programs for our respiratory franchise.

As I have mention ed earlier, we also continue to evolve our innovation pipeline to ramp up our specialty business in the years ahead . We believe our approach on the pipeline front and our commercial strategy will drive long term sustainable growth for the company and also build long term value for our shareholders.

With this I will hand it over to Ramesh for a deeper analysis of our performance.

Ramesh Swaminathan: Friends, I welcome you all to our Q3 FY25 earnings call. This has been another quarter of consecutive double digit growth across the top and profits lines . I am particularly pleased to highlight our EBITDA margins at 24.3% during the quarter, which is the highest we have achieved in the last 5 years. Now, Diving into the numbers.

Sales

Sales for Q3 FY25 came in at INR 5,619 crores as compared to INR 5,080 crores in Q3 last year, a growth of 10.6% YoY. On a 9M basis sales came in at INR 16,630 crores versus INR 14,761 crores last year, a growth of 12.7% YoY. We have registered robust growth across most of our key geographies. India business has grown by 11.9% YoY, North America has grown 12.3% YoY, EMEA grew 20.9% YoY whil st API grew 4% YoY.

US Business

During the quarter , the US business recorded sales of USD 235 million , a growth of 10.5% YoY and 6.8% QoQ on constant currency basis. On a 9M basis, US sales were USD 682 million , a growth of 12.5% as compared to 9M of FY24. As Vinita mention s, while we have benefited from volume growth in inline products and new product introductions, this has been offset by low single digit price declines in base products and anticipated new generic competition in products like Albuterol and Suprep® . Our respiratory portf olio continued their strong performance with high market sh ares in most key products like Albuterol and Arformoterol . We also continue to execute on our strategy to improve our profitability in this segment, with another quarter of strong profitability from this business. On the long term, we remain confident of consistent delivery of profitable growth through an increasing share of complex products in our portfolio. On a full year FY25 basis, we anticipate our US business to deliver double digit growth, ahead of our earlier guid ance of high single digit growth in the segment.

India

The India business has grown by 11.9% YoY during the quarter and 16% YoY during the 9MFY25 period. Within this, the prescription business has grown

5.8% YoY during Q3FY25. On a 9MFY25 basis, the prescription business has grown at 9.1% outperforming IPM by 1 .1X. Chronic share during the quarter was higher at 65% with key segments like Diabetes and Cardiology growing ahead of the IPM grow

th. The share of in -licensed products is around 12% similar to the 12% last year , which also positive ly impact s our profita bility, going ahead.

Other Businesses

Revenues in our ex -India, ex North America Formulation businesses which include EMEA, ROW and Emerging Markets have increased 7.5% YoY to INR 1,277 crores and now constitute 23% of our sales. On a 9M basis, revenues have grown 12.6% YoY to INR 3,685 crores during the period.

EMEA

Our EMEA region, which constitutes our EU region business and South Africa business, registered strong growth of 20.9% YoY and 9.8% QoQ , during th is quarter. This has been driven by healthy double -digit growth in EU markets like UK and Germany from products like Luforbec® and NaMuscla® .

Emerging Markets

Our Emerging Markets include the APAC and LATAM regions and have registered sales of INR 451 crores, a decline of 4.7% YoY. On a 9M basis, revenues grew 10.5% YoY to INR 1,456 crores. While LATAM markets like Brazil and Mexico grew in local currency terms, overall growth was impacted due to Fx in th is region.

Coming to P&L.

Other Operating Income

Other operating income at INR 149 crores has increased by INR 32 crores as compared to Q3FY24. This increase is mainly due to higher PLI and export benefits during the quarter.

Gross Margins

Coming to the profitability, Q3FY25 gross margins were 69.4% up from 66.0% in Q3 last year. On a 9M basis, the gross margins are at 69% versus 65.7% recorded in similar period last year, an improvement of 334 bps points. This improvement is driven by multi ple factors which include better product mix, tail winds on input costs, lower share of in -licensed products, increased volumes and also various cost improvement and efficiencies which we have undertaken over the last several quarters.

Employee Benefit expense

Employee Benefit expense at INR 984 crores increased 10.7% YoY from INR 889 crores in Q3FY24 translating into 17.5% of sales. On a 9M basis, employee benefit expenses came in at INR 2,963 crores, an increase of 14.2% YoY translating to 17.8% as compared to 17.6% of sales in corresponding period last year. This change is largely attributed to higher costs attributable to regular annual increments and business growth during the period.

Manufacturing & Other Expenses

Q3FY25 came in at INR 1,696 crores, increasing 8.7% YoY from INR 1,667 crores in Q2 FY25 and INR 1,560 crores in Q3FY24 translating to 30.2% of sales versus 30.7% last year. On a 9M basis, manufacturing expenses came in at INR 4,936 crores, an increase of 7.7% YoY translating into 29.7% of sales as compared to 31.0 % of sales in corresponding period last year. The expenses are higher mainly due to higher R&D costs and higher volumes in the normal course of business.

R&D

R&D is at INR 434 crores, 7.7% of sales as compared to INR 448 crores, 8.2 % of sales in Q2 FY25, with almost two thirds of our R&D directed towards complex portfolio. On a 9M basis, R&D is INR 1,232 crores or 7.4% of sales. For the full year, we expect R&D to be around INR 1,750 -1,800 crores with a significant increase in R&D in Q4.

EBITDA
Excluding Forex and other income, EBITDA was INR 1,366 crores versus INR 1,022 crores last year , an increase of 33.7% YoY, with margins of 24.3% versus 20.1% last year in the same period. On a QoQ basis, margins have expanded 51bps. This margin expansion is on the backdrop of higher gross margins and lower fixed costs during the period.
On a 9M basis, EBITDA was at INR 3,985 crores, up 42.1 % YoY with margins of 24% as compared to 19% in the corresponding period last year. Putting all of this together , we believe that we shou ld be able to deliver EBITDA margins in the region of 23-23.5% range in FY25.
Tax
As far as the ETR is concerned it was 19.1 % during 9M

FY25. For the full year,
we expect the ETR to be around 20 -21%.
Balance sheet items
Operating working capital was at INR 7,071 crores as on 31st December as against INR 5,691 crores of 31st March 2024 which translates to 113 days of net working capital as compared to 105 days as on 31st March 2024. Net debt was at INR 103 crores as against Rs 477 crores as on 31st March 2024. While we focus on increased cash generation from our business, we would also like to highlight that we continuously explore strategic allocation of our capital to ensure the long -term growth vision of the company.
ESG
In the last quarter, we strengthened our ESG efforts in both environmental and social areas through various initiatives and ensuring that our operations remain "Water Positive" year aft er year. Our focus on reducing Scope 1 and Scope 2 emissions strengthened which includes various renewable energy projects.
We would like to update on ESG ratings. Lupin has received a Leadership ESG Score of “A -“ by CDP for Climate and Water. The "A -" rating from CDP includes Lupin's performance in environmental transparency and management. The 2024 scores for Climate and Water represent an improvement from last year's "B" rating in Climate and “C” rating in Water.
Further, we have successfully launched an ESG Supplier Assessment with a third party, encompassing our critical suppliers. We conduct ongoing ESG webinars and workshops to support our key suppliers in enhancing their sustainability capacity. Lastly, our "L ives Program" has benefitted over 99,500 individuals till date. This program focuses on providing rural healthcare services to marginalized communities.
With this, we open the floor for discussions.

Moderator: Thank you very much, sir, for the wonderful insights. We will now begin the questi on and answer session.
We'll take the first question from Kunal Dhamesha from Macquarie.
Kunal Dhamesha : Thank you for the opportunity and congratulations on a good set of numbers.
First one on the limited competition launches for us in US market over the next two, three quarters. We have discussed a few names. I just wanted to unders tand that for those names like g eneric Jynarque® , generic Glucagon, and probably Risperdal Consta, are we on track? And am I missing some key product here, which we might be able to launch over the next couple of quarters?
Vinita Gupta: The major products are Tolvaptan and Glucagon, Risperdal Consta and potentially Liraglutide. So those will be the key products for next year.
Kunal Dhamesha : And can you suggest the probable timelines of that? Tolvaptan is I believe is quarter one FY26 but on glucagon and Risperdal Consta, is there any update in terms of approval?
Vinita Gupta: So we are making progress on both applications with the agency and would expect that hopefully , approval sooner rather than later. But I think it'll be

safe to assume that Tolvaptan would be the major contributor in the first half of the fiscal year and the injectables should ramp up in the second half very nicely.

Kunal Dhamesha : And the recent inspection at Somerset, has that anything to do with our Risperdal Consta filing? Was it a PAI ?

Vinita Gupta Yes, it was a PAI but for a suspension product, for Edaravone. The Risperd al Consta product comes from Netherlands , and is manufactured at a CMO and both were inspected by the FDA last year and progressing well.

Kunal Dhamesha And second one on the India business. We have cited that the slow growth is primarily due to issues in respiratory therapy , and I believe the respiratory therapy growth itself was quite low despite being in a winter season. So what are the factors that is leading to the slower growth in your view?

Nilesh Gupta: I mean the market seems to be that way. I mean sequentially the number is as an absolute number up actually f or respiratory, but it's

been lagging for a while versus the rest of the market. Even for nine months, the market was only at 4%. We were at 3% for nine months and I mean the quarter again has been disappointing. I do think it'll bounce back. I mean we've had periods of high double -digit growth on r espiratory but for the last 12 -16 months, it's just been slow.

I think the focus right now from a respiratory perspective in the market has been more on anti -infectives and the like, not so much MDI, DPI inhalation kind of products. But we believe that it'll bounce back, hopefully in the next couple of quarters.

Kunal Dhamesha : Sir, in your view what would be the split of the chronic side of respiratory product like inhalers v ersus acute like anti -infective?

Nilesh Gupta: Our focus is primarily on that.

Kunal Dhamesha: Inhalers, right?

Nilesh Gupta : Yes, primarily MDI, DPI, a little bit of nebulization. That's it.

Moderator: Thanks, Kunal. We'll take the next question from Tushar Manudhane from Motilal.

Tushar Manudhane: Thanks for the opportunity, sir. Particularly first on the R&D spend , though the guidance is that it is go ing to increase in the fourth quarter, is there any specific projects which you would like to highlight which is going to require a higher R&D spend compared to INR 434 crores spend?

Vinita Gupta : Your voice was very muffled, but if we got your question correctly, you're asking about the reason for the R&D spend ramping up. A good part of it is our complex generics portfolio. It's five nasal sprays actually that we expect to file in Q4 versus the rest of the year. So majority of the spend is coming into quarter four. Also injectables, there's a good amount of increase in the second half of the fiscal year. So it's primarily respiratory and injectables.

Moderator: We'll take the next question from Bino from Elara.

Bino Pathiparampil: Just following up on that question on India. So this contribution from this tender business which has helped us show growth in that line. What's the nature of that? Is it going to be steady next year as well or will it grow or will it drop off next year?

Nilesh Gupta : In India on the institutional business. I mean it's been fairly flat. It's been a meaningful number. It will continue into the next year as well. But I mean, we always call out the busine ss with and without. The India R egion Formulation business, which is the domestic sales business, is 5.8% year -on-year or 9.1% for nine months.

Bino Pathiparampil: So this tender part of the business is likely to stay flat next year?

Nilesh Gupta : Yes. I mean it's a good number and it will continue with that good number.

Bino Pathiparampil: Second on Mirabegron, what are your latest thoughts around the litigation? Are you planning to continue selling it at risk? Any further thoughts since the last call?

Vinita Gupta : So no change in terms of litigation status. We continue to navigate through that process. In the meantime, the generic substitution has gone up. The overall availabl e market has gone up and our share has ramped up nicely as well. So no real change from a competitive scenario standpoint from the litigation developments.

Bino Pathiparampil: And the status quo is likely to continue for a few quarters or what are your thoughts?
Vinita Gupta: As we navigate through all of the outcomes of litigation, I mean, we expect in the first quarter of next fiscal year to get a decision on Mirabegron 2 patent and continue to litigate the others. So definitely for this fiscal year, we don't

expect any change and then we'll determine the next fiscal year based on the outcome of litigation.
Bino Pathiparampil: One last question to Ramesh. We have been be nefiting from this PLI -related income. How long is it likely to continue? How many more quarters?
Ramesh Swamin

athan : The benefit is there for next three years.
Bino Pathiparampil: But I believe you are booking up front or so. So at the current level, how long will it continue? How many quarters?
Ramesh Swaminathan: So there would be a decline for sure next year. In the normal course, you would be expected to look at about INR 200 crores on an annual basis. But you have the benefit of actually taking up to a third more in a particular year alone, which we've taken advantage of this year. But obviously, it would impact on the total quantum of monies that you can claim over the ne xt three years .
Moderator: The next question is from Surya Patra from Phillip Capital.
Surya Patra : So first of all, could you clarify what is the nature of this provision that has been created and have you shared about the specific nature of the dispute also?
Ramesh Swaminathan: So it's basicall y coming in from litigations, and we don't talk about which litigation and the like. It's a conservative provision and that's what it is.
Surya Patra: There is nothing to anticipate or nothing to see any kind of risk relating to the Mirabegron right now?
Ramesh Swaminathan : No.
Surya Patra : Second question is on the respiratory portfolio as a whole. If I remember right, then respiratory has become a more than 30% of revenue contributor putting all geography put together. And the current period is a kind of a respiratory pro respiratory season. So what kind of performance that you would have seen for the overall respira tory portfolio for the quarter ?. We have seen moderation, let's say, in India, w e have seen some kind of competition in the US relating to Albuterol to be specific. So given that, is there any risk that one should think or consider about this portfolio?
Ramesh Swaminathan : You know, the secular trends would kind of indicate that respiratory is going to be very important for us in America and in other parts of the globe and of course India as well. There would be some quarter -on-quarter variations and the like. And that doe sn't necessarily mean that the secular trend is going to be upended.
Surya Patra : But this is a kind of a peak season al period. During that period, we are witnessing relatively underperformance . That’s why the question was.
Ramesh Swaminathan : You can't pinpoint the reason why there is a decline in any part in India and so on. So we just take it as it comes that way. But in a general sense, our focus on the segment will certainly continue.

Vinita Gupta : So it's a really strong contribution both in US, Europe, Canada, as well as growing in other parts of the world like Australia. And of course in India, we have the respiratory market growth at a muted level that is contributing to the lower growth. But ove rall, respiratory still continues to be a major therapy area for the organization. It's an area where we expect to bring all the material generic products to market across the globe and we expect to also innovate like we have done in India w ith the two triple novel combinations. We continue to work on respiratory green propellants for US, Europe as well as India plus other products we have the opportunity to bring to market , brands like Xopenex® in the US that have been fairly s table. And while we

have a low growth in respiratory in India, we're seeing the flu season pick up in the US again, we're seeing another peak. So the market shares on the respiratory portfolio is fairly strong.
Surya Patra: Last question is about the cost. It is great to see your cost optimization measures really contributing to the improved margin now , and also possibly improved margin is flowing from the improvement what we have been seeing in the US business as a whole. So there would be an element of Mirabegron which could be a positive surprise. So given that, going ahead, in the next 12 - month period, what kind of

a margin performance that we should see for the US business? I may not require the number, but q ualitatively if you can talk something about the next year's US profitability that we are anticipating ?
Ramesh Swaminathan: So there are some tailwinds in terms of forex which you cannot be sure about. But the focus on cost is eternal insofar as we are concerned and we have seen some good results coming in. We have seen also tailwinds when it comes to input costs. But again, as I said, there are geopolitical tensions, et cetera that are actually moving parts . You can't be certain . But I think if you talk about overall margins, I did indicate the fact that between 22.5% to 23.5% would be a good range to aim for the next fiscal as well.
Surya Patra: Also, a re you really worried about the kind of tariff things which has been talked about? Although it has been indicated to be around 2.5% on the pharma also or any US tariff thing area of concern or uncertainty for this moment?
Vinita Gupta: So we are monitoring it very carefully and the industry has made a strong pitch, both from AAM standpoint as well as IPA, the tariffs will have a significant impact on the generic industry if it was implemented. I mean 70% of generic drugs for the US are imported at present, 50% of generics come from India. So there's clearly a significant role that India plays on the generic front and we've made that case with all the major stakeholders. So we'l l find out with the current visit of the PM to t he administration what transpires. But we are hoping that pharmaceuticals and generic drugs in particular will be exempted. And if it 's otherwise, we'll be looking at other ways and means of mitigating the impact with a combination of manufacturing in the US as well as wherever possible, from a cost perspective and otherwise . We are watching it very carefully, but hopeful that the case made by the industry has been heard and the implication is understood that any tariff impact can really cause more product disruption and drug shortages which no one wants in the country.

Moderator: We'll take the next question from Anubhav Agarwal from UBS.
Anubhav Agarwal : One question is on Radicava. Vinita, which year can you launch it? Is it next one, two years or beyond that?
Vinita Gupta: Which product are you referring to, Anubhav?
Anubhav Agarwal: The Somerset where you have the P AI on Radicava?
Vinita Gupta : I think it's out for a good number of years. It's not in the next two years.
Anubhav Agarwal : Second is on the Canada - Semaglutide opportunity. Would you be in the first year of the opportunity or are you pursuing that?
Vinita Gupta: The team is working on it. We're hopeful that we'll be in the first wave between FY 26 and FY27.
Moderator: We'll take the next question from Bansi Desai from JP Morgan.
Bansi Desai: Vinita ma'am, you mentioned about increasing our focus on the specialty business in the US. So if you could just elaborate on that. Are we talking about acquiring brands like we did in case of Xopenex® or are we also going to evaluate probably late-stage assets? So what would be our strategy here and have you earmarked any investments for this business?
Vinita Gupta : So we do want to build specialty as the third major arm for our global business with the US being a major focus. And assets like Xopenex® is a sweet spot for us, products that fit strategic aspirations, building on the respiratory front and ideally on market assets. But we know it's difficult to really get on market assets. So we're also looking at late -stage assets that are compelling from an investment perspective.
And you know that we are a debt -free company at this point, so have the

ability to invest for the right programs and opportunities. W e haven't
earmarked but are committed for the right assets to explore as well as close
wherever possi

ble, both acquisitions. Simultaneously, we are also building a
pipeline in the respiratory front with the capabilities we have; on the R&D
side, the opport unities that we have on the green propellant front, to take
the meter dose inhalers and come up with more climate -friendly and
achieving both our sustainability goals and offering a differentiated product
to the patients and the market. We continue to innovate on that front on the
pipeline. So a combination of both pipeline as well as late -stage assets is what
we're looking at.
Bansi Desai : And given the biotech funding has been weak out there in the US, i s it fair to
assume that there are good assets that are available in the market?
Vinita Gupta : There's a lot of opportunities right now that if one could acquire at least a few
assets that are meaningful. So really good opportunity to acquire assets.
Bansi Desai : Secondly on the Tolvaptan opportunity. Post exclusivity, how should we see
the competition coming in? Would it be in a staggered manner and would
Tolvaptan be a meaningful contributor in fiscal '27 as well for us?

Vinita Gupta : We expect it to have a stronger tail because it's a specialty product, REMS
product. It's the conversion we expect is going to be slower than what you
would expect in a simple oral solid and the tail should be longer. So we would
expect both second half of the fiscal year as other competition comes in, plus
into fiscal year '27, it should be a meaningful product.
Bansi Desai : And lastly, in terms of margin trajectory, two years out, when I just look at
some of the moving parts, probably PLI would have been normalized.
Jynarque® also would have been probably at normalized levels. But then
again, you have certain businesses in India which are probably loss -making
today and that could probably contribute positively. So how should we think
abou t margins, say, in fiscal '27 -28? Would fair to assume it would be higher
than where we are currently?
Ramesh Swaminathan : Given the kind of products that we'll be bringing to the market, obviously the
top-line buoyancy would continue. There's also the focus on cost and we have
taken up a number of initiatives which would actually certainly keep that on
a tight leash. And the third aspect of the entire program that you spoke about
is essentially adjacencies. Clearly, we are losing about a couple of percentage
points because of essentially the losses that these adjacencies are currently
lapping up at this st age. But that said, over the next three years, we expect
that to also turn positive. But we also have growth plans in terms of spinning
it off at some point. So clearly, upward movement on the EBITDA front is
certainly to be expected.
Moderator: We'll take the next question from Saion Mukherjee.
Saion Mukherjee : So Vinita, Nilesh, if you can talk about Semaglutide, other than Canada, which
all markets you already filed. And if you can take us through 2026 and 2027,
how should we think about the launches? And your preparedness in terms of
formulation and API? And h ow much will be the dependence on partners for
this product? So if you can just draw the landscape broadly for this product
over the next two years ?
Nilesh Gupta: I think on India - on the injectable, I mean there's going to be many players.
We'll have it in that first wave as well. The more interesting part to solve for
in India is the oral product , and we're hoping to have that at the time of loss
of exclusivity as well. We think that that will be the more important product
to deliver on and that will come from an internal development.
And then for other markets, we're obviously looking across, I mean Canada
we talked about earlier. But Vinita, do you want to add for other?
Vinita Gupta : For the oral solid, which is an opportuni ty also in multiple markets, we have
internal development. And for the injecta

ble Semaglutide, we have
partnerships in place. For a few markets, we have existing partnerships,
others in the works. But we would expect the '27 calendar year to be in at
least a handful of the open market s for Semaglutide.

Saion Mukherjee : And in terms of capacity, anything you can share? Your ability to service the markets? Have you invested in that from a formulation perspective?

Vinita Gupta: For the oral solid, definitely we have internal capacity, as well as injectable, although we have partnered with companies, we have the ability to double up with our Nagpur facility. But right now, we are counting on partners for the injectable.
Saion Mukherjee : And next one was on green propellant. You mentioned Vinita about that opportunity. So how should we think about it? When do we get more clarity on this? And how meaningful this opportunity you see at this point?
Vinita Gupta: So we expect the metered dose inhaler market will move materially, maybe start ing in five years, but definitely over the 10 years into the green propellant products certainly with the moves that the major pharma companies have made like GSK, AstraZeneca, as well as Chiesi. From a European standpoint, we h ope to be at the forefront as a material player on the respiratory front , with our Xopenex® brand as well as other MDIs to bring better propellant products to the market. So we have multiple products in development right now, not at the stage where we are filing in the next year but cer tainly year next, fiscal year '27, we should start to see product filings.
Saion Mukherjee : One more question regarding biosimilars. We sense that the investments slowed down in the recent past. Any fresh thoughts there? Are you planning to step up investments in biosimilars? Any view you have on that space and Lupin' s participation?
Vinita Gupta : Actually, it's a promising trend on the biosimilars front in the US in particular in the last 12 months, both from a regulatory perspective with the FDA easing the requirements on interchangeability, you don't need to do additional studies for interchangea bility anymore. And with the trend on private labels from the large PBMs like with Caremark and Humira, what they did with the Sandoz, the Cordavis label that converted the majority of the market from Humira to the biosimilar, that is a prom ising trend on the market front.
In the past, as we looked at it, both from a development perspective, we saw the biosimilars were fairly onerous, capital intensive, and then from a go -to-market standpoint you needed commercial infrastructure and both seem to start easing up at this point . So it's a really positive trend. I mean we have a good number of products for the near term, so we continue to invest in those. As I mentioned, Ranibizumab was filed in EU this past quarter, will be filed in the US. So we have Pegfilgrastim that we still see as an opportunity, as we get the product approved. We have Ranibizumab, Aflibercept, and then Etanercept in '29 that comes into the market in the US where we should be one of three in the market and th en we have other products like Ce rtolizumab and M epolizumab respiratory products as well that we are pursuing. So actually, it looks like the biosimilar market is starting to open up and , as it does, we'll continue to look at opportunities . As it opens up and on the one side the challenges come down, but the competition goes up. So our focus is very much going to be in limited competition products where we're going to be in the first wave, where we can be one of two, one of three. That is the kind of focus that we will have from a portfolio standpoint. So it will be a fairly selective number of products that we will pursue.

Moderator: The next question is from Shyam Srinivasan.
Shyam Srinivasan : On the European market, the kind o

f growth that we have seen about 20%. If you could kind of articulate what's driven that growth. I think you called out two products, but just want to understand the sustainability of the growth in the European market for t he path ahead.
Vinita Gupta : So you know, respiratory portfolio has been a big contributor in the European growth, in particular in the UK as well as Germany, where we've continued to grow our market share with Luforbec® . And now with the Nalcrom ® addition

in Germany in particular that's helped us grow Germany, you know, the
combination of Luforbec® as well as Nalcrom ®. So respiratory portfolio has
been a big contributor for the European growth and we expect, you know, to
continue revenues at the current level. So, wherev er we can, we will grow
share. We are getting into new markets in Europe as well. Right now we are
in 13 countries with Luforbec® but have the potential of launching in countries
like Spain and others. So continue to make inroads there.
Shyam Srinivasan : And just a second question, going back to the question on tariffs. If you see,
there's increasing risk that 10% import tariffs come on critical imports in the
US and the critical imports do include pharmaceuticals at this point of time.
So I'm just going to ask a hypothetical question. In case it gets announced as
early as next Feb 18th Feb seems to be the date, what are the mitigation
efforts in terms of do we have pricing power to increase that onto our
customers our you think we are going to have to absorb it at the start and
then negotiate? Because moving manufacturing and other stuff while we
have capacity probably takes time. So I just want to underst and the push and
pulls around - I know it's a h ypothetical question but seems - given what is
happening on trade, a more likely one than not. So just want to see from a
management preparedness in case such tariffs occur, what is the thought
process?
Vinita Gupta : So we are looking at multiple different avenues there to look at the impact
and how you mitigate it. But as an industry, we have all aligned on the fact
that the industry has gone through a lot of pressures . Critical medicines , high -
volume low -price medicines cannot bear additional costs. So with 70% of the
products imported into the country on the generic front, 50% contribution
overall generics from India, I mean one would expect prices would go up in
case on critical medicine s, in case, th e tariffs are implemented.
So again, I mean it's hypothetical but as an industry, we have everyone
recognizes the impact that tariffs can have on the cost of goods and
understands that it either leads to a cost increase for the market or you're
going to see disruptions in the market .
Ramesh Swaminathan : And you are not reckoning the response to the Indian government also. They
actually reduced tariff on certain rates on certain categories of goods and so
on from America. So we don't know their response for this particular category
also as yet.
Moderator: We'll take the next question from Vivek Agrawal from Citi.

Vivek A grawal: So the question is related to Tolvaptan. Given tha t this is going to be an at risk
launch and you have highlighted that this is going to be REMS product and
conversion is expected to be slower. So what kind of the market share you
are expecting during exclusivity? Is this going to be let's say around 15% , 20%
or maybe higher like 30% - 40%. So any colour if you can provide that would
be super helpful.
Vinita Gupta : We hope that it gets to the 30% - 40% level based on the partnerships we
have established with the key channel partners on the product .
Vivek Agrawal And a r elated question. Post 18 0 days exclusivity, right, how many players
you are expecting in this particular product? Maybe two, three or many
other?
Vinita Gupta: Yeah. We are expecting two, three additional players.

Moderator: We'll take the next question from Nitin Agarwal from Dam Capital.
Nitin Agarwal : Vinita, there has been a lot of general concern in the sector with respect to
sector facing certain sort of US sales erosion in FY27 post -Revlimid® sales
going away. While we don't have the Revlimid ® challenges, we do have our
set of large ticket products in FY 26 like Tolvaptan, maybe Mirabegron as you
mentioned continuing in FY26. So I mean as you see the business looking
through a couple of years out in FY 27, do you see a risk of growing or , not
growing over the FY '26 base that you will end up creating?
Vinita Gupta : So we have a strong pipeline that we are pursuing. Some of these products
that we are expecting maybe competition to come in , just gone by how long
it has taken for us to get approv al on products like say Spiriva . That took us
five years to get FDA approval. One believes that it's going to take longer for
competition also to get approved. So we do feel, with the pipeline that we

have in place that we should be able to continue to drive growth in the US
market desp ite pressures on products wher e you lose exclusivity.
Nitin Agarwal : So I mean if we are going to do double -digit growth all over in '27 or '26?
Ramesh Swaminathan : It depends on so many things really essentially. So we have a rich pipeline but
as you say there are moving parts because of various things. But over the next
five years, we are focusing on what we think would be the complex portfolio
and that would help in kind of securing growth over the next four years, five
years.
Vinita Gupta: We expect in fiscal year '26 , the US should be at a USD billion plus and then
look at how we can sustain the growth from there.
Moderator: We'll take the next question from Neha Manpuria.
Neha Manpuria : Quick question first on the capital allocation. If I were to you know ask for a
rank order in terms of, you know, where we would pursue M&A, would it be
India , Specialty , biosimilars How should I think about priorities for capital
allocation for Lupin ?
Ramesh Swaminathan : You correctly pointed out, the highest priority would obviously be India.
There would of course be opportunities in generics up to a particular limit in

other parts, including America. And of course, we have a larger chunk
reserved for specialty itself.
Neha Manpuria : And would you like to earmark a number as to what we would like to spend
in, India or US generic in case of acquisitions?
Vinita Gupta : I think Ramesh meant to say, you know, India , Specialty and then gene rics,
wherever we need it, in that order. With specialty and India being the major
focus.
Neha Manpuria : We don't have like an earmark number as to this is what we would like to
invest in, let's say, India , Specialty?
Vinita Gupta : No, it's based on the opportunity and what we see in terms of synergies as
well as growth potential.
Ramesh Swaminathan : But having said that, we would be comfortable with a bite -size acquisition,
USD 200 million to USD 250 million should be easy enough for us.
Neha Manpuria : In each of these areas?
Nilesh Gupta : Several of them.
Neha Manpuria: Second, I think in the past, we've talked about CDMO opportunity, you know,
that we're probably exploring, you know , for growth beyond, FY 27. Any
update there? Have we looked at Cap ex? You know, what's the thought
process on that?
Nilesh Gupta : So we've spun out Lupin Manufacturing S olutions and there's a whole team
that's been put together for this as well. Efforts are on in all earnest now.
They're actually putting the strategy together, which they'll have in place. So
we'd hope to give some more flavor on this next quarter.
Neha Manpuria : And have you earmarked the Cap ex for this, Nilesh?
Nilesh Gupta : No, it'll come along with the strategy.
Operator: We'll take the next question from Harsh Bhatia .

Harsh Bhatia : Spiriva market share for FY25, our t arget was somewhere around 35% - 40%.
In December, as for the presentation, it's around 30% - 31%. So what are the
plans for Spiriva market share at this stage, including commercial versus
Medicare and Medicaid channel?
Vinita Gupta : So the team has done a really good job in activating multiple are as from a
conversion standpoint, but we're starting to see some impact already in
January where TRx share has become high 30's has gone to 38% level and NRx
is 40% plus. So you know the multiple eff orts on from a co -pay standpoint to
ease the burden on the patient to access into Medicare/Medicaid through
contracting , plus other avenues are starting to show results. So we are
hopeful that we sustain this level into the rest of the quarter and into the next
fiscal year to get the overall market share to hopefully 40% plus.
Harsh Bhatia : Just one clarification on this incremental ma rket share that is standing out,
earlier mentioned that at a commercial level, you were already at 40% plus.

So this incremental market share is sort of coming from the non -commercial
side of the business?
Vinita Gupta : That's right.
Harsh Bhatia : And this is sort of related to the out -of-pocket capping that the innovator had
undertaken let's say a few months back. Does that sort of relate to that in any
extent?
Vinita Gupta : No, maybe we can take this question offline but it's needless to say the efforts
that the team has put in to drive conversion to our generic are starting to
show. We'll have to still continue to monitor the trend to see if it is sustainable
but it's looking good so far in January to February.
Harsh Bhatia : Very lastly on this USD 250 million run rate for t he quarter for FY26, basically
USD 1 billion number. What is the assumption for Mirabegron, if I may ask for
this number?
Vinita Gupta : We assume that additional competition comes in, in the second half of the
year. On Mirabegron, we've assumed that Albuterol faces competition or
impact of competition that has already started. And we've assumed that
Tolvaptan helps tremendously in the firs t half and injectables plus Tolvaptan
in the second half.
Moderator: We'll take one last question from Tushar Manudhane.
Tushar Manudhane : Just continuing on R&D spend. While we have highlighted INR 1,750 crores to
INR 1,800 crores for FY25. ,would you follow it for FY26 as well? On an
absolute basis, how much R&D spend will be?
Ramesh Swaminathan : I would say, as an absolute there would be an increase but as a percentage of
sales, it will perhaps be around the same levels. But given the focus that we
have on more complex stuff and the like, this is inevitable.
Tushar Manudhane : So INR 1,800 crores to INR 1,900 crores safe to assume that much of spend to
happen?
Ramesh Swaminathan : Yeah, that's a slight increase over that if necessary.
Tushar Manudhane : And just if you could share specifically for Canada Semaglutide, like market in
terms of units, how big it could be?
Ramesh Swaminathan : We can take that offline, please.
Moderator: I now hand the conference over to the management for the closing remarks.
Vinita Gupta : Thank you. Hopefully, we have been able to answer all your questions. We'll
be happy to take any that we have not been able to get to offline. There were
a lot of questions on what is likely to happen in the US from a tariffs
perspective. And as I mentione d, we hope that the industry efforts do pay off
in terms of to ensure the sustainability of the US generic industry in the
interest of patients as well as other stakeholders.
From a Lupin standpoint, we are very pleased with how the company has
performed this fiscal year and really excited with the potential in the near

term with our major growth drivers, looking very clear from an approvabilit

y
standpoint as well as market launch standpoint, and improving market
conditions in new areas for Lupin like biosimilars.
We look forward to continue to execute on our strategic plan to drive growth
across key major markets and evolve our business from generics into more
branded and specialty on top of complex generics in the year ahead and
certainly in the next couple of years.
So thank you again for your support and attention. We look forward to
catching up with you at the end of this fiscal year in May, hopefully in person.
Thank you again.
Moderator: Thank you so much, ma'am. On behalf of Lupin Limited, that concludes this
conference. Thank you for joining us. And you may now exit the webinar.
Thank you.

Call: May 2025

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May 21, 2025
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Subject: Transcript of the Investors Meet 2025.

Dear Sir/Madam,

In continuation to our letters dated May 02, 2025 and May 15, 2 025, pursuant to Regulation 30 read with Schedule III, Part A, Para A(15)(b) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclose d, copy of the transcript of the Investors Meet 2025 held on May 15, 2025.

The transcript of the Investors Meet 2025 is available on the w ebsite of the Company at www.lupin.com .

The above is for your information and dissemination.

Thanking you,
For LUPIN LIMITED

AMIT KUMAR GUPTA COMPANY SECRETARY & COMPLIANCE OFFICER
(ACS -15754)
Encl: a/a.

May 15, 2025

"Lupin Limited Investor Meet FY2025"

May 15 , 2025

MANAGEMENT:

- MS. VINITA GUPTA – CEO, LUPIN LIMITED
- MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
- MR. RAMESH SWAMINATHAN – EXECUTIVE DIRECTOR, GLOBAL CFO & HEAD OF API PLUS SBU, LUPIN LIMITED
- MR. RAVI AGRAWAL – M&A AND INVESTOR RELATIONS, LUPIN LIMITED

Ravi Agrawal : Dear friends, it gives me great pleasure in welcoming you all for our investor meet, including the people who have joined us online. Apologies for the slight delay but it's great to have you all here and welcome again. On the dais today we have Vinita Gupta our CEO, Nilesh Gupta our Managing Director, and Ramesh our Global CFO. I am Ravi Agrawal, Head of Investor Relations at Lupin. We have a small AV wh ich we will run for you and then we will get into a presentation and then after that we will follow it up with Q&A. Over to you for ru nning the AV to start the meet.
We start the presentation now. Before we start, I think the safe harbor statement . Information provided during this presentation may contain some forward -looking statements. These statements are based on current expectations, forecasts, and assumptions that are subject to risks and uncertainties, which could cause actual outcomes and resu lts to differ materially from those statements. The company disclaims any obligation or undertaking to release publicly any updates or revisions to any forward -looking sta tements, whether as a result of new information, future events, or otherwise, unless required by applicable law. I'd now request Vinita to come and just start the presentation for us, please.

Vinita Gupta: Thank you, Ravi. Well, it's a real pleasure to meet all of you here today in person. I know we haven't done a face -to-face meeting for a good number of years. The last time I recall we met, it was I think in 2022, when we were just coming out of COVID, had gone through a number of challenges that had impacted our performance. And from there, in 2022, with the efforts that we worked upon, I think about it, number one, execution of new product launches, in particular in the US, to turn around th e US business, leveraging our complex generic portfolio to build Other Developed Markets, growing India and Other Emerging Markets on a consistent basis. At the same time, focus on cost optimization whether it's footprint rationalization or broad efficiency measures, and third, our quality and compliance efforts that enabled us to work through our OAI site s, 3 sites in particular, have really enabled us to turn our business around over the last 3 years.
We are very pleased that fiscal year ‘25 has been a stellar year for the organization where we have continued the momentum, the growth momentum, as well as continue to evolve our strategic growth drivers and capabilities to continue to grow in the future. So we look forward to sharing with you our performance th us far and our plans going forward.
So before that, I will just start with where Lupin is today. When you look at our company globally, we are the 12th largest generic company by revenues. We h ad a great year with USD 2.7 billion in revenue and USD 625 million in EBITDA, delivered by a very strong group of Lupin ytts. When you look at our presence across our key markets, we have a leadership position in all our key markets. Starting with the US, where we are the 3rd largest company by prescriptions dispensed. India, where we are the 8th largest, primarily organically. I mean there are companies that have done acquisitions that have gone above us but from an organic growth standpoint, we have consistently

grown our India business. And other markets like Australia, where we are the 4th largest company on the generic front, and South Africa, where we are the 8th largest company on the generic front. So really a substantial position in all our critical markets , driven by a very strong pipeline of generics, branded drugs, as well as complex generics.
If you look at our business globally, for this past year, it's very well diversified. You look at the Developed Markets and the Emerging Markets . The US and Other Developed Markets are roughly 50%, India a

nd Other Emerging
markets are roughly 50%. And when you look at the nature of the business, the India and Emerging Market is primarily branded business. US, Other

Developed Market is primarily generic business. So very well diversified business geographically. Very pleased with the progress we have made on the ESG front. So it's been a stellar year for us, not only from a financial perspective, building on the growth momentum but also growing sustainably as an organization.

So this is our current footprint around the world. In particular, on the manufacturing front, we have a very strong footprint that supports our generic business globally, with 15 manufacturing sites around the world, 4 in the Americas, 2 in the US in particular, that give us tremendous capability and flexibility to be able to manufacture more in the US If it made sense, based on the tariff considerations and also the economic incentives that the government puts in place, if it's attractive, we will have the flexibility to manufacture more in the US

Look at our R&D centres, seven R&D centres around the world, including 4 in the Americas again, 2 in the US, as well as in Mexico and Brazil, and then 1 in the Netherlands, the Nanomi long -acting injectable R&D centre in Nanomi. So tremendous capabilities on the R&D and manufacturing front to drive our growth going forward as an organization.

You look at our manufacturing plants, in particular, for the US, we have 12 plants that serve the US market. I'd say 11 right now because the Pune biotech facility is yet to be approved by the FDA, but have multiple manufacturing sites that are approved by the FDA, as well as other regulators that enable us to build our generic business.

So if you look at our major pillars of growth, you saw our purpose statement that we take a lot of pride in. We put a lot of effort in crystallizing that statement and are very proud of catalysing treatments, both across innovative medicines as well as affordable medicines to serve the communities and the patients that we provide drugs to.

When you look at our major pillars of our business, the US in particular has come a long way for the organization, evolving our portfolio from the simple products to complex generics, in particular on the inhalation front, very soon on the injectable front as well, fiscal year ‘26 is going to be a material year o n the injectables front, and biosimilars, which is an opportunity that is emerging now for us. There's been a lot of back and forth on the biosimilars front over the last couple of years, but given the change from a regulatory perspective,

the FDA reducing the requirements for interchangeability studies, as well as the private label model appearing in the US, the US is emerging as an attractive biosimilars market, of course with selective portfolio choices. We also continue to operate our legacy business of oral solids, ophthalmic, dermatology, and leverage product opportunities that differentiate us, like you have s een Mirabegron, Tolvaptan that is going to be a material contributor in fiscal year ‘26. So the US is on a very strong foundatio n, a very strong trajectory from a growth perspective in the next couple of years. Other Developed Markets, especially Europe, Canada, Australia, leveraging our portfolio in the US, the platforms in the US, complex generics are the largest part of growth in Other Developed Markets and allow us to really build both on our capacities, manufacturing as well as R&D capabilities, to gain operating leverage across the globe.

In India, we continue to focus on delivering growth above the market. The last 5 years, the last 10 years, we have consistently grown above the market. We'd like to grow 1.2, 1.3 times the market and we have done that in many years. The last couple of year s, with the loss of exclusivity on-inlicensed products, the growth

has been a little below that, but it's still been above market growth over the last many years. Our strategy is both innovative products as well as a pipeline that we have built internally as well as licensed through partners, and acquisitions. You saw recently we acquired the insulin brand from Lilly, which enables us to really gain the end -to-end economics on the product. And we will continue to look at acquisition opportunities to bolster our portf olio in the India business. Simultaneously, we also are expanding our footprint. We have done pretty well in terms of sales force expansion over the last couple of years, and continue to focus on expanding our footprint as a business within Indi a.

Also, you have seen us getting into strategic adjacencies that enable us to go beyond the pill, beyond the prescription medicine, into diagnostics, digital, OTC products that enable us to bring a full solution to the patient as opposed to just the prescri ption. We are starting to see the benefits of the strategy. We are starting to see the impact of the strategy on our prescription business, and we will continue to evolve these areas to be able to both strategically contribute to our position in the market place as well as build value through these efforts.

Other Emerging Markets, in particular South Africa, Brazil, Mexico, Philippines, we have strong local businesses that are pretty self -sustaining. All of them tend to really run the business on a positive cash flow, on growing profitably, primarily through their own pipeli ne developed internally or in -licensed, but also, where possible, integrate with Lupin's pipeline in particular in the key areas like respiratory, CNS, biologics as well. In the Emerging Markets we also have a strong position in institutio nal business with our TB Portfolio, which is the company's legacy business. I am very proud that we are continuing to maintain a leadership position in this segment.

On the API front, we have built substantial scale, and it's enabled us to really build a very strong reliability of supply on the generic side of the business. This has been a critical piece of discussion in the US conversations very

recently, where the US would like to bring API manufacturing in the US if possible but we as an organization have more than 50% of our generic portfolio vertically integrated through our own APIs that enables us to really have a very strong cost position as well as reliability of supply that we have been able to leverage to ensure that we meet the market requirements on a consistent basis. We also have leveraged the API business and capabilities to build a CDMO business, as you saw. This past year, we have made significant progress there in terms of the teams and capabilities and we will continue to evolve our CDMO business based on these API capabilities to be able to build value with this vertical. So, multiple growth drivers in the organization, that give us the confidence of consistent growth going forward.

So, when I look at the journey over the last 5 years, there are many areas to highlight. On the commercial front, the turnaround of the US business was a material event for us over the last couple of years that enabled us to get back to consistent growth and more importantly profitable growth for the organization, and evolve our EBITDA margins on a consistent basis over the last 10 to 12 quarters.

On the complex generic front, we were the first Indian company to launch a DPI in the US We were very proud with Spiriva ® to be able to get that approval in 2023 and launch it as a sole generic. We are still the only generic in the marketplace. It took us long, 5 years from filing to get FDA approval but it's enabled us to build Respiratory as a major vertical for our busine ss in the US When I look at our MDI and DPI business in the US, right now it's one -third of our US portfolio

from a revenue’s perspective. So a material contributor to our business in the US as well as globally and also differentiates us as an organization .

In India, we have expanded our position with 11 new divisions, a field force up from, it was 5,000, I think, 5 years ago, to 10,000 plus at this point, so significant expansion that has enabled us to grow above the market growth rate in the country.

If you look at our chronic share in India, so again, we are very proud of this accomplishment. Five years ago, the picture looked very different. Our chronic share was sub 60% Today, it's 64% chronic, so more sustainable, more profitable business. When we compare ourselves with our peers, we are actually one of the best mix of chronic versus acute as an organization in India.

We have continued to focus on commercial excellenc e in areas that we felt needed dedicated focus, like the trade generics business t hat we recently spun out into a wholly -owned subsidiary, with the idea of really focusing hard

on driving that business given the growth of the trade generics business in India, and Lupin Manufacturing Solutions, which again as I mentioned in the previous slide, on the API front, allows us to leverage our capabilities on the API R&D and manufacturing to build a CDMO business.
We have also had strategic acquisitions over the last 5 years. Xopenex® in the US enabled us to get into the brand side of the business. When Sunovion was looking to get out of the market, we thought it was a strategic opportunity for us to have a foot into the brand business on the respiratory front in particular .

The product has grown since we acquired with very limited promotion efforts, so we are looking at how we can build further on this start. Medisol in France that enabled us to get into, we didn't have a presence in France until we acquired Medisol, which gave us a very nice injec tables portfolio that enables us to build our internal pipeline on top of this to build a business in France. And Southern Cross in Australia that allowed us to almost double our business , has been a significant contributor to growth in the Australian market and has enabled us to get to that position of 4th largest generic in the Australian market.
If you look at the material product launches over the last 5 years, Suprep® from Somerset, Albuterol from India, Spiriva ® that I just mentioned, our first dry powder inhaler in the US, Mirabegron, material contributor in the last fiscal year and continues to be this fiscal year as well. In India, we were very pleased to launch differentiated products like Difizma and Vilfuro, unique novel respiratory products that enable us to differen tiate our product offering with the pulmonologist. In Europe, Luforbec® which is a Fostair® generic has enabled us to really double our business in Europe, so significant contributor to growing our business in Europe that has done extremely well over the last 3 to 5 years. And NaMuscla®, our first orphan drug, our first brand in Europe has grown very nicely over the last 5 years as well. We are actually in the process of the second indication. We started with the NDM indication which is smaller indication . DM indication is much larger. We are going through a phase 3 study at present for the DM indication in Europe as well as the US that will enable us to maximize this brand globally. And lastly, Etanercept, which has been a material contributor to our business in Europe as well as other parts of the world, Japan, Southeast Asia, Latin America. We are very pleased with how things are evolving in the US and will determine how we commercialize this product in the US in the years ahead. 2029 is when the patent goes off in the US
If you look at the impact on the financials, we have improved our gross margins from 64 %, 5 years ago to 69 %. Look at our EBITDA margins, gone from 16% to 24%. We a

re a zero -debt company at this point, have strong cash
flows and have considerably improv ed our ROCE from the 10 % level to 20 %. So very pleased with the financial results of all of the efforts over the last many years.
On the compliance front, we have made material strides, getting 3 of our sites, Pithampur, Goa, Somerset out of warning letters to a VAI status. I am confident if the FDA was to visit the 2 pending sites, Mandideep as well as Tarapur, our sites are ready to receive them. But we don't have any pending products from the sites, so they don't have any hurry to come in and inspect these sites. But I am confident in the near future we will get those sites cleared as well. The last couple of years, it's not been quiet. We have had multiple inspections across all of our different facilities and we have sailed through each of them.
So looking forward to continuing that strong trajectory going forward. You can see the impact of all of these efforts over the last 5 years. I just mentioned the financial results but as you can see from the chart, the last 3 years has

been a really strong trajectory for us and has also reflected in the shareholder value that has built over the last few years.

So for fiscal year ‘25, you have already seen the numbers, so I am not going to reiterate them. It's been a stellar year from a revenue growth standpoint, from a margin growth standpoint, from a net income standpoint. But we are very pleased that all our markets, all our regions, grew this past year. And the majority of them grew double -digit. If you look at India, it grew at 14%. North America grew at 16%. US per se grew at 17%. EMEA grew 22%, so a stellar year in EMEA. APAC grew 5%. LATAM grew 10% after a Mexico facility came back up last year. It's now back to the pre -closure levels. So very pleased with the growth there as well. The Rest Of World, along with our GIB business, the tuberculosis TB tender business grew 11%, and our API business grew 3%. So a stellar year for us as an organization.

So I want to switch from there to a couple of the trends in our industry. As we are looking at the industry, certainly a lot happening in the US but also multiple other trends that pose both challenges as well as opportunities for us as an organization. If I look at the geopolitical situation, a lot of things happening around the globe that really put India in a very strong position, in particular as countries and regions are de -risking from China. The US in particular is very focused on de -risking from China , and India I think is very well positioned to leverage that opportunity on multiple fronts. Tariffs are certainly going to shape the trade relationships between countries. The US is every day, every week in the news about tariffs on China, tariffs on other countries, tariffs on India. We are hopeful that, based on the bilateral trade negotiation between India and the US, the importance of Indian pharma sector in the US, given 50% of the prescriptions in the US come from India, that we are going to be able to convince the stakeholders to have either zero tariff or limited tariff on drugs from India. Certainly there's been a statement from the Trump administration on that front in the last couple of weeks that sounded promising, so fingers crossed on that fro nt. There's a paradigm shift in the US healthcare industry with all of the changes the new administration has made, a number of areas that are impacted so far. Many healthcare programmes have been impacted. A lot of research funding has been impacted in th e US DOGE has made material cuts across multiple areas. FDA has lost 20,000 people. Thankfully the reviewers are still there. I mean, they cut a lot of the policy folks but not the review branch that actively reviews and approves products. The Inflation Reduct ion Act, you know, the government is actively reviewing the pill pena

lty on IRA. As a number of you might know, the IRA allowed HHS to negotiate drug pricing for biologics 13 years after the product is approved, while on small molecules it's 9 years af ter product is approved, which was considered really a discrimination against small molecules. And that is under active review at this point, so we expect that it could land in the same place as biologics. You have heard in the last couple of days, MFN, yo u know, the executive order from the Trump administration linking the pricing in the US to Most Favored Nation pricing across Developed Markets in particular. We are going to see how this evolves. I think a lot of analysts are saying this is more bark than bite. At this point, you know, a number of big pharma companies have made commitments to invest

in the US and very likely will renegotiate or backtrack those commitments if the government is going to peg pricing to overseas markets. We know that the US market actually funds for majority of the innovation in our industry, so really reducing pricing in the US is going to have a significant impact on the innovation front in the pharmaceutical industry. There's growing talk about onshoring manufacturing in the US As I mentioned, this is likely going to be very closely linked with what the administration d oes on the MFN front, also very closely linked to what happens on tariffs, if there are material tariffs in place and there's an economic incentive to manufacture locally that makes products more viable. Certainly there will be an opportunity to expand manufacturing in the US.

Switching to India, the pharma industry in India is poised to grow, double in the next 5 years, and this is not just in India, but also exports from India outside of the country. So it's expectation of the revenues of the entire industry out of India is e xpected to double over the next 5 years. This would be fuelled a good part by the growth in the middle class, you know, that's expected to be 170 million people by 2030 and also very pleased that the government is now supporting 'Develop in India' in the n ew R&D scheme, the research scheme, incentive scheme that the government has talked about putting in place. Just like the production link scheme, PLI scheme, that has really benefited the industry in the last 5 years, we expect that this will certainly enc ourage more innovation in India and was much needed for the country. The India opportunities pivoting from pharma alone to overall healthcare, we talked a little bit about this in our context and patient -centric adjacencies like diagnostics, digital health , consumer health is gaining momentum. So the full solution for patients and physicians is gaining momentum in India.

On the generic side of the business for the Developed Markets, there certainly is a move towards complex generics, as well as specialty. We see multiple companies moving in that direction, both on the complex generic front as well as the 505(b)(2), as well as innovation front., On the complex generic s front, we have executed in multiple areas, inhalation in particular, but also on the specialty , 505(b)(2) front we have active portfolio together, pipeline together of both transformative opportunities as wel l as incremental innovation that will help us differentiate our portfolio in countries like the US as well as Other Developed Markets.

We have seen over the last couple of years' blockbuster drug classes emerge like the GLP -1s, diabetes, obesity class that is set to grow to USD 100 billion over the next 5 years. So certainly a material opportunity that has emerged in the marketplace. And as some of these products go off patent, like Semaglutide in particular goes off patent in March of next year in a handful of countries, it will open the market for further expansion on this class of drugs. Likewise, there's also an emergence on the biolo gics f

ront. In India in particular, we are seeing emergence of biologics in particular in areas like immunology and oncology that is set to grow very nicely.

Lastly, the rising impact of AI across industries and in pharma as well. On the brand side of the industry, there's certainly a very strong focus on drug

development front through AI, delivering efficiency, from a timing as well as cost perspective. On the generic side of the business as well, there are multiple areas where we have potential gains here, from an efficiency standpoint, commercial execution st andpoint, operation standpoint, cost optimization as well as quality perspective - that our industry is going to leverage. So a lot going on across the globe in our industry.

So that brings me to our strategic areas of focus as an organization, looking at all of these trends, the areas that we have prioritized for our organization. Number one is to sustain our growth in our 2 major regions, India as well as the US. And based o n the portfolio we have, based on the investments that we plan to make, we are confident of continuing to grow in both regions in the foreseeable future.

Second is expanding our inhalation business. We have established a very strong position on the respiratory front. Today, if I look at our global turnover, 25% or so is on the respiratory side. We were always very strong in India, but over the last 5 years we have built a significant presence in the US, Europe and emerging in other parts of the world like Canada, Australia on the respiratory front. So we continue to build on this pillar, as well as innovate. I mean, there is a material move in particular in countries like Europe to move towards green propellants on the metered -dose inhalers and we believe we are at the forefront with this. Our R&D teams, our manufacturing teams have looked at our evolution from a pipeline perspective on the green propellant side, both for India as well as developed markets like US, Europe and other parts of the world.

Third, delivering on our new product launches "on time and on budget" is a

major part of our focus. It's been a substantial success for us over the last 3 years. Our team has come a long way in ensuring that the products that we target, we deliver them in time. And that's how you've seen products like Mirabegron, products like Tolvaptan, products like Spiriva ® come to market in time and there's a very strong focus in the organization to deliver our new product launches.
Number four is establishing a Speciality business. I mean, a number of you know, we have had a legacy speciality business in the US. We actually started the US business on the speciality front, on the paediatrics side. Then over the years, we went into the women's health side of the business, which we had some success with and got out when we saw challenges 3 -4 years ago , when we went through the downturn . We are refocusing our efforts on building the speciality side of the business, both with acquisitions as well as internal pipeline, especially the 505(b)(2) pipeline that we are developing in -house.
Fifth is establishing injectables and biosimilars as a growth driver for the future. I mean, we have capabilities across both in R&D and manufacturing, as you know. And this year in particular, we're going to see a material infle ction on the injectables front with products like Glucagon, products like Liraglutide, Risperdal Consta® from Nanomi coming to market. And with the emerging biologics opportunities with the FDA regulations easing up, as well as the private label business emerging in the US, we expe ct biosimilars to be

a material growth driver going forward. Of course, as barriers reduce, the competition tends to increase. So we are very selective with our portfolio here to ensure that we are either in the first wave or we are on

e of a few
players that will enable us to get a solid return on our investment with biologics, as well as grow the b usiness on a sustainable basis.
Sixth is establishing a novel product pipeline. I mentioned the 505(b)(2) pipeline that we are developing internally on our long -acting injectable platform, on our respiratory platform, some oral solids as well, that will help us build both our speciality business and in some cases also help us build a hospital business in the US in particular. Then building scale across other developed generic markets. So we believe that the platforms that we have in place and the pipeline that we have in place whether it 's on the respiratory front, biologics front, or the injectables front, has tremendous opportunities outside of the US, in particular in Europe, Canada, as well as Australia -like countries and there's a tremendous opportunity for us to gain operating lever age from these platforms across the global generics market, especially in the Developed Markets. So very focused on growing our European business and Other Developed Markets at a faster pace through these strengths that we have established.
And lastly, I'd say that continued focus on the cost position across our network. The bulk of our business is still generics, and cost optimization has to be a consistent effort to drive profitability on the generic side of the business. There's still tre mendous opportunities. As much as we have gained a lot of efficiencies over the last 5 years, there's still a lot of opportunities that we have on the operational front, on the supply chain front, on the quality front, to be able to continue to improve our cost position as an organization.
All of this is enabled by, number one, our focus in quality and compliance. We have an aspiration to be best in class in compliance. We were best in class 10 years ago, and there's no reason why we can't get to this goal in the next few years. We are exploring areas that we can leverage digital and AI to get more efficient, to get more creative as an organization. It's a big lever that is yet to unfold, yet to really conclude what areas make sense for us to double down. But we have embarked on 5 or 6 material areas where we believe we can make a material difference through AI as well as digital. And last and most importantly is our people’s strategy. I mean, all of what you have seen so far has been delivered by a very strong, committed team, and we continue to work on our team both develo ping our people internally as well as bringing in capabilities from the outside to compliment and drive growth going forward along with our internal team. So very strong areas of growth that we have

identified for ourselves. We're very focused on each of t hese areas and are confident that we will continue to grow our business on a consiste nt basis in the years to come ahead.
So with that, I will hand it over to Nilesh to walk us through a deeper review of the business.
Nilesh Gupta : Thank you, Vinita. First of all, thank you for coming today. We used to always love doing this investor meet in person and COVID derailed it and then we did

it in 2022. Then we didn't do it for a couple of years after. We certainly hope to do this regularly. We just think it's a wonderful opportunity to engage with you today. Vinita talked about people. I will just quickly introduce some of our people. Ranjana , our Head of Quality. Rakesh, our CIO. Christoph, our Head of Tech Ops. Rajiv, our head of India region. Yash, our HR head. Moving to the next table, Tommaso, Vinita's Chief of Staff. Saurabh, from our India region, the power behind Rajiv. Sumita, Head o f Business Development for India. Mohan, in charge of taxes. Amit, our Company Secretary. Robin, our finance team. Suresh, from our finance group. And then last of all, Ravi. I'm missing out a few in the back but I think this

is an opportunity for you to s ee some of the power behind Lupin as well.
So on the business side, I think the biggest change which has happened is the US business, where we were in this slump and then we have grown the US from a net sales perspective back up to the USD 900 -plus million, USD 925 million, year -on-year growth of 13%. That is obviously one of the biggest moves that we have had in the Lupin numbers. As you know, we have been number three in the US in terms of generic market share, 4.9% market share. We're very proud of the position that we have and especially at time s like today when India's role is being questioned, when tariffs are coming in question, I think a very important lever in this all is the market share that we have. We are very proud of the market share that we have in the US And you have seen this before, but in terms of the number of products, about 138 products in the market, 105 of them were in the top three, 45 were number one. We have more than a hundred products pending in the pipeline, addressing a market size of close to USD 150 billion. And you k now the recent NPLs, Mirabegron, Spiriva ®, Pred Forte ®, and of course earlier this week, Tolvaptan. So obviously on a very, very good trot from a launch perspective . As Vinita mentioned, the focus is on cost efficiency and optimization. And then obviously we want to build on that base business that we have of specialty. We have Xopenex® and NaMuscla® that we have but you know, this was legacy for us. We started with Supr ep® in the US So we certainly want to build out that specialty. But if you really see what that's done, I mean, if you look at the jou rney in the last five years, , USD 800 million went to USD 720 million , USD 738 million , USD 632 million . I mean, that obviously was a very disruptive time for Lupin's P&L. And if you see the last three years, you see that consistent 21% growth in the business. We're very proud of th e way that we have turned this around. And obviously our collective goal is to sustain this growth that we have had and build on this business. Obviously, that's come from the move to complex generics. So if you see in FY25, complex generics is about 30% o f our revenues. If you look at the next five years, that complex generics will move to 49% of revenues. And then obviously the key growth drivers for the generics business remains NPLs, more than 100 plus NPLs. And 65% of revenues that we will get will com e from complex generics. Over 60 filings in the next five years, focused highly on First to File, on Para 4 products. And then clearly in the US, the key imperative would, other than the move getting deeper into complex generics, would be to build on specialty, both through our own portfolio but through acquisitions and alliances as well.

On our second key market, India, we're ranked number eight. We're not happy at all with this rank. I think we have to be in the top five but currently number eight. Good growth rate in the last 10 years, 12%, 1.2 times the market growth rate, 3.4% market s hare, our key therapy areas, as you know, are Diabetes, Cardiovascular and Respiratory. GI is actually the fourth largest therapy area for us . Doing well in Diabetes and Cardio. Respiratory has been extremely sluggish in the last two years. I think this wi ll be the year that it will bounce back as well. GI, again, growing very strong, double digit. Vinita mentioned the sales force si ze, but total more than 10,000 people across the sales team.

Clearly, our focus is on building the innovation pipeline for India and part of that is going to come from very strong in -licensing as well. So if you see the India business and just double -clicking on that a little bit, if you split it between the IL, the in-license and the non -IL, you will see that the in -license portfolio actually helped us grow in the past ., Even in 202

1 -22, you see the growth coming from the darker green bar, which is in -license portfolio. The last three years, that portfolio has been challenged. De -growth in FY23 of 13% in that portfolio, minus 1% and minus 12% in FY24 & FY25 respectively and despite that minus 12% growth, we have grown at 8.4%, versus the market growth of 8% in FY25. The loss of exclusivity, the erosion on the in -license part has largely played out and therefore from FY26, we see getting back on the double -digit growth acr oss the portfolio and continuing double -digit growth going forward.

The focus, as Vinita mentioned, is on chronic. If you look at the current portfolio, 64% of sales come from chronic. If you see by FY30, it'll actually move to 70%, 69% - 70%. So we actually will get even deeper onto the chronic side. Number two in Respiratory, number three in Diabetes, number three in Cardiac as well. The growth going forward, first of all, the aspiration is to grow at 1.2 to 1.3 times the market. Part of that is it's going to come from enhanced reach, over 2,000 representatives to be adde d in the next four, five years. Basically programmatically, we want to add the 400 -500 representatives every year. A scientific approach, when we're reaching out to doctors and the community including the patients that we would work with as well.

NPLs, new product launches, is going to be a key growth driver, over 80 products in our portfolio for the next five years. Focus will remain on chronic therapy areas. Obviously, as a large cardiac and diabetes player, GLP -1s is going to be an important par t of that play. But also beyond that, getting deeper into GI, building that as the fourth large therapy area for us, getting into oncology, we are there but we are fledgling in our presence. So oncology, CNS, Vitamins, scaling up in these areas as well, as the next three areas that will come into our India region. Obviously, partnering as the market is changing with e -commerce, with organized retail, with the institutional business as well. We have evolved organization structure to meet with that . . Before that, the extra urban. This is a part of the market that we feel is very exciting. I think really going into tier two, tier three, we started with the pilot. The pilot was successful. We are now scaling up, and that's where the major addition in sales forc e is happening this year. Obviously, we would look at

opportunities in India. There are few and far between but we want to be there. We have acquired a few, but not of scale. I think that is certainly an organization priority and then moving closer to physicians, closer to patients through our adjacencies as well.

Other Developed Markets , I think Europe is, you know, we have always talked about the fact that we built India and the US and in that neglected Europe, we are certainly focused on Europe at this point of time. It's grown to a reasonable scale, USD 195 million in the last fiscal, 14% growth rate in the last five years. Obviously, products like NaMuscla®, the respiratory portfolio is driving the business in the Europe including Etanercept Biosimilar. We are in a few regions and the others are through Pan -European partnerships. So ni ce reach across Europe but to be scaled.

If you look at the next five years, 50 plus NPLs in Europe, 55% of revenues will actually come from complex generics and obviously expand into other

markets with our own onshore presence within Europe .
Canada, again, a nice little business, USD 47 million sales, FY25, 18% CAGR for the last five years and 60% of the business coming from specialty. And if you look again, going forward, complex generics will drive that portfolio, a lot of it led by inhalati on.
And lastly, on the Other Developed Markets, Australia, USD 78 million sales. We're ranked number four in the Australian generic market, 20% CAGR in the last five years, grow

th led by both our own business but our partnered business within Australia as well. The focus is on new product launch es there, including biosimilars and we're expanding into the New Zealand market as well.
To the next bucket, Other Emerging Markets, South Africa, USD 83 million, number one rank in cardiovascular, the eight largest generic company in South Africa. Focus again, remains new product launches. There as a large cardiac player to move into GLP -1s as well, participating in ARV tenders as well.
Philippines, close to USD 40 million in sales. We are number two ranked in our reference market in that, again, a very wide portfolio of products. You'll see GLP-1s everywhere but 50 -plus launches including biosimilars planned for the Philippines.
Mexico, about USD 50 million. Net sales, we are number three, ranked as an ophthalmic player. 70% of our revenues come from ophthalmic s and more than 20 products lined up for launch including NaMuscla®.
Brazil, USD 42 million, number three rank in their reference market. 40% of our portfolio in Brazil is OTC. We're looking at point -of-sales expansion and we are looking at new product launches across multiple therapy areas in Brazil.

Lastly, our GIB business actually had one of the best CAGR's across our businesses, 20% in the last five years. Growth obviously led by scaling up TB, including prevention of tuberculosis with products like Rifapentine and building out the HIV portfolio as well.
So the adjacencies, really quickly, we don't talk that much about those.
On Lupin Diagnostics, 44% year -on-year revenue growth. We have been amongst our peers fastest to get to INR 100 crores. All our labs are approved by NABL, and that was a key part because we want to be a trusted partner on the diagnostic side. That is our d ifferentiation in this area. The target is to be EBITDA positive in FY27. Pretty good reach across most cities. We're not in North India. Other than that, we're actually across most geographies in India.
Lupin Life is our OTC business, INR 150 crores, big plans to grow. The aspiration is to well more than double this in the next three to four years. A lot of reach being expanded at this point of time. We have two anchor products. There are two more product s that we're launching as well. So small business today but certainly another anchor to growth in India.
Our digital health, we have talked about this a little bit but this has been a challenging part of the business for us because you're actually changing physician and patient behaviour. So it's been slow. I think it's getting to that inflection point at this point. The goal there is to be the partner of choice for post -discharge care of cardiac patients. We have our first product. There's a follow -on product. The focus here is connected devices, AI -powered apps, experienced healthcare professionals backing i t up. If somebody has a cardiac event, we want to be the partner of choice post -discharge.
Lupin Life Sciences is our trade generics business. We launched this last year, obviously building on the equity of the Lupin brand and quality products from Lupin. The focus is primarily on tier two and tier three towns and areas where we're currently und er-prescribed and we are building a lot of on -the-ground presence with more than 400 people in that field force, which is different from the model which many other people do it. The idea there is really to emerge as a strong player in this space.
And the last of the adjacencies, Lupin Manufacturing Solutions, our CDMO

business. We have a full Global team, all the structures in place. I think we have taken a lot of effort to put the team together in the course of the last year. We have this legacy of developing complex products including fermentation products. And we have large -scale manufacturing from a CGMP perspective as well. And we have an R&am;

p;D center in Pune. That really positions
us to be able to work on innovation pipeline but also to carve o ut our own differentiation within the space. And part of that is going to be in areas like peptides or in ADCs.
On the R&D and the portfolio, it's been over 20 years. And we started with the First to Files. Right now, we're pursuing 30 -plus First to Files, as I mentioned. Then we moved into inhalation. We really have that franchise across the inhalation space. So MDIs, DPIs, SMIs even. So obviously getting

deep into inhalation across the US, India, across Europe as well, to expand to other geographies as well.
Building that presence next on injectables, on the complex injectables in particular, depo injections, peptides, liposomal products as well. We will talk a little bit more of our pipeline in the next few slides. Biosimilars, where we built a nice commercia l presence ex -US but the intention of course is to be meaningful in the US on that as well. And what we have is absolutely world - class R&D and manufacturing capabilities and the ability to do a pretty wide array of products.
And the last on the product development and capability building is obviously Specialty. Building out the 505(B)(2), building out the value -added medicines, whether it's long -acting injectables, oral solids, IUDs implants, green propellants as well. So you see a wide array of capabilities that we ’ve built over the years. And what it's really done is deliver on the business. So if you see the US, FY20 complex generics was 2% of the business, grew to 34% in FY25. And if you see again the next five years, will grow to 55% of the business in the US. In Europe, , 9% was the composition of complex platforms in FY20, 55% at this point of time and growing to two -thirds of the business by FY30. I won't talk through the entire portfolio that has driven this but obviously we have had some nice launches. We had Etanercept. We obviously had Albuterol in the US in 2020. Luforbec® that we launched in Europe became a big anchor product. Then obviously came products like Tiotropium and there's a whole slew of products, especi ally on the inhalation side, which have helped deliver th is.
If you look at the upcoming launches and we were cognizant that we have obviously had a good last year. We have a good FY26 as well. What's happening in FY27? It's actually a good portfolio coming in FY27 as well. Three products that we intend to launch on the inhalation side, a couple of products on the injectable side, biosimilars, two products that will come to market and a couple of important oral solids that will come out as well and our first specialty product in FY27. Before that in FY26, you see inj ectables picking up. You see Glucagon, you see Liraglutide, you see Risperidone long -acting , that we hope to launch this year. Etanercept in Australia, obviously Tolvaptan, which we have launched and another oral solution, that we will launch, which will be a key product as well. This is on the back of good number of products in the market. So again, , in inhalation, 12 products in the market across geographies, injectable, over 10 products, biosimilars, obviously Etanercept only at this point of time and t he oral solids, obviously well over 300 products over time. And you see the products in the pipeline, and inhalation, that's where we are all in, 30 products in the pipeline. Injectable, another 30 products that are in that pipeline as well. Biosimilars, w e have over 10 products in the pipeline. And obviously all the other dosage forms kind of adds up in the number as well.
If you look further, if you look at FY28, you see more of that inhalation, you see injectables, you see the biosimilars coming to market as well. And in FY29, you see a whole slew of inhalation products that will come to market and that's I think, when we will get steady on the inje

ctable side as well. So we

can talk more about this but if you see the pie chart at the bottom, I think those are the revenues of new product launches that will come from Complex Generics. So if you see FY26, obviously products like Tolvaptan are contributing significantly to the ne w product revenues. But FY27, you see a very large portion, 55% coming from Complex Generics. Similar in FY28, 54%, even higher. FY29, 61% coming from Complex Generics and even higher thereafter with 62% revenues coming from Complex Generics in FY30.
Quickly on quality, you know, we have color -coded this a little differently because we wanted to add the biotech facility which is pending. Like we said, we have got two sites which have been in a non -satisfactory state of compliance. Obviously biotech, we 're pending approval from the US as well. So we have put that into the list. Other than that, obviously the rest of the facilities have been inspected regularly and have good standing. As you would see over the years, I think FY20 was obviously the worst w here we had five sites which were not in a satisfactory state of compliance. Now down to two. We have had a bunch of inspections. EIR's from about five sites that have been received in the last year. Our goal is, one, to be best in class. Two, to target all sites to be ready at any point of time for an inspection. We're looking at really the supply chain. So it's not just us. What happens before us with KSM's or API's that we would buy? So that's part of the ensuring quality. And the other part is on trai ning. Can we really use training as a differentiator? Focusing a lot more on training than what we did in the past.
And lastly, you know, we talked about Christoph. We have set this Global Tech Ops function. Very good results over the last few years on this. If you look at from a customer focus perspective, our OTIF levels are at 100%.. Even for India, 98%. Lowest ever backorder, lowest ever FTS. And our focus is on de - risking. Whether it's from C hina or whether it's other single source entities, we are working to build agility into the system so that our lead times just keep getting better and better. That's our focus. I think there's a lot more that we would want to do on that customer focus path.
On the cost leadership, we have talked in the past. USD 50 million were delivered last year through AVDs, through freight optimization, yield improvement and the like. We're optimizing our global footprint. Our air ocean ratio is down to an all -time low. Basically, it's only new product launches that we wou ld send by air. Everything else pretty much goes by ocean. Again, the supply chain is really, really working, including our manufacturing, procurement and the like. And the next anchor on this is technology leadership , whether it is AI or digital transform ation. We have Kinaxis, which enables the entire organization globally. We have several of our sites which are fully paperless. And on the backbone of that, you can imagine what you can do with AI today. And now we're investing a lot more into automation and the like , continuous flow reactors. We started with one or two use cases. Now there's three or four cases that we are considering. Robotics that we're introducing into some of our plants as well. So very exciting time from a manufacturing perspective.
I will hand over to Ramesh now.

Ramesh Swaminathan : Thank you, Nilesh. So friends, we are meeting after a gap of nearly three years. Obviously, this used to be an annual event. And we were very happy to meet everybody. But unfortunately, COVID actually put rest to that for some time. But glad to be back in action in that sense. But it's not as though we have not been in touch. We obviously have been in touch, in continuous touch for that matter. We still continue with our roadshows. We meet with all of yo

u on a one -on-one basis or in gro ups or in the various broking houses that conduct their meets.. So in that sense, we certainly have been in touch. Vinita and Nilesh, of course, focused a lot on FY25 and took you through the strategies that we have for the future. And of course, give you a glimpse of what we intend doing over the next five years and how we are going to achieve our goals. But I'm just going to focus on, in fact, the current year, what have we done in this particular quarter. The momentum for the current quarter was, of cour se, set a few quarters ago. So the last seven to eight quarters have been a period of continuous growth. And that's reflected in the numbers that you see out here as well.

This quarter, again, it is great growth across various markets. The good thing about Lupin is the fact that it's been secular growth across all markets. And this has come about the kind of products that we have introduced, which, of course, you'll see in the next couple of slides.

Equally, there has been good performance across all markets. And of course, a lot of focus across various lines. Nilesh and Vinita spoke about various initiatives that we have taken and all of those have borne fruit.

Talking about, in fact, this particular quarter, US, of course, we had Mirabegron. We also had other products, like Prednisolone, Rivaroxaban and of course, the inline products of Albuterol, Spiriva ®, which delivered. If you talk about the advanced markets in Europe, U.K., Luforbec® continues to do pretty well and of course totalling up pretty good growth.

India, this particular quarter, it was seemingly lacklustre but the fact of the matter is we lost exclusivity on a couple of products when it came to diabetes. And of course the respiratory portfolio, the overall market itself has not performed too well. But clearly, if you compare year on year, we have done prett y well there as well. API, of course, the full year, we have done extremely well. The GIB business in API, of course, has done extremely well as well but it's a cyclical business in a general sense .

The most important story is really on the EBITDA and the last several quarters, we have seen continuous growth. This particular quarter, we ended up at 23.2%, but this is after taking into account a couple of things. The first is, essentially, you would se e a INR 100 crore increase when it comes to the R &D expenditure and there has been a decline in terms of PLI that we claimed for this quarter, which is about INR 50 odd crores. So if you would adjust for these two, the actual EBITDA margin would have been close to about 26%. And the other thing that you should certainly take into account is the fact that some of our adjacencies that we started in recent times are still making a loss. Obviously, it's a question of time before they also evolve and grow in si ze in critical mass and of course, contribute to the overall profits. If you were to

take that into account, that would actually be good another 3.7 % points. So clearly, the EBITDA margins are in line with, in fact, the rest of the competition, the peer group and we have caught on pretty well.

For the full year, of course, done extremely well. Last year's margins were close to about 19%. Full year FY25 , we are moving it at 23.7%. Clearly, the momentum has been maintained and more to come, as Vinita and Nilesh were saying. Clearly, we learn from history and whilst we have come a long way, it's also equally important to see the magnitude of change. Lupin peaked way back in 2017 -18, when we had products like Fort amet® and Glumetza®, that was a time when the entire industry was also doing pretty well . Lupin is, of course, at its peak. Our market cap was close to about USD 13.5 billion, but since then, a lot of water has flown and you would recognize that the entire structure of the industry changed quite a bit. F

irst, we had the enactment of
GDUFA, wh ich changed in lots of ways the industry because there were faster approvals. Second is of course, the channel consolidation which happened in America which of course set us back because it was stacked against the manufacturers . Then of course COVID which struck. We also had our own systemic problems in terms of our fi ve of our facilities were under OAI status and because of that, we were not getting approvals. So whilst we had a pipeline of close to about 109 molecules, we unfortunately were not getting the approvals to launch them and to that extent, the top line was not moving . The actual movement started in 2021 when we got our approvals for Albuterol and since then, the mojo was back. In 2022, we actually brought in

a couple of other products also Posaconazole was one of the products. Then of course Brovana®. Brovana® is what we launched in 2022. In 2023, we had products like Xopenex® which came in. We also had Suprep®. In 2024, we had Spiriva ® and before that, we had Darunavir and this year of course we have Mirabegron. All of this has brought in a tremendous change when it comes in fact to the top line. But more importantly, what it did was also increasing the gross margins. The quality of the products, it went up over time. Whilst we bottomed at around 58.3, this is the time when we were actually plagued by failure to supply , penalties because of that and of course, returns in America because of Nitrosamine products. All of this was something that we addressed with the team that's out here. And since then, the margins have crept up.
The gross margins are now moving up. In 2024, we saw it at 66%. And this year, we closed at 69.2%, big increase over the last several quarters. Whilst we focused on, in fact, the mojo on the top line, bringing in good products, we didn't lose sight of, the various lines across the entire P&L. And as the leaders were saying, there's a lot of work done on every line of the P&L. We looked at the gross margins, in terms of alternate vendor development, routes to synthesis, productivity across various lines in t erms of R&D, in terms of manufacturing, in terms of our sales force. All of this actually resulted in fact the expenses that we brought in line. We also undertook a mission to actually bring down cost by close to about, INR 750 to INR 1,000 crores. Nilesh just mentioned the fact that there has been good success in that and we saw the numbers as well. And you could actually see, while in FY20, other operating expenses was about 30.4% and FY21 was the period when you had COVID and there was a reduction in ter ms of sales and promotion expenses.

But since then, a lot of the measures that we took have brought these lines back to less than 30%, something that we committed to the investing community some time ago.
A lot of emphasis on moving to more complex products and though of course the R&D spends have been increasing as a percentage of sales , it has actually been kept constant around, about 8%. Though of course, you might actually see an absolute numbers and as a percentage of sales going up over the next few years. As a result of all of this, obviously, the EBITDA margins have grow n continuously.
The analyst community would talk to us and talk about the fact that our margins were less than their peers but we have addressed that. And as I was just telling you, we were at 23.8%, thanks to all of this. And if I were to knock out the impact of, in fact , the adjacencies and one times and the like, obviously, things would be much more.
Capital expenditure has been contained. We addressed the footprint and still addressing that as well. A lot of the capital expenditure has already been done, not too much actually happening out there. From that perspective, we also find the free cash flows increasing. There's been a lot of focus on

operating working capital. You know, some time ago, we were the darling of the crowd when we had working capital of less than about 96 -97 days. It went up over a time because, we lost sight of that for a period o f time. We have addressed this issue and the focus has brought us back to pretty good operating working capital. The operating working capital today is amongst the best in the industry at just about 110. And obviously, all of this is also in much larger free cash flows. We are talking about a fig ure of about INR 1 ,330 crores this particular year after taking into account all the amounts that we expended in terms of capital expenditure, the increase in working capital and also in terms of investments for the M&A that we have done. You would be happy to know that we are now a cash surplus company.
The overall net debt of the company is virtually zero. The ability to actually raise monies and go for acquisitions is far superior right now. All of this is, resulted in much higher ROCEs, which has been climbing over time. Today, it's a good 22%. Still a far cry from what we were about a few years ago. We were 27% - 28%. And it's a question of time we get to those levels. We would be looking at M&A because clearly, that's something which is important from our perspective to grow our specialty business. An d of course, the growth in India.

But clearly, there is a lot of focus on ROCE.
We started our ESG journey quite several years ago but we were not articulating that in terms of our annual report. But today, the last three years, we've been to be reporting a lot of stuff in the integrated report and you would find that we have made pretty good progress out there. In terms of various frameworks that are there in existence, we have actually done extremely well. On a DJSI score, we have scored a high of about 75, last year, which is amongst the top three in the industry . We have got a lot of accolades across various frameworks , EcoVadis, in terms of UNGC, in terms of TCFD and

all of th is is reflected in the various metrics that we keep publishing from time to time.
In terms of our goals itself, the number of goals that we've taken for FY30 . There's a lot of focus because we are passionate about it. We'd like to actually look at a very differentiated way of presenting this and taking this as in terms of our responsibilities and done a pretty good job there. Some of these are actually mentioned out here. We've done a lot of stuff when it comes to climate change with , a 23% reduction till date whilst the goal is about 38%. In terms of water, I think we are leading the in dustry out there. And in recycling, about 50% by FY30. Similarly, there are lot of other goals that we have set and this is something which is very important especially from a European perspective .
Thank you, friends . And with that, I think we could just move on to the question -and-answer session.
Ravi Agrawal : We open the floor for Q&A. We have an online audience as well. I would just request that whoever's got questions could just give their name and the name of their company. And for the people who have joined online, there's a chat box. Would request if you could just put in a question in the chat box and we will answer those questions as they come.
Kunal Lakhan : This is Kunal here from CLSA. Thanks for outlining the product pipeline for the next five years. That's quite articulate. Just to back that up, like, how do you look at say, reve nue growth going forward in FY 26 and possibly beyond that? If you can articulate for both India as well as US business. And on the margin side, I don't know, with the share of com plex generics increasing by FY 30, at the same time, you spoke a lot about the cost efficiency levers that you have. How should we look at on the ma rgin side, margin s play out over the next in FY26 and beyond that as we

ll?
Ramesh Swaminathan : The buoyancy and the top line would contribute tremendously because as Nilesh, Vinita were talking about, the pipeline is very strong. Given that mojo, we would of course expect that to contribute. And there's, of course, tremendous focus on cost itself. So as a combination of that, you would expect margins to certainly go up. This year, for example, we have Tolvaptan . And there's a host of other products that we've lined up for next several quarters. So, the margins would continuously go up .
And we speak about the adjacencies , they would evolve in terms of growth and critical mass itself and start contributing profits. And if that were to be brought in, you would certainly expect the margins to creep up. This year, of course, we think it will go up by at least about percentage point as in the past. And then, it will increase in terms of the way the pipeline evolves.
Kunal Lakhan : My second question is on, one of the growth levers that you spoke about was, focus on the no vel drugs . With the MFN policy now, how should we look at that strategy going ahead? The second part is on the tariff side. We do have two facilities in t he US, and you also in your opening remarks alluded towards, if there were enough incentives, you would look at setting up more facilities. What kind of flexibility first of all, the 2 facilities offer us in terms of like

managing supply chain on some of our key products and if you can talk a little

bit about, how are we looking at setting up any new facilities if possible?
Vinita Gupta : I think the MFN would definitely impact the brand side of the business much more than the generic and the focus under IRA has been on the highest value drugs. So, it is really the highest value drugs that will likely get impacted. I think that at the end of the day the value of the brand has an impact on the opportunity for generic. So, obviously we track it very carefully. We don't see a direct impact on our brand products which are relatively speaking small in the scheme of things. I also th ink that the MFN order would be challenged like it was in the last time Trump was in the office. I think you are going to see litigation; I think you are going to see Big Pharma fight it pretty hard . If they are going to make the tens of billions of dollars of commitment to manufacturing in the US, to reshoring in the US they would not accept price pegging to ex -US markets. So, I think that there is a lot you know that's going to unfold over the next co uple of months here. So, I am not very concerned about MFN at this time.
As far as tariffs go and our flexibility what we are willing to do in the US , my first hope is that the bilateral trade negotiation is successful. We heard the US administration talk about the fact that India is willing to reduce tariffs on pharmaceuticals, steel, and automobiles to zero, hopefully that is somewhere in the negotiation and means reciprocally also the tariffs into the US should be at the same level. Having said that given the flexibility that we have with Coral Springs as well as Somerset, i f there is a need to manufacture essential drugs in the US , we will explore it. We are actively exploring that with the National Security Council as part of the White House right now. The government has identified 9 drugs that they believe that are essential and we go into the dialogue back and forth with them to determine how we can build the partnership between India and the US to give them the confidence that they wil l have reliability of supply.
Our own investments in Coral Springs , we are investing into the E llipta Line, we are investing into the Respimat Line - that was already under way even before this administration. So, we are continuing to invest in the respiratory franchise. And if there are incentives offered, grants offered to set up more manufacturing, do

more development in the US, we certainly be open to it.
We are in active dialogue right now on that front.
Krishnendu Saha: Hi, Krish nendu from Qua ntum. The House of Representatives of US is trying to cut the cost of Medicaid by USD 880 billion dollars to fund the gap in tax. So, just wondering how could it affect the Indian hemisphere if it does get through ?
Vinita Gupta : I think a big part of CMS spending is on branded drugs, so I think the first impact you would see is on branded drugs. And that's what they are trying to do with this MFN clause , to negotiate pricing on brand drugs at a level similar to Europe. I don't expect it to get to generic drugs very quickly because , generic drugs are already a pretty low spend. We have emphasized to the government as part of the Section 232 investigation in the commerce department that there's a lot of inefficiency in the supply chain. When you

look at the generic side of the industry there is only a small percentage of the value that comes to the manufacturer, there's a big part that goes into the GPOs and PBMs and that's where they need to focus to be able to gain efficiency. I think that is also, resonating with them. They are looking at the numbers and can see that how skewed the value chain is. So, we think that the PBMs are going to be challenged quite a bit. We have already started seeing some of that, a few of the states have already start ed dis - intermediating PBMs . I think that you are going to see potentially more negotiation with Big Pharma on brands. Again, to be seen how that syncs up with the reshoring goal that the administration has. And I see limited impact on generics.
Krishnendu Saha: On the India piece, how do you see i nsulin acquisition of the Lily drug playing up with Semaglutide when it goes off-patent in India ? Comments on that, how do you think you are going to play that ?
Ravi Agrawal : We have Rajeev here we can ask him to answer that.

Rajeev Sibal : So as far as the Lily acquisition is concerned our objective was to acquire Huminsulin® so we can penetrate into Tier -2 Tier -3 markets also and we can capture that market of insulin there. Now, Novo going out as far as insulin market is concerned particularly cartridges , we expect that we will be able to garner that market share also which will be vacated by them . At present our Huminsulin® market share is 18%. We expect with this space becoming available we will be able to garner another 6 -7% market share as far as Huminsulin® is concerned. So, that's absolutely our strategic move as far as acquiring Huminsulin® . Semaglutide going off -patent as Vinita also mentioned in March 2026, we are developing in -house also Semaglutide and we have partnered with other partners also so we are very much ready once it goes LOE. And we expect that this market is going to go up because once the prices come down the usage is going to go up.
Krishnendu Saha: So, you don't see cannibalization ha ppening if Sema glutide comes in?
Rajeev Sibal : No, Sema glutide apart from diabetes because there is separate market for GLP-1s, there is a separate market for insulin , and particularly in obesity insulin has no role. So GLP -1s are going to be the one which are going to play a major role in obesity.
Krishnendu Saha: Last one on Mirabegron where do we stand, what is our stand on that right now?
Vinita Gupta : We continue to sell the product - no change. And we have the trial in February, and believe that we have plenty of defences that, you know we have a good chance to fight at that point in time. So, we will find out in February.
Krishnendu Saha: And the Albuterol market share right now for us ?
Vinita Gupta : It's close to 1 8-20%.
Damayanti Kerai : Hi, this is Damayanti from HSBC . Vinita, earlier on TV interview you mentioned USD 250 million US sales is the new run rate for you. But

just want to

understand you continue to sell Mirabegron and then Tolvaptan has come. Then why it should not be much higher ?
Vinita Gupta : So hopefully it is higher. We think that you know we are going to see pressure on Albuterol, we have already started seeing it. We think Tolvaptan will be a great contributor in the first half of this fiscal year. But second half we certainly expect other competitors to come in and while our first mover advantage will be there because it is a specialty drug, it is a REM S product we will expect to give up share. So, we expect some products to go down and products like Tolvaptan and continued growth in Spiriva ® would offset some of the decline in other products and helps us hopefully grow over USD 250 million a quarter.
Damayanti Kerai : Does it look that your first half will be much bigger than the second half?
Vinita Gupta : So, for the company it looks like both first half second half would be great. For the US , first half certainly has a lot more of Tolvaptan than the second half does. But in the second half we have injectables coming in, in particular the three I mentioned , Glucagon, Lirag lutide and Risperidone all come into the tail end of the first half so really have a strong contribution in the second half. We certainly have the US more front loaded in the year.
Damayanti Kerai : Second question is on injectable launches which you just mentioned. So, in terms of your application what is the current visib ility? A re you confident about timely launches ?
Vinita Gupta: So we think that majority of these products we have heard recently about Glucagon, we have heard recently about Victoza® . It is between July and August that we should get approval. We haven't heard any different on Risperidone , in the next couple of months we s hould get that approved as well.
Surya Patra : This is Surya from Phillip Capital . My first question is about the CDMO initiatives. Could you share what is your plan there and how do you position the CDMO/CRDMO business while you are having es tablished generic business here ?
Nilesh Gupta : I think the CDMO market is very mature in the fact that people would pick companies for the ir reputation, for their manufacturing capabilities, their

compliance record and the like. I think the fact that we are a large generic
company as well I don't see that as a challenge at least in none of the
conversations that we have had so far. This started with a fact that we were
overinvested in API and we had additional capacity which was available as
well. But I think you know with some of the China rhetoric, with some of the
alternatives that people have been seeking as well I think it has become a
large opportunity. It is also an opportunity that we can do at scale. I think
there is multiple reasons why we are excited and we need to build . Once we
have got numbers we will present those numbers but I don't see anything
coming as a challenge at this point of time. We have to build capability
though. I think our key goal was commercial capability and project
management. It is just opera tes at a very different level versus a generic
company in that. So, our goal has been to build that and the team that we

have built is all from the CRDMO space. So, optimistic but I think we will put
our heads down, work for two years and then talk about good numbers.
Surya Patra : Any sense of the timeline of the progress of this?
Nilesh Gupta: It is fully functional , I mean it is a separate entity altogether, they have a
separate office, they don't even sit in the Lupin offices, so they are fully
functional already. The entire business is about building a funnel , so we want
to build that funnel with good number for this year as well. I think the
revenues it will be nothing meaningful at this point of time, I think in the next
two years it wil

l get to a meaningful number.
Surya Patra : Second question is about the margin for the quarter that you mentioned,
Ramesh sir, that after adjustments it is something like 26% kind of a margin
profile for the core business for the quarter. And there are adjacencies also
which are currently having ne gative impact to the overall FY25 margin. So,
two things - what would have surp rised this 26% kind of core EBITDA margin
for the quarter. And is it Mirabegron only driving that, you can clarify that.
Secondly, the impact of the adjacencies if you can quant ify that for FY25?
Ramesh Swaminathan: In terms of adjacencies, this is essentially the digital business, the diagnostics ,
API CDMO, the bio business, all of these are still evolving. So, if we were to
knock out that impact it will be about 3.5 to 3.7 percentage points. And in
terms of the first part of the question, we lost out in terms of PLI - not lost out
it was actually capping out because there is a limit to what we can claim for
any year. So, previous quarter was higher by about INR 50 crores. This quarter
that's the i mpact it is about 1% lower because of that and the higher impact
in terms of R&D I will specify that again, the R&D spends are lot higher. If we
knock out that impact, then potentially that 23.2 % would have been 26 %.
Surya Patra: Just one last question, there is % more than 20% CAGR growth on the R&D
spend over the last 3 to 4 years that we have seen. And obviously there are
some results that we are witnessing now on the market. Going ahead what
would be your plan in terms of the s pend quantum, in terms of percentage or
in terms of growth ?
Ramesh Swaminathan : Our R&D spend would go up next year . I expect at least about 10 % to 15%
growth out there. Principally because of the kind of products that we are
working on. There is a slant towards more complex stuff. That will bring in a
lot of more expenditure as well. If we take count actually close to about 70 %-
72% of our spends today is really on complex stuff. This includes biosimilars,
the inhalation portfolio, the complex injectables, the 505(b)(2)s, all of this,
and in some parts the specialty as well. So, that calls for a lot of expenses.
Therefore, the ab solute numbers are set to go up. And as a percentage of
sales also so it is about 8% right now. So, I believe that will be upward of 8.5 %
next year.
Surya Patra: Just one last clarification, ma'am, from your side. Any competition for Spiriva ®
one should think about ?
Vinita Gupta : There are one or two filers that have filed already. But just given how long it
took for us to get approval - it took 5 years for us to get approval. Now the

FDA would have gained a lot through the interaction back and forth. I think
for the next 12 months we should still be the sole generic in the market place .
Ramesh Swaminathan : Just to clarify again on R&D , when I talk about EBITDA margin increase next year it is after taking into account this increase in R&D expenditure
Kunal Randeria : Good evening, Kunal Randeria from Axis Capital. Vinita, should we expect Spiriva ® Respimat ® launch in FY27?
Vinita Gupta : No, it actually was one of the FY29 DPI products.
Kunal Randeria : Secondly, just a bit more on R&D where Ramesh did give some colour. Since majority of your incremental growth is coming from inhalers, how much of that is being spent on inhalers ?
Ramesh Swaminathan: We don't state platform wise details. But we are just saying bundling all of this expenditure relating to complex together as a percentage it is close to about 70% .
Kunal Randeria : Sure, and just one more if I can.
Vinita Gupta: I think inhalers is partly 30%.
Ramesh Swaminathan: Yeah, I would say roughly about that.
Kunal Randeria : 30%, right. I don't quite understand your biosimilar strategy so when I look at your pipeline. Most of your products

are coming maybe 4 or 5 years after the first entrant. So, I don't know, is it more opportunistic because the regulatory barriers seem to b e lower now. Just a thought process behind it?
Vinita Gupta: It has been quite an evolution. The strategy has been evolving on the biosimilars front just given the market evolution. When you look at the changes that have taken place in the US. It is really creating opportunity for older products as well for us. For example, Pegfilgrastim it's a very old product, multiple players in the marketplace. But as we have had conversations over the last year with the customer base the fact that we will come in with a new ASP that's attractive for providers makes it a very attractive opportunity. So, we really see value in bringing Pegfilgrastim to market . Whether we do it ourselves or we do it with a partner is a question mark .. We have both options available to us. So, when you look at the other products, if you start looking at the first product that we had invested in was Etanercept - Enbrel® , and the idea with Enbrel® was global, we wanted to get into the US market, European market, everywhere we can and there's a submarine pattern that appeared in the US that held the product back until 2029. But we launched in Europe through Viatris , now Biocon , as well as other parts of the world through other partners. In the US we have the ability to bring the product into the market ourselves in s fiscal year 30 . It will be a material opportunity for us because we likely will still be one of four in the marketplace. So, for us so far it has been a learning on the biosimilars front . We have tried to mitigate the risks through partnerships, partnerships on the development cost, partnerships on commercialization. In the last 12 months with the changes in the US we really see an opportunity of going direct into the market with biosimilars . Particularly for products like Pegfilgrastim

certainly there is an opportunity. But also for the Ophthalmic products - the two products that we have on the Ophthalmic front , Ranibizumab and Aflibercept. we have the relationships with Ophthalmic distributors right now. AmerisourceBergen which is now Cencora is 70% of the ophthalmic market, they visit 70% of the ophthalmic clinics. So, we have the relationships in place to be able to enter that market if we get approval in time and can launch the product.
Having said that going forward now given the barriers are reducing it becomes like a complex generic play for us. So, the focus is on products where the number of competitors are limited or where we can be one of few in the market place.
Kunal Randeria : But Vinita, you know with competition also increasing in future the price erosion will be much sharper. We have seen it in the last couple of years that it has behaved almost like oral solid s where the prices have been very sharp and now it can get even sharper. The cost I don't know if that cost justifies

you know launching this ?
Vinita Gupta: Well, so the cost has come down in development, the cost is going down on market access with these private labels. If you have a private label avenue, like Cordavis, the CVS private label or one of the other private labels where you are not creating the co mmercial infrastructure, we already have the capabilities on the development and manufacturing front, why would we not leverage it to get products where we are in the first wave or products where we are one of the few in the market place .
Neha Manpuria : This is Neha from Bank of America, thanks for taking my question. Ramesh, if I wa s to think about margins after FY26, obviously FY 26 we have Tolvaptan helping us and then you have the injectables. As we think about after that , Vinita mention ed Spiriva ® sees competition, Tolvaptan FT F goes away. Is the margin expansion entirely dependent on the adjacencies turning aro

und
given we would continue to invest in R&D?
Ramesh Swaminathan: Yeah, I do see turning around would of course be a very important part of the whole thing. At some point of time we would also perhaps look at allowing them to spin on their axis by getting a private equity player or a strategic end to kind of allow them t o grow also. Clearly, their evolution and their growth and their profitability is also important. But it is not going to be the most critical factor from our perspective, it is going to be really the core , really contributing in terms o f the buoyancy on the top line and other initiatives that we have taken on.
Neha Manpuria : Vinita, on your foray into specialty. One, what are the therapy areas that we are looking at this time, is it different from what we were looking at previously which was women's health. Second, you know from a P&L as well as balance sheet investment when d oes the P&L investment kick in, how much are we thinking we want to invest, given the pipeline that you have. And from balance sheet what's the number that you are looking at committing for M&A or asset acquisition for specialty?

Vinita Gupta : So, on the areas of focus, they are very much Respiratory and CNS. In respiratory given that we have Xopenex®, we have a position in respiratory already. We can bring synergies through our development lifecycle management within our internal capabilities. So, respiratory definitely is a big focus , building on what we have. And CNS neurology - with NaMuscla® , we are now doing the study to bring the product to US as well, that's multiple times the opportunity of the current product. If we can g et other neurology products, they will be synergistic with the infrastructure that we have in Europe as well as what we will build in the US. Those are still the two focus areas. Opportunistically we look at other areas as well based on the assets that com e to market. Our focus is very much on accretive assets; on a limited basis we are looking at pipeline assets. On the pipeline front we obviously want de -risked pipelines , so late-stage programs and will want to look at creative structures around it to be able to mitigate the risk on our P&L. In terms of capital allocation maybe I will let Ramesh talk about it. I mean the overall allocation is the focus is specialty and India region.
Ramesh Swaminathan: We have drawn very good guardrails in terms of our overall capital allocation policy. In terms of for example the overall debt that we will take on the balance sheet will be around the 2:1 ratio in terms of Debt to EBITDA . If we are talking about EBITDA close to about INR 5,000 - 5,500 crores and you are talking about potentially the debt we can raise is about INR 10,000 - 11,000 crores . We are also kind of prioritizing in terms of where we will be putting our money in and from our pe rspective it is going to be in India and of course specialty. Though we would of course like to address white spaces in distribution program across say geographies like Europe. And we have also said that when it comes to adjacencies, we would restrict our overall involvement to what we envisaged at the time of drawing up the investment program for various adjacenc ies. Beyond that we would actually involve private equity houses or a potentially strategic of the like. So, we also said in terms of financial re turns we would be expecting return of about 20% and in terms of a payback period between 4 to 6 years depending upon the project.

So, some of these guardrails are already operational. And going forward we would make sure that most of the projects qualify u nder this.
Neha Manpuria : Nilesh, last one for you. For the India business you know you talked about double digit growth for next year. Given Empagliflozin , just went generic we have that impact, we had a large tender number in the base. De

spite of that
we would be able to grow double digit, would that be a fair conclusion, and what would be driving that growth. Is it new product launches? You mentioned about 400 -500 MR additions, are there new divisions that you are launching, just some colour there?
Nilesh Gupta : I think we are really coming into our own in some of these therapy areas. We have had all of the disruptions on the cardiovascular side. So, that's all played out and the like. So, now we are seeing that 30% ahead of market growth. We see diabetes obviously with this happening, but we will still see good volume growth and I think we will still grow at a double digit in diabetes as we ll. Respiratory has been slow in the last couple of years. We have launched a new task force for nebulization, we have expanded our Uday Division which

is focused on extra urban as well. That will lead t o growth again as well. So, sum of it all I think we are going to grow at double digit and not just for the next year. I think the intent is to grow at 20 -30% ahead of the market, I believe the market will grow at 6 -7% or 8% as the case maybe. On top of that if you grow at 20 -30% ahead you will be at that double digit. I think the sum of this all, trade generics we have launched into a separate subsidiary, that entity is expected to grow at a strong number. OTC is expected to grow at a very strong double -digit number as well. Summation of all of this adds up to a good double -digit number.
Ravi Agrawal : So, while we collate some of the audiences while we put up a queue here, there are a couple of questions from the people who have joined online.
One question is the US government has expressed a desire to reduce dependencies on PBMs and increase the transparency of drug pricing. And the question which is asked is does this lead to better predictability of drug pricing and is it a positive measure from a generic pricing perspective going ahead?
Vinita Gupta : The scrutiny on PBMs ?
Ravi Agrawal : The actual question is the dependency on PBM s the government in the US would like to reduce and does that mean that the pricing environment for generics in the US improv es further actually going ahead ?
Vinita Gupta: I think the PBMs take a big part of the value so certainly improves the opportunity for generic drugs. Also is a big opportunity for the government to save drug spend. So, it is a combination. I mean we certainly think that it will reduce drug spend overall , because right now it is going into the pockets of folks that don't pas s it on to patients, nor pay us either. And potentially can help us with generic pricing.
Ravi Agrawal : And a couple of questions on Mirabegron, I think we did answer some parts of it. One question is are we continuing to sell Mirabegron till the litigation dates in Feb and a dded question on the '780 patent are we fighting against infringement or invalidity? Add on question to that is if you win ag ainst infringement do we have a pathway till 2030 when the patent actually expires ?
Vinita Gupta: Well, we hope . But so the first question was , do we continue to sell? Yes, we continue to sell. And two, in terms of our defences it is going to be both, non - infringement as well as invalidity. And then if we have the opportunity to prevail on infringement only , we might have a long -term opportunity. So, we will see.
Ravi Agrawal : A couple of questions have come , actually Rajeev did answer but again this concern that with the launch of the generic GLP -1s in India there could be some cannibalization on the diabetes side especially on insulin. I know Rajeev did mention that they are two very different categories. But is there anything else that we have in terms of talking about the fact that our diabetes portfolio , we have visibility and confidence that it will continue to grow even with the GLP-1s coming in ?

Nilesh Gupta : I mean the market is going to open up, right. It is going to take time to shape therapy itself. So, it is a near term opportunity to grow on the GLP -1 side itself. That doesn't take away the fact that there is a lot of diabetes in India, a lot of untreated diabetes in India. It is not like everybody is going to jump onto GLP - 1 product to change where the therapy is headed. Obviously with the genericisation price point comes down, access becomes much more available to people to access GLP -1 products itself. But I think we are talking many years out , certainly our MTP is talking about the double -digit growth on the diabetes side as well. And to add to that I think Rajeev talked about the insulin, I think the insulin opportunity, I think we can emerge as a very large insulin player as Lupin and specially if we can bring access to tier 2 - tier 3 towns I think the opportunity is a very large opportunity in itself.
Krishnendu Saha: Just quickly Canada USD 45 million sales , we are launching Semaglutide in India, we are not there in Canada are we?
Vinita Gupta : No, we don't have the product as of yet. The team is actively looking at an opportunity of in -licensing but we have an internal product which will come later into Canada.
Krishnendu Saha: On the European part Nanomi acquisition , and the French injectable acquisition, we have Risperda l coming from N anomi so how does it complement . Could you show light on the acquisition how does it help us, or whether it doesn't help us at all. Just trying to understand that landscape. I am just trying to understand is there any benefit from both combined acquisitions b ecause I think we got Risperdal Consta® injectable from Nanomi as far as I remember. Does it help us?
Vinita Gupta : I think they are independent in any case. I mean Nanomi is more a platform that we bought for long acting injectables. It is a very unique platform. Risperdal Consta® of course will be the validation of the platform, it will be the first product that we bring to market through the platform. But what we are doing with that platform is really exploring innovative opportunities, 505(b)(2) opportunities. We have put peptide s on that platform. We are working on biologics on that platform to see how far we can extend the use of the platform . But to us the biggest opportunity with Nanomi is really the ability to innovate and build a novel pipeline. The Medisol acquisition and injectable business acquisition in France. We didn't have a presence in France until we bought Medisol. So it gives us a presence in France. And on top of the portfolio we have there we are looking at all of the injectables that we have in India including Risperdal Consta® but we are looking at the broader portfolio of injectables to bring into France.
Krishnendu Saha: Last question, all the DPI / MDI are coming from Indore. Just a clarification? Future filings ?
Vinita Gupta: Future filings will be a combination of India as well as Coral Springs.
Audience : You spoke about pricing pressure in Albuterol. Can you elaborate?
Vinita Gupta : With additional competition you have pricing pressure so we have had some.

Audience : Another question to Ramesh. Ramesh, you showed the chart on capex of INR 700 or INR 600 crores kind of run rate for last several years. But your cash flow statement shows a capex of INR 1600 crores in FY25 and INR 900 crores in FY24 What is the difference for that number ?
Ramesh Swaminathan : The Cashflow shown here reflects just the Capex po rtion and the one in the Balance sheet also includes acquisition s.
Audience : So, these are acquisitions of ANDAs or intangibles other than th at?
Ramesh Swaminathan : It could have been intangibles. We bought into companies like Medisol, Vinita just mentioned that, so, all of those acquisitions that came in. The Ca

sh flow
is after taking into account all of that.
Audience : I was talking about the capex number, the INR 700 crores numbers which you

had showcased for last couple of years on an average versus the cash flow statement where there is the capex number over there, the gap is very wide is what I am saying. ?

Ramesh Swaminathan : No, I showed only one figure which is the capital expenditure on an annual basis for 4 -5 years really. And that I think average is about INR 500 to INR 700 crores. A larger chunk was for really maintenance capex and there's been some expansion in some part s especially when it comes to biosimilars, injectables and the likes.

Kunal Dhamesha : This is Kunal from Macquarie. The first question is on Tolvaptan. I think our understanding was that this is going to be a long tail product for us. Has there been any change in that v iew that we had on this product ?

Vinita Gupta : No, we always said that in the 6 -month exclusivity we will gain a lot more than the period where we have additional competition. But given the launch efforts and what we have learnt in the last couple of months, the specialty distributors and that market works a little bit differently. They really like to establish longer term relationships. So, for REM S product we expected in any case the tail to be longer and now with the relationships that we have established with the specialty distributors we feel even stronger that we should be able to maintain a high share in the time when others get in .

Kunal Dhamesha : Second question on the overall impact on our P&L , let's say from next 3 to 5 - year perspective because we are looking at a lot of shift towards complex generics and specialty. Margins wherever they are right now or ROC E whatever it is right now where do you see that panning out over next 3 to 5 years because it also seems that there are a lot of investments, R&D may be inching up for that future pipeline. So, how should we think beyond FY26 just looking at this shift in the business mix that we have put out today ?

Vinita Gupta : So, the team has worked hard really to improve margins year after year, and that's a consistent effort going forward. As we look at the situation right now based on the pipeline that we bring to market, certainly R&D spend on complex generic is up but also the new product launches of complex generics are up. And increasing over the next 5 years. So, we should be able to afford the investment and still grow our margins.

Ravi Agrawal: I think we will take a last question, it is online. It says on Semag lutide we have highlighted that we are partner ed as well as we have our own version. The question is what was the reason to have both and is it to compress the timeline or is there something else?

Vinita Gupta : We have a play in the oral solid the tablet as well as injectables. The tablet we have internal, injectable we have partnered.

Ravi Agrawal: Thank you, I think if we have no further questions we would like to end. Thank you so much, we really appreciate your time, effort, it has been a busy day for you. We end this session and looking forward to seeing you and connecting with you again going ah ead as well.

Thank you.

Call: Aug 2025

LUPIN LIMITED
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Corporate Identity Number: L24100MH1983PLC029442 www.lupin.com

August 11, 2025
National Stock Exchan
ge of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051 BSE Limited
P. J. Towers, Dalal Street,
Mumbai Samachar Marg,
Mumbai - 400 001
Symbol: LUPIN Scrip Code: Equity - 500257

Subject: Transcript of Q1 FY2026 Earnings Conference Call

Dear Sir/Madam,

In continuation to our letters dated July 25, 2025 and August 0 6, 2025, pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Lis ting Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to enclose a copy of the Tra nscript of the Earnings Conference Call held on August 06, 2025, for the Unaudited Financial Results of the Company for the quarter ended June 30, 2025.

The said Transcript is available on the website of the Company at www.lupin.com .

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

AMIT KUMAR GUPTA COMPANY SECRETARY & COMPLIANCE OFFICER
(ACS -15754)
Encl.: a/a.

August 6, 2025

“Lupin Limited Q1 FY2026 Earnings Conference Call ”

August 06, 2025

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN – EXECUTIVE DIRECTOR, GLOBAL CFO , HEAD OF IT AND API PLUS SBU, LUPIN LIMITED
• MR. RAVI AGRAWAL – INVESTOR RELATIONS AND M&A , LUPIN LIMITED

Moderator : Welcome to Lupin Limited's Q1 FY 26 Earnings Conference Call. I am Ravi Agrawal, Head of Investor Relations for Lupin. Thank you for your participation in the call today. Please note that all participants' line will be in listen -only mode, and there will be an opportunity for you to ask questions after the opening remark s. Please al so note that this conference is being recorded.
I now hand over the conference to the management. Thank you, and over to you.
Vinita Gupta: Thank you, Ravi. I am very pleased to welcome you to our Q1 FY26 Earnings Call. I have with me here, Nilesh, our Managing Director; and our CFO, Ramesh; and of course, Ravi online as well. We look forward to sharing with you our highlights for the quarter, as well as outlook for the year ahead.
We are delighted to begin the fiscal year on a very strong note, with continued double -digit growth in both revenues and profitability. Our margins have shown further improvement, rising by 330 basis points YoY, even as we increased investment in R&D by 15 1 basis points during the same period. Looking ahead, we are confident that this growth momentum will continue and reaffirm our EBITDA margin outlook for the fiscal year at 24% to 25%.
The first quarter marked a significant milestone for our U.S. business. We successfully launched Tolvaptan with sole first to file exclusivity, resulting in our highest U.S. revenues since Q4 FY2017 when we had the Glumetza ® and Fortamet ® franchise, a nd this is despite additional generic competition in Albuterol. Our ability to seamlessly launch Tolvaptan through specialty distribution channels stands as a testament to the strong execution and commercial capabilities we have built in the U.S.
We are confident in our ability to sustain growth in the U.S. market in the mid to long term with a strong pipeline across complex product categories, such as inject ables, respiratory, biosimilars and 505(b)(2) products, targeting brand sales of USD 150 billion. We expect complex products to drive a significant portion of our growth and future business. Additionally, we remain focused on expanding our specialty business, both organically and inorganically.
Coming to India region, we reported growth of 7.8% YoY. Within this, our India Formulations business recorded growth of 8.6% during the quarter, in line with IPM gr owth. While key therapies like C ardiac, GI and VMS grew ahead of the market, and we have also increased our chronic share from 64% last year to 65% this quarter, LOE on certain in -license d brands in the Diabetes segment have had a negative impact on our growth rates.
I'm particularly heartened by our Respiratory franchise performance, which grew 18.5% as against a category growth of 12.2% during the quarter. Also on MAT basis, the volume growth has been 2.8%, double the volume growth in IPM during this period.
During the quarter, we successfully completed the transfer of our OTC consumer healthcare business into a 100% own ed subsidiary called LupinLife Consumer Healthcare. We believe that this separation will allow the OTC

business strategic flexibility to capitalize on the rapidly growing OTC market in India , while enabling the company to sharpen its focus on core strengths in the prescription drugs business.
We are confident that our India F ormulations business will continue to outperform the market, propelled by our extensive portfolio of innovative and in -license d products as well as the broad reach of our 10,000 plus people sales force. The introduction of new products will be pivotal to our growth with more than 80 product launches planned over the next five years.
As a major player in the Cardiac and Diabetes s egment, GLP -1 products will remain a core part of our India strategy over the next couple of years. In addition, we are deepening our presen

ce in GI, aiming to establish this as our
fourth major therapy area. We are also focused on expanding our presence in

Oncology and CNS segments going ahead.
Turning to Other Developed M arkets, we achieved a 17% YoY increase, with Europe serving as a key growth driver, recording an impressive 28% increase for the quarter. These markets now account for 13% of our total sales, up from 11% two years ago. Looking ahead, we remain optimistic about sustaining this momentum , led by a robust pipeline of complex and specialty products going ahead.
Our R&D expenses as a percentage of sales stood at 7.9% for the quarter. We are especially encouraged by our recent FDA approvals for generic Victoza® and Glucagon, which highlight the progress we are making in complex injectables. We take pride in being the first Indian compan y to secure approval of a GLP -1 product for the U.S. market.
Nearly 70% of our R&D investments are directed towards complex and specialty products. We have a robust pipeline with over 60 product filings planned for the U.S, market alone in the coming years.
Our position in I nhalation is expanding rapidly, not just in the U.S, but also across India, Europe, and other international markets. In the complex injectables space, our focus is on developing depo t inject ables , peptides, iron colloid products, as well as 505(b)(2)s. We have also established a strong model in biosimilars outside the United States and are well positioned to enter the market in the U.S.
On the specialty side, we are advancing a substantial 505(b)(2) pipeline and enhancing our portfolio with value -added medicines, such as long -acting injectables, oral solids, IUD implants, and green propellant -based products. These initiatives will require increased investment, a s we have indicated previously, a nd we anticipate R&D spend to be between 7.5% to 8.5% level in FY26.
On the compliance front during the quarter, our Nagpur Unit -2 site received its EIR, while there were some observations in the 483 issued for Pithampur Unit -2 and Unit -3 sites. We are confident of addressing the observations effectively and would like to r eiterate that we are committed to ensure that

all our sites are fully compliant with the FDA and other regulatory agencies around the world.
Before I hand it over to Ramesh for a more detailed performance analysis, I want to reiterate our optimism regarding our future growth trajectory. The recent approvals for generic Victoza® and Glucagon, and the expected approval of generic Risperdal Consta® mark the beginning of our journey in complex injectables space, which will further strengthen our complex portfolio in the U.S.
Looking ahead to FY27, we expect to bolster our momentum with key launches from our biosimilars pipeline in the U.S as well. Our ongoing commitment is to build a leading global specialty business, leveraging both in - house innovation and strategic acquisitions. We are confident that our focused investments in R&D, patient -centric approach to building specialty brands, and continued efforts in driving effi ciencies will drive sustainable growth in the years ahead.
With this, I will hand it over to Ramesh.
Ramesh Swaminathan : Thank you, Vinita. Friends, I welcome you all to our Q1 FY 26 earnings call. This has been yet another quarter of consecutive double -digit growth a cross the top line and profits. I am particularly pleased to highlight that EBITDA margins have expanded by 330 basis points YoY to 26.6% during the quarter, despite 151 basis points increase in R&D during this period.
Diving into the numbers .
Sales
Sales for Q 1 FY26 came in at INR 6,164 crores as compared to INR 5,514 crores in Q1 last year , a growth of 11.8% YoY. Amongst the key markets, the U.S grew by 24.3% YoY, India region has grown 7.8%, and Other D eveloped markets have grown 1 7.4% during the qu

arter. Our GIB business grew by 16% YoY.
US Business
In the quarter, the U .S business recorded sales of USD 282 million, a growth

of 22.3% YoY and 12.8% QoQ on a constant currency basis.
As Vinita mentioned, this quarter was a pivotal one for the U.S, the successful launch of Tolvaptan, with sole FTF exclusivity. This was offset by low generic single -digit price decline in our base products and anticipated impact of new generic competition in Albuterol. We are continuing to execute on our strategy to improve our profitability in this segment, with yet another quarter of strong profitability from this business.
On the longer term, we remain confident of consistent delivery of profitable growth through an increasing share of complex products in our portfolio.

India
The India region business grew by 7.8% YoY during the quarter. Within this, the prescription business grew by 8.6% YoY during Q1 FY 26, in line with IPM growth. Chronic share during the period was higher at 65% with key segments like C ardiovascular, GI, and VMS growing ahead of the IPM growth. The share of in -license d products is only around 6.2% as c ompared to around 12% in FY25, which also has a positive impact on our profitability going ahead.
Other Developed Markets
So far as Other Developed M arkets are concerned, revenues in our other developed markets were INR 775 crores, representing a growth of 17% YoY. This growth was led by 2 8% YoY increase in Europe.
Other Emerging Markets
Other Emerging M arkets grew by 5.2%, with strong growth in South Africa offsetting tempered performance in LATAM and Philippines.
Coming to various aspects of the P&L.
Other Operating Income
Other Operating I ncome at INR 105 crores has increased by INR 18 crores as compared to the first quarter of FY25.
Gross Margins
Coming to the profitability, Gross M argins contin ued their upward trajectory with Q1 FY26 Gross Margins at 71.3%, up from 68.4% in Q1 last year, and up from 69.7% in Q 4 FY25. This 290-basis points YoY improvement is driven by multiple factors, which includes better product mix, tailwinds on the input cost front, lower share of in -license d products, increased volumes, and other cost improvements and efficiencies which we have undertaken over the last several quarters.
Employee Benefit Expenses
Employee benefit expenses at INR 1,083 crores increased 11.5% YoY from INR 971 crores in Q 1 FY 25, translating to 17.6% of sales, similar to Q1 last year. This change is largely attributable to higher costs due to regular annual increments and business growth during this period.
Manufacturing & Other Expenses
Q1 FY26 Manufacturing and O ther expenses came in at INR 1,772 crores, increasing 10.9% YoY from INR 1,598 crores in Q1 FY 25 and INR 1,688 crores in Q4 FY 25, translating to 28.7% of sales versus 29% last year. The expenses are mainly higher due to higher R&D costs and higher volumes in the normal course of business.

R&D
R&D is at INR 484 crores at 7.9% of sales, as compared to INR 350 crores, which is 6.3% of sales in Q1 FY25, with almost 70% of our R&D directed towards complex portfolio. For the full year, as earlier indicated, we expect R&D to be about 8.5%.

EBITDA
Excluding Fore x and other income, EBITDA was INR 1,641 crores vis -a-vis INR 1,286 crores in the same period last year, an increase of 27.6% YoY, with a margin of 26.6% versus 23. 3% last year in the same period. On a QoQ , margins have expanded by 340 basis points. This margin expansion is on the backdrop of higher gross margins and a lower fixed cost during the period despite a higher R&D.
As previously guided, we expect full -year EBITDA margins to be i n the range of 24% to 25%. Whilst we expect business to continue to exhibit robust performance, overall margins will b

e tempered by higher R&D spends and lower PLI in FY26 vis -a-vis FY 25.
ETR
So far as the ETR is concerned, it was 13.7% for this quarter. However, for the full year, we expect the ETR to be around 19%.
Operating Working Capital
As far as the balance sheet is concerned, we are still working on operating working capital, which is of course standing at INR 7,287 crores as of 30 June against INR 6,821 crores as of 31 March 2025 , which translates to 106 days of working capital against 110 days in the previous quarter.
Net Cash
Net cash at INR 1,239 crores as against INR 310 crores on 31 March 2025.
Whilst we focus on increased cash generation for our business, we would like to highlight that we continue to explore strategic allocation of our capital to address the long -term vision of the company.
ESG
On the ESG front, we are pleased to repor t continued progress in Lupin' s Environmental, Social and Governance performance, as demonstrated by our sustainabi lity ESG ratings. This exposure has notably improved from a classification of "Severe Risk" in 2019 to "Medium Risk" in 2025. Additionally, with the Lupin Foundation, we have positively impacted lives of 22,400 individuals by enhancing access to healthcare and promoting livelihood opportunities.
With this, we open the floor for discussions.
Moderator : Thank you very much. We will now begin the question -and-answer session. Request that all participants who wish to ask questions to raise your hands on

the Participant tab on the screen. We will wait for 30 seconds for the queue to assemble.
The first question is from Kunal Dhamesha .
Kunal Dhamesha : First question on the top -line growth outlook. I think we have provided outlook on R&D, EBITDA margin. But if you could also provide our expectation for the overall top -line and as well as U.S. and, a related question is, Tolvaptan contribution in Q1 FY26 , whether it was a partial contribution or a full quarter contribution?
Vinita Gupta : So top -line growth for the year, as we have guided earlier, we expect strong double -digit, both for the company and for the U.S. We launched Tolvaptan in late May. So, it was partial quarter. Since it's a specialty product, there was not too much of channel stocking ahead of the launch.
Kunal Dhamesha: And second one on the India business. The overall India business growth seems to be lower than our formulation business. So has the adjacency which is a small part of the business, has that kind of impacted, or there was a tender business last year that has impacted the growth? How should we think about it?
Nilesh Gupta : It's primarily the tender business, it's the institution business, which has impacted. And as we've discussed before, that's lumpy. But by and large, I think we're in a good place on the Global Institution Business as well.
Kunal Dhamesha: What would be the current drag from the adjacency business like diagnostics, etc., in this quarter particularly?
Ramesh Swaminathan : So, the impact on our EBITDA would be close to about 1%. They are still evolving and coming up very nicely. So, the long term obviously looks very alluring to us. But clearly, they're still loss -making at this stage.

Moderator : Next question is from Vivek from Citi .

Vivek Agrawal : Can you help us understand h ow to look the U.S. sales in FY 27? In FY 26, it is going to be good because you launche d Tolvaptan, et c. But in FY 27, there may be a cliff , as products like Tolvaptan, Mirabegron, et c., that ma y not be as big as they are in FY 26. So how to look overall sales in FY27, especially for the U.S? What are the specific products, if you would like to highlight, that can help you mitigate the impact of decline in these products?

Vinita Gupta : So, there are many moving parts right now, I mean, on also material products like Tolvaptan as well as Mirabegron. Right n

ow, there are no other te ntative approvals on Tolvaptan, a nd it's a specialty product that requires a Named Patient REMS program , so we expect a substitution to be very different compared to a simple oral solid generic. That's number one.

Two, with Mirabegron, depending on the outcome on litigation as well as the trial of some of our competitors later this year, there are multiple scenarios that can emerge. So, we should have better clarity about that more at the end of this fiscal year , certainly in the second half of the fiscal year, we should have better clarity on the competition for products like Mirabegron.

Third, I would say that we have a number of new growth drivers. We are very excited with the build -up of our injectable pipeline portfolio with the approvals of significant products like Glucagon and Liraglutide. We have a goal date for Risperdal Consta® in September.

So, hopefully, the quarter after that, we launch our Gx Risperdal Consta® . So, the injectables start becoming a growth driver for us at the second half of this fiscal year, building into FY27.

And fourth, I would say that biosimilars is starting to look pretty promising as an opportunity, just given where things are in terms of access to market in the U.S. From our perspective, we have Pegfilgrastim that we will hope to receive approval for this year. We are making good progress on the OBI Pegfilgrastim. So, we would expect that, hopefully, to be filed and also get approved in FY 27 or FY 28. And FY 27, we expect in June '26, we have the goal date for Ranibizumab that we filed a few months ago. W e expect both OBI as well as Ranibizumab to potentially come to market in FY27, building into FY28 as well.

So, while in some of the exclusive products, we will have additional competition impact, we think that some of the products are stickier than others. We remain very optimistic about growth prospects. Certainly, for the com pany overall, we expect a high single -digit growth for the next fiscal year, and hopefully double -digit as well based on the efforts our team has undertaken .

Ramesh Swaminathan : And I'll just add, perhaps there might be some volatility amongst quarters, but one is playing for the long term, a nd clearly, you see secular growth over an extended period of time, given our focus on a number of differentiated products, 505(b)(2)s.

Vivek Agrawal : So, in FY 27, you are aspiring to be like a high single -digit -plus growth on FY26?

Ramesh Swaminathan : For the company as a whole .

Vivek Agrawal : Just one clarity on Pegfilgrastim On Body Injectors. So, have you filed or yet to file this product? Which product that you are expecting first? The normal Pegfilgrastim or the OBI one?

Nilesh Gupta : I am interested primarily in the OBI. Although the Pegfilgrastim approval will come sooner, we hope to file this during this fiscal year.

Vivek Agrawal : One question on the cost front, last year the company saved close to USD 50 million, so it would be great if you can highlight what are the targets for next couple of years, especially i n the areas where the company is working on as far as the cost structure. I am trying to unde rstand, margins for the FY 27. For FY27, you have guided 24% - 25%. But is it possible that margins in FY27 can dip on the base of FY26, or you can still maintain margins in FY27 on the base of FY26?

Ramesh Swaminathan : The fact is we are playing for continuous margin expansion. This is on the back of, in fact, buoyancy on the top line, a nd we did indicate that next year also we would grow at least single digit numbers. But the focus on vari ous items of cost is incessant, and you would appreciate, the evidence is there to see. That will kind of provide for margin expansion going forward as well, despite, in fact, the kind of increases that we are seeing on the R&D

front. So, we're pretty optimistic about this.

Moderator : The next question is from Saion Mukherjee of Nomura.

Saion Mukherjee : One question is on this whole tariff scenario. We may see an announcement in the near term. How are you assessing that? Any colour you can provide given the kind of products that you have or other mitigating measures that can be put in place ? Basically, broadly trying to understand how you see the impact, let's say, if you have 10% or 15% kind of tariff being put on generic pharmaceuticals?

Vinita Gupta : It is of course hard to predict where this lands based on the outcome of the 232 investigations .

But I'd say that from a mitigating standpoint, the strategies that we have considered is, one - wherever we can, where we have price flexibility, price increase to offset the impact of tariff.

Number two - products where we have the ability to tech transfer into the U.S., certainly in the two sites, both New Jersey as well as Coral Springs. We are looking at a potential to transfer those products.

We are also considering some IP transfers that of course will have a capital gains impact, but overall will really benefit us, especially on high value products where we transfer the IP to the U.S and contract manufacture in India.

So, a combination of all of those measures, we expect to be able to mitigate a good percentage of the impact of tariffs. If it is 10%, 15%, I think it should be fairly manageable in any case. I mean, the question is, is it 25% or the 150% to 200% kind of numbers that have been floated.

Ramesh Swaminathan : And we should remember, at the end of the day, generics i s all about access to medicines, so far as the population is concerned. So, they would also be very conscious of whatever measures that they take so it doesn't impact them too much considering the availability of products in recent times.

Saion Mukherjee : And the second question is on specialty. You are thinking about it for a while now. Given the changes that we are seeing in the U.S, particularly with respect to the pricing environment, is that changing your thought process around how you should be thinking about going about building the specialty business globally and in the U.S, in particular?

Vinita Gupta : Strategically, our focus has really been in niche therapy areas where we can really add va lue. So , areas like respiratory, a nd niche respiratory products or products that are not large in Asthma -COPD where we compete with big pharma. Plus, rare neurology products like NaMuscla® , we're actively developing NaMuscla® for the U.S, as well as other geographies, Europe included . So, we expect that the impact of MFN and all of the price reduction measures is likely going to have more of an implication for the large value

categories, where there is material spend from a government standpoint and a payer standpoint. Given our strategy is more on niche products, we believe that we will be in a better position than large brand companies in any case.

Saion Mukherjee : On NaMuscla® , if you can update us on the timeline for the U.S, and the market opportunity?

Vinita Gupta : We are in active recruitment right now for a Phase 3 study for U.S and Europe. We expect that the product will launch in the U.S in FY29. We believe that there's a market opportunity between USD 100 million to USD 200 million.

Moderator : The next question is from Kunal Randeria of Axis.

Kunal Randeria : Any update on Semaglutide filing plans in Canada?

Vinita Gupta : No, I think, from a near -term perspective, for the markets that open, we really have a partnered model. We have a partnership in place that will get us into

the market. But internal injectable filing is a little bit later, due to the hurdle
patent in the U.S. and other major markets.
Kunal Randeria : I meant Canada. Semaglutide in Canada?
Nilesh Gupta : So

that will come through partnered, like Vinita said.
Kunal Randeria : Just to clarify on Mirabegron patent litigation. There are, I think, two patents
under active litigation, right? And in one of the patents, I think the outcome
depends on one of the other competitors , how their litigation goes. So, is
there a likelihood of this drug facing competition by November itself?
Vinita Gupta : I would say it's really hard to predict. And anybody who is going through
litigation in fall this year also has potentially looking at the timeline of our
February trial, which is going to be material for the product.
Moderator : The next question is from Damayanti Kerai of HSBC.
Damayanti Kerai : So, my question is on your injectable portfolio build -up. So, first, have you
launched Glucagon and Lira glutide in the U.S.? Are these products completely
in-house, or you are engaging with some partners as well?
Vinita Gupta : So, we have launched Glucagon yesterday and plan to launch Lira glutide by
October, a nd we manufacture the products in -house in Nagpur.
Damayanti Kerai : So, why are we waiting until next few months for Lira glutide launch?
Vinita Gupta : That's the time it takes to really do the validation and get launch quantities
together.
Damayanti Kerai : And how do you see Liraglutide market in the U.S., given the market in general
has moved to the new -generation therapies, your S ema glutide and
Tirzepatide , etc.? Do you think this market is still attractive ?
Vinita Gupta: We believe it is attractive because it's half a billion dollars plus, a nd there are
very limited number of players right now. As the product gets more affordable
with additional competition, we would expect that there is some share that

the product sho uld take from the overall class. D efinitely the portion that is
price sensitive .
Damayanti Kerai : From sales build -up perspective, we should assume by FY27 that thes e two
products are coming in FY 26 and hopefully Risperdal Consta® also comes
through. So, you have three key products in your portfolio to start with, and
then assuming it will take a few months to build out , etc. So FY 27 onwards we
can assume these to be significant contributor s in the U.S.
Vinita Gupta: That's r ight.
Damayanti Kerai : My next que stion is on your EBITDA margin. Ramesh, you mentioned there
was some 1% drag due to adjacency in India. So similarly, can you quantify if
there are other such drag on margins which are right now due to some
investment or scale -up which are underway and then you expect these things
to go away in few years or few quarters?
Ramesh Swaminathan: So, what I actually meant was that the adjacencies are costing us some monies
because essentially, they are still evolving. Essentially, the digital business, the
diagnostics business, the API CDMO business. There is time for them to
evolve, they're all start -ups, so to speak. They would evolve to a size, to critical
mass and they would start making profits. For example, the diagnostics
business is expected to kind of breakeven next year. So that pathway has been
very well set.
Damayanti Kerai : My next question is on your inhaler's portfolio. On Tiotropium, have you seen
any meaningful market share than what we saw last quarter?
Vinita Gupta : It has been at a similar level .
Damayanti Kerai : So, what is actually stopping you to gain more market share? Or have you
already reached the upper limit, and then we might not see market share gain
from here? What are your thoughts on Tiotropium market share gain?
Vinita Gupta : The t eam is putting additional efforts around offsetting some of the cost to
patie nts, especially in the Medicare - Medicaid covered patients. That is
where we don't have a strong share. We have a really good share of the
commercial covered patien ts, 50% plus. But the Medicare - Medicaid is where
we are starti

ng to see some benefits, but it's not showing in the numbers as
of yet. But we hope that in the next couple of quarters that builds up.

Damayanti Kerai : So, going ahead, we might see more market share gain on the Medicaid - Medicare channel b ut on the commercial channel, you are broadly maybe at optimum level. Is that the way to look at this?
Vinita Gupta : Yes.
Moderator : The next question is from Neha Manpuria from Bank of America .
Neha Manpuria : My first question is on Tolvaptan. I think you had mentioned that based on contracts that we have in place, we should be able to get to about 25% market share on Tolvaptan. So, is that still the case? Or have you seen additional traction on the specialty contracts and that market share could be higher?

Vinita Gupta: So, it is hard to predict. I mean, right now, we've got good ramp up within the specialty channel. But it's still building. The conversion is still taking place. So, I think what you see is the impact of a couple of months of starting to build the share. But we should be ab le to see more of an impact in Q2 and Q 3.
Neha Manpuria : So, the full contracted share will probably reflect exit of second quarter or third quarter. Would that be a fair assumption?
Vinita Gupta: Yes.
Neha Manpuria : Given that there is no tentative approval for Tolvaptan, is it fair to assume that we could probably have a longer tail for Tolvaptan versus a usual FTF product?
Vinita Gupta : We had estimated that we'll have additional competition in six months. But if we don't see it or if it's limited, one instead of two, perhaps there is more of an upside. And i n any case, even with additional competition, we expect a longer tail given that it's a specialty product, it's the specialty channels, and the physicians don't like to change patients over and over again to a new product.
Neha Manpuria : My second question, Glucagon, w hile your press release mentions just the generic market, the IQVIA market for the generic and the brand, there are also 505(b)(2) in Glucagon. So, would it be fair to assume that our generic would be able to probably even look at that pa rt of the market, the 505(b)(2)? Or you think it's just restricted to the generic products and the brand?
Vinita Gupta : So, we're targeting the entire market, but we'll know in the next couple of months how much of a share we can take of the whole market.
Moderator : The next question is from Shyam Srinivasan of Goldman Sachs.
Shyam Srinivasan : I think in the opening remarks; you talked about a potential new generic entrance on Albuterol? So, is there something that we need to worry? Also, from your competitive study or market study, how far away is other generics on, say, Spiriva perhaps?
Vinita Gupta: So Amphastar has entered the market on Albuterol. We've seen some impact of that you also see in the q uarter that we had anticipated .
On Spiriva, you have couple of companies that have filed. But just given the time it takes and the source of supply of these companies, it's hard to say, companies like Alvogen and Teva, if they're going to get to the finish line on a timely basis. So, we hope it take s them as long as it took us, five years, to get approval .
Shyam Srinivasan : So, it is safe to assume another at least 12 -18 months of like a runway for us?
Vinita Gupta : I would think so .
Shyam Srinivasan : Just a second question on biosimilars, since you have been starting to be more vocal, you have done an agreement with Zentiva. So, late entrant, especially in the U.S, not necessarily Europe. But U.S, do you see economics still reasonable, something that you will allocate additional capital to? In opening

remarks, you talked about on -body versus just the regular one. So, is there is some different entry strategy we might be doing as a follower, second wave? And how do

we prepare for the 2029 kind of wave of the next biosimilars?
Vinita Gupta : So, I think while we are a late entrant, just given the market evolution, we may not be a late entrant. You're just seeing a substantial kind of easing on

market access in the last 6 -12 months, with Humira and the private labels that have come into market, like the Cordavis label, the Quallent label. They certainly have demonstrated the impact that some of the major customers can have with the private label strategy into the marketplace.
So, I'd say that from a capital allocation standpoint, we haven't shifted gears as of yet because we have a handful of products that are available to us already. We have, Pegfilgrastim, we have Onpro ®. And we have interest both from partners as well as with a few of the oncology products that we have on a generic pipeline. Our commercial team is also looking at how we can leverage that to come to market direct.
Plus, on the ophthalmic front, given our ophthalmic portfol io, products like Ranibizumab, A flibercept that come to market potentially in FY 27 and FY28, can be good drivers of growth for biosimilars for us just given the limited numbe r of competitors. Then, in FY29, we expect E tanercept. We're going to be likely one of four. That's still a material product, despite the price erosion that it has seen after IRA, or will see, based on the IRA negotiation. Still a significant product that we expect to benefit from.
Then we have a pipeline that we were pursuing. There is Certolizumab that we are developing. We are going to start development clinical development of Certolizumab soon. We have respiratory biosimilars, Mepolizumab and Benralizumab, that help us serve multiple markets, multiple geographies, not only the U.S, bu t also Europe, where we have a considerable position now with Luforbec® . In India, biosimilars are gaining momentum in our portfolio, especially of oncology and immuno -oncology products like Pembroliz umab and Nivolumab that we are developing for India.
So biosimilars is emerging as a platform that is going to have relevance for us in U.S, other developed markets like Europe, Canada, Australia, as well as India. So, a global platform that is really promising. We think that with the easing of the regulatory requirements from a clinical standpoint, as well as market access, it certainly will lead other companies also to accelerate their plans on the biosimilars front. So, we'll have to be mindful of the portfolio choices that we make. I t will be like complex generics, we want to participate in products where we are in the first wave and we have barriers to entry, where we have exclusivity or semi -exclusivity, is what we're targeting, or we have a market position that we can leverage like Ophthalmics or Respir atory.
Moderator : We'll take the next question from Shashank Krishnakumar of Emkay.
Shashank Krishnakumar : My first one was on Dulera. Are we still on track for FY27 launch of this product in the U.S.?

Vinita Gupta : We're expec ting to respond to the CRL in FY26. And hopefully, by the second half of FY27 or early FY28, we should be in the market with Dulera.
Shashank Krishnakumar : Second question was on the India business. I think in -licensing share obviously has come down to mid -single digits now. How do you sort of look at this going forward? Are we going to double down on our core business? Or will in -licensing still remain a key part of our domestic growth strategy in the medium term?
Nilesh Gupta : I think the focus on in -licensing remained all this wh ile. But obviously with the LOE’s and competition, that share has just been coming down. It's now down to 6% from a high of more than 20% at one point of time. The focus remains for example, even on GLP -1s, on other products, there is intent to in -license. There's a rich funnel. But the f ocus in the last three y

ears, I would say, has been moving to focus on our own portfolio, including building our own novel portfolio as well. We are making good progress on that. I think that will remain the primary focus. Obviously, for the right kind of products, we would still want to in -license.
Shashank Krishnakumar : I think you mentioned about Phase 3 trials in the U.S. for NaMuscla® . But I think there has been a slight delay in Phase 3. So, is it largely a function of patient recruitment? Or has there been any other challenges there?
Vinita Gupta : No, it has been patient recruitment that has been slow. So, we are looking to open up some new centres as well.
Moderator : The next question is from Tushar Manudhane of Motilal.

Tushar Manudhane : Just on Liraglutide, while there is authorized generic as well as a couple of more approvals already, so how to think about this opportunity for Lupin?
Vinita Gupta : For us, strategically, one of our first few injectables, first product out of India. So, it starts creating a reputation for Lupin on the injectable front. And still a sizable product with a third entrant into the market potentially in October. We look at it as a sizable opportunity. Also, I'd add to that with Saxenda ® potentially coming to market in the following year because they are very similar products, Victoza® and Saxenda ®.
Tushar Manudhane : With respect to Risperdal Consta® , the goal date being September '25, is this to do with certain queries to be addressed, and which is where the timeline is September '25? If you can just elaborate on that as well.
Vinita Gupta : Yes. We had a couple of information requests based on which the goal date was moved to September, a nd we are responding to them, we have responded to them effectively. We believe we are on track for September.
Tushar Manudhane : So, a broad idea in terms of how many times or how many queries typically USFDA would sort of ask for such complex product before getting the final approval?
Vinita Gupta : It's hard to predict. I remember we had like looked at Tiotropium, we had like at the end 18 queries. But we are hoping that we are at the tail end with Risperdal Consta® .

Tushar Manudhane : Lastly on Tolvaptan. In the past, there has been certain tentative approvals. So, is it not going to be competitive post 180 -day exclusivity?
Vinita Gupta : We haven't seen any tentative ’ s, so far.
Moderator: A follow -up question from Kunal Dhamesha of Macquarie.
Kunal Dhamesha: On the pricing comment, you said that it's a low single digit. There it is excluding Albuterol impact or including Albuterol impact?
Ramesh Swaminathan : Including.
Kunal Dhamesha: Secondly, on Tolvaptan, is it our own REMS? Or is it a shared REMS with the innovator?
Vinita Gupta : We don't want to share that. It's confidential.
Kunal Dhamesha: And then thirdly, in terms of S ema glutide Canada, has your partner's filing been accepted by the Canadian authority?
Vinita Gupta : No, it's still in the works. It hasn't been filed as of yet.
Kunal Dhamesha: And the last one on Dulera CRL, what is the nature? Is it to do with some clinical data or CMC queries or how should we think about that?
Nilesh Gupta : We do not want to talk about that.
Moderator: We'll take a follow -up question from Saion of Nomura.
Saion Mukherjee : Just a few product -specific questions. You had mentioned about a product called Dalbavancin some time back. Is this expected for launch this year?
Vinita Gupta: Yes.
Saion Mukherjee: And the other question is on GLP -1. If I heard you correctly, you said Victoza® generic in September, is that right, for the U.S.?
Vinita Gupta: I talked about generic Victoza ® just got approved and will be launched in October. Risperdal Consta® will likely get approved in September.
Saion Mukherjee: And Saxenda ® next year?
Vinita Gupta: Yes, next year.

Saion Mukherjee: So Saxenda you're expecting - just to clarify, Saxenda you're ex pecting this year approval, FY 26?
Vinita Gupta: We are hoping that we get approved sooner rather than later. I mean, the goal date is into next year. But now that we've got the Victoza® product approval, we hope that the FDA is going to expedite.
Saion Mukherjee: Given that you're one of the few companies, which have been able to get an approval for a GLP -1 product, just from a regulatory standpoint, maybe for the U.S., of course, and for other markets, how do you see the hurdle from a regulatory approval perspect ive? Is there any takeaway for S emaglutide, or these are completely di fferent products? And also, on S ema glutide , if you can

share your thoughts on India and the other markets and how excited you are about the opportunity next year.
Vinita Gupta: Yes, I think that it's fair to say Liraglutide was a complex product approval through the US FDA. The team really worked hard to respond to a number of pretty tricky quer ies and w e believe that not everyone will get to the finish line. We think that the competitive dynamics there might be a little bit different than we had earlier expected.
Nilesh Gupta: I think what it does also is gives us a lot more capability. It gives our people a lot more confidence to be able to develop other products in the GLP -1 space.
On S emaglutide, India, the injectable, we hope to be in the first wave. That will come through partnership. T he oral solid is what we're developing internally. That will come a little later, hopefully in the next fiscal.
Saion Mukherjee: You mean FY27 you expect?
Nilesh Gupta: Yes, FY27 for the oral, end of FY26 for the injectable. We're a large metabolic player. So obviously, from that perspective, it's very interesting. There will be competition, but I think we should be able to get more than typical share.
Saion Mukherjee: And do you see the risk of delayed launch from a regulatory standpoint in India for the injectable?
Nilesh Gupta: So, nobody's got it yet, right? And it's under development across the board. So, I think there could be. But I think better than even chances of it coming through at that time.
Moderator : Since there are no further quest ions, I would hand it over to the management for closing comments.
Vinita Gupta: Thank you, Ravi. I hope we were able to respond to all your questions, number of questions on our portfolio , portfolio evolution, as well as growth prospects.
I just want to reiterate that we are very optimistic that we continue our growth momentum this fiscal year as well as in the next couple of years despite the challenges on additional competition on key pro ducts. We believe that we have significant growth drivers in place. The team is very excited and energized to build on the success tha t we have built over the last couple of years and into this fiscal year as well.
So, look forward to continuing the momentum and connecting with you again over the next couple of quarters. Thank you.
Moderator : Thank you. On behalf of Lupin Limited, this concludes our confe rence. Thank you for joining us, a nd you may now exit the webinar .

Call: Nov 2025

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November 12, 2025
National Stock Exchang e of India Limited
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Mumbai Samachar Marg,
Mumbai - 400 001
Symbol: LUPIN Scrip Co de: Equity - 500257

Subject: Transcript of Q2 FY2026 E arnings Conference Call
Dear Sir/Madam,

In continuation to our letters dated October 27, 2025 & Novembe r 07, 2025 and pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to enclosed a copy of the Transcript of the Earnings Conference Call held on November 07, 2025, for the Unaudited Fi nancial Results of the Company for the quarter and half year ended September 30, 2025.

The said Transcript is available on the website of the Company at www.lupin.com .

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

AMIT KUMAR GUPTA
COMPANY SECRETARY & COMPLIANCE OFFICER
(ACS -15754)
Encl: a/a.

November 7 , 2025

“Lupin Limited Q2 FY2026 Earnings Conference Call ”

November 07, 2025

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN – EXECUTIVE DIRECTOR, GLOBAL CFO & HEAD OF IT AND API PLUS SBU, LUPIN LIMITED
• MR. RAVI AGRAWAL – M&A AND INVESTOR RELATIONS, LUPIN LIMITED

Moderator : Hello, and good evening. Welcome to Lupin Limited Q2FY26 Earnings Conference Call. Thank you for your participation in the call today. Please note that all participants' line will be in listen -only mode. And there will be an opportunity for you to ask ques tions after the opening remarks. Please note that this conference is being recorded.
I now hand over the conference to the management. Thank you, and over to you.
Vinita Gupta: Hello, friends. I am very pleased to welcome you to our Q2 fiscal year '26 earnings call. I have with me our MD, Nilesh; CFO, Ramesh; and our Head of Investor Relations, Ravi.
We look forward to sharing our Q2FY26 highlights and outlook for the year ahead. We are truly delighted to announce a record quarter with total revenue from operations and EBITDA exceeding INR 7,000 cr and INR 2,100 crores, respectively, for the first time in our history.
Our margins have expanded by 750 basis points YoY and 470 basis points quarter -over -quarter reaching 31.3% the highest level recorded in the past many years. This exceptional performance reflects the consistent growth momentum we have sustained since the beginning of fiscal year '23.
Notably Q2 fiscal year '26 marks the 13th consecutive quarter of YoY growth, a testament to the strength and resilience of our business model. Our top -line growth combined with an unwavering focus on operational excellence and compliance across all geographies we serve has built a robust and sustainable foundation for the future.
This quarter's results were driven by broad -based growth across all our key markets. Exceptional growth in the U.S., supported by continued exclusivity for Tolvaptan, strong momentum in India, and solid contributions from both Developed and Emerging markets.
Coming to individual business segments, this quarter represented a notable achievement for our U.S. business, as we recorded one of our highest revenue figures to -date. This was aided by new product launches like Tolvaptan, where we continue to enjoy first -to-file exclusivity, and also products like Mirabegron and generic Spiriva ® that offset low single -digit quarter -over -quarter price decline in base products, including Albuterol.
We are particularly pleased to report successful approvals of several complex injectable products during the quarter. Notably, we became the first Indian company to secure approval for generic Victoza®, Risperdal long -acting injectable, the first approva l from our Nanomi platform, and Glucagon, all of which further strengthen our portfolio of complex injectables for the U.S. market.
In addition, we expect our biosimilars portfolio to start positively contributing to U .S. revenues from fiscal year ' 27, and we target to have at least five products in the market by fiscal yea r '30. We are very pleased with the market momentum on the biosimilars front in past few weeks , with the FDA easing

the clinical study and interchangeability requirements, as well as PBMs and potentially CMS starting to prioritize biosimilars.
Altogether, this sets us on track to double the share of complex products in our U.S. business over the next few years. In parallel, we continue to invest in expanding our specialty portfolio through a combination of organic initiatives and targeted acquis itions.
Switching to India, revenues grew 3.4% year -over year , with the core

domestic formulations business delivering a healthy 8.8% growth, translating to 1.2 times IPM growth. The overall India number was moderated by lower local tender sales within our Global Institutional business. Excluding the impact of loss of exclusivity on products like G ibtulio ® and A jaduo ®, domestic growth stood at a robust 10.7% YoY for H1. Volume growth remained strong at 5.2%, while the chronic segment now represents 65% of our portfolio, up from

64% last fiscal. Therapy -wise, GI grew 6 times its category rate, while Cardiac and Respiratory grew 1.5 times their respective category averages. We remain confident that our India formulations business will contin ue to outperform the IPM by 1.2 to 1.3 times as we have stated in the past, supported by our 10,000 plus strong sales force.
With the revival of the Respiratory category and the exit of Mixtard in the insulin market, we see near term tailwinds for both our respiratory and diabetes portfolio. We have over 80 new product launches planned over the coming years, including innovative products from both in -house development and in -licens ing. This includes GLP -1s, where we expect to be in t he first wave of launches with S emaglutide in India and are working on strengthening our innovation pipeline for the long term.
Our Other Developed mar kets, including Europe, Canada, and Australia, delivered 19% YoY growth , with Europe as the standout performer, growing 26.8% YoY for Q 2FY26 and 27.3% H1. These markets now represent 12% of total sales, up from 11% two years ago, and are expected to expand further as we roll out our robust pipeline of new products.
The planned acquisition of VISUfarma, with its portfolio of 60 plus innovative eye health products and established infrastructure, aligns well with our strategy to expand a European footprint and build a global specialty franchise. This acquisition, expected to close by 2025, will enhance both growth and margins, adding diversity across key European markets. It will bring ou r global specialty business to USD 150 million annualized revenues next year, starting to build some scale.
Our Emerging markets grew an impressive 45% YoY, led by strong performance in Brazil and South Africa. We are especially pleased with the turnaround in Brazil, which grew 141% in local currency, driven by successful diabetes product launches.
Turning to R&D, our spend stood at 7.5% of sales this quarter, among the highest in the Indian pharma sector, reflecting our focus on complex and specialty platforms. We have over 50 product filings planned for the U.S., with a near -term focus on respiratory , complex injectables and biosimilars.

Over time, we expect an increasing share of R&D investments to flow into specialty programs and value -added medicines, including long -acting injectables, green propellant -based products, and 505(b)(2)s. We also plan to strengthen our innovation ecosystem i n India through both in -house development and in licensing of late -stage assets.
On the compliance front, we recently received VAI status for our Pithampur Unit 3 respiratory facility and are actively addressing the OAI at Unit 2. We remain fully committed to ensuring that all our sites adhere to the highest global quality and regulato ry standards.
In conclusion, while we take pride in our strong results, we remain grounded in our long -term aspiration to build a company for the future, one that is resilient amid challenges, agile in seizing opportunities, and anchored in scientific innovation and pat ient trust. With a clear strategic roadmap, disciplined execution, and a deep sense of purpose, Lupin is well positioned to deliver sustained value for all stakeholders in the years ahead .
With this, I'll now hand it over to Ramesh for a deeper analysis of our financial performance.
Ramesh Swaminathan : Thank you, Vinita. Friends, I welcome you all to our Q2FY 26 earnings call. As you may have seen from the results, this has been a record quarter for the company, the company recording its highest quarterly revenues and EBITDA. We've delivered positive results on most key financial metrics, be it growth, gross and operating margins, earnings per share, or leverage ratios. As a

result, our ROCE is a bout 25% as at the end of Q2FY 26.
Sales
Diving into the numbers, total revenu

es from operations, including other
operating income for Q2FY 26 came in at INR 7,048 crores as compared to INR 5,670 crores in Q2FY25 last year, a growth of 24% YoY.
Amongst the key markets, the U.S. grew by 47% YoY. India grew 3.4% YoY. Other Developed markets have grown 19% YoY, and Emerging markets have grown 45% YoY during this quarter. Our GIB business grew by 9% YoY.
US Business
Speaking about the U.S. business, this quarter, the U .S. business recorded sales of USD 315 million, a growth of 41% YoY, and 11.5% QoQ on constant currency basis. It is one of the highest achieved in this business. This growth has been due to new product launches, offset by low single -digit price decline in our base products, and anticipated impact of additional generic competition in Alb uterol.

We're pleased with the progress of our U.S. business, which continues to be a key growth driver. The recent launches in our respiratory and complex injectables portfolio, along with the anticipated entry of biosimilars next

year, reinforces our complex generics portfolio, and we remain optimistic about growth prospects in the US in the years to come.

India

Turning to India, the India region business grew by 3.4% YoY during the year. I'd like to highlight that the core prescription business grew by 8.8% YoY during Q2FY26, and 8.7% in H1 , handsomely outp erforming the IPM growth by 1.2x and 1.1x, respectively.

In fact, if you normalize for the loss of exclusivity on some of our diabetes products, the growth would have been 10.5% and 10.7% in Q2FY26 and H1 . Chronic share during the period was higher at 65%, with key segments like Respiratory, Cardiovascular, and GI significantly growing ahead of the industry. The share of in -licensed products is only 6% as compared to around 12% in FY 25, which also has a positive impact on our profitability going ahead.

Other Developed Markets

As far as Other Developed markets are concerned, revenues in our other developed markets was INR 812 crores, representing a growth of 19% YoY. This growth was led by 27% YoY increase in Europe, due to higher sales in Germany and UK from existing products and partner sales. The recent announcement acquisition of VISUfarma will further add buoyancy to our growth in Europe going ahead.

Other Emerging Markets

Other Emerging markets grew by 45%, with strong growth in Brazil and South Africa, offsetting tempered performance in Philippines.

Other Operating Income

Getting on to the P&L, other operating income at INR 216 crores has increased by INR 40 crores as compared to Q2FY 25. This has been led by higher export benefits from PLI scheme recorded this quarter.

Gross Margins

Turning to the gross margins, gross margins continue their upward trajectory with Q2FY 26 at 73.3%, up from 69.3% in Q2 last year, and up from 71.3% in Q1FY26. This 403-basis points YoY improvement is driven by multiple factors, which includes better product mix, lower share of in -licensed products, including higher profitability on LOE products in India, increased volumes,

and other cost improvements and efficiencies which we have undertaken over the last several quarters.

Employee Benefit Expenses

Employee benefit expenses at INR 1,106 crores increased 9.7% YoY from INR 1,007 crores in Q2FY 25, translating to 16.2% of sales as compared to 18.3% in Q2 last year. This change is largely attributable to higher costs due to regular annual increments, and business growth during the period.

Manufacturing & Other Expenses

Q2FY 26 manufacturing and other expenses came in at INR 1,980 crores, increasing 18.8% YoY from INR 1,667 crores in Q2FY25 and INR 1,772 crores in Q1 FY 26, translating to 29% of sales versus 30.3% last year. The expenses are mainly higher due to higher volumes in the normal course of b

usiness
and certain one -time acquisition -related charges.

R&D

R&D at INR 509 crores is 7.5% of sales as compared to INR 448 crores in Q 2 last year, with almost 70% of our R&D directed to its complex portfolio. For the full -year, as indicated, we expect R&D to be around 7.5% to 8.5%.

EBITDA

EBITDA including Forex and other income was INR 2,138 crores vis -a-vis INR 1,308 crores in the same period last year, an increase of 63% YoY, with a margin of 31.3% vis -a-vis 23.8% last year in the same period.

On a QoQ basis, margins have expanded by 470 basis points. This margin expansion is in the back of higher Gross margins and a lower fixed cost. We expect full -year EBITDA margins to be in the range of 25% to 26%, higher than our earlier guidance of 24% to 25%. Whilst we expect business to continue to exhibit robust perf ormance, overall margins in H2 would be tempered by higher R&D spends and a lower PLI income.

ETR

Turning to the tax rate, ETR is e xpected to be about 20.9% for H1 . For the full-year, we expect ETR to be around 21% to 22%.

Operating Working capital
Operating working capital stands at INR 7,730 crores as of 30th September, against INR 6,821 crores as of 31st March '25, which translates to 102 days of working capital against 106 days in the previous quarter.

Net Cash

Net cash stood at INR 1,665 crores as against INR 310 crores on 31st March 2025. Whilst we focus on increased cash generation for our business, we would like to highlight that we continue to explore strategic allocation of our capital to address the long -term mission of the company, including on the specialty front. We've also announce d planned investments in the U.S. at our Coral Springs site to cater to the anticipated increase in demand, especially for our respiratory products.

ESG

On the ESG front, we reached a remarkable milestone in the S&P Global ESG score of 91 in 2025 reflecting a 15 -point improvement over 2024. This achievement positions us not only as a leader in the pharmaceutical industry, but also amongst a very select group of global companies to surpass the 90 mark. This underscores a deep -rooted commitment to su stainability and responsible growth.

With this, we open the floor for discussions.

Moderator : Thank you very much sir. We will now begin the question -and-answer session. Request that all participants who wish to ask questions to raise your hands on the participant tab on the screen . We will wait for 30 seconds for the queue to assemble .

The first question is from Kunal Dhamesha .

Kunal Dhamesha : The first question on the U.S. business, now that we probably have seen a good amount of Tolvaptan in this quarter, how do we see this USD 315 million number moving in the coming quarters? And also, what are the key launches that we are looking at, both in second half of FY26 and first half of FY27?

Vinita Gupta : On Tolvaptan, we have 180 -day exclusivity, so that's into next week . We would expect some competition, but we also believe that the two competitors that we're expecting, not both of them may make it. The TAs are delayed, we don't see any TAs as of yet, so we do think that we are going to get more of a runway . Plus, if we look at Tolvaptan conversion so far, we have seen 30% of the market convert, so there's still a lot of room for generic penetration and an expansion of the market overall for both for us as well as new entrants. So, as we look at the next couple of quarters, the second half, we certainly think that we'll have some erosion f rom this USD 315 million, but

we should be, close to between USD 275 million to USD 300 milli on per quarter to close over USD 1 billion as we have guided in the past.

And then in terms of new launches, just recently we launched the authorized generic to Ravicti ®, which is a material launch for us. We are about to launch the Risperdal Consta ® product in the next couple of weeks. We have an upcoming goal date for Pegfilgrastim, for which we had a recent inspection at the biotech facility. Feel pretty good about that, so that should be coming up. Victoza ® was just launched, so we'll see the ramp up of that. So, injectables certainly, Ravicti ® plus biosimilars into the next couple of quarters, and then Ranibizumab next year, we feel pretty good about sustaining a USD 1 billion plus level into fiscal year '27.

Kunal Dhamesha: Second question on the EBITDA margin guidance for FY 26, which we have raised by almost 100 basis poi nts. But how to look at FY27, how should we kind of look forward to the EBITDA margin for the year?

Ramesh Swaminathan : We expect a reduction in the second half. But we have also said in the same breath that there would be an increase in the R&D expenditure. But we do expect the R&D expenditure next year to kind of normalize a little vis -a-vis, in fact, the second half. And given the fact that we expect some of the products to kind of sustain the momentum, we would think that we would be able to close at around 24 % - 25% next year as well. And there's, of course, opportunities in other parts of th e globe, like as in India with S emaglutide and the like. So, from a sales perspective, we think there would be growth. I'll bet it's going to be a little lacklustre from a comparison perspective vis -a-vis the

current year. But overall, there would be we would be able to kind of keep to
the margins that we are speaking about.
Kunal Dhamesha : In terms of the recent inspection at the Nagpur facility, have we submitted a response? And how important is this facility for us from a future growth perspective, specifically from FY27 and FY 28 perspective?
Nilesh Gupta : The audit was for our injectable facility. So , we've obviously submitted the response. And I think the next update where we've made a lot more progress actually goes in today. We're not happy with the observations, but we believe that they are addressable. We're obviously putting our best foot forward at this point of time with the response. An d we hope that it will suffice.
It is important, both for our injectables, which are just starting to build at this point of time and some of our biotech products as well. The facility is important and obviously we want to keep it in a state of good compliance.
Obviously, we're going to do whatever it takes to get it to the finish line .
Kunal Dhamesha : Can you share the number of ANDAs from the facility which are pending ?
Nilesh Gupta : We've just started our injectable journey. So I think we've just got a few approvals and we file 5-6 ANDAs every year. So, I mean, we're not talking about a very large number yet, but I mean, it's a key part of what we want to build going forward.
Moderator : We'll take the next qu estion from Bino Pathiparampi l.

Bino Pathiparampi l: To get an idea on Tolvaptan, could you compare the revenue Q oQ or would Q2 Tolvaptan revenue be double of Q1 level or more than that?
Vinita Gupta : We don't give product -wise guidance, but needless to say that Tolvaptan has been a significant contributor in Q2.
Bino Pathiparampi l: And how is Mirabegron? Does it fluctuate quarterly or are you maintaining a roughly same run rate ?
Vinita Gupta : No, Mirabegron has also grown QoQ.
Bino Pathiparampi l: How do you think about that product? In February there is this hearing. Do you expect a decision around Feb or March itself or is it likely to go on for some time ?
Vinita Gupta : It is hard to predict how the judge will rule, or the jury will rule. But based on the trial that we have seen so f ar, I mean, in the case of MSN that settled , and Ascent last week. We feel pretty good about not really seeing any ne

w
entrants in the near term . And then, as our trial date comes closer, we'll see how the rest of the competitive base is going to really factor the risk for the launches. But we also feel good about the fact that our case where we have a number of defences on the non -infringement front, we feel pretty good about it as the trial comes closer .
Bino Pathiparampi l: My question was specifically, once the trial starts in Feb, do you expect a final decision in your favo ur or against within a month or so? Or is the trial likely to go on for months ?
Vinita Gupta : Usually, jury trials don't go on for months, but the decision from the jury is hard to predict if they're going to make the decision right away .
Bino Pathiparampi l: Last question on EMEA growth, very strong numbers growth, partly helped by currency depreciation, I assume, but even adjusted for that it's very strong.
Anything in particular that is driving that?
Vinita Gupta : So Luforbec ® continues to be a very strong performer. We continue to grow our share in Luforbec ® in the current countries where we already present as well as in new countries that we have launched. Raltegravir was also a good contributor to revenues in the quarter. So, both respiratory as well as other products.
Moderator : The next question is from Shyam Srinivasan .
Shyam Srinivasan : Just one on the VISUfarma acquisition. If you could walk us through the strategic rationale. I think the presentation also talked about being accretive to margins. I can see some of the margins, but just the thought process on that acquisition and what doe s it essentially add to our portfolio?
Vinita Gupta : We have always said that we are under -indexed in Europe and we have significant potential headroom there but didn't have the right market presence. We had presence in UK, Germany and France very recently. This adds Italy and Spain to us. So that's number one.

And with the infrastructure that we gained, we also have the ability to launch the Lupin portfolio into those countries, even though, the business that we're acquiring is ophthalmics . But with the infrastructure you get, especially the common resources, our team is also confident of launching other products into these markets direct as opposed to partner business that we do in Italy and Spain like countries.
Second, ophthalmology as a specialty franchise is one that we've been excited about the last couple of years. We have been looking at multiple assets, both in U.S. and Europe. And this VISUfarma, we had gotten to know the company over the last couple of ye ars and tracked them very closely. And really liked the momentum that they had built both on the commercial front, as well as the pipeline front. So, it really sets us up very nicely for to build ophthalmology franchise, both in Europe, as well as potentia lly the U.S. and Other Developed Markets going forward.
Third, I would say that we have synergies on the pipeline portfolio from VISU into other markets, and particularly, the Emerging markets, Mexico, where we have ophthalmic business, other countries in Latin America, Southeast Asia. And we're looking at the potential also in countries like Canada and Australia, we intend to bring the VISU portfolio into as many markets as we can.
So, a combination of expanding our footprint in Europe, as well as building on the specialty franchise with ophthalmology and operating leverage through global maximization of portfolio.
Shyam Srinivasan : Also, just double -clicking on your opening remarks, global specialty sales expected to reach EUR 150 million, so I'm assuming EUR 50 million actually comes from here, but what is the rest of the things, and I'm assuming some of it is in the U.S. as well, so if you could walk us through that as well ?
Vinita Gupta : So, we have Xopenex® in the U.S. that is the one brand in the U.S. right now. W

e hope to be able to build on that. We have Zaxine ® in Canada, for IBS, and we have NaMuscla ® in Europe .
Shyam Srinivasan : And the time frame for this EUR 150 million would be fiscal ’ 27, is it, or later ?
Vinita Gupta : That’s right .
Moderator : We'll take the next question from Saion Mukherjee .
Saion Mukherjee : We have seen very strong growth in some of the emerging markets like Brazil, South Africa, you mentioned, and also in Europe. How should we think about the growth, because the numbers are very high, so is this number sustainable? And on this pace, how shou ld we think about growth, if you can take us through in these markets, and what will drive that ?
Vinita Gupta: So, Europe in particular, we have a pretty strong portfolio pipeline of products to drive growth, and we would love to grow 20% plus every year, but I'd say at least on a three to five year basis we should see higher than the company average growth rate in countries in Europe, facilitated now with the VISU acquisition as well.

In Latin America, Brazil in particular, it really has been a turnaround aided by a really good product launch in the diabetes franchise, Dapagliflozin, as well as this week, we got approval for Empagliflozin, so we are hopeful to be able to drive growth in Brazil on the diabetes franchise overall.
South Africa, we really turned around the business again. It was flat over a couple of years. We have restructured the portfolio. We have doubled down on products where we see potential of growth going forward and are hoping to sustain the growth rate that we have in the current year in the next few years ahead.
Saion Mukherjee : So, Vinita, all put together, you're expecting like double digit constant currency growth across all growth across all these key markets ?
Vinita Gupta: Yes.

Saion Mukherjee : Second question would be on biosimilars and respiratory. If you can take us through the key milestone that we need to watch out for, you mentioned five products commercialization in biosimilar till fiscal '30. If you can take us through the product and time line and also on the key respiratory filings where we are and what's the time frame for commercialization ?
Vinita Gupta : On the biosimilars front, Pegfilgrastim is in the next couple of weeks. We have a goal date in end of this month. So that will be our first one. We have Ranibizumab middle of next year, the goal date. And I feel pretty good about that one because I think they're the first prefilled syringe filed in the U.S . Also, currently, the two biosimilars that were on the market are out of the market. Presumably because of pricing concerns and probably will come in at a different price point. So, that presents a really nice opportunity. Then we have the on -body product, Pegfilgrastim that we've made progress on. And we'll expect that to be third to market.
And fourth will be Eylea ® building on the ophthalmic after the Ranibizumab launch.
Fifth will be Etanercept, because of the submarine patent in the U.S. is out to FY29. But we'll expect to launch Etanercept as well in the five -year time frame. So those are the products on the biosimilars front.
On the respiratory front, we are making progress on Dulera that we've already filed. And we are pretty far along now on Respimat, with the Spiriva Respimat ® product. And hope to really, by the end of this fiscal year, provide more of an update there on the concrete dates from a filing perspective.
And we're also making progress on the Ellipta franchise with B reo®, Trelegy ® as well, and Anoro ®, all three products are in development. And then we have made substantial progress on the green propellant front, especially for Europe, where with Luforbec ®, the green Luforbec ® is an important part of our five year plan in the European markets.
Plus Trimbow ®, we have actively under development. As well as oth

er U.S.
products, we have green propellant versions in development as well. That

gave us an opportunity to quasi brand them, like figure out if we can position them in between generic as well as proprietary brands .
Saion Mukherjee : Just one clarification, I mean all these products that you mentioned, should we expect filings in FY 27, that is next fiscal year ?
Vinita Gupta: Maybe not all of them, but it's a good percentage of them .
Moderator : We'll take the next question from Neha Manpuria .
Neha Manpuria : On gross margins, how should I look at it, given we had a lot of moving parts and benefit in this quarter. From a full -year perspective, based on what happens to Tolvaptan, what should be a reasonable assumption for gross margin levels ?
Ramesh Swaminathan : So, this particular quarter, there was essentially, the Tolvaptan factor, and also because of the fact that loss of exclusivity on a couple of products in India. So, once it turns generic, clearly margins also increase because the margin percentage that ha s increased. So, that's the story so far as this current quarter is concerned.
Clearly, we're working on a number of initiatives in terms of a lternate vendor development and stuff like that, in terms of wanting to move the gross margin line. So, there could be a decline, but having said that the EBITDA margins being around the 24% -25% mark ., This obviously takes into account the fact that there could be a slight reduction in the gross margins line, but made up in some ways through operating leverage and other parts .
Neha Manpuria : On biosimilars, something like , Pegfilgrastim, which is already a competitive market, Ranibizumab, we've seen players exit because of pricing. What do you think of, how does Lupin see itself positioning competitively to gain market share there ?
And from a commercial front -end aspect, do we need to spend incrementally to get that infrastructure in place in the next year for Ranibizumab and Pegfilgrastim? And in your assessment, what could be the cost for that ?
Vinita Gupta : So, on Pegfilgrastim, actually, there's been a lot of interest from partners that are in the oncology space already. And just given the dynamics of the

biosimilars market where a new product coming in, even after multiple
competitors can set a reasonable A SP, we see tremendous opportunity, in
terms of share. Certainly, it's going to be a smaller percentage compared to
other products where we'll have limited number of players. But in terms of
dollars, it should be a nice contributor into the ne xt couple of years, fiscal year
'27 as well as fiscal year '28. So, Pegfilgrastim in particular, we plan to partner,
so we're not going to build any commercial infrastructure.
But on the ophthalmic front with Ranibizumab, where again we see an
opportunity of launching at a reasonable price, I'd say, that gives room both
for the providers as well as for us as a manufacturer.
We expect to have some infrastructure to be able to sell through to the
ophthalmic distributors and also ensure that we get the fulfilment . Given the

fact that we have two biosimilar products, both Ranibizumab and Eylea ®,
we're going to make not a material but a small investment in commercial
team that can position the products .
Neha Manpuria : What wo uld be the timelines for Eylea ®?
Vinita Gupta : Eylea ® is fiscal year ‘ 28 or fiscal year ‘29. I think it's at the tail end of FY28,
early FY29.
Neha Manpuria: And from capital allocation, I think in the opening remarks, there was a
mention of investing more in specialty. Given the investments we have in
ophthalmology with VISUfarma and also separately in the NaMuscla ®, in CNS,
will this be the two areas that would focus on for incremental deals in
specialty? Would that be the road you would go down to, or you're open to
looking at other t

herapy areas as well ?
Vinita Gupta : So, we are focused on three therapy areas. Respiratory continues to be a
focus just given the scale we have on respiratory, both U.S., Europe, other
developed markets, as well as India. Second, in the NaMuscla ® neurology,
CNS is an area that we'll continue to build. But so far, on that front, we are
building on the DM indication .
So, we're continuing to progre ss the clinical trial on the DM1 and DM2
indication for global, in particular U.S., and Europe, commercialization. And
then ophthalmology is the third area that we have actually looked at in the
past. But VISUfarma gives us a nice start and will continue to build on the
ophthalmology in U.S., Europe, as well as other parts of the world.
Moderator : We'll take the next question from Shashank Krishnakumar.
Shashank Krishnakumar : First one on Risperidone, which we plan to launch this quarter. I wanted to
check if this is a shared CGT Exclusivity ?
Vinita Gupta : So, we believe that we should be the next one in and Amneal that has also got
approval will launch later. But we will have a shared exclusivity with them
when they can launch certainly when they get approved.
Shashank Krishnakumar : And on Mirabegron, I think I missed your comments. On base cases, no
incremental competition in the near -term. Is that the right understanding ?
Vinita Gupta : Yes. We have a base case where there is no additional competition in the near
term .
Shashank Krishnakumar : On Dul era have we responded to the CRL or in the process of responding ?
Vinita Gupta : Yes, we have responded .
Moderator : We'll take the next question from Surya Patra .
Surya Patra : My first question is on the India business , you have mentioned that excluding
for the LOEs, the growth is really strong, better than the industry trend. So
when would we start seeing the normalized growth momentum or exclusive
of the kind of impact what that has been there so far ?

Nilesh Gupta : I think from the next quarter. So H2 onwards, you'd see things normalized. I
think the entire effect of exclusivity that stuff is done. So you'll see it from the
next quarter .
Surya Patra : And in the meanwhile, I think the growth of the industry itself has muted. So,

do you think that is having some impact to the overall industry growth trend in the domestic market and hence your growth may not be double -digit? Anything of that sort ?

Nilesh Gupta : I mean, for H1 , the market grew 8%, so I would say that the market is pretty decent from a growth perspective, from our perspective we grew at 8.8% in Q2FY26 , 10% plus if I take out the LOE part. Again, our big therapy areas are growing strong -double -digit. And importantly, we're seeing strong volume growth as well. So, I'm cautiously optimistic on the market .

Surya Patra : Second question is about the respiratory business . One is that we have indicated about a long -term investment plan of around USD 250 million in the U.S.

And simultaneously we have also kind of ad opted the Honeywell Solstice ® propellant for our inhalers. So, how is this changing the business opportunity or any competitiveness or the scope if you can discuss that part ?

Vinita Gupta : One I'll address two different questions .

First on the investment in th e U.S. that we announced the USD 250 million a combination of both Cap ex as well as pipeline is for the Respimat as well as Ellipta franchise which we had planned to commercialize from our U.S. Coral Springs site. So that is the investment in terms of pipeline, all the products on the Ellipta ® franchise, and all the produ cts on the Respimat franchise plus we're going to have a MDI line as well that gives us the access to government business in the U.S., also helps us diversify risk a little bit on the MDI front with Albuterol as well as other MDIs in the future. So that was part of our plan already and has

got very positive response from all the stakeholders in DC that we have talked to, so the fact that we are investing in the U.S. has been received positively.

On the green propellant front, we see a number of opportunities both in Europe as well as the U.S., maybe the near term in Europe but also in the long term the U.S. You see the large majors like companies like GSK, AstraZeneca as well as Chisi in Europe all have been working on low GWP weight propellants, just given all the concerns of climate change. And we expect that, end of this year, Ventolin ® to be filed with the new propellant in the U.S. There already have been multiple filings in Europe. So we see it as an essential part of our strategy on the respiratory front to continue to sustain our growth on the respiratory franchise. Plus, there's an opportunity also in products where the brand doe sn't do it for us to differentiate ourselves. For example, in Xopenex ®, we are the brand and we have the ability to bring a green propellant Xopenex ® on the market and differentiate ourselves and build the brand further. So, we look at it as a really nice opportunity to continue to grow the respiratory franchise in U.S. and Europe .

Surya Patra : Will this have any implication on the Albuterol franchise ?

Vinita Gupta : It'll be interesting to see how it plays out once Ventolin ® is filed and approved with th e green propellant. W e'll have to really closely track and monitor how the brand market evolves after these products are launched. But I certainly think there's the potential to convert the market .

Surya Patra : This is not a compulsory requirement as of now ?

Vinita Gupta : I'd say that it's been emphasized more so in Europe. UK has given a definitive date by which they are going to discontinue the high carbon footprint propellants and Europe is going to follow that. And I think the U.S. will be the third. But I'd say the market will evolve very much dependent on how the brands position the new propellant products .

Surya Patra : So, on VISUfarma. What is the scope of cross -selling opportunity that we ar e having? And ophthalmology as an area, what is the kind of revenue mix that we are currently having for our entire global operation ?

Vinita Gupta : So, the revenue mix, I was pleasantly surprised, a ctually USD 140 million when we combine VISU plus India ophthalmology business plus Mexico as well as a couple of other countries. So, after respiratory, it's becoming a therapy area of scale for us and the cross -selling potential we have across multiple regions, I me an Latin America in particular, Mexico, other parts of Latin America, Southeast Asia and Eastern Europe as well as potentially in Canada and

Australia .
Moderator: We'll take the next question from Vishal Manchanda .
Vishal Manchanda : Can you share whether you would have filed generic Semaglutide in Brazil ?
Vinita Gupta : We haven't .
Vishal Manchanda : And second on biosimilars, can you quantify as to like what do you would be annually spending on biosimilar development and other operating costs? So are we burning money there right now ?
Vinita Gupta: Yes, we are.
Ramesh Swaminathan : The point also is that a lot of our products are in some ways partnered and the like. So, from that perspective, the overall burn is not that much .
Vinita Gupta : Right. But we should be positive in the next couple of years .
Vishal Manchanda : So, even if we include the R&D that you do on biosimilars, your burn is not significant at this juncture ?
Ramesh Swaminathan : Yes, it is a negative, but it's not hugely negative .
Vishal Manchanda : And whether you would file these biosimilars in Europe too, or you are only focusing on the U.S.?
Vinita Gupta: No both . U.S., Europe, as well as other countries .
Vishal Manchanda : And any sense on what capacity? So, what market share would you be targeting with th

e capacities you would have created for these filings ?

Vinita Gupta: So, I think we have enough capacity to serve our share, but we're not taking on manufacturing business, CDMO business in our biologics facility, because we think that in the next five years, we'll fully utilize our capacity .
Vishal Manchanda : And so, you believe you have enough capacities for a fair share ?
Vinita Gupta: Yes, for the current products . You know, as we're looking at biosimilars going forward, given the momentum now, the FDA doing away with the requirement of clinical studies, certainly for products where we can be in the first wave, where they're going to be limited competitors, we want t o now target the next round of pipeline on the biosimilars front. So, we'll have to take a look at what we will need in terms of capacities going forward .
Saion Mukherjee: And you won't be looking at the India markets ?
Vinita Gupta: We are absolutely looking at the India market as well .
Moderator : The next question is from Damayanti Kerai .
Damayanti Kera i: My question is regarding L iraglutide. Vinita, how do you see this opportunity given market has clearly moved towards new gen products? And then do you have more peptides which are in pipeline to be filed in U.S. in near term ?
Vinita Gupta: So, we've just recently launched it. We're going to really over the next couple of months be able to determine what kind of market will the generic switch and also our own share. But it's been a very recent launch for us. And in te rms of other peptides, we have S emaglutide in the works, we have T irzepatide in the works, so we have other peptides in the works as well .
Damayanti Kera i: And these are done through CMO ’s or you're doing in -house ?
Vinita Gupta: So, partially in -house and we're also building our own capability on the peptide front. And just given the limited capacities available for peptides in the market, expanding s ignificantly, especially after S emaglutide goes generic and starting next year in India and few other markets. So, we're building in -house capability .
Damayanti Kera i: But that will likely come a bit late, right? And in near term, it's more through CMO ’s?
Vinita Gupta: That’s right .
Damayanti Kera i: My second question is a clarification , Ramesh, did you mention for FY 27 also, you wil l maintain EBITDA margin at 24% -25%?
Ramesh Swaminathan : Yes, that's what I said. Now, so it would be obviously a tad lower than what it is today. But clearly, we think it's we'd be a ble to maintain it between 24% - 25% .
Moderator : We'll take the next question from Tushar Manudhane.
Tushar Manudhane : Just on this Coral Springs investment, conceptually Indian facilities is at a lower cost of manufacturing and that has been one of the advantage for the exports business. So, from that perspective, if you want to think about then how does this investment plays out from the profitability point of view?

Vinita Gupta: So, we looked at setting it up in India as well as Coral Springs and overall, the lines for both Respimat as well as Respimat, we're doing a combination of the two. We're doing the cartridge in India and we're doing the packaging in Coral Springs .
And for Ellipta, it's a pretty automated line , and we really felt the difference was marginal, but there was an advantage of having the manufacturing site close to the R&D site, both for effective scale up as well as manufacturing. So, overall, we felt pretty good about making the investment in the U. S.
Tushar Manudhane : And the devices with respect to these products. So, again, this is procuring from the top three, four global players. Is that how the thought process is going to be?
Vinita Gupta: No, we're actually assembling the devices. So, we get the components and we assemble it .
Moderator : We'll take the next ques

tion from Saion Mukherjee .
Saion Mukherjee : On Semaglutide opportunity for next year, how are you thinking? You mentioned about India and then how many other markets, how many of them you think you would be in the first wave? And if you can talk about capacity and your overall expectation on the market dynamics ?
Nilesh Gupta : See, India is the key market from the near -term perspective. Longer term, we'll obviously play in the developed markets .
Vinita Gupta : But South Africa as well, next year.
Nilesh Gupta : South Africa is the other market that we have. I think these will be the two key markets, maybe at some point of time in Philippines, but that's it. But I think what will really make a difference is largely India and a little bit of South Africa .
Vinita Gupta : And from a capacity standpoint, they are in -licensed both for India as well as South Africa .
Saion Mukherjee : It's possible for you to share the kind of capacities you have in place for next year ?
Nilesh Gupta : I mean, like we said, they're partnered, but we don't see a capacity concern .
Saion Mukherjee : And my next question would be on the re spi product s in the U.S. So, Albutero l has seen erosion. So, is it still declining or has that stabilized? And also, if you can comment on Spiriva ®, for you, has it stabilized now or it has come off from the peak? And if you have any expectation, updated expectation on possible competition, and when that happens how do you see revenues move in that product ?
Vinita Gupta : So, Albuterol has stabilized, but we see Amneal will likely come in at some point in time. So, there will be further erosion. On Spiriva ®, our share has stabilized. At the same time, there is this new momentum of the government, U.S. administration , trying to focus on biosimilars and gener ics as a priority for CMS business, which is where we are struggling right now on Spiriva ®. We

haven't been able to get good access on the Medicare front. We are hopeful that we will be able to drive additional share with this new momentum in the quarters ahead. We haven't heard of any material progress of a competition. We are certainly not hearing from our customers that anyone is close to launching into the Spiriva ® market anytime soon.
Saion Mukherjee : And with a Medicare access, when do you see that playing out for you ?
Vinita Gupta : So, Medicare, they have actually prioritized the brand. Everything that they're saying right now that they want to prioritize biosimilars and a generic -first policy. It's hard to predict when, right? I mean, so we have started to see some gain and share on the Medicare front, but it's still small compared to the opportunity .
Moderator : We'll take the next question from Kunal Dhamesha.
Kunal Dhamesha: Can you give a split for our India business between the prescription business and the adjacency businesses ?
Nilesh Gupta : It's almost entirely the prescription business. I think the adjacencies will be

less than a couple of perce nt.
Kunal Dhamesha: And then secondly, on Mirabegron, innovator seems to hav e raised their guidance for the U.S. market by almost 80%. So, is it because of very strong demand in terms of volumes? What kind of dynamics are playing out there ?
Vinita Gupta : So, the market has grown for Mirabegron and innovator has also held on to a good percentage of share and I think if I'm not mistaken, the earlier guidance might have been very conservative .
Moderator : Thank you very much to everybody for the patience. I now hand the conference over to the management for the closing comments .
Vinita Gupta : Thank you, friends, for all your questions . We have had really strong performance in the last couple of quarters. Look forward to working on continuing this trajectory in the quarters and years ahead and will look forward to connecting with you next quarter. Thank you. And have a

great
weekend .
Moderator : Thank you so much, ma'am. Now on behalf of Lupin Limited, that concludes this conference. Thank you for joining us, and now you may exit the webinar .

Call: Feb 2026

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February 17, 2026
National Stock Exchange of India Limited
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Bandra (East),
Mumbai - 400 051 BSE Limited
P. J. Towers, Dalal Street,
Mumbai Samachar Marg,
Mumbai - 400 001
Symbol: LUPIN Scrip Code: Equity - 500257

Subject: Transcript of Q 3 FY2026 Earnings Conference Call
Dear Sir/Madam,

In continuation to our letters dated January 28, 2026 & February 13, 2026 and pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to enclose a copy of the Transcript of the Earnings Conference Call held on February 13, 2026, for the Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2025.

The said Transcript is available on the website of the Company at www.lupin.com .

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

AMIT KUMAR GUPTA
COMPANY SECRETARY & COMPLIANCE OFFICER
(ACS -15754)

Encl: a/a.

February 13, 2026

“Lupin Limited Q3 FY2026 Earnings Conference Call ”

February 13, 2026

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN – EXECUTIVE DIRECTOR, GLOBAL CFO & HEAD OF IT AND API PLUS SBU, LUPIN LIMITED
• MR. RAVI AGRAWAL – M&A AND INVESTOR RELATIONS, LUPIN LIMITED

Moderator : Good e vening & welcome to Lupin Ltd. Q3FY26 Earnings call. Thank you, for your participation in the call today. Please note that all participants line will be in listen -only mode. And there will be an opportunity for you to ask questions, after the opening remarks. Please also note that this conference is on recording mode .

I now hand over the conference to the management. Thank you, and over to you.

Vinita Gupta: Good evening, everyone, and thank you for joining us. I am pleased to welcome you to our Q3 FY26 earnings call. Joining today, I have with me our MD, Nilesh; CFO, Ramesh; and our Head of Investor Relations, Ravi. We look forward to sharing our Q 3 performance and outlook for the year ahead. We are pleased to report another quarter of strong execution with revenue surpassing last quarter's record performance. This marks our 14th consecutive quarter of YoY growth. While the US continued to perform well, I would like to highlight that growth this quarter was broad -based. Most of our regions, including India prescriptio n business, Europe, LATAM and Other Emerging M arkets delivered double -digit YoY growth .

Turning to individual business segments, this quarter was a particularly strong one for us in the US., where we recorded the highest sales in the region so far. Growth was driven by new products such as Tolvaptan, where we benefited from being the only gen eric on the market. We also launched generic Risperdal Consta ® with CGT exclusivity, first product from our proprietary Nanomi long -acting injectable platform.

Our base business also grew, supported by higher volumes and seasonal tailwinds, more than offsetting low single -digit price erosion. An important milestone this quarter wa s the successful US FDA inspection of our biologics facility in Pune, followed by the approval of Pegfilgrastim, our first biosimilar for the US Market. We have entered into an exclusive licensing agreement with Valorum to commercialize the product with an expected launch before the end of this quarter. We see meaningful tailwinds in this segment, driven by favourable regulatory and commercial developments.

As mentioned earlier, we remain focused on doubling the share of complex products in our US Business over the next few years, while continuing to expand our specialty portfolio through a mix of organic initiatives and targeted acquisitions.

Moving to India . Revenues grew 5.6% YoY, with the core prescription business growing 10.9% partially offset by lower local tender sales in our Global Institutional Busines s. On a nine -month basis, prescription growth stood at 9.4%, broadly i n line with IPM growth of 9.3%. E xcluding the impact of loss of exclusivity on products such as G ibtulio ® and A jaduo ®, Domestic growth was 11.2% YoY for nine months. Volume growth remained strong at 5.6% and the Chronic segment now accounts for 67% of our portfolio, up f rom 65% last quarter.

Both Cardiac and R espiratory therapies continued their strong momentum, growing at 1. 3 times and 1.6 times their respective market growth. During the quarter, we also launched two new divisions including one focused on obesity. This division will engage diabetologists, cardiologists, and gastroenterologists ahead of the planne d day one launch of injectable Semaglutide, while we continue parallel development of the oral formulation. In addition, we entered into a strategic partnership with Gan & Lee of China for Bofanglutide, a novel fortnightly GLP -1 agon ist, further strengthening our Diabetes and O besity portfolio in India. We remain confident that our India formulations business will continue to outperform IPM by 1.2 - 1.3 times , supported by our strong sales force of over 11,000 people and pipeline of more than 80 new product launches over the coming years, including innovativ

e in -house and in -license products.
Our Other Developed markets, Europe, Canada and Australia, accounted for 11% of our total sales and delivered 11% YoY growth this quarter. We expect this contribution to increase as we roll out a pipeline of complex products and complete the acquisition of V ISUfarma, which we expect to close this quarter.
Emerging markets delivered an impressive 42% YoY growth, led by Brazil, Mexico and Philippines. Brazil in particular maintained strong momentum post the turnaround last quarter, growing 99% YoY in local currency, driven by successful commercialization of Dapagliflozin.
On R&D, spend was 7.5% of sales this quarter, a mong the highest in the Indian Pharma sector, ref lecting our continued focus on Complex and S pecialty platforms. We have over 50 active products in the pipeline, with nea r-term emphasis on Respiratory, Complex Injectables and B iosimilars.
Over time, we expect a growing share of R&D investment to flow into specialty programs and value -added medicines, including long -acting injectables, gre en propellant products and 505(b)(2) assets. We are also strengthening our India innovation portfolio through both in -house development and in -licensing of late -stage assets.
On the compliance front, we received NAI status with zero observations for our Nagpur Unit - 1 facility along with EIRs for Nagpur Unit - 2 injectables and the Aurangabad facility. We remain fully committed to maintaining the highest global quality and regulatory standards across all our sites.
Before I hand it over to Ramesh, I would like to reiterate that we remain optimistic about our growth prospects. We have clear strategic drivers in place to deliver sustainable, long -term growth across our businesses. Innovation will be a key differentiato r, supported by continued investments in technology, including AI, to make the company future ready and resilient as we navigate opportunities and challenges ahead.
With that, I'll now hand it over to Ramesh to walk you through a detailed review of our financial performance.
Ramesh Swaminathan : Thank you, Vinita. Friends, I welcome you all to our Q3FY 26 earnings call. As you may have seen from the results, we have again delivered a very strong quarter, continuing the momentum of the last few quarters. Revenue from

operations and EBITDA scaled a new high, exceeding the record performance we had delivered last quarter .
EBITDA margins reached 31.1%, 681 b ps higher than the similar period last year.
Sales
Diving to the numbers, total revenues from operations in the quarter came in at INR 7,168 crores, as compared to INR 5,768 crores in Q3FY 25 last year, a growth of 24% YoY.
Amongst the key markets, the U .S grew by 46% YoY. India grew 5.6% YoY. Other Developed markets ha ve grown 11% YoY and Emerging M arkets have grown 42% YoY during this quarter. Our GIB business grew by 7% YoY.

US Business
Coming to the US. Business . This quarter the US. business recorded sales of USD 350 million, a growth of 46% YoY and 11% QoQ on constant currency basis , the highest sales ever recorded for this business. This growth has been

due to new product launches, including Tolvaptan , and growth in the base business led by higher volumes and seasonality , offset by low single -digit price declines.

We are pleased with the recent approval of Pegfilgrastim, our first biosimilar approval for the US., which we expect to launch shortly. We have a very exciting pipeline of products in this segment which reinforces our growth prospects in the US going forward .

India

Turning to India . The India region business grew by 5.6% YoY during the year . I'd like to highlight that the core prescription business grew by 10.9% YoY during Q3 FY26. For nine -month period, our prescription business has grown 9.4% against IPM growth of 9.3%. In fact, if you normalize

the loss of
exclusivity on some of our Diabetes products, the growth would have been 11.2% in the nine -month period. Key segments like Respiratory and Cardiovascular grew 1.6 times and 1.3 times IPM, respectively, during the nine -month period .

Chronic share has increased to 67% from the 65% levels in Q2 and share of in-license d products is only 6% as compared to around 12% in FY25, which also has a positive impact on our profitability going ahead .

Other Developed Markets

As far as Other Developed markets are concerned, which includes markets in Europe, Canada and Australia, revenues in these geographies was INR 812 crores, representing a gro wth of 11% YoY. Other Developed markets constitute around 11% of our total sales and their share is expected to increase going ahead with the anticipated closure of the acquisition of VISUfarma during this quarter.

Emerging Markets

Emerging markets grew 42% YoY with strong growth in Brazil, Mexico and Philippines, offsetting tempered performance in South Africa. Brazil has another strong quarter growing at 99% YoY in local currency terms.

Getting onto the P&L.

Other Operating Income

Other operating income for the quarter was at INR 67 crores as against INR 149 crores in Q3 FY25 and INR 216 crores in Q2 FY26, largely impacted by lower export benefits from the PLI scheme during the quarter .

Gross Margins

Gross margins continued upward trajectory during the quarter at 73.5%, up from 69.4% in Q3 FY25 last y ear and up from 73.3% in Q2 FY26. This 420-basis points YoY improvement is driven by multiple factors which includes bette r product mix, lower share of in -licensed products including higher profitability and loss of exclusivity products in India, increased volumes and other cost improvements and efficiencies which have undertaken over the last several quarters .

Employee Benefit Expenses

Employee benefit expenses, this stood at INR 1,143 crores, an increase of 16.1% YoY from INR 984 crores in Q3FY 25, translating to 16.1% of sales as compared to 17.5% in Q3 last year. This change is largely attributable to higher cost due to regular annual increments and business growth during the period .

Manufacturing & Other Expenses

Q3FY26 Manufacturing and Other Expenses came in at INR 1,037 crores, increasing 14.2% YoY from INR 1,696 crores in Q3 FY25, translating to 27.3% of sales vis -a-vis 30.2% last year. The expenses were higher mainly due to higher volumes in the normal course of business .

R&D

R&D at INR 535 crores is 7.5% of sales as compared to INR 441 crores in Q3 last year, with almost 70% of our R&D directed towards complex por tfolio. For the nine months FY 26, R&D spent at INR 1,555 crores is 7.7% of sales. For the full year, as indicated, we expect R&D to be around 7.5% - 8.5%

EBITDA

EBITDA excluding Forex and other income during the quarter was INR 2,210 crores vis -a-vis INR 1,366 crores in the same period last year, an increase of 62% YoY with a margin of 31.1% vis -a-vis 24.3% last year in the same period, an increase of 681 basis points over the last year. On a nine -month basis, EBITDA was INR 5,988 crores, an increase of 50% YoY with margins of 29.8% vis-a-vis 24% over the same period last year. We expect full -year EBITDA margins to be in the range of 27% to 28%, higher than our ear lier guidance of 25% to 26%.

Whilst we expect business to continue to exhibit robust performance, overall margins in Q4 would be tempered by higher R&D expenditure and a lower PLI income .

ETR

Turning to the tax rate, ETR is 21.4% for the 9MFY26. For the full year, we expect ETR to be about 21% - 22%.

Operating Working capital

Operating Working Capital which stands at INR 7,948 crores as of 31st December against INR 6,821 crores

as of 31st March’ 25, which translates to 101 days of working capital against 102 days in the previous quarter .

Net Cash

Net Cash stood at INR 2,879 crores as against INR 310 crores as of 31st March 2025. Whilst we focus on increased cash generation for our business, we would like to highlight that we continue to explore strategic allocation of our capital to ensure the long -term mission of the company, including on the speciality front .

ESG

On the sustainability front, Lupin has achieved the highest A -leadership rating from CDP for both climate change and water security, placing us amongst the select group of global companies recognized for excellence in sustainability performance and transpa rency of disclosures.

In addition, Lupin's green -house gas emissions reduction targets have been formally approved by the SBTi, reinforcing the scientific rigor and credibility of our climate ambitions .

Together, these recognitions reflect the strength of our climate strategy, disciplined execution, and our unwavering commitment to creating long -term sustainable value for all our stakeholders. With this, we open the floor for discussions.

Moderator : Thank you very much, sir. We will now begin the question -and-answer session .
The first question is from Nikhil Mathur .
Nikhil Mathur : First and foremost, congrats on the continued great performance. My first question is on the US outlook, let's say, going into FY29 as well. Now, obviously, with the Mirabegron settlement, it seems that Mirabegron should continue into FY27 and certain part of FY 28 as well . But can you highlight what will be the drivers of the US business once Tolvaptan and Mirabegron start tapering off? You have Pegfilgrastim approval, we have talked about other respiratory assets. So, any help on how should we look at mean ingful launches over the next two years, so that once Mirabegron and Tolvaptan come off, and you go back to a growth part in the US any colour on this?
Vinita Gupta : We're very pleased that we have Mirabegron as a material contributor in the next two years, as well as hopefully Tolvaptan also continues, just given the size of the product, and the share we have so far, maybe we have 35% share of that market, given that i t's a specialty product. So , we continue to build share on Tolvaptan. Having said that we have multiple new product launches planned over the next couple of years . In particular, on the Injectables front, some on the Respiratory front as well as the Biosim ilars front. So, as I look at the last couple of quarters, we've got approvals for injectable products like Glucagon, Liraglutide, Risperdal Consta ®, and with the Pegfilgrastim approval getting into the biosimilars market as well, to build the institutional business . The institutional business will be a material build over the next three years. And we see it really ramping up very nicely over the next three to five years to be a material contributor to the US business. Likewise, the biosimilar business in p articular will also be a material contributor to the US. With

Pegfilgrastim, then Ranibizumab that we hopefully will be able to launch in FY27. Then the On-body Pegfilgrastim, which is making good progress , and then Aflibercept and Etanercept in CY29, that will be actually FY30. We have other products that we have planned as well, like Mepolizumab , that are in the pipeline. So pretty rich pipeline of biosimilars that we believe given the current momentum in the marketplace, access into the market will be a material growth driver for the organization.
Additiona l growth driver, which so far has not featured into our business is 505(b)(2)s . The company has been working on 505(b)(2)s for the past couple of years, especially on the injectable front. In fiscal year FY27, we will start our first 505(b)(2)

, and that's going to ramp up in the next couple of years as a material contributor as well. So , we have multiple growth drivers at this point for the organization and feel fairly confident that we can one, sustain this billion plus revenue level over the next couple of years and build from there as we bring material biosimilars, respiratory products, as well as injectabl es, including the other first t o files that we have in our portfolio to market.

Nikhil Mathur : If I look at the three biosimilars that we've talked about in the more near term, which are Pegfilgrastim , Ranibizumab , Aflibercept . Now, assuming that approvals come through in FY27 , FY28 and FY29, these three combined products, can they contribute, let's say, USD 100 million or round about that kind of a number in next two, three years , the combined basket of these three products ?

Vinita Gupta : Yes. The potential is there.

Nikhil Mathur : You have tentat ive approval for this product, Xywav . I guess the litigation is ongoing. Any probabilistic launch timing of this product? And I suppose Lupin could be sole FTF in this product ?

Vinita Gupta : Yes. We are exclusive first to file on that product . The launch date is FY29, if I'm not mistaken .

Nikhil Mathur : One final question I have on the India business. I think the Jan IQVIA data is showing good growth. Also, last quarter, ex - tender business, I think the growth has come in good. So, are we in a good, 12% -13% growth environment for the company? And with all the IL issues in the base now, and insulin tailwinds?

Nilesh Gupta : So, I think 20% - 30% ahead of the market is what we would see ourselves at. The market is growing strong, so double -digit growth is assured . And I think not just for the next couple of quarters, but I think for the next couple of years we would expect to continue growth. I think a lot of the exclusivities are behind us. The insulin opportunity is there. Semaglutide will come in as well . So, lots of positive growth drivers for India.

Moderator : We'll take the next question from Tushar Manudhane .

Tushar Manudhane : On your comments on use of AI, if you could elaborate which geography or which divisions have started impl ementing the use of AI and how fast or

difficult whichever way , the use of AI has been on the development side , on the manufacturing side ?

Ramesh Swaminathan : We have made some good progress on AI, and this is across the entire company. We started off with sales and marketing but clearly, we are looking at other divisions also. Manufacturing and maintenance is one such case . The other is of course quality. We’re working with multiple consultants. The first most important thing is the fact that we need to bring all of this data together. Over time we've actually created several repositories and it's important to bring everything together under one architectural roof.

That's exactly what we're trying to do at this stage. We have set our eyes on AI for all our functions including finance, HR, legal and procurement and we expect a lot of these pilot projects that we 've been working on to be implemented over the next nine months to twelve months .

Tushar Manudhane : Secondly, the opening remarks also alluded to forming a new division for Semaglutide with respect to catering to diabetologists, cardiologists, gastroenterologists . So how many MRs, is sort of getting focused for this particular product?

Nilesh Gupta : It's about 200 people but I think we'll scale it up as needed .

Tushar Manudhane : How do you see this because given that there are going to be multiple players, there will be a pricing impact but volumes scaling up again how the demand is expected to shape up that is something really interesting to watch out. But if you could throw your insights on this opportunit y for India ?

Nilesh Gupta : I think many companies are going t

o launch it. But the fact that we are a large Cardio - Metabolic player will make sure that we are able to get the right kind of prescription share in this product. There's a lot planned. Again, what we're saying is not unique , everybody else is planning extra bells and whistles from that perspective. But I think we have a very deep patient support program that we intend to engage into this as well. We believe that we'll be there on day one. And again, as a large Cardio - Metabolic player, it should be a nice opportunity. While we've created this division, we have the ability to scale up ,

we have the ability to add it into other divisions as well. So, I think it would be
interesting. I think it's just a month away.
Moderator : The next question is from Bino Pathiparampil .
Bino Pathiparampi l: Just a follow up on Mirabegron settlement. From your notes, I see that you
have taken a provision of USD 15 million, whereas the total pay -out is USD 90
million. So why only USD 15 million provision?
Ramesh Swaminathan : Yes. USD 15 million is essentially what relates to the past, whilst USD 75
million is linked to, in fact, the future and we being in the market that's the
reason why it's only USD 15 million at this stage. The balance USD 75 million
will be spread over to September '27.
Bino Pathiparampi l: So that will come in other expenses later on in quarters ?

Ramesh Swaminathan : It actually would not impact the EBITDA because it's actually a license that we
need to kind of amortize over a period of time.
Bino Pathiparampi l: Now that we have a license in place, is there room to improve our Mirabegron
market share? Because I believe we were selling much lower quantity than
the other generic competitor. Is there a chance to equalize this ?
Vinita Gupta : Well, so we have a 40% generic share between us and Zydus, we also have
40% of the overall molecule . So, we'll see what makes sense. It's a really good
contributor to our P&L and we'll determine if it makes sense to take on
additional share.
Bino Pathiparampi l: Why this end date of September'27? Because the next Orange Book patent of
Mirabegron expires only in 2030 . So, what prevents you from being exclusive
in the market till then?
Vinita Gupta : We believe majority of the settlements that the brand has entered with other
companies are t ill September '27 .
Bino Pathiparampi l: Last question on Tolvaptan. How do you see the competitive scenario panning
out? Why hasn't Apotex launched till now and do you expect more approvals?
Vinita Gupta : We're not certain why they haven't launched. We know that IP is certainly a
hurdle that we have crossed and the others haven't. So that could be a
consideration. It's not the easiest product to manufacture . That could be
another consideration. We don't have any intelligence on Teva's approval and
then we know that other competitors have November'26, 30 months stay
date and into ' 27. So we think that it, if competition comes in it's likely going
to be staggered.
Bino Pathiparampi l: Any update on Breo Ellipta in your pipeline?
Vinita Gupta : We're still making progress with the development we were hoping to have it
filed by now, but I'd say that it's still actively in our Respiratory pipeline. We
hope to really make material progress this calendar year .
Moderator : We'll take the next question from Kunal Dhamesha .
Kunal Dhamesha : First one, just trying to understand the Mirabegron settlement little more. We
have this licensing outgo of USD 75 million , plus we have a per unit licensing
fees that we will pay. So, are those separate, are those the same thing? How
to think about that?
Vinita Gupta: They're separate .
Kunal Dhamesha : So basically, the prepaid per unit licensing fee , how will we account for that?
Will it be offset from the revenue or will it be recognized in COGS? Or how to
think about that?

Ramesh Swaminathan : There are two portions as we were just mentioning . There is a smaller portion
which must be knocked off from the overall operating profit, and there's an
element which will get amortized over a period. So, both will actually hit the
P&L.
Kunal Dhamesha : Okay. One above EBITDA, one below EBITDA ?

Ramesh Swaminathan : Yes.
Kunal Dhamesha : And then would you say that with this settlement, the profitability of this
product changes materially ? If we just look at from an above EBITDA

perspective ?
Ramesh Swaminathan : The fact of the matter is it will impact profits, but we still think it's still going to be attractive enough .
Kunal Dhamesha : And second question on the overall profitability outlook, let's say, beyond FY26. I think earlier we had suggested for FY27 EBITDA margin range of around 24% to 25%. So, how do we think that is going to play out now with the kind of products that we have i n U.S and India, etcetera .
Ramesh Swaminathan : Clearly the top -line buoyancy would continue, and we just mentioned about the fact that Mirabegron will have a fresh lease of life. Tolvaptan, we are not seeing competition, though, we do expect some to enter at some point of time. And Vinita alluded to a number of new product launches that could potentially happen next year, and there's Semaglutide opportuni ty, and of course, there are opportunities in Emerging Markets. So clearly, we are very bullish about, in fact, keeping the top -line buoyancy going. There is tremendous focus on costs as well, there are a number of initiatives that we've taken up in recent times. All of this would also help us to kind of maintain the gross margins and thereafter the EBITDA margins. Whilst there would be a dip in terms of margins vis -a-vis the current year because of sheer competition for some of the products, we still believe that we would be good for looking at 24% - 25% next year .
Kunal Dhamesha : And last one for Nilesh sir on the Semaglutide gene ric launch. What is your expectation, let's say, from a year one market perspective, how much it can grow? And did we allude to potential revenue size in year one in one of the media interviews, if I heard it correctly ?
Nilesh Gupta : Yes, we did. I think the internal modelling that we have at this point of time seems to suggest that this will be a INR 1,500 crore odd opportunity in the first year , and we talked about maybe doing INR 50 - 60 crores something like that in the first year. But we'll see. I think there's just too many variables right now, how much is the pricing going to go down, how much is the pent -up demand. I mean, you've seen how Mounjaro went in the first five months since launch, right, so when this happ ens, the price point, what it means . And we want to be responsible; we want to do this the right way. We don't want to just sell this for the heck of it. And so, I think the intent would be to do it in as responsible a manner, but I think it should be a nice opportunity .
Kunal Dhamesha : And sir, supply wouldn't be an issue, let's say, if you think about equitable market share or whatever we are currently having in cardio diabetic space, if we want to achieve that kind of market share, we have good enough supplies, right, for the market?
Nilesh Gupta : Yes. We don't see a concern at this point .
Moderator : We'll take the next question from Neha Manpuria .

Neha Manpuria : On the 25% margin that you've mentioned for FY27, given that we have a fair bit of visibility on Mirabegron and also Tolvaptan at least for the next few quarters, how should I think about the cost other than the investment in the field force expansion that you talked about? What should be the R&D incr ease or investments in other areas that you're looking at ?
Ramesh Swaminathan : There is a lot of focus on costs, and whilst that

will certainly continue , there would also be spends for R&D, which may increase, given the fact that we are focusing on a number of things out there. So combined with the fact that there will be some tapering off of top -line products and the fact that you might have to provide for extra expenditure on the R&D, we've just been conservative in saying about 24% to 25% would be par for the course.
Neha Manpuria : So, the R&D next year would be in the 7.5% - 8.5% range, or would it be lower as a percentage of sales ?
Ramesh Swaminathan : I think 7.5% - 8.5% is a good number to look at this stage .
Neha Manpuria : You called out seasonality as one of the factors for the strong growth that we saw in the U.S. Was that a meaningful contributor to the QoQ improvement in the U.S sales? Or was a large part of that driven by Tolvaptan, Mirabegron ?
Vinita Gupta : No, Tolvaptan, Mirabegron certainly were the larger contributors, but even products like Albuterol, Tiotropium, Oseltamivir have grown QoQ because of the seasonality .

Neha Manpuria : So that should normalize a little bit, right, as we go into the next two quarters?
Vinita Gupta : Yes.
Moderator : Can we have the next question from Shashank Krishnakumar ?
Shashank Krishnakumar : Just to get your thoughts around some of the recent regulations that we've seen around PBMs in the U.S . My understanding is a large part of the benefit will probably flow down to the end customers, the payer. And this is largely neutral from a generic manufacturer standpoint. Now, is that how you also probably look at it? And could there be any change in term s of the industry mix, the rating levels, etcetera, which you probably foresee ?
Vinita Gupta : So, the new administration has been focusing hard on the PBM's, and the Trump Rx has gone live in the past couple of days that really nets out the pricing for a number of the brand companies as they've committed, the agreements that they have signed with the administration. For the most part, as we understand it, the comp anies have really given the benefit of the rebates to PBMs, to the government, so that benefit can be offered to the patients and consumers. So, we really don't see a material change in pricing .
Shashank Krishnakumar : Just a second one, you typically call out the growth figure for Europe. So, if you could just share that for this quarter?
Vinita Gupta : It was 11% growth .
Moderator : Can we have the next question from Nikhil Mathur ?

Nikhil Mathur : Just wanted to understand the injectable strategy, let's say, from a two - three -year perspective. It is great to have products like Glucagon and Risperdal Consta ®, Victoza ® approvals and having been launched. But I mean, none of these products would be big enough to kind of move the needle so much as far as the overall injectable sales is concerned . So, how far are we from a big material launch on the injectable side? Can you talk about what products have been filed? What are you looking at? And which sort of products can give you, let's say, USD 100 million - 200 million kind of a sales base on the injectables? And over what time period can you achieve that?
Vinita Gupta : So apart from the products I mentioned, we also have Dalbavancin that we have file d, both the injectable, the generic version, as well as a 505(b)(2) version of the product. We have Eribulin, a smaller product, just looking through the major products , Iron Sucrose will be a material one for us. And more 505(b)(2)s that we haven't announced . We really see the injectables portfolio ramping up in the next three years to USD 100 million plus with tens of millions of dollars in individual products and then biosimilars adding to it .
Nikhil Mathur : And on Pegfilgrastim, while it's great to have the approval in place, but can it be a meaningful revenue driver because there is competition

there. I mean, some of the biosimilars are well -established for a number of years now. So, what's the go -to-market strategy on Pegfilgrastim? And when do we start numbers showing up for Lupin in this product ?
Vinita Gupta : We would launch this quarter, but you'll start seeing numbers really in the next fiscal year. And we are very encouraged with what we are hearing from the marketplace . We have tied up with this company with strong experts across the biosimilars market from the McKesson and Amerisourc eBergen , other specialty distribution groups. And we see a real place for a new Pegfilgrastim in the marketplace. I'd say a couple of years ago, we were not very gung -ho on biosimilars, but today we see significant potential wit h Pegfilgrastim to start with, but also the other biosimilars that we have in our pipeline.
Nikhil Mathur : With so many biosimilars and this product being already there, why would a ABC or a McKesson tie -up with Lupin? I mean, is the cost going to be the proposition here? But if the cost comes off, would the margins be lucrative enough for you to make money on this product ?
Vinita Gupta : Typically, a new product is attractive from a reimbursement standpoint to the payers. So that itself will drive the initial uptake. And beyond that, you've seen a number of companies that have driven the price down actually get out of the market and potent ially they will relaunch with a different pricing strategy into the marketplace. We really see the market for biosimilars and for Pegfilgrastim shifting .

Also, we are the only truly integrated player with the India cost advantage , having our own API, our own finished product. The other companies don't have the advantage that we do .

Moderator : Can we have the next question from Kunal Randeria ?

Kunal Randeria : My question is on R&D spends. In the last couple of years, your R&D budget has gone from around INR 1,400 crores - 1,500 crores to around almost INR 2,100 crores now. So, if you would like to share which area that you're spending in, how much of this would be on biosimilars that you have budgeted? Because some of these spend s would come up also in the years ahead. So, is there a chance that maybe after FY26 or FY27, your R&D starts going down also?

Ramesh Swaminathan : No, I wouldn't think so. We are spending on the more complex stuff, which includes the injectables piece, the inhalations piece, any drug device combination always costs a lot of money with clinical trials. And of course we have biosimilars . We've also always spoken about specialty ambitions. So , the spends would keep going up but if a turnover keeps going up also, as a percentage of sales, it might stagnate at a particular point. But in absolute value terms, it would certainly keep going up.

Kunal Randeria : If I understand correctly, you're not adding more projects, it's just that you're expanding into a bit more -high value, high -cost projects ?

Vinita Gupta: So, it is adding more projects overall .

Ramesh Swaminathan : We are pivoting to more complex stuff .

Kunal Randeria : Is your budget on generics, the usual Para -IIIs and the Para -IVs, I mean, the oral solids and all, is that same or even that is going up ?

Ramesh Swaminathan : In absolute terms and percentage terms, it would be going down .

Kunal Randeria : Second question, you have now a healthy cash balance, you are generating cash. So, is specialty on your radar? And exactly which therapies in which markets would you be targeting ?

Vinita Gupta: So, it has been on our radar, as we have shared in the past. And the therapy areas also, we've been pretty vocal . The respiratory being an area that we would like to build given our current position . As well as neurology, where we have NaMuscla ® to start with . We are planning to bring NaMuscla ® into the U.S and would like to get other products in th

e therapy area . And third now is ophthalmology, maybe have a start in Europe with VISUfarma, but we would like to get additional assets, both in Europe as well as ideally U.S, Europe and Other Developed markets .

Kunal Randeria : Would you be more comfortable buying assets, which have been approved? Or ones where you perhaps have to do a Phase III trial, file it and then commercialize it?

Vinita Gupta: We've been looking across the board . Of course, commercialize d assets would be very lucrative, but they are far and few, because companies don't part with them easily. So, we are also looking at assets that are in Phase III or have completed Phase II successfully and are ready to go into Phase III .

Kunal Randeria : Last year, you had announced that for Tiotropium, you had tied up with a company in China. Do you think that's a meaningful opportunity for you ?

Nilesh Gupta: You mean for the Chinese market? Yes, I think it continues , not very meaningful.

Kunal Randeria : Is it not meaningful now or you don't expect it to be meaningful in the future, too?

Nilesh Gupta: It's not in the market right now .

Vinita Gupta : It's not approved .

Moderator : We'll take the next question from Bansi Desa i.

Bansi Desai : The first question is on the overall biosimilar landscape in the U.S. We see recent developments, which are all aimed at improving affordability and accessibility, which is good, structurally positive for us as well. But at the same time, it is also going t o make market more competitive. So, how should we think about what will be those key factors which will determine our success? You mentioned about having that cost advantage, but I'm assuming a lot of Indian companies would have that . So that's number one .

And the second is we also see PBMs having their own brands or bringing their own labels in the space. That adds to the competition, right? How do you think about that relationship?

Vinita Gupta: I'll maybe take the second question first .

When it comes to the private labels, that's actually an avenue for us as well to gain share. When we see the Cordavis' label, for example, for Humira ®, that really drove significant share for Sandoz, we certainly see that as a positive for a biosimilar. What we are starting to see is the block of the PBMs is going down. PBMs are partnering now with biosimilars to really bring access to biosimilars in the marketplace. So, that is one.

Second, we are very mindful of the fact that with the market opening up, the regulatory requirements are becoming less burdensome, competition can increase. So, we are very selective in our portfolio shortlist, in our selection process of our pipeline. We are selectively going after programs that we believe we can be in the first wave. We believe we can be one of few based on technology advantage or otherwise .

And third, we also have a lens of the three therapy areas that we want to build in the specialty front, because we also are building commercial front -end for the three areas that we can leverage across biosimilars as well as branded specialty products. So, we're kind of carving our own therapeutic area strategy as well on the biosimilars front. All of those give us the confidence that we we're not going after everything under the sun, from a portfolio standpoint, we're being very selective around areas whe re we can truly make a difference .

The other thing I will say is, while you hear about the cost advantage of India across the generic drug companies, just look at how many biosimilars companies are out there. I mean, there are a handful of biosimilar companies at scale across the world betw een India, Europe as well as Korea. It's not the

same level of competition as you see in the small molecule generic industry, which also makes biosimilars a more attractive area overall.

Ba

nsi Desai : And just a second question, which is a clarification on Mirabegron. If I think about USD 90 million of payment, is it more or less what we have earned so far on this product or much lower than what we'd have made? That's number one.

Second, with the settlement until September '27, does it mean that we should not anticipate any generic players to come in this period, or they could come and settle with similar terms, that is paying royalty, etcetera, on the sales that they could do?

Vinita Gupta: It's hard to predict what other generics will do. For us, it's given us certainty . We have no litigation burden anymore, no risk, and no impediment to sell the product in the marketplace. And we still look at it as a very attractive contributor to our P&L .

Moderator : We'll take the next question from Vivek Agrawal .

Vivek Agrawal : A couple of years back, you highlighted that you are developing a product, it's a drug -device combination called Nexplanon ®. So just want to understand where the product is. Is it still in the development? Or have you filed this product? Any status regarding this product ?

Vinita Gupta : It is in clinical development right now .

Vivek Agrawal : But don't you think that's quite long that it’s still there in the clinical development? So, when you expect to file this product?

Vinita Gupta : I believe it is planned to be filed in FY28. It is a long development cycle, also pretty complex development.

Vivek Agrawal : And second question is related to India business where I think you have done the business quite well in the last couple of years and Rx business is doing phenomenally well, right, and the confidence is also there. Just to understand like the next three to four years, how to look at the growth trends of India Rx

business? And if you can outline, for example, the kind of initiatives that you are taking in terms of product launches, in terms of market penetration, salesforce, etcetera, so that w hat gives you the confidence that you could continue to grow this business ?
Nilesh Gupta : So, our aspiration would be to continue to grow double -digit. We believe that the market will grow 7% - 8%, and therefore we will grow double -digit in this segment. That is linked with the fact that our focus is on chronic therapy areas. As you know, 65% of our revenues come from chronic side. We're doubling down. We had added 900 people to our salesforce in the last six months. So, we're doubling down on the market .
We have expanded into newer divisions, into newer therapy areas as well, and we haven't even done the innovation pipeline yet. I think that's something which has just started. In the next three - four years, you'll start seeing more innovative products coming from our portfolio as well. So, I think

a combination of the need for the market, expanding our reach, expanding the breadth of our offering as well. All these together will drive it. We've talked in the past about other things like patient support . I think all of these together will help deliver this growth.
Vivek Agrawal : In terms of capital allocation, right, apart from R&D investments that you are making, and you are generating significant cash. So, if you can prioritize, let's say, a couple of, I think, top three areas where you want to spend money, in the next three to four years ?
Ramesh Swaminathan : We have the ability to borrow about USD 1.5 billion - 1.6 billion, so to speak, apart from of course what we have on our balance sheet in terms of cash already. From a purchase perspective, we would be looking at specialty assets. Hither to , we have been looking at, in fact, something in the range of sweet spot about USD 250 million - 300 million. We might up it a little more based again on the proposition on the table. So that's the most important part for us .
We have also defined the threshold limits when it

comes to in fact the adjacencies and so on. So, we would then invest only as much as the initial estimates were. So that's again a threshold limit. And of course, we would be interested in actually looking at assets in India. The sweet spot here, again, being about USD 250 million to USD 300 million .
Vivek Agrawal : So, when you talk about specialty assets, right, is it mainly related to U.S? Or are you also comfortable buying some assets, for example, which might be making losses initially and can turn profitable over a period of time?
Vinita Gupta : We are looking at U.S , Europe , Developed markets, like the VISUfarma was Europe, right, and U.S. as well. And as we mentioned earlier, we are looking at clinical stage assets, too, that will require investment before we bring it to the market .
Moderator : We'll take the next question from Shyam Srinivasan .
Shyam Srinivasan : Just one on VISUfarma . Is the transaction now closed? When are we starting to consolidate it? I remember 57 or 60 products, EUR 50 million – EUR 55 million was the annual expectation. So , if you could just refresh those numbers, please?
Vinita Gupta : We expect to close it in the next few weeks of this quarter, basically. So, we'll start consolidating next quarter onwards. And the revenue is still on track, I believe, EUR 60 million plus .
Ramesh Swaminathan : A little more for the next fiscal, but really for the numbers that you spoke about for this year.
Shyam Srinivasan : Ramesh, euros or dollars?
Ramesh Swaminathan : All of this is euros .
Shyam Srinivasan : And margin, I remember, was also high, 25% or 30%, if I remember right ?

Ramesh Swaminathan : Based on our cost synergies and all of that, we'll actually get to that level. A

little, actually more.
Vinita Gupta : But 2 5% to start .
Shyam Srinivasan : Second question on Emerging Markets. Is there a base effect or we had like 40% plus growth. Any geographies to call out?
Vinita Gupta : Brazil that we called out, Brazil ha s almost doubled in the quarter .
Ramesh Swaminathan : Thanks to Dapagliflozin that we introduced out there, and of course, the lineup that we have for the future will kind of continue for some time .
Shyam Srinivasan : Maybe constant currency growth, like 40% seems odd. So, is it like local currencies? What are these growing at?
Ramesh Swaminathan : It doubled in terms of turnover, given the fact that this product is big hitter out there .
Shyam Srinivasan : And lastly, on India growth, I know the 5.6% volume growth is nine months. So, what's the 11% ?
Vinita Gupta : Nine -month volume growth .
Shyam Srinivasan : Nine -month volume growth. But I'm just looking at, say, Q3 in this 11% prescription growth, what is the price - volume split and how has chronic done?
Vinita Gupta : Chronic has done extremely well.
Nilesh Gupta : Chronic has done well. I want to say it's similar on a volume in Q3 as well .
Vinita Gupta : Actually , the share of chronic has gone up to 67%.
Nilesh Gupta: Volume growth for 6.5% for Q3 and it was 5.6% for nine months. And new products gave us 1.5%.
Moderator : Thank you so much, Shyam. Thank you very much for all your participation. I now hand the conference over to the management for the closing comments.
Vinita Gupta : Thank you all. Hopefully we were able to respond to all your questions. We are very optimistic at this point to close the year on a very strong note, and equally the year ahead looks pretty strong . We continue to work around our strategic growth drivers to build up specialty and complex platforms to enable us to grow sustainably over the next few years .
So, thank you again for joining us, and we look forward to interacting with you in the next couple of months.
Moderator : Thank you, ma'am. On behalf of Lupin Limited, that concludes this conference. Thank you for joining us, and you may now exit the webinar. Thank you.

Call: May 2026

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May 14, 2026
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East),
Mumbai - 400 051 BSE Limited
P. J. Towers, Dalal Street,
Mumbai Samachar Marg,
Mumbai - 400 001
Symbol: LUPIN Scrip Code: Equity - 500257

Subject: Transcript of Q 4 FY2026 Earnings Conference Call
Dear Sir/Madam,

In continuation to our letters dated April 23, 2026 & May 08, 2026 and pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are pleased to enclose a copy of the Transcript of the Earnings Conference Call Q4 FY2026 held on May 08, 2026.

The said Transcript is available on the website of the Company at www.lupin.com .

The above is for your information and dissemination.

Thanking you,

For LUPIN LIMITED

AMIT KUMAR GUPTA
COMPANY SECRETARY & COMPLIANCE OFFICER
(ACS -15754)

Encl: a/a.

May 8, 2026

"Lupin Limited Q4 FY2026 Earnings Conference Call "

May 08 , 2026

MANAGEMENT:

• MS. VINITA GUPTA – CEO, LUPIN LIMITED
• MR. NILESH GUPTA – MANAGING DIRECTOR, LUPIN LIMITED
• MR. RAMESH SWAMINATHAN – EXECUTIVE DIRECTOR, GLOBAL CFO & HEAD OF IT AND API PLUS SBU, LUPIN LIMITED
• MR. RAVI AGRAWAL – M&A AND INVESTOR RELATIONS, LUPIN LIMITED

Moderator : Hello, good evening, and welcome to Lupin Limited Q4 FY26 Earnings Conference Call. Thank you for your participation in the call today. Please note that all participants line will be in listen -only mode , and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded. I now hand over the conference to the management. Thank you. And over to you .
Vinita Gupta: Good afternoon friends , I'm very pleased to welcome you to our Q4 FY26 and end of FY26 earnings call. I have with me our MD , Nilesh; our CFO Ramesh ; and our Head of Investor Relations , Ravi. We look forward to sharing with you our highlights for the quarter as well as the full year and the outlook for FY27.
This quarter marked our 15th consecutive quarter of year over year growth with highest ever sales and profitability. While the US has clearly been a standout for us, most of our regions, be it th e India prescription business, Other Developed Markets and Other Emerging M arkets have delivered double digit growth - growing 14% year over year.
This highlights the strength and resilience of our business model and geographically diversified business. FY26 has been a stellar year for the organization , with revenues and profitability at record levels.
Turning to individual business segments, our U .S business continued growth momentum surpassing the record sales achieved in the last quarter. For the full year, our U .S business achieved sales of USD 1.3 billion, an impressive growth of almost 40% YoY. Growth was driven by new products such as Tolvaptan where we benefited from being the only generic on the market . Mirabegron, where we had the benefit of full year of sales and new co mplex injectable products like g eneric Risperdal Consta® with CGT Exclusivit y, also our first product from our proprietary Nanomi platform.
Our base business also grew this year supported by higher volumes more than offsetting low -single digit price erosion and additional generic competition in a few key products like Suprep ® and Albuterol. We filed 11 products and launched 15 products during the fiscal year . Going ahead, we remain focused on doubling the share of complex products in our US business led by respiratory and complex injectables augmented by our biosimilars in the next couple of years. In the next three years we expect to launch 50 plus products in the US with 10 exclusive first t o files, four biosimilars as well as two to three 505(b)(2)s . In addition, we remain committed to expand our specialty portfolio through a mix of organic initiatives and targeted acquisitions.
Coming to India, o ur India business has grown 11.5% YoY in the quarter with the core prescription business growing 14.5% representing a 1.2 times growth against IPM. All our key therapies outperformed the respective market growth , with respiratory segment and cardiac growing at 2.5 times and 1.3 times their category growth. I would specifically like to mention our diabetes segment which grew at 20.9% YoY, outperforming category growth by 1.4 times during the quarter. For the full fiscal year, prescription g rowth stood at 10.6% ahead of IPM growth of 9.9% led by a strong volume growth of 6.4%.

The chronic segment now accounts for 66% of our portfolio up from 64% in

FY25, and we have set ourselves a target to increase this share to 70% in the next five years.

During the quarter we successfully launched our version of Semaglutide injection under the brand name Semanex t®, targeting diabetes and endocrinology specialists and Livarise® focused on GI & Gynaec physicians. I'm happy to share that over the past one month we are now ranked either second or third amongst all the branded generics, which is a testimony to our strength and capabilities in this segment. We are confident of further

leveraging these capabilities to launch our oral tablet product later this financial year. We remain confident that our India formulations business will continue to outperform IPM by 1.2 times 1.3 times, supported by a strong sales force of nearly 12,000 people and pipeline of more than 80 new product launches over the coming years, including innovative in -house and in -licensed products.

Our Other Developed M arkets, Europe, Canada and Australia accounted for 12% of our total sales and grew 13.3% in FY26. Within t his, our Eur opean sales have surpassed the USD 200 million mark, having grown at a healthy double - digit during the year. We expect this contribution to increase as we rollout a pipeline of complex products including biosimilars and integrate our newly acquired VISU farma business from this quarter onwards.

Emerging M arkets delivered an impressive 49% YoY growth in the quarter led by Brazil, South Africa and Philippines. Brazil continued its strong momentum of the last three quarters, growing 113% YoY in local currency during Q4 FY26 driven by successful commercialization of Dapagliflozin . We are starting to establish a real presence in the diabe tes and metabolic space in the Emerging Markets with Dapagliflozin serving as a strong start and the launch of Empagliflozin in Brazil and South Africa , this year as we ll as Semaglutide in South Africa later this year.

Turning to R&D, our spend was 8% of sales this quarter and 7.5% in FY26, w ith continued focus on complex and specialty platforms. W e have over 50 active products in the pipeline with near term emphasis on respiratory, complex injectables & biosimilars. We have also evolved a strong 505(b)(2) pipeline in the last couple of years and will start seeing product launches in the next two years. We are also strengthening our India Innovation portfolio through b oth in house development and in -licensing of late-stage assets.

Switching to compliance we received the EIR for G oa and V AI status from the USFDA during this quarter. We are on track with our remediation efforts at our Pithampur unit 2 facility. As we have mentioned in the past, we remain fully committed to maintaining the highest standards of quality and compliance across all our sites globally.

In conclusion, reflecting on the year gone by, we outperformed all our metrics, delivering strong financial and operational performance and achieved significant milestones. This strong performance was driven by recor d earnings in our key markets U.S , India and Europe as well as significant

turnaround in markets such as Brazil, proving that perseverance and disciplined execution deliver results.

In parallel, we have made meaningful strides in building a robust innovation driven pipeline across multiple platforms. We are also advancing cross functional initiatives that leverage state of the art technologies and AI to enhance efficiency a nd prepare the organization to o perate at its best , in an increasingly competitive and challenging global environment. We have built a strong foundation w hich positions Lupin for sustainable growth.

As mentioned in our earlier interactions, we expect to grow our top line high - single digits with margins at around 25% in FY27, despite increased headwinds from an uncertain geopolitical environment. With this, I will hand it over to Ramesh for a deeper analysis of our performance.

Ramesh Swaminathan : Thank you Vinita. Friends, I welcome you all to our Q4 FY26 and FY26 annual earnings call.

I'm happy to report another quarter of strong results with total revenue from operations growing 32% YoY to Rs. 7,475 crores and EBITDA growing at 68%

YoY to INR 2,171 crores. This marks the 15th consecutive quarter of growth from the company.

On a full year basis , the performance has been equally strong with t he total revenues from operations growing 23% YoY to Rs.

27,958 crores and EBITDA,

excluding forex and other income growing 55% YoY to INR 8,160 crores . EBITDA margins at 29.7% have increased 590 basis points YoY, led by higher gross margins and also operating efficiencies in our business. I'm happy to report that we handsomely beat the guidance we set at the beginning of the year both in terms of sales growth and margin trajectory.

What is heartening is that the growth has been diversified and robust across our major geographies, be it the U .S which grew 46%, India Prescriptions which grew 10.6%, O ther Developed Markets which grew 13.3%, Other Emerging Market s which grew 35.2% and our GIB business which grew 11.8% during the year .

U.S Business

During the quarter the U .S busines s recorded sales of USD 371 million, 6% higher QoQ in constant currency terms. This growth has been driven by new product launches and higher volumes in base business offset by additional competition and lower seasonal product sales. For the full year the U .S business has recorded sales of USD 1,318 million as against USD 944 million last year, registering a growth of 40% YoY in constant currency terms. This has been led by volume growth in our base business and healthy contributions from new products offset by single -digit price declines due to additional competition in key products like Albuterol during the year .

Our strategy of focusing on complex products has paid handsome dividends which is demonstrated by the launch of key complex injectables like Risperdal Consta® , Glucagon and Liraglutide this year. T his will be strengthened by the launch of our first biosimilars in the year U S in FY27. W e have an attractive

pipeline of more than 60 products in injectables and respiratory portfolio currently under development which will augment our complex portfolio going ahead.

India Region

During the quarter the India business recorded sales of INR 1,908 crores growing at 11.5% YoY. I would like to highlight the core prescription business grew by 14.5% YoY as against IPM growth of 11.6% translating into 1.3x times the IPM growth. This is offset by lower tender sales in our GIB business . On a full year basis , the India business grew by 7.1% YoY to INR 8,114 crores with the prescription business growing 10.6% as against IPM of 9.9% translating to 1.1x times the IPM growth. Key segments like car diology and respiratory handsomely outperformed this category growing at 1.3x and 1.7x respectively. This is offset by lower growth in diabetes segment which grew 9.4% as against category growth of 12.2% impacted by los s of exclusivity for certain in -licensed products. Volume growth has been a healthy 6.4% during the year against IPM volume growth of 2.6%, and the chronic share in the mix has increased to 66% from around 64% in FY25. The share of in -licensed products in the quarter has reduced about 6% of our portfolio from 12% last year while it's also having a positive impact on our profitability going ahead. We launched 15 products in FY26 and plan to launch about 20 products in FY27. We remain confident that our India formulations business will continue to outperform IPM by 1.2x to 1.3x going forward, supported by salesforce of about 12,000 people and a pipeline of more than 80 new product launches over the coming years inclu ding innovative in -house and in -licensed products.

Other Developed Markets

For the quarter , Other Developed M arkets - Europe, Canada and Australia recorded sales of INR 845 crores, growing 7.1% YoY & accounting for 12% of our total sales. For the full year , these markets recorded sales of INR 3,244 crores, growing 13.3% YoY & contributing 11% of our total sales. We expect this contribution to increase as we rollout a pipeline of complex products and incorporate the acquisition of VISUfarma in FY27 first quarter.

Emerging markets

For the quarter Emerging ma

rkets recorded sales of INR 991 crores, delivering an impressive 49% YoY, led by our key markets of Brazil, Mexico, South Africa and Philippines. Brazil in particular maintained strong momentum, posted turnaround in last few quarters , growing 113% YoY in local currency terms, driven by successful commercialization of Dapagliflozin .

Emerging Markets

For the year, Emerging Markets registered sales of INR 3,483 crores growing at 35.2% YoY led by growth in Brazil and South Africa.

P&L

Getting on to the P&L.

Other Operating Income

Other Operating I ncome at INR 83 crores as against INR 105 crores in Q4FY25 has decreased by 21% YoY during the quarter. This decrease is primarily on account of lower export benefits from the PLI scheme during the quarter. On a full year basis, Other Operating I ncome came in at INR 471 crores against INR 516 crores last year.

Gross Margins

Gross M argins continued their upward trajectory during the quar ter at 75% up from 61.7% in Q4 FY 25 last year and up from 73.5% in Q3 FY26. For the full year , Gross margins have improved to 73.3% from 69.2% last year. This 410 basis points YoY improvement is driven by multiple factors which includes better product mix, higher profitability in India from lower share of in -licensed products, increased volume and other cost improvements, and efficiencies which we have undertaken over the last several quarters.

Employee Benefit Expenses

For the quarter , Employee Benefit E xpenses stood at INR 1,243 crores increasing 24.1% year -on-year from INR 1,001 crores in Q4 FY25 translating to 16.8% of sales v is-a-vis 18% last year. This change is largely attributable to higher cost due to regular annual increments and business growth during the year. For the full year employee costs have increased 15.4% to INR 4,575 crores mainl y driven by annual salary hikes, India field force expansion and forex t ranslat ion. T his translates to 16.6% of sales in FY26 vis -a-vis 17.9% of sales in FY25.

Manufacturing and other expenses

Q4 FY26 M anufacturing and Other E xpenses came in at INR 2,209 crores, a growth of 30.9% YoY which translates to approximately 29.9% of sales as compared to 30.3% of sales in Q4 last year . The expenses were higher mainly due to higher volumes in the normal course of business and license fee payments on account of settlement agreements. Manufacturing other expenses in FY26 came in at INR 7,898 crores, an increase of 19.2% YoY as compared to FY25. This translates to 28% of sales as compared to 29.8% last year. This has been led by primarily higher R&D outlay, hi gher SG& A on account of field force for expansion, license fees on settlements, one -time acquisition related costs and higher volumes of increased sales.

R&D

R&D is at INR 590 crores, that's 8% of sales in Q4FY26 as compared to INR 543 crores at 9.8% of sales in Q4 FY25. For the full year R&D is INR 2,063 crores translating to 7.5% of sales. We expect R&D to be around 8% of sales for the next fiscal.

EBITDA

EBITDA excluding forex and other income during the quarter was INR 2,171 crores vis -a-vis INR 1,292 crores the same period last year , an increase of 68%

YoY with margin of 29.4%. v is-a-vis was 23.2% last year in the same period, an
increase of 620 basis points over the last year. On a full year basis , EBITDA
was INR 8,160 crores a sharp increase of 54.6% YoY with margins of 29.7% vis -
a-vis 23.8% over the same period last year and significantly higher than a
margin guidance of 27% to 28%.

ETR

The effective tax rate stood at 22.1% for FY26. For FY27 , we expect the ETR to
be about 25% - 26% due to the phasing out of incentives on some of our
domestic facilities.

Balance sheet

Operating Working Capital

Operating working Capital stood at INR 7,132 cro res as of 31st March '26
which tr

anslates to 87 days of net working capital as compared to 110 days
recorded last year.

ROCE

ROCE for the year translates to 28.4%.

Net Cash

Net C ash stood at INR 4,636 crores as against INR 310 crores as of 31st March
2025. Whilst we focus on increased cash generation for our business, we
would like to highlight that we continue to explore strategic allocation of our
capital to ensure the long term mission of the company including on the
spec ialty front.

ESG

On the ESG front , Lupin continues to make tremendous progress. Over 50%
of our total energy consumption now comes from renewable sources. During
the year , we achieved an important milestone with a first-time inclusion in
the Dow Jones Best in Class Indices, r eflecting our consistent focus on
sustainable, responsible and ethical business. Lupin has been included in the
Dow Jones Best -In Class Indices (DJBIC) and as well as the Emerging Markets
Index.

On the people's front we continue to strengthen our organization capabilities
through robust systems and processes. Our workplace culture has b een
recognized with a Great Place to W ork certification across 13 countries,
covering all our operations globally. With this, we'll open our floor for
discussions .

Moderator : Thank you very much, sir. We will now begin the question -and-answer
session .

The first question is from Tushar Manudhane .

Tushar Manudhane : Just a clarification on guidance for FY27. Madam highlighted high single digit
revenue growth with 25% EBITDA margin ?

Ramesh Swaminathan : That's correct. We did say that we would be looking at around about 25%, or
in the vicinity of that for the full year and of course high -single digit number
in terms of overall sales growth.

Tushar Manudhane : So, effectively are you sort of factoring the competition for like Tolvaptan kind
of a product and which is why you see EBITDA margin lowering down in FY27 ?

Vinita Gupta : Yes, we have factored that in both competition for Mirabegron as well as
Tolvaptan .

Tushar Manudhane : And just as far as Q4 is concerned , compared to Q3 FY26 while the revenue
have sort of moved up on absolute basis. But EBITDA has moved down. Is it
to do with the U .S business profitability going down or ex -US geographies
EBITDA moving down ?

Ramesh Swaminathan : There are two parts to that. Essentially the EBITDA margins decline because
of there's a slightly increased, manpower cost, as you can see. The second is
essentially , we have captured what we have, paid out Astellas on account of
Mirabegron settlement as part of the manufacturing other expenses line
that's also included. And there's of course the component of foreign exchange
that's been captured out there .

Tushar Manudhane : So, it's largely to do with this US Mirabegron related aspect which has sort of
dragged the EBITDA on a QoQ basis?

Ramesh Swaminathan : On the Other expenses line .
Moderator : We'll take the next question from Neha Manpuria.
Neha Manpuria : How should we think about the US business in the next year given what you mentioned a bout Tolvaptan and Mirabegron? D o you see any other product launches which could be meaningful? I know it's difficult to sustain this base, but even as we see competition in Tolvaptan and Mirabegron, what sort of product launches should we look for ward to over the next two years which probably gives us the confidence on 25% margin ?
Vinita Gupta : So, with Tolvaptan and Mirabegron as well, apart from, the additional competition, we still see the generic market growing, jus t given the generic penetration i n Tolvaptan is under 40% and then Mirabegron is just reaching 50% right now. So, there is a potential fo r additional generic penetration and expan sion of the marketplace despite additional competition. So that's one.
So, we do expect them to be material contributors especially in FY27.
Apart from that, I think i

n th e next fiscal year, o ur Ravicti® produc t, the Glycerol Phenylbutyrate (" GPB") is a material product for us in FY27. We have Saxenda ® that we hope to launch in the second half of the year, which would

be a material product for us. So , we have 20 plus products. We have two first to files as well. We have Sacubitril Valsartan as well as Rivaroxaban both are exclusive dosage form that we have first to file on. And then another big opportunity as we look at it right now for FY27 is Pegfilgrastim for us.. We've just entered into partnership with Valorum and expect that from Q2 and Q3 onwards will start ramping up and be a material contributor to the fiscal year.
So, I'm giving you a question about the next two years. In FY28, we see potentially the impact of both full year impact o f Pegfilgrastim as well as Rani bizumab that we expect to launch later in FY27. That should be a material opportunity for us in FY28. We are in the final stages with Dulera at this point, just responding to the last query from the FDA and would expect that product to be in the market in FY28 plus we have a material 505(b)(2) Apixaban new dosage form that we filed to the agency. We expect that to come to the market in FY28. So yeah, a good number of product launches, some exclusive first to files, good impact of the biosimilars and 505(b)(2) .
Neha Manpuria : My second question is, I think, Ramesh sir mentioned about capital allocation.
Given the increase in cash balance which will only go up with this, these US launches, how should we think about capital allocation priorities? I know, you've mentioned this in the past. I just wanted to get a sense of, what we are seeing, in terms of opportunities in the market ? What's interesting you and what are the challenges in terms of not being able to deploy that money?
Vinita Gupta : We of course would like the right opportunity so we can deploy the capital effectively, but remain very focused in really allocating material portion of our capital to assets either on the specialt y side of the business for the Developed Markets like this VISUfarma acquisition, or assets that can complement us in India both in our existing therapy areas as well as bolster the therapy areas that we want to build. So , we continue to be very focused in, looking for assets in the specialty segments that we've id entified .
Now that we have transacted on VISUfarma, we are seeing a high flow of ophthalmology assets which could be pretty interesting for us and likewise continue to look for pulmonolo gy as well as rare neuro assets.
Neha Manpuria : So, on the specialty side, the dearth of assets is not an issue? There are enough and more that you can look at. So , it's about us selecting the assets that we want?
Vinita Gupta: Yes, it's really finding the right assets that from a risk standpoint meet our internal criteria as well as give us enough in terms of potential to be meaningful to grow our specialty business.
Moderator : The next question is from Bino Pathiparampil .
Bino Pathiparampi l: Vinita given the settlement, is it fair to assume that in Q4 you have sold significantly more Mirabegron compared to Q3 ?
Vinita Gupta : Yes, we have had, some growth in Mirabegron in Q4 versus Q3, but just because of the growth in market share for the generic .

Bino Pathiparampi l: And this third player who has settled with Astellas , have they already entered the market ?
Vinita Gupta : No, they haven't entered the market yet. We believe that they are waiting for product supply .
Bino Pathiparampi l: Coming to Tolvaptan, what is the timeline for competition entry that you are now looking at? I believe there is a patent expiring in September this year. Is that a relevant timeline ?
Vinita Gupta : Yes, that is the timeline that we have taken into account in our plans .
Bino Pathiparampi l: One fina

l question to Ramesh. The impact of PLI going away on other operating income, is that completely in the base now or will we see some more decline from these levels ?
Ramesh Swaminathan : No, I think more or less there'll be some PLI coming in next year as well.
Nilesh Gupta: It'll come back.
Bino Pathiparampi l: So, this quarterly run rate roughly is maintainable ?
Ramesh Swaminathan : Yes, kind of .
Moderator : We'll take the next question from Damayanti Kerai.
Damayanti Kerai : My first question is on VISUfarma. So earlier you mentioned this will add around E uro 50 million - 60 million sales on top line and 25% margin. So just want to hear your thought on where do you look this business to grow in say, next two to three years and what will be the key focus segments here?
Vinita Gupta : So, there are multiple areas where strategically the VISUfarma acquisition adds to us. Number one, geographically, it expands our presence from UK, Germ any, France to Italy and Spain markets where we had no presence in. And just leveraging the presence across the ophthalmology portfolio, taking our respiratory products, our biosimilars, NaMuscla ® into this market is a real opportunity for us that we see as a potential of growing our overall footprint in Europe .
Second, just given the pipeline that VISUfarma has in the ophthalmology front, we expect the business in the ophthalmology side continue to grow double digit in the countries that we are now present in Europe.
And third, t he portfolio also has a fit in Other Emerging M arkets for certain. And our team is also looking to see whethe r we can launch in some of the Developed M arkets. But in Latin America and Southeast Asia, we have the potential of leveraging the VISUfarma portfolio into these markets. So multiple areas of synergies th at our team is working upon and we remain confident that this is going to be a material step in enhancing our business i n Europe as well as on the specialty front.
Damayanti Kerai : And the top lin e should comfortably cross say USD 100 million mark in two to three years If all these factors play out we ll?
Vinita Gupta : Yes.

Damayanti Kerai : And you have the sales team and on ground support all available with this business or do you need to invest a few more as well ?
Vinita Gupta : No, actually it came with an excellent team on the commercial side as well as marketing. Majority of the team we have on boarded into Lupin to be able to build on the current ophthalmic model, but also expand Lupin's other therapy areas into these regions .
Damayanti Kerai : Second question is on your settlement for Mirabegron with A stellas. So you had one prepaid component which I believe is sitting in Q4 numbers. And on an ongoing basis you will be paying per unit cost. And that will be part of the ongoing operating expense ?
Ramesh Swaminathan : Yeah, there are two parts to that. There is one element which of course will be cap tured as part of manufacturing and other expenses. And the second part, it actually gets amortized over a period of time .
Damayanti Kerai : Any indication like which will be the bigger component, whether it's part of operating expense or the one which is amortized ?
Ramesh Swaminathan : Clearly, it depends on the sales at this stage. So , the first component is

actually variable. The second is just an amortization spread over time .
Vinita Gupta : And we have factored in the additional cost per unit in our Gross margin going forward. The amortization of the USD 75 million will be in the next two years .
Damayanti Kerai : My last question is regarding one product which we earlier discussed. Dalbavancin . Can you update on the status of that particular product ?
Vinita Gupta : We expect to launch the Dalbavancin 505(b)(2) in FY27 .
Moderator : We can take the next question from Vivek Agarwal .
Vivek Agarwal : Couple of q

uestions on biosimilars. One is on Ranibizumab , so how comfortable you are with the economics of this product ? If you look at the current market dynamics, the prescriptions have shifted to Aflibercept that is a longer duration and if you look at the existing or the current incumbents' biosimilars, they have dropped this product right from the market. So , what gives you confidence that this product is going to be a material product for you?
Vinita Gupta : We actually are seeing a good amount of traction with the FDA in getting a product to market. The other companies have had challenges in product supply and we think that has been part of the reason why the product is out of the market. Also , I think you're going to see companies relaunching Ranibizumab. So , we do believe that while part of the market has shifted into Aflibercept, there's still an opportunity in Ranibizumab. A lso, for us we have both the pre -filled syringe as well as the vial w hile majority of the competitors have vial only. So , we also see an opportunity for our product to be differentiated in the marketplace .
Vivek Agarwal : Is it possible for you to upd ate on P egfil grastim On Body product? So , what is the current status and what's the launch timeline for this product ?

Vinita Gupta : We are pretty far along and should b e able to file this fiscal year. I know we have planned to launch it in FY29 but hopefully we should be able to launch in FY28 itself .
Vivek Agarwal : So basically, it's a FY28 launch ?
Vinita Gupta : FY28 or FY29 launch, one of the two depending on FDA approval .
Vivek Agarwal : You talk about let's say around four products in the biosimilar. Which are the other two products if it is possible for you to highlight?
Vinita Gupta : Pegfilgrastim and Ranibizumab , the OBI which of course is Pegfilgrastim, but a different dosage form and Aflibercept and the fifth one is Etanercept in FY29 .
Vivek Agarwal : One more question on biosimil ars in the next couple of years, w hat kind of the revenues that you estimate from the sales of biosimilars only in the U S?
Vinita Gupta : We haven't called out the actual revenues from biosimilars, but they're meaningful. Each product is pretty mean ingful in our P&L going forward. W e really look at the biosimilars opportunity as a very similar to our respiratory opportunity over the next five years.
Moderator : We have the next question from Saion Mukherjee .
Saion Mukherjee : Ramesh, y ou mentioned revenue guidance h igh single digit, is it in Rupee terms and what's the currency assumptions that you've made ?
Ramesh Swaminathan : If there is further depreciation in rupee obviously there is a benefit that would be that we would be taking in. So , at a time that we actually constitute the budget, which is about three months ago .
Nilesh Gupta: It is Rupee terms .
Ramesh Swaminathan : Yeah, it's Rupee terms .
Saion Mukherjee : The other one is there has been some inflationary pressure because of freight and raw material given the Middle E ast crisis. So , what's the annualized impact of the same that you're seeing on the P&L if the situation were to remain at the current level ?
Ramesh Swaminathan : Clearly that is impacting everybody these are dark clouds on the horizon . When it comes to freight for example, ocean freighting is about 15% higher, air freight is about 60% higher. There are of course issues in terms of raw material costs availability of chemicals sometimes , low solvent prices and all of that. We've estimated that. So clearly , we are monitoring it on a very granular basis and take appropriate action in terms of possible price increases as and when we think it is absolu tely something that needs to be done .

Saion Mukherjee : Will you be able to quantify, Ramesh ?
Ramesh Swaminathan : I don't want to do it at this stage . When we have, reckoned the 25%, we have

taken into account all of this as well. So , it's still too many moving parts at this stage .

Saion Mukherjee : One question on your product filing in the US , I think you mentioned about on body product, but what about the respiratory products , Respimat, Ellipta and En brel® biosimilar? What's the timeline with respect to filing for these product and when should we expect launch ?
Vinita Gupta: So Respimat is actually in the works right now and will be a current fiscal year filing and the Etanercept also will be in the current fiscal year. We pretty much have the entire dossier for Etanercept. There's very little work to be done to be able to file it. There are other material products that we are planning to launch . For the US we have, eight to nine product filings in FY27 on the respiratory front.
Saion Mukherjee : On Ellipta, any timeline for that ?
Vinita Gupta : Ellipta, we are still working on it. It's been challenging for us, but we continue to work on both the Br eo and Trelegy products .
Moderator: We will take the next question from Kunal Randeria .
Kunal Randeria : The first question is on S emagluti de opportunity across Emerging M arkets. Are there any particular markets that you would like to call out that can make a meaningful contribution in the next couple of years ?
Nilesh Gupta: I think the big market for us is India. Obviously, you know, we've already launched in India. I think South Africa would be the other important market, Brazil as well . Through partnerships in markets like Canada and the like as well. But these three markets will probably start it off for us .
Kunal Randeria : Would you like to maybe give more colo ur on India, obviously you have launched, but what about Brazil, Canada, some timelines ?
Nilesh Gupta : South Africa also this year. Brazil also this year .
Vinita Gupta : Brazil and Canada should really be filing this year , so launch hopefully next year .
Kunal Randeria : But the fact is that you may not be among the first wave . So, will it still be meaningful ?
Vinita Gupta : We think in the Emerging M arkets where we have really built a market presence on the diabetes - metabolic front, like I mentioned Brazil, with the Dapagliflozin launch and now Empagliflozin launch, we're really creating a good position in the metabolic space. We see a good opportunity even as a late com er and I think in the pure gener ic markets it will be tougher , but in the Emerging M arkets it should continue to be an attractive opportunity for us.
Kunal Randeria : The second question on biosimilars, so I understand, you'll have Pegfilgrastim and maybe Etanercept a few years down the line in the US but the entry barrier now for biosimilars is going down, the cost is going down. So , I'm sure a lot more players would come in. Do you maybe envisage a situation where the price erosion might be a lot steeper than what you are currently f actoring in, let's say by FY29 - FY30?

Vinita Gupta : I think unless there's a real material shift in the market model, we really see the new entrants bringing an advantage to the overall economics in the biosimilar segment. And from our perspective, the f irst few products that we have obviously we've been working on these for five plus years. But as we look at the future pipeline, informed by the reducing hurdles from a regulatory perspective and easier go - to - market access in the US . Also equally we are finding in Europe as well there is a more efficient model, especially where country like Germany is starting to tender biosimilar products as well. We see an opportunity for products where we are in the first wave and that have limited number of competitors.

So, our focus from pipeline perspective is really on products where we can be in the first wave or limited number of competitors that can give us a unique positioni

ng. We have a good positioning on the ophthalmology front beyond biosimilars with VISUfarma and other products that we are planning to bring into the market. So, we think it really enables us, as an ophthalmic player to bring in both the affordable biosimilars as well as innov ative products. But beyond that, the other pipeline that we are investi ng in for the future is a very selective pipeline that we're going after.

Kunal Randeria : Just how big is the biosimilar franchise as of now from a revenue perspective ?

Nilesh Gupta : It's about USD 50 million right now but slated to be multiple times this financial year itself.

Kunal Randeria : Just to clarify, largely it's from Etanercept in Europe and these would not be the end user sales? It would be maybe a royalty or a profit share that you might be getting ?

Vinita Gupta : Yeah, I mean it's through partners primarily .

Moderator : The next question is from Shashank Krishnakumar.

Shashank Krishnakumar : The first one was on Spiriva. I just wanted to check if you're hearing anything incrementally in terms of competition there and whether our FY27 guidance, sort of any potential generic ?

Vinita Gupta : We don't know for certain. I mean we have been aware about some companies talking about the fact that they have filed products but just given how long it takes to get these products right, we're not certain that we would see additional competition in FY27.

Shashank Krishnakumar : The acquisition related cost which we have alluded to within other expenses, was that a meaningful figure this quarter ?

Ramesh Swaminathan : It's actually part of the overall cost. So , there are a host of things that actually goes into, as I said, other expenses this time around. Now we have in fact, the Mirabegron settlement, we ha ve got Forex, there's of course the higher component of R&D and there's of course the M&A expenditure .

Shashank Krishnakumar : And just the last one on Ellipta. So just wanted to check on the challenges that we're facing. Is it with respect to the device? I think one of our also recently

entered a partnership for the device. So where exactly is the challenge? If you could sort of, explain what is the hurdle in terms of the filing ?

Vinita Gupta : It is really to achieve the product PK. We, believe that we've got the right device in place. It's really the product PK, getting that right. And we're finding that the brand itself is fairly variable .

Moderator : We take the next question from Shyam Srinivasan .

Shyam Srinivasan : Just the first one on Semaglutide in India. So how has the launch gone? I think you Semaglutide mentioned the top two or three. So just what were expectations? Maybe some of the dynamics. Given a lot of investor interest. If you could just tell us how things have panned out now it probably, it doesn't yet have April data for example. So just if you could tell us what's been the experience , prescription behavio ur, the vials versus the even the pen debate. If you could double click there, pl ease?

Nilesh Gupta : I think it's been a pretty solid launch. Pretty much as good as expected or even better. We always expected to be a strong player given our cardio - metabolic play. The product from Zydus is a unique pen and I think that's differentiation in the market as well. Our patient support program is pretty solid as well. So, a so good start. I think we're the number two company as a generic one, the number three as a product itself. So good start. But very early days, right? I mean you're talking about nine days of data and that's, next week we'l l have data for April as well .

We've obviously had substantial increase in p rimary in the second month. But time will show. But, I think our goal is very clear to be at Top 3 player in this as generic Semaglutide and I think we're well on track . As far as device is concerned , I think the acce

ptance for the pen is pretty solid and I'm glad that we're playing that .

Shyam Srinivasan : I remem ber in our earlier comments we t alked about a INR 1,500 crore overall

market 50% with innovator data . Has the volume uptake surprised you guys?
Do you think there's a revision upwards in terms of Semaglutide generic play
or still very early days ?
Nilesh Gupta : I think with GLP -1s you're safe to always tick it upwards, but I think it's just
too early to really predict long term behavio ur. You saw how quickly
Mou njaro became the biggest product in India and now it's flattened out. So
how important is the generic, how important is Mounjaro versus
Semaglutide. I think there are multiple things to play out. There are so many
other products that are going to come along as well. But clearly this is pretty
widely accepted therapy. The number of prescribers is significant. The
number of patients that have gone on to this is very material as well. So yeah,
I think this is one of the biggest launches for the industry.
Shyam Srinivasan : My last question just again back on the margin guidance. Right so we're going
from 29% this year to 25 % let's assume. But Q4 had some headwinds already
given that we had a settlement and maybe some of it played through in Q4 as
well. So is there extra sprinkling of conservativeness in our margins or you
think during the year there could be upside surprises as well?

Ramesh Swaminathan : No, this is actually as a result of we reckon ed that there could be some
competition coming in for Tolvaptan and possibly for Mirabegron next year.
So that would actually in some ways impact our overall margins. And of course
as you would see our R&D expenditure is s tated to increase a bit. So that is
also being captured in the overall guidance.
Moderator : We'll take the next question from Vishal Manchanda.
Vishal Manchanda : On the Albuterol inhaler market , wanted to check whether you expect any
adverse impact on account of the GSK launch. So , they are supposed to launch
a green inhaler around third quarter of this financial year. Do you think the
other Albuterol inhalers on the market will see an adverse impact?
Vinita Gupta : We don't think so. We think that their product is really going to be a branded
version of Ventolin® . That's what w e've been able to tell because based on
what we learn t and we hope that it actually expands the market for Albuterol.
And we’re also ourself working on the green propellant MDIs. So, we're
looking forward to see how the launch goes and we'll track it very closely.
Vishal Manchanda : Since you are working on a green propellant too , will you need to launch as a
brand?
Vinita Gupta : It's very early to tell but just given where things are, if we launch after the
brand comes in, it will really be a generic green propellant product . If you look
at the Ventolin® product, it's not had any gene rics so far. I think Cipla is the
first approval. So that market has been pretty much branded and GSK has the
opportunity of converting it into the new version.
Vishal Manchanda Another one on the inhalers side. Are we planning to file Symbicort ® and
Advair or w e don't intend to do those products.
Vinita Gupta : We do have Symbicort ® in our pipeline, and we have Advair HFA also in our
pipeline .
Vishal Manchanda : Any filing timelines?
Vinita Gupta : Like I mentioned, we have like nine products in the current fiscal year. So , it's
a material year for us with all the work the team has done over the last couple
of years. We'll come back in the next quarter or so with the products and
actual filing timelines .
Vishal Manchanda : Just another one on Risperdal Consta® . If you could share how the product is
doing and whether you intend to file other long -acting injectable products
based on your know -how on Risperdal Consta® ?
Vinita Gupta : The product has done well so f

ar. Actually, we've not been able to keep up
with the demand. We manufactured the product as a CMO and have struggled
to really ramp up. The brand has had supply issues as well. So , there has been
an increased demand in the marketplace that they're trying to work hard to
see how we can leverage our position . Also , Teva had supply issues with their
supplier of the product as well. So , there's a real gap in the marketplace which
is a nice problem to have and we're t rying to see how we can best meet the
incremental demand . As far as the platform goes , while we worked first on a

generic, as we looked at the potential of the platform, there are multiple
innovative products where the platform can be very valuable. So, at this point
in time, we have multiple products on for other brands in the platform and
have a few conversations ongoing on potentially doing innovative product
transactions with the platform.
Vishal Manchanda : You mean doing your own innovative products or doing that as a CDMO partner?
Vinita Gupta : We have both. We have couple of our own innovative products in the
platform as well as interest from partners to work with us on co developing,
long -acting versions of their products.
Moderator : We will take the next question from Vivek Agrawal .
Vivek Agarwal : Just one clarification on the products Tolvaptan and Mirabegron. So, you
talked about that Mirabegron competition possibly next yea r?
Vinita Gupta : That’s right.
Vivek Agarwal : So, you are not expecting, let's say any additional competition in FY27 in this product?
Vinita Gupta : No, FY27 is next year for us.
Vivek Agarwal : Just one question on the overall U .S business , right. We have done close to
USD 1.3 billion of revenues this year and then there are a lot of moving parts.
Couple of products will come down in FY27 and then we will see some kind of
additional competition, additional erosion in FY28 as well. So , it would be
helpful if you just give some ball park n umber of US revenues for FY27 and
FY28 to work with?
Vinita Gupta : In the past we've said that we should be able to sustain the bi llion dollar plus
at this point . We think that based on the competition that we foresee in
products like Mirabegron and Tolvaptan, we should be able to get to a level
compared to the current year where maybe it's a high single digit or low
double -digit erosion in terms of revenues. And that's of course a combination
of the current products as well as new product launches. With our injectable
launches as well as with Pegfilgrastim, we expect to offset some of the erosion
and we expect our base business a lso to grow in the US .
Vivek Agarwal : If I heard correctly, right in FY28 if you are expecting that U .S business to be a
billion dollar plus. Close to billion dollars plus?
Vinita Gupta : In FY27 to be a billion dollar plus.
Moderator : Thank you so much for all your questions and most importantly, patience.
We'll now hand the conference over to the management for the closing
comments. Thank you.
Vinita Gupta : Thank you, friends for all your questions. Hopefully we've been able to answer
all of them. Otherwise , we will take them offline. As mentioned, we've been
very pleased with the performance our team has been able to deliver in FY26

and continue to work hard to be able to exceed both our expectations as well
as the market expectations in FY27 and beyond. Thank you again.
Moderator : Thank you, ma' am. On behalf of Lupin Limited, that concludes this
conference. Thank you for joining us and you may now exit the webinar .

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